Making Everything Easier!™

High-Level Investing

FOR DUMMIES®

A Wiley Brand

Learn to:

- Up your game with proven strategies and techniques
- Increase profits and minimize risks
- Avoid the pitfalls of stock speculating
- Time your market entry and exit points
- Uncover opportunities in "hidden" niches

Paul Mladjenovic, CFP

Author of Stock Investing For Dummies

High-Level Investing For Dummies

A Wiley Brand

by Paul Mladjenovic

For Dummies

A Wiley Brand

High-Level Investing For Dummies®

Published by: **John Wiley & Sons, Inc.,** 111 River Street, Hoboken, NJ 07030-5774, www.wiley.com

Library of Congress Control Number: 2015954288

ISBN 978-1-119-14081-8 (pbk); ISBN 978-1-119-14083-2 (ebk); ISBN 978-1-119-14082-5 (ebk)

High-Level Investing For Dummies®

Visit www.dummies.com/cheatsheet/highlevelinvesting to view this book's cheat sheet.

Table of Contents

Introduction

Today's stock market has entered historic times for both good and bad reasons, so investors have to be sharper than ever. Knowledge and information can be more valuable than money. Plenty of investors have lost a fortune due to a lack of knowledge of what was happening. Conversely, plenty of people with limited funds have applied their knowledge and slowly built a fortune.

Money is only the fourth most important ingredient to your financial success; the first three are knowledge, time, and discipline. In *High-Level Investing For Dummies,* I emphasize those key points and much more. This book has everything from insights from history's greatest investors to descriptions of the stock investing and speculating vehicles that seasoned investors and money management pros use to enhance their profitability.

To say I wish you great success is putting it mildly. I am grateful to you, the reader, for allowing me to be a part of something as intimate as your aspirations and goals. Furthering your financial success so that you can help yourself, your loved ones, and your honorable pursuits (such as charities or personal endeavors) is a personal honor for me.

Make it a great investing day!

About This Book

Out of all the worn-out slogans from the past hundred years, I think the best one for this book is "the more you learn, the more you earn." I'm proud of my book *Stock Investing For Dummies* (four editions and counting!), and I think it's a valuable addition to your library, but I couldn't fit all the profitable information into it that I wanted. That's why I'm so glad to be doing this follow-up book, *High-Level Investing For Dummies*. I can't think of a better one-two combination in the stock investing world! Having this book in your possession suggests you're a serious wealth-builder who understands that stocks, exchange-traded funds, and derivatives can be powerful and intricate parts of your strategies.

As both a long-time observer and participant in the stock market, I've seen many market conditions and learned that *any* time is a good time to profit from the market's moves. The issue is not the market itself; the real issue is you and your knowledge! There are always wealth-building opportunities in both bullish and bearish markets, and this book will help you profit from all kinds of shifts in the market, whether they're up, down, or even sideways.

Take this book and the information and guidance within it seriously, and your financial security (and net worth) will grow, no matter what's happening in the stock market. You may not need to read every chapter to make you more confident as a stock investor, so feel free to jump around to suit your personal needs. Because every chapter is designed to be as self-contained as possible, it won't do you any harm to cherry-pick what you really want to read. But if you're like me, you may still want to check out every chapter, because you never know when you may come across a new tip or resource that will make a profitable difference in your portfolio.

Throughout this book, you see words like *investor, speculator,* and *trader* and also read about tactics and strategies that are long term or short term. You should understand that these terms are not interchangeable (I do my best to be precise with those terms).

One last note about this book: For the sake of the examples throughout, I don't factor in brokerage commissions. This move keeps things tidy and makes the math easier for me!

Foolish Assumptions

My guess is that you got this book for one or more of the following reasons:

- You read *Stock Investing For Dummies,* and you want more in-depth information and guidance.
- You're already an experienced stock investor, and you want a book that goes beyond the basics of stock investing.
- You need more ideas and insights to make your stock investing strategies a little more effective, and you're tired of hearing your Uncle Mo's tips.
- You have a financial advisor or broker already helping you, and you want to squeeze more value out of the relationship by asking the right questions and getting a better handle on the answers.

Icons Used in This Book

See those icons in the margins of this book? Here's what each one means:

This icon marks a critical point I want you to store in your memory.

This icon flags a particular bit of advice that just may give you an edge over other investors.

Pay special attention to this icon because the advice can prevent headaches, heartaches, and financial aches.

The text attached to this icon isn't crucial to your success as an investor, but it may help you talk shop with investing gurus and better understand the financial pages of your favorite business publication or website.

Beyond the Book

In addition to the material in the print or digital book you're reading right now, *High-Level Investing For Dummies* comes with other great content available online. Check out the free Cheat Sheet at www.dummies.com/cheatsheet/highlevelinvesting to read about traits of successful speculators and useful investing sites and apps. You can also find free articles about option strategies, legendary investors, and more at www.dummies.com/extras/highlevelinvesting.

Where to Go from Here

You're welcome to start at the beginning and read straight through. However, if you prefer to skip around and you already have a basic familiarity with stock investing, consider starting with Chapter 4. There, you find info on value investing, which should be at the core of most investors' portfolios.

Next, why not read up on the great investors (Chapter 17) and speculators (Chapter 18) so you get a bird's-eye view of those who were at the top of their game? I also cover exchange-traded funds (ETFs) for people who are bullish (Chapter 9) and those who are not (Chapter 10). Options are a fantastic way to boost your stock investing and speculating, and I devote an entire part to them (see Part III).

From there, follow your interests. You want great info to kick your stock investing up a notch? That info is in here! Check out the table of contents, use the index, or flip through the book to find what you need.

Part I

Getting Started with High-Level Investing

Visit www.dummies.com for great (and free!) Dummies content online.

In this part …

- Find out what you must do before you invest your first dollar in stocks. Know what steps are necessary so your stock investing is successful.
- Understand the risks and how to minimize them so you'll have more winners than losers in your portfolio.
- Get the scoop on diversification and allocation so your stock investing is consistently profitable regardless of what's happening with the economy and financial markets.
- Find great companies to invest in and pay as little as possible for their stocks. Check out what successful investors look for when they analyze a company.
- Use brokerage orders and services to maximize your profits while minimizing your losses.
- See how markets are interrelated. Know which investments can perform well while others are doing poorly so you can choose the right stocks in the right markets.

Chapter 1

Taking Stock before You Invest at a Higher Level

In This Chapter

- Describing the basics of stocks
- Delving into stocks' dual nature
- Selecting stocks and measuring their performance
- Moving beyond stocks with ETFs, options, and high-level techniques

The beginning stock investor does what he or she can to choose a good stock. The higher-level stock investor knows a good stock but uses tools and resources to find either a better stock (with higher earnings and the like) or a good stock with more profit potential.

In addition, beginning and intermediate stock investors usually only go long in finding a stock to buy. But a higher-level stock investor can see profit in bad stocks and choose to profit by going short. A beginning investor sees that Sector A is good while Sector B has terrible prospects, and she buys a stock in Sector A. The higher-level stock investor may buy that same stock in Sector A but also considers getting an inverse ETF for Sector B.

When you add the strategies and resources in this book, you'll definitely have what you need to take your stock investing to greater (more profitable) heights.

The basics of stock investing are covered in my book *Stock Investing For Dummies* (published by Wiley). This chapter really serves to highlight important points as you up your gain in the world of stocks.

The Basics: Defining and Categorizing Stocks

In our economy, companies in the private sector produce goods and services. As the economy grows, the companies that do a good job of providing goods and services that the general public consumes grow along with it.

Companies may be private or public:

- **Private:** A private company is one of the hundreds of thousands of proprietors and other business organizations that you transact with but typically cannot invest in conveniently.
- **Public:** Public companies, on the other hand, are business entities that are organized so that

you can participate as an investor without needing to participate in the daily operations of the companies.

An investor can profit along with public companies by buying and holding their stocks. In the following sections, I provide a refresher on the definition of stocks and different stock categories.

Defining stock

Stock is a security that indicates limited ownership of a public corporation and represents a claim on a part of that corporation's net assets and earnings. Stock may be common or preferred:

- **Common:** In this book, I primarily cover common stock, which entitles the stockholder (or stock owner) to vote at shareholder meetings (either in person or by mail or email communication) and receive any dividends that may be issued.
- **Preferred:** Preferred stock usually doesn't give the holder voting rights, but it does provide some preferential treatment over common-stock holders, such as priority treatment in receiving dividends. Additionally, in the extreme event of the company's bankruptcy, preferred-stock holders rank ahead of common-stock holders (and after creditors) in recouping money from liquidation.

To invest, you buy shares of the stock through a stock brokerage account (find out more about brokerage tools and tactics in Chapter 5). The minimum ownership amount is one share. When you buy or sell shares of stock, you pay a transaction fee (the commission).

Obviously, you buy stock because you expect the stock to rise (appreciate) in value as the rest of the investing public is attracted to the company and subsequently buys the stock, too. If all goes to plan, you'll eventually be able to sell your stock for a gain (referred to as *capital gain*). In addition, many stocks provide income in the form of dividends, which are typically paid quarterly and have the potential to grow as well.

Checking out market capitalization

You often hear about stocks being large cap, mid cap, or small cap. In the world of stock investing, size (in terms of market value) does matter. A portfolio of large-cap stocks, for example, tends to be safer than a portfolio of small-cap stocks.

Market cap, which is short for *market capitalization,* is a reference to a stock's market value. Calculating the market cap is easy; you multiply the company's total number of shares outstanding by the share price. If Company X has 2 million shares outstanding and its stock is $10 per share, then the market capitalization is $20 million (2 million times $10). Although $20 million may sound like a lot, this stock is actually a micro-cap stock.

Here are the five basic levels of market capitalization:

- **Micro cap (up to $250 million):** These stocks are the smallest stocks and, all things being equal, are considered the riskiest (flip to Chapter 2 for details on assessing risk). Some of these stocks are also referred to as penny stocks.
- **Small cap ($250 million to $1 billion):** Small-cap stocks are the bulwark for people seeking aggressive gains, especially in bull markets, but they come with greater risk. I go into detail on small-cap stocks in Chapter 7.
- **Mid cap ($1 billion to $10 billion):** For long-term investors, this category provides great potential compromise between the small caps and the larger companies. Mid caps are less risky than small caps but have more room to grow than larger companies.
- **Large cap ($10 billion to $50 billion):** This category is appropriate for conservative, long-term investors. This category may not have the growth potential of the lower cap levels, but these stocks are more reliable and tend to be the leaders in their marketplace.
- **Mega cap or ultra cap (more than $50 billion):** These stocks represent pieces of the biggest companies not only in their sectors but in the world. Mega-cap stocks tend to be in most portfolios and are the most widely held. They may not hold much growth potential versus other cap levels, but they're certainly more predictable holdings.

REMEMBER Don't choose a stock exclusively due to its size or market valuation. Do your due diligence in terms of choosing a stock for investment, and base your decision primarily on the company's fundamentals (sales, earnings, market potential, and so on; see Chapter 4 for details). Let market cap be a factor if you're down to two choices and you prefer either safety (higher market cap) or growth potential (lower cap).

Investigating the Dual Nature of Stock Investing

Stocks and their underlying companies are together, yet they have different personalities:

- **The company:** On one hand, you have the company itself. It's the physical entity involved with sales and expenses, products, services, personnel, budgets, and a thousand other moving parts. It succeeds by providing for the wants and/or needs of customers in a competitive marketplace against other companies seeking to do the same and hopefully makes a profit doing so.
- **The stock:** On the other hand, you have the company's stock. The price of the stock rises or falls on a given market day based on the cumulative buying and selling of its shares in the stock market.

Here's where the dual nature of stock investing kicks in: The performance of the company and the performance of the stock are frequently at variance. In the short term, the discrepancy can make you scratch your head. The stock may go up even though the company isn't having a good day. Or maybe the company is doing well, yet the stock isn't. Sometimes you see the stock of a total-loser company go up, and you see the stock of a great company go down.

In the short term, the stock can rise or fall seemingly without any cause-and-effect relationship with the underlying company. But over time, the reality of the company and the value of the stock tend to move in the same direction. Long term, the stock prices of good companies go up. Long term, the stock prices of bad companies go down.

Both the seasoned investor and the serious speculator understand this concept if they're truly analyzing the company and the stock. Short-term speculators and traders play the stock for short-term moves, but long-term investors and speculators play the company, so to speak.

Investors and speculators seek to profit from the disparity between the value of the company and the price of the stock:

- **A low stock price for a good company:** If the underlying company is valuable and the stock is not, then an investor seeking a bargain would buy the stock, knowing that he or she is getting the company at a good price. Chapter 4 goes into greater detail about value investing, which focuses on investing in quality companies.

  What if the price is low but the company is new? The speculator would buy shares of that obscure company when it's a very low-priced stock, while the investor would wait until the company has proven itself with rising sales and profits.

  Investing is a long-term pursuit (measured in years, not days or weeks). The investor looks at the company, what it offers, and whether long-term trends (supply and demand, demographics, and so on) favor it. Investing means "measure twice; cut once." If you choose a good company, you can ignore the short-term scuttlebutt from the pundits, and you have an outstanding chance of truly prospering in the future.
- **A high stock price for a bad company:** If a speculator sees a high stock price, yet the underlying company has little or no value (or has terrible financial difficulties), then he or she sees a profitable opportunity in betting that the stock will go down (see Chapter 8 about shorting stock).

Whether speculating is long term or short term, you're really making a calculated bet. Maybe it isn't a pure bet, but it's certainly an aggressive move beyond what an investor would do.

If you're starting out with stocks, consider investing. Analyzing a company for the long term is easier than trying your hand at the short-term gyrations of traders and speculators. Figuring out whether a company is good is much easier than figuring out which way its stock is heading tomorrow morning. Stock prices are subject to the whims of today's stock movers and shakers, whereas a good, profitable company will gain adherents over time, which will lift its stock price in due course.

Choosing Stocks Wisely

Stocks are a great investment vehicle, but that doesn't mean they're great for everyone. And just because they're good for you now doesn't mean they'll be good for you at another time in your life.

Fortunately, stocks are a varied bunch. There are stocks for investors seeking growth, and there are different stocks for those seeking income. In this book, I help you see the difference so you can choose wisely (Chapter 3 is a great place to start looking at diversification, allocation, and fitting in your personal factors). Here are some general recommendations:

- For investors in their 20s, 30s, or 40s, growth stocks (like biotech or high-tech) are a good choice. Even some speculative choices are okay to consider.
- Investors in their 50s and 60s should consider dividend-paying, conservative stocks (like utilities or food stocks).
- More senior investors should check with their financial advisors about the suitability of stocks and to what extent they can be in their portfolios. Generally, seniors should consider large-cap stocks in stable industries that are known as stable dividend payers (such as utilities).

Regardless of the type of stock you're considering, understand that stocks serve a long-term purpose in your overall wealth-building strategy, which means that you can't ignore the factors in your situation before you buy your first share.

Measuring Stock Performance with Indexes

Market indexes help you judge how the market is doing so you can compare it to the performance of your portfolio or an individual stock. With this information, you can then judge the overall growth of your stock choices (or lack thereof). In addition, everyone wants to know whether the market is doing well during difficult times, in geopolitical conflict, and sometimes just following day-to-day events so they can gauge how well the economy is performing.

These indexes are the most widely followed and reported:

- **The Dow Jones Industrial Average (DJIA):** Nicknamed the Dow, this is a price-weighted average of 30 major mega-cap stocks traded on the New York Stock Exchange and the Nasdaq. It was invented by Charles Dow in 1896.

  Today, the Dow is the most-watched single measure of general stock market performance. Money managers often use it to gauge how well their portfolios are doing by comparison. However, many criticize the Dow for not being representative enough of the market, because it tracks only 30 large stocks.

For more information on the Dow, go to the S&P Dow Jones Indices website at www.djaverages.com.

- **The Standard & Poor's 500 (S&P 500):** The S&P 500, which is a much broader index than the Dow, contains 500 large-cap stocks chosen for their market size, their company leadership in their respective industries, and similar factors.

  Because of its popularity and the wide distribution of the 500 stocks it tracks, the S&P 500 spawned a number of financial products that investors can utilize. Many mutual funds and exchange-traded funds (ETFs) are based on the S&P 500.

  For details on the S&P 500 and related indexes, go to www.us.spindices.com/indices/equity/sp-500/.

- **The Nasdaq Composite Index:** This is a market-value weighted index of the top stocks listed on the Nasdaq. This index is primarily used to track high-tech stocks and related stocks, so it tends to be associated with aggressive growth.

  As with the S&P 500, many mutual funds and ETFs are based on this index, making it easy for investors and speculators to participate in this general area without needing to find a specific growth stock.

  For more on this index, head over to www.nasdaq.com.

Going beyond Stocks: Exchange-Traded Funds and Options

Exchange-traded funds (ETFs) and options (calls and puts) can greatly enhance and enrich the stock investor's (and speculator's) wealth-building strategies.

ETFs give the stock investor a very convenient way to play an entire industry or sector; this is great when you can't identify a single stock that you want to invest in to take advantage of bullish developments in a particular sector. With a few clicks, you can invest in a representative bundle of stocks in a given sector. For more on bullish ETF strategies, head over to Chapter 9.

Another great aspect of ETFs is that they give the stock speculator a way to make money from an industry or sector that is doing poorly or has a bleak near-term future. These bearish opportunities can become profitable plays if you use *inverse ETFs* (ETFs that move opposite to the underlying group of stocks or sector). You can find out more in Chapter 10.

If you want to add creative new ways to generate gains or income from the stock market (without necessarily buying or selling stocks), then consider call and put options and the myriad creative strategies that could put some *ka-ching, ka-ching* profits in your portfolio. I dedicate Part III to all things options (start with Chapter 11 to get the basics of options nailed down first).

Taking Tips and Techniques from Great

Investors

If you want to achieve a higher level of investing or speculating success, it pays to study the greats. You’ve heard the advice “buy low, sell high,” but you can see how the greats take that point up a notch.

The great investors (see Chapter 17) buy low when they see profitable companies and/or industries whose stock prices are down sharply and offer a great buying opportunity. Great speculators (see Chapter 18), on the other hand, are happy looking at extreme bullish or bearish opportunities. When they see that everyone is ebullient about a stock, a sector, or the market in general, they look to make bets that it will fall after flying too high.

Don’t forget that profitable opportunities can show up when you see how different markets affect each other (either good or bad); find out about intermarket analysis in Chapter 6.

Choosing a good stock is great, but choosing a good stock that is ready to ride a megatrend is even better; find out more about megatrends and “the big picture” in Chapter 19. Chapter 20 gives you some insights about insiders (corporate and political) and their stock-picking moves. And although I am into fundamentals like most value investors, technical analysis will give you an added edge so you can better time your buy and sell transactions (see Chapter 21 for this).

Now go forth and prosper! (Or at least go to the next chapter.)

Chapter 2

Assessing Risk and Volatility

In This Chapter

- Looking at types of risk
- Lessening your risk
- Getting the scoop on volatility

It is said that if you want a greater return on your investment (from an activity such as stock investing), you'll have to tolerate a greater level of risk; if you don't want to tolerate more risk, you'll need to accept a lower level of return. Risk, one can safely say, is the flipside of successful investing. It is definitely a major part of speculating. Therefore, the more familiar you are with risk, the better your investing and speculating decisions. Given that, I consider this to be one of the most important chapters in this book.

Risk is simply the potential for loss of a part (or all) of your original investment. Volatility is merely the magnitude and speed of up or down moves of a stock (or other security or asset); it's typically considered to be a negative, although it's technically a neutral condition.

Delving into Different Kinds of Risk

Successful investors don't just understand risk as a negative force or condition; they actually embrace it from a positive perspective. Remember the phrase "no pain, no gain"? A market or investment that is devoid of risk is frequently devoid of the potential for gain. In other words, risk is also opportunity! To start your understanding of all this opportunity, I introduce a number of types of risk in the following sections.

Risks to the value of your holdings

Your stock picks will have a batch of things swirling around them that will affect them (good or bad). You won't worry about the good that may impact your stocks, but you should be aware of the bad.

Financial risk

Financial risk is the one investment risk everyone thinks of: "I put my money into that company, and it went out of business and I lost all my money!" Financial risk is tied to the individual success and financial viability of the entity itself (stock, mutual fund, and so on). How many investors lost money because they owned stock in companies that notoriously collapsed into bankruptcy, such as Enron or Bear Stearns?

You can avoid or minimize this type of risk if you just spend more time looking at the company itself and what it does (products, services, and so forth) and how it does it (are sales and profits good or rising?), among other considerations.

Your stock investment is safer if the fundamentals of the underlying company are strong. You can find out more about these fundamentals in Chapter 4.

Market risk

Sometimes nothing is wrong with your investment, but the market itself is having a rough time. Having the best cabin on the cruise doesn't matter if you're on the *Titanic.*

Perhaps the best and most infamous example is the 2008 financial crisis. Yes, there were plenty of bad investments that crashed and burned, but some darn good stocks went down along with the plunge. There was wholesale selling at the time on Wall Street — quality and other factors didn't matter, and the pressure to sell was intense.

Diversification isn't just being in different stocks; it's also being in different markets. Sure, if the stock market is soaring and you're 100 percent in stocks, you look like the genius at the cocktail party. However, if the stock market is tanking, you end up as the furtive, secretive one at the thrift shop. (See the later section "Minimizing Your Risk" for details on diversification.)

No matter how tempting it is to invest in one place, you should have money in different markets so you are never blindsided by that sudden bear market. In other words, consider putting your eggs in many baskets (or get an omelet grill).

Interest rate risk

Interest is essentially the price you pay for the use of money (going into debt). For most investors, *interest rate risk* occurs when a fixed-debt instrument such as a bond (corporate, municipal, U.S. government, and so on); bank certificate of deposit (CD); or other fixed-interest, long-term debt security is acquired for the investor's portfolio and the market interest rates rise after the transaction.

For example, suppose you just bought a corporate bond that promises to pay you 3 percent interest for the next 20 years, when it will mature, and subsequently interest rates in the market rise to 4 percent, 5 percent, and beyond. Your bond — no matter the quality of the issue or the strength of the issuer (in this case, the company) — would fall in value, which could lead to a large loss. Interest rate risk is a real danger when you're investing in a world of low interest rates (as it is in 2015) and the possibility looms that interest rates could rise.

As I write this, interest rate risk has a new wrinkle: the possibility of negative interest rates. Negative interest rates became a reality in Europe in early 2015. Not only are investors getting abysmally low rates, but they actually have to pay interest to hold debt! The bank actually charges you to hold money in the bank! It means that you have an account that pays no interest and regular bank fees for the simple act of having a bank account.

In the United States, consider having money in more than one financial institution as a practical matter. I keep money in a credit union, which keeps fees to a minimum, and the checking and savings accounts usually have no fees. Having both a bank account and a credit union account means that you're diversified among financial institutions and have greater access to cash in the event of an emergency.

One of the reasons interest rates have become negative in a handful of countries is that investors want a safe haven for their money; the European Central Bank has flooded the economies of the continent with so much money that buyers of debt now have to pay to own government debt.

Keep an eye out for interest rates. If they do start to rise, then either put your money in investments that are variable and go up when interest rates rise (such as money market funds or variable rate bond funds) or keep a sharp eye out for bearish opportunities, as countries, industries, or companies may see their markets or stock prices plummet. The same general investing sites that track the financial markets (such as www.marketwatch.com and www.bloomberg.com) can help you watch interest rates.

Counterparty risk

Look, you got this book because you wanted access to next-level, ultra-hot information that even many financial pros don't know, right? Well, the concept of counterparty risk is one that remarkably few financial advisors and other people with financial acumen know.

What is *counterparty risk?* It's the risk that the value of your paper asset (stock, bond, currency, and so on) may lose its value due to the failed performance or promise of the company or governmental agency involved. Counterparty risk is associated with virtually every paper investment asset on the planet (yes, all stocks, bonds, exchange-traded funds, and regular mutual funds have this!). Believe it or not, even bank accounts and currencies (that's right — the cash in your pocket, too) have counterparty risk. Check out these examples:

- **Stock:** If you own stock, the value of your stock is only as good as the performance of the underlying company. If it performs well (makes a profit), your stock will be valuable. But if the company performs badly (it loses money or defaults on its liabilities), then the stock will suffer. In the worst-case scenario, the company goes bankrupt and your stock becomes worthless.
- **Debt instruments:** How about debt instruments such as bonds and mortgages? Same here: The value of the debt is directly tied to the promise and performance of the issuing entity (corporation, government agency, and so on). The risk is that the issuing entity will default on the payment.
- **Bank accounts:** The money you hold in the bank has counterparty risk. What if that bank fails?

In the event of a bank failure, government authorities (such as the Federal Deposit Insurance Corporation, or FDIC) take over the operation of the bank and determine what needs to be done to protect the interests of depositors and other customers. Sometimes the banking authorities will engineer a purchase of the bank to another bank that is solvent, which would help the customers of the failing bank regain banking services.

- **Currencies:** Even currencies (cash) have counterparty risk. If you hold that currency, what happens to the value of that currency if the issuing authority (the central bank) decides to excessively produce the currency? Then your cash holding would lose money. In the extreme case of hyperinflation, your cash would become worthless.

Because all paper assets carry counterparty risk (and you live in the age of excessive debt, financial bubbles, and expanding worldwide currencies), it makes sense to have some assets that are either not subject to counterparty risk or that may benefit from such developments. Given that, consider hard assets such as precious metals (gold, silver, and so on), collectibles, and real estate as a diversification away from paper assets. For more about precious metals, read my book *Precious Metals Investing For Dummies* (published by Wiley).

Keep in mind that because counterparty risk exists in virtually all paper assets, don't fret too much about this particular risk unless there is an extreme condition involved, such as excessive debt. If you hold the currency or debt (such as government bonds) of a strong country (such as the United States circa 2015), then counterparty risk is remote. But if you hold the currency or government bonds of a troubled country (such as Greece or Venezuela in 2015), then counterparty risk is very real.

The bottom line is that counterparty risk won't be an issue if you're properly analyzing the underlying company or government agency of the stock or security in question, you're doing fundamental analysis, and you're aware of the financial strength. Find out more about this process in Chapter 4.

Political risks

As a guy who came to the United States from a faraway land, I discovered the pitfalls and land mines that come from politics and government run amok. In today's interconnected world, the following are risks to be aware of to stay a step ahead in your wealth-building pursuits.

U.S. political and governmental risk

We'd like to think that markets in the United States are generally free of political interference or that companies need to worry only about sales and profits. However, companies can (and will) be affected by whatever is going on in the political landscape.

A company may be performing well and making great gains for its stockholders. But what if what the company does becomes politically unpopular? What if new regulations or proposed laws could have an adverse effect on either the stock or the industry?

Be aware of what's going on with the country's political and social moods and trends so you can either avoid potential risks or seize opportunities. In Appendix A, you can find some resources to track politics and other nonfinancial trends that may affect your portfolio. In addition, take a look at Chapter 21, which covers corporate and political skullduggery.

International political risk

The U.S. financial markets are not the only game in town (okay, they are the only game "in town," but there are lots of other towns). Opportunities span the globe, but so do the risks.

Some of the most successful investors and speculators see bearish opportunities in countries that are experiencing some type of market upheavals or financial crises. There are also plenty of great opportunities for bullish investors in countries that are experiencing a turnaround in their economies or other potentially positive events. It's just important to know the difference.

Here's an example: In the 1990s, China made great strides in freeing up its economy and modernizing the financial markets to allow for stock investing. After literally decades of being ravaged by communist policies, China went toward a freer market. Most investors were still in wait-and-see mode, but some brave speculators started to test the waters, and they were richly rewarded with huge gains during 2000 to 2014, when the Chinese economy became a world-class economic juggernaut.

Meanwhile, investors in other countries, such as Venezuela, suffered as established markets became riskier; governments changed, and friendly investor policies became more hostile to wealth and capital formation.

The "smart money" keeps a careful watch on which way the winds blow before deciding to get in — or get out.

One of the best (safest) ways to invest internationally is through exchange-traded funds (ETFs) that focus on country-specific stock markets. Find out more about such ETFs in Chapter 9.

Risks to your earnings

Some risks and costs have a direct bearing on your day-to-day activities, but they can be manageable if you monitor your inflows and outflows, so take some time to review them (hopefully regularly).

Inflation risk

When people see rising prices for products and/or services, they refer to this increase as *inflation*. Actually, rising prices are not a problem; they're a symptom. They're the result of the real problem, which is an increase in the money supply. An expanding money supply means that more dollars (or euros, yen, or other units of currency) are chasing a finite basket of goods and services (or assets such as stocks or other securities). When central banks increase the supply of money and this money starts to circulate in a particular market (such as the consumer markets), prices tend to rise. What does this mean for investors?

Purchasing power risk (also called *inflation risk*) is the condition that the rate of inflation (typically the official rate of inflation, called the Consumer Price Index or CPI) is higher than your return in a traditional venue, such as a bond or savings account. If you're earning 2 percent in a bank account and the inflation rate is greater than 2 percent, such as 3 percent, 4 percent, or more, then you're experiencing purchasing power risk. This means that your investment isn't keeping up with your ability to purchase basic goods and services because the prices of these goods and services are going up at a faster rate than your investment income.

If you have money in a fixed interest rate investment such as a bank certificate of deposit or a bond that is earning, say, 2 percent and the inflation rate is at 3 percent and rising, then you're at risk. What good is a 2 percent rate of return on your investment if the inflation rate is at 3 percent or higher? Inflation can be an insidious force that harms people who are on fixed income or are receiving a fixed rate of return.

For investors in the United States, inflation hasn't been much of an issue in recent years, but it's always a possibility in any country that is printing (producing) its currency to excess. As I write this, countries such as Venezuela and Ukraine are experiencing some mindboggling inflation rates (50 percent and 25 percent, respectively). In 2015, most of the developed countries are expanding their money supplies at alarming rates, which means that inflation (international and domestic) is a real concern; investors need to plan accordingly.

TIP

Because inflation may be a growing concern in the coming years and many investments may be vulnerable to expanding debt (sovereign debt, corporate debt, and so forth), it may be a good idea to add investments that aren't susceptible to inflation risk and risks associated with paper assets. A good consideration is hard assets such as physical gold or silver bullion. To find out how to safely add precious metals such as gold and silver to your portfolio, take a look at *Precious Metals Investing For Dummies,* published by Wiley (I wrote the book, so consider this a shameless plug).

Tax risk

As you probably know, gains are usually taxable, and losses tend to be tax-deductible (or have tax advantages). But taxes can make an activity a little riskier (or more costly), given the type of investor you are.

Think for a minute about the tax consequences of being a long-term investor versus a short-term speculator. Both investors are seeking big gains, but their approaches are very different, both in character and in tax consequences. Think about the tax impact even with the same gain — say, $10,000:

- **Long-term:** The long-term investor is, of course, holding the winning position in the stock in terms of years. Suppose that the period in question is two years. That $10,000 gain would be a long-term gain, and the federal tax is relatively low, say 15 percent. That means the tax would be $1,500 (15% of $10,000).

- **Short-term:** The short-term speculator realized the gain in only six months, so the $10,000 taxable gain is taxed at ordinary rates, which could mean 28 percent or more, depending on the investor's tax bracket. In that case, the tax due would be $2,800 (28% of $10,000). The tax consequence here is that the short-term speculator may be thrilled at his quick gain but dismayed at paying an additional $1,300 in taxes (the tax man is celebrating, too).

Discuss the potential tax impact of your investment buying and selling decisions with your tax person before you actually make the transaction. (You were expecting that piece of advice, right?) Taxes have many issues and consequences beyond the scope of this section (and this book).

Individual risks

Assessing some types of risk means getting to know something quite intimate: your personal picture. No advisor or author can assess it better than you (and your mirror!) can. Here are some risks to review.

Personal risk

Sometimes the risk is not the investment, or the market, or economic conditions … sometimes it's you! This risk is really about you and your personal situation.

How often have I seen people start investing in stocks only to have to discontinue their wealth-building pursuit — or worse, liquidate their portfolio — because they didn't consider (or were not aware of) personal risks in their lives? I recall one investor who had to liquidate his portfolio because he was laid off. He didn't notice the warning signs of difficulty in his companies or industries, and he didn't have an emergency fund or keep adequate funds outside of his portfolios.

Personal risks can encompass many potential issues ranging from health issues (having inadequate insurance, for example) to not having side funds for a rainy day (or for a large, unexpected expense such as a major car repair or a leaky roof). A true wealth-building investment program is a long-term commitment that shouldn't get derailed by those incidents and events that are part of life.

Analyze your life and ask yourself what plausible large expenses may come along. I always encourage everyone in my investing seminars to have an emergency fund. It should be 3 to 6 months' worth of gross living expenses set aside in a bank account or money market fund. If your gross monthly expenses are, say, $3,000, then you should have $9,000 to $18,000 safely set aside in an emergency fund. Additionally, think how much more confident and calm you'll be in making investment decisions when you know you have $10,000 in the bank. Having this cushion is more than a good thing for your finances; it's good for you mentally! (If you need help with this analysis, check out the latest edition of *Personal*

Finance For Dummies, written by Eric Tyson and published by Wiley.)

Emotional risk

Investing — especially high-stakes aggressive or speculative pursuits — can either really fray the nerves or get you excited, even when the market is on your side. You hear about dangerous emotions such as fear and greed, and those are certainly the twin evils that remind you that emotions can overcome your discipline and intellect.

Sometimes you hear about investors who are so emotionally attached to a losing stock that they lose the ability to make a logical or dispassionate decision. Stock investing and speculating need to be devoid of emotion (or as close as you can get) so that you can act rationally for your own economic well-being. Sometimes, a psychologist is a better advisor than a financial planner is.

TIP If investing is too challenging for you on an emotional or personal level, you may be a candidate for some type of managed account (such as with a full-service broker) or stick strictly to mutual funds so that the portfolio management is left to dispassionate, hands-on professionals. Speak to your financial advisor about reviewing managed accounts or mutual funds that are appropriate for your individual goals.

Minimizing Your Risk

Minimizing your risk is not that hard, and you'll pat yourself on the back when the unexpected does happen. The following sections note some things to consider.

Diversifying your portfolio

REMEMBER You've heard it a thousand times, so what's one more? *Be diversified.* Have some money in cash, in bonds, in mutual funds, in real estate, in hard assets, and so forth. A good financial planner can easily help you plan and structure your finances to achieve this diversity (check Appendix A for resources).

Yes, you can diversify your portfolio yourself; just do your research. I cover the basics of diversification in greater detail in *Stock Investing For Dummies,* 4th Edition (written by yours truly and published by Wiley). In addition, check Chapter 3 for info on diversification and allocation strategies.

Allocating your assets

Allocation goes along with diversification (in the preceding section). Whereas diversification is about, say, having ten different investments, allocation is about how much of each investment you should have. Should nine of your investments be safe and stodgy and the tenth holding be the high-octane, "go, go!" stock? Maybe! All things being equal, you shouldn't allocate too much of your portfolio or nest egg to a single stock or fund.

Commonsense diversification and sensible allocation help you significantly reduce your exposure to risk — especially in a world that continues to seem unstable and uncertain. Find more about diversification and allocation strategies in Chapter 3.

Hedging

As counterintuitive as it may sound, you should have positions that essentially run counter to your most profitable scenario. Consider it like insurance. When you buy a house, you also buy insurance that is tantamount to a bet against the house. You don't buy homeowner's insurance because you want your house to get damaged or burned down; you buy it just in case. Hedging works the same way in your portfolio.

Hedging strategies can be something simple, such as putting on stop-loss orders and other trade orders on your portfolio in your account (for info on brokerage orders and tactics, see Chapter 5).

Other strategies for hedging to minimize losses can take the form of securities that offer protection against losses, such as buying put options (see Chapters 13 and 15 for ideas), and other bearish strategies. Yet another way to minimize losses is to utilize exchange-traded funds that profit from down moves in the market or your stock (see Chapter 10).

Doing your homework

Some successful investors do well even when they haven't properly diversified. How? They offset the risk that stems from a lack of diversification by being extremely well-informed about what they're investing or speculating in.

I know one colleague who has inordinately large positions in precious metals mining companies. He isn't well diversified, but he knows the industry inside and out. Even when the industry wasn't doing well, his portfolio continued to do well because he chose quality companies and employed some hedging strategies such as buying and selling options (see the preceding section for more on hedging).

As the adage goes, the more you know, the more you grow. To know more and do your homework, check out the information sources in Appendix A.

Read several major publications that cover any investment or asset class you're interested in. If, for example, you're interested in healthcare stocks, you can find newsletters that track this specialized area by doing a keyword search at sites such as Newsletter Access (`www.newsletteraccess.com`); you can also find ezines (newsletters sent via email) at sites such as Best Ezines (`www.bestezines.com`).

Getting in the Swing of Things: Volatility

Quick test: When you hear "volatility" or "volatile markets," what do you imagine? You probably think of scary, sudden plunges that wipe out unsuspecting investors. I'm sure that visions of tumultuous markets from the past such as 2001 or 2008 (or 1974, if you're my uncle from Bratislava) also come up, especially if you had personal losses. So 99 out of 100 times, people consider volatility to be negative. But is it?

Technically, volatility is a neutral event. It certainly means fast, sharp moves in the general stock market or certain stocks or measures (such as stock indexes). Yes, it does mean that the Dow Jones Industrial Average did have a triple-digit point plunge (or the same going upward). Most investors aren't alarmed when stocks go up sharply; it's those large down moves that are unnerving. Usually, the down moves are a tad faster or sharper because fear can be a greater motivator than greed. People are just quicker about heading for the exits than they are about rushing to the entrance.

In the following sections, I explain why volatility is so much sharper now, note how to use volatility for your own benefit, and describe a couple of measures you can use to check volatility.

Discovering why volatility is greater now

Why do today's markets make such large moves? For starters, more money is moving in and out of the markets than ever before. It's moving faster because of the technology. With a few mouse clicks you can get in, and with a few mouse clicks you can get out, whether you're talking about small investors (like individuals) or large ones (such as financial institutions like banks, mutual funds, and brokerage firms).

Years ago, I remember that you had to call your broker to make those moves — and only during hours when the market was open. Plus, even small orders had commissions of $25 or more. Today, commissions can be under $9, and because websites are 24/7, anyone can put an order in at any time without needing to call a broker. With cheaper and faster trading, investors can rush in or out at virtually any time of the day or night (your trades in off hours are officially transacted the following morning when the market opens).

Additionally, there are more big players that put in large orders. When I first starting teaching about investing in the mid-1980s, there were fewer than 800 mutual funds. Today, there are more than 10,000. And don't forget that hedge funds are a big part of the market as well. The member banks of the Federal Reserve (such as JP Morgan Chase) routinely move billions in and out of the market every week … or day.

Also, many institutions use lightning fast trading programs called *high-frequency trading* and other approaches. High-frequency trading (HFT) is a sophisticated trading platform that transacts a large number of orders at very fast speeds. It has been estimated that more than half of all stock exchange volume is due to HFT. When you add all that up, it means more volatility.

Using volatility to your advantage

Given that volatility is much more common nowadays, you may not be able to affect it, but you can use it for your own efforts. Whether you're buying or selling, embrace the volatility to maximize a trading opportunity to your advantage. Use large moves in the market to help you choose an entry or an exit point for trades you were planning to do anyway. If the market is down sharply, it's a good entry point for either buying a stock or other asset for investment purposes or (for speculators) making a bullish option trade (see more about options in Chapter 11).

Conversely, if the market has a volatile up day, consider it an opportunity to exit a particular investment (one you've been meaning to exit anyway). If you're bearish and speculating, consider it a good entry point for a bearish option trade (Chapters 13 and 15 provide details on bearish option strategies).

If you've been looking at a particular stock to acquire for your portfolio and the market is getting hammered, why not consider using the moment as a buying opportunity? Or if you're speculating with options, then understanding volatility will be critical for when you enter or exit your option trades. For more on speculating with options, check out Part III (especially Chapter 16).

Tracking volatility

Don't let volatility panic you. Keep in mind that given today's realities, volatility is a normal part of market activity. Watch the stock market moves and the news, and use the big swings in the market as opportunities to get in or out of your positions. A couple of indicators can help you get a handle on the volatility of a given stock or the market in general.

Beta

A stock's *beta* is the key indicator tracking how volatile a particular stock is. This is a measure of how the security responds to the ups and downs in the general market:

- **A beta of 1:** The stock (or other security) tends to move in step with the general stock market.
- **A beta greater than 1:** The stock is more volatile than the general stock market. A beta of 1.2, for example, means that the stock is 20 percent more volatile than the general stock market (both the upswings and the downswings tend to be larger).
- **A beta less than 1:** The stock is less volatile than the general stock market. A beta of 0.9, for example, means that the stock is 10 percent less volatile than the general stock market.

Utilities, for example, tend to be less volatile than the general stock market, so their betas are usually under 1. Technology stocks listed on the Nasdaq are typically more volatile than the general stock market, so their betas are usually higher than 1. I've seen some stocks that have a beta of 5, indicating that the stocks are 5 times as volatile. (Whew! Get me some Dramamine!)

Many financial sites post the beta for a particular stock with the detailed quote found when you do a search using the stock's symbol. Yahoo! Finance (`finance.yahoo.com`), for example, lists the beta under the stock's "key statistics."

The VIX Index

The Chicago Board Options Exchange has an indicator called the VIX Index that measures total volatility of the market. Although it tracks a theoretical basket of options, many people see it as an indicator of the stock market as well. Market observers have nicknamed it "The Fear Index" because the VIX number soars as volatility (typically sharp downside moves) increases. To find out more about the VIX and how it works, head to the CBOE's site regarding the VIX and volatility at www.cboe.com/micro/vix-and-volatility.aspx.

Chapter 3

Surveying Diversification and Allocation Strategies

In This Chapter

- Telling the difference between diversification and allocation
- Checking out stock sectors
- Thinking about personal factors

You just saw one of your stocks jump 200 percent! You're thrilled, but you had only a piddly 50 shares … man, oh man! If only you had allocated more to that stock!

A great stock in your portfolio may mean little if the allocation and diversification are off. Obviously, you want a higher portion of your money in the super-successful category, but the precise amount depends on several factors, some of which may not be directly tied to stock investing.

How much of your money should you have in a particular stock or sector? How much should you allocate to aggressive versus conservative stocks or exchange-traded funds (ETFs)? There's no hard-and-fast rule here. This chapter is about guidelines, because diversification and allocation have many factors tied to them and investors are a varied bunch. ***Note:*** Every investor is unique, and there isn't a "one size fits all" model for diversification and allocation. If you have difficulty with this task, seek a financial advisor who specializes in investing and portfolio management.

Understanding Diversification and Allocation

The difference between diversification and allocation tends to blur, so let's square this away immediately: *Diversification* is having different investments — A, B, C, and D. *Allocation* (also called *asset allocation*) is how much of each asset or set of assets you should have. For example, if diversification is having stocks, bonds, cash, real estate, precious metals, and collectibles, then allocation is making the call to put 30 percent in stocks, 20 percent in bonds, and so forth.

Proper diversification takes into account a proper proportion. If your holdings are A, B, C, D, and E, then all things being equal, each should be allocated 20 percent.

Diversification is important because having a different mix of assets reduces too much exposure (and therefore risk) to any particular asset. Because different assets have different risk profiles, the strengths and weaknesses of each asset are offset by another asset's different strengths and weaknesses. For example, stocks may have the strength of being able to grow, but they also have the weakness of going down. Cash (such as in a savings account) may not have the risk of falling in value due to market moves, but it doesn't have the strength of growing as stocks do. Given this, a prudent investor will have a mix of both.

Diversification is meant for safety just as much as it is for growth (maybe more so). You can't see the future, and even if you choose the investment of the century, that investment can (and will) behave in unpredictable ways, and the time frame of success will differ from your expectations. Diversification gives you areas of your portfolio that will do well when your expectations and aspirations are not met.

Keep in mind that the market's time frame is out of your control. It ebbs and flows with the cumulative buy and sell orders that come from a large group of investors, all of whom have different expectations and needs. In other words, you may think that your chosen stock or ETF is ready on the launch pad for soaring success, but the market may ignite and launch another stock, industry, or sector — or a different type of investment altogether.

The following sections give you some points to consider as you choose how to diversify and allocate your investments.

Cyclical or defensive: Preparing for different economies

Stock sectors — and frequently different subsectors in the same sector — behave differently in different economies. A properly diversified portfolio includes investments that perform well in a strong economy and others that hold up when the economy is weak. These sectors can be categorized as cyclical or defensive:

- **Cyclical:** Cyclical means that the company in question has its fortunes rise and fall in tandem with the economic cycle. In other words, if the economy is doing well, this type of stock or industry is doing well. Examples of cyclical stocks are auto, home improvement, and technology stocks.
- **Defensive:** Defensive sectors or industries hold up well in tough economic times but don't tend to perform as well as cyclical stocks in good times. Examples of defensive stocks are food and beverage companies and utilities.

I identify some cyclical and defensive sectors later in "Digging into Stock Sectors."

The mix-up: Avoiding perfect correlation

In the financial markets, correlation is a statistical measure of how two or more stocks (or other securities) move in relation to each other in the same market conditions. As a practical matter, the investor (or speculator) uses correlation to help construct a portfolio to maximize gains or minimize losses in the portfolio. You look at Security A and ask yourself, "Is it negatively or positively correlated to Security B?" In other words, will Security A move in tandem with

Security B, or will it go the opposite way?

Preparing for different outcomes

In proper diversification, you make sure that you don't have 100 percent of your securities perfectly correlated. For example, suppose you have securities all connected to a bullish scenario for energy. Your portfolio seems to be diversified because besides oil stocks, you also have fracking stocks, solar stocks, uranium stocks, and so on, but these groups of stocks tend to be correlated; in other words, if one is down, the rest tend to be down, too. You'd do extremely well when a bullish scenario indeed unfolds, but when the market moves against you, the entire portfolio gets hammered. Sometimes, "correlation" equals "devastation"!

REMEMBER When you have the bulk (all?) of your portfolio correlated for one outcome, you're too weighted for a particular scenario; if the scenario doesn't occur, that will mean either stagnation or decimation of your portfolio. Diversification without considering correlation can do harm, so take correlation seriously. Have proper diversification through the bulk of your portfolio or, if you're willing to go all-in for a particular scenario, have a hedging strategy in case you're wrong or the market gives you a temporary setback.

Also, keep in mind that correlation isn't just an issue that individual stocks have with other stocks (or that one stock sector or industry has with another). It's also an issue with different classes of investments. If you check your favorite site and see that corn and soybean prices are sharply down, you may not want to look at your agricultural stocks without taking an antacid.

Quantifying and charting correlation

Correlation is a computed value. In technical lingo, that value is referred to as the *correlation coefficient,* and it moves in a range between –1 and +1:

- **Positive correlation:** A perfect positive correlation (a correlation coefficient of +1) implies that as Stock A moves up, down, or sideways, then Security B will move exactly 0.9 (pretty darn close). Two large-cap oil stocks, for example, tend to have a very positive correlation, so their correlation coefficient will be at or about +1.
- **Negative correlation:** A perfect negative correlation (–1) means that if Security A is moving in one direction, Security B will move in the opposite direction. A good example of negative correlation is gold and a currency such as the U.S. dollar. Usually when you see a strong up move in one security, you tend to see a down move in the other. Are there days when both will be up or down simultaneously? Yes, but those moments are few and far between. Correlation will never be truly perfect, but 9 times out of 10, it will be a reliable indicator.
- **No correlation:** If the correlation for Securities A and B is 0, then the movements of the securities are said not to be correlated; the movement is random.

TIP Correlation tracks movement, so you can use a chart to see the movements of both securities over an extended period of time and have a reliable gauge of correlation. Most financial sites let you create a chart for a particular stock or ETF and then place a second security on the same chart so you can see how similarly or dissimilarly they move. Try sites such as MarketWatch (`www.marketwatch.com`), Bloomberg (`www.bloomberg.com`), and Yahoo! Finance (`finance.yahoo.com`). Just enter the stock symbol(s) and decide which chart to view; choose 5 years or longer so you have a clear, long-term pattern of the movement of both securities given the same market conditions and time frame.

Allocating according to your personal situation and goals

Stocks are meant to be a great performer in your total portfolio, but you should review other factors that could radically change your goals. Regularly review your total financial situation as it relates to your personal, job, and business concerns. In other words, consider reviewing your personal situation and your future goals with a financial planner to make sure that stocks are playing an appropriate role in your overall financial plan.

Your personal situation and goals have the lion's share of consideration for which securities you should have and how much to allocate to each category of securities. For example, allocation strategies for Bob, a 30-year-old heading into his peak earning years, are quite different from allocation strategies for Jane, a 65-year-old on the cusp of retirement. Bob would allocate more money to growth-oriented stocks, ETFs, and other assets, and Jane would most likely allocate more money to income-oriented securities such as high-dividend stocks and investment-grade bonds (rated AAA). Therefore, knowing *yourself* is more important than understanding securities. After all, you can always get a financial professional to help you with securities selection if needed. I discuss personal factors later in the section "Fitting In Your Personal Factors."

When gauging your risk tolerance and the timeline for your goals, pay attention to market conditions, as dictated by the general economic and geopolitical situation (also known as the "big picture"; find out more in Chapter 19). Typically, both bull and bear stock markets tend to last for years, so it pays to understand and respond to the major factors that affect them:

- If the economy is in generally good shape and you feel that your personal situation is favorable (you have a good, secure job and such), you can be more aggressive if you so choose.
- If the economy is experiencing a recession, the times seem uncertain, and your personal situation seems tentative ("My company will be cutting back …"), make more conservative allocation choices.

Digging into Stock Sectors

Where will your money go? There are nine stock sectors composed of 32 subsectors (give or take), and within those subsectors are numerous industries. When you're ready to diversify your stock investments, here are your choices in terms of sectors.

Note that stocks, whether they're the stars of your total portfolio or not, shouldn't be the be-all and end-all of your total wealth-building program. Different types of investments bring different strengths that augment and complement your stocks. Speak to your financial advisor about diversifying with bonds, real estate, bank investments, and other alternatives to stocks.

Basic materials

The *basic materials sector* includes base metals (such as copper, zinc, iron, and nickel), precious metals (such as gold and silver), and chemicals and synthetic materials. Some of these subsectors perform differently in the same economic conditions. When the economy is doing well, base metals and related stocks do well, while precious metals and related stocks tend to do poorly. In other words, base metals and related stocks generally have a negative correlation to precious metals and related stocks. I cover correlation (negative and positive) in the earlier section "The mix-up: Avoiding perfect correlation."

Basic materials include the general world of commodities and hard assets, which means opportunities for stock investors to diversify away from the general stock market. There are even ETFs that allow investors to invest in the actual materials (such as gold, silver, oil, and grains). Find out more about ETFs that can be bullish or bearish in these specific commodities in Chapters 9 and 10.

Communications

The *communications sector* encompasses the world of television and radio broadcasting, movies, and related industries. Consumers need their news and entertainment, which fill up their flat screens, tablets, and smartphones. This industry tends to be steady and is more likely to be considered defensive rather than cyclical. Even though some subsectors (such as movies and plays) can be considered wants (not needs), they hold up well even during bad or recessionary times because consumers need diversions (perhaps especially during bad times).

Conglomerates

Far from the Hollywood movie that depicts a conglomerate as an evil enterprise where the CEO is having his "Mwahahaha!" moment, *conglomerates* are just large, diversified companies involved in a variety of unrelated products and services. General Electric (symbol GE), Honeywell (HON), and Berkshire Hathaway (BRK-A and BRK-B) are good examples of conglomerates.

Divisions of these companies may operate in different industries. Conglomerates also tend to have operations in different countries or regions of the world. Because conglomerates are diversified within their operations, they aren't as susceptible to slowdowns or other negative conditions in the domestic or world economy, giving conglomerates some safety.

Consumer goods (discretionary and staples)

Consumer goods encompass a wide variety of products and services usually associated with consumer wants and needs, such as food, beverages, auto parts, electronics, furniture, and kitchen appliances. This sector is large, so it's useful to drill this one down to two large subsectors: consumer discretionary and consumer staples.

For the sake of brevity, consider *consumer discretionary* as "wants" and *consumer staples* as "needs." Here's how the subsectors can help you diversify:

- When the economy is doing well, consumer discretionary tends to do well, while consumer staples lag.
- When the economy is struggling, consumer staples tend to do well, while consumer discretionary tends to lag.

This stock market category is so broad that it's impossible to say whether it's safer or riskier for investors than other sectors. Ultimately, the decision comes down to an investor's individual choices regarding certain types of products or particular companies within the sector.

For example, whereas food and dairy products (as well as their manufacturers) may thrive even during recession, vehicles and electronics may bring losses to investors. Investors who consider operating within the consumer goods sector should be aware that companies that sell consumer goods generally trade in the services sector, which I describe later in this chapter.

Energy

Energy is frequently referred to as the operational "lifeblood of the economy" because it's necessary for many of the physical functions of a modern economy (driving a car, turning on the lights, operating technology, and so on), so this sector doesn't neatly fall into either cyclical or defensive. It's similar to healthcare in that some energy industries are cyclical and some are not.

Financial

The *financial sector* is a large sector that includes banks (both money center and regional), stock and futures brokerage firms, insurance companies, mortgage companies, and other financial institutions. This sector can be vulnerable to debt-related turmoil during times of economic uncertainty. The financial sector is fine when the economy is growing and stable, but it can be dangerous when borrowers are having difficulty maintaining their debt obligations.

As I write this in 2015, massive debt is being serviced in this sector, and interest rates are at historically low levels. (To *service debt* means to meet the terms of carrying it — paying monthly payments, for example.) What happens if and when interest rates start to rise and borrowers have difficulty paying back what they owe?

WARNING!

In times of economic weakness, the financial industry is vulnerable, so consider this sector to be negatively correlated with economic strength. The financial sector is vulnerable during regular economic weakness, and it may become even more vulnerable during 2015 through 2017 as trillions of dollars of debt are subjected to rising interest rates or falling creditworthiness among borrowers.

Healthcare

The *healthcare sector* is a large sector that has a mix of subsectors and industries, including hospitals, pharmaceuticals, medical technology and equipment, drug retail stores, health insurers, and laboratories.

These subsectors behave differently in the same economic conditions. Some subsectors, such as medical technology and equipment, are cyclical; others, such as drug retail stores and hospitals, are defensive.

Because of the aging of the U.S. population (with 78 million baby boomers born between 1946 and 1964!), investors can expect a megatrend in this sector.

Industrial goods

The *industrial goods sector* includes heavy manufactured goods, defense and aerospace companies, construction, textile industrial management, and waste management.

This sector is cyclical, and its fortunes are tied to two basic factors: the business/economic cycle and government spending. Government spending plays a role here mainly because of spending on defense and infrastructure such as roads and bridges.

Services

The *services sector* is diverse, and it includes many industries such as accounting, advertising, web design, hairdressing, employment services, plumbing, and carpentry. However, the sector isn't very large in terms of stock investing.

There are few major services subsectors, so scrutinize any firm that you choose to invest in regarding how well it may perform in good and bad times. This sector contains a mix of both cyclical and defensive offerings. A good example of a defensive service is tax planning and preparation because people have tax service needs regardless of economic conditions. A good example of a cyclical service is home improvement because it's typically expensive and tends to be done during good times.

Technology

The *technology sector* is popular among growth investors, and it includes companies that manufacture, market, and/or service technology. This sector also includes software and all things tied to the Internet. Examples of successful tech companies include old-technology firms, such as IBM (symbol IBM) and Hewlett-Packard (HP), and new-technology firms, such as Google (GOOG) and Apple (AAPL). In recent years, this sector has been a strong performer, and it will continue to be so.

Transportation

Transportation takes into account various industries such as trucking, railroad, and other delivery services. It's actually a key industry to watch because many analysts see it as a harbinger for the rest of the economy. "Transports" doing well indicates increased economic activity (such as more goods being shipped). If transportation doesn't do well, then that doesn't bode well for the economy at large. Given that, the transportation sector is essentially cyclical.

Utilities

The *utilities sector* has four domestic subsectors: electric, gas, water, and diversified; it also includes foreign utilities. A relatively new entrant in this sector is alternative energy, such as solar and wind energy technology.

Utilities aren't easy investments, so they require thorough research. The utilities sector heavily relies on the government because energy prices are often government-regulated and renewable-energy producers use government grants. To do research on utilities (and other sectors), here are some great resources:

- Morningstar (www.morningstar.com)
- Value Line (www.valueline.com)
- Zacks Investment Research (www.zacks.com)

Fitting In Your Personal Factors

It's time for personalization!

In other words, how about you? What personal factors will affect how you construct your portfolio? Don't fret over perfection — the pros certainly don't. Some of your diversification and allocation choices are based on personal factors that aren't easily quantifiable, such as your risk tolerance and comfort level.

No matter how aggressive you are or how well you think a particular stock or ETF is going to perform, keep in mind that at least 80 percent of your portfolio should take into account your optimal profile as an investor.

Time frame issues

Investing is a long-term activity. This means that wealth-building with this type of investment is best done over years (preferably 5 years or longer). Anything shorter than, say a few years, and you no longer call it *investing;* call it *trading* or *speculating.* In the following sections, you see what's appropriate for diversification and allocation, given your time horizons.

Because you may have different or multiple goals, consider allocating money for each goal (in other words, dividing money into separate "buckets" so that each bucket is devoted to a specific goal).

Short-term considerations

If you're accumulating assets or money for a short-term goal, such as financing your kid's college education next year or a down payment on a new home or investment property, then you should have little or no money in stocks or stock-related ETFs — they aren't appropriate for short-term considerations. For short time frames, allocate your money in savings accounts, bank investments (such as a certificate of deposit with a maturity commensurate with your chosen deadline), or short-term venues such as a money market fund.

There have been times that the stock market did very well in a relatively short time frame such as a year or 18 months; however, too many people have been hammered mercilessly when the market reversed in a similar time frame. You can't bank on a short-term rally, because that's out of your control.

Intermediate-term considerations

The intermediate term is 2 to 5 years (although some consider the intermediate term to be 1 to 4 or 5 years). Here you can start to move (allocate) some funds to stock investing.

All things being equal, the stocks or ETFs should be in sectors considered to be conservative, such as consumer staples or utilities, if you're seeking some wealth preservation aspects in your portfolio.

Too often, investors think of the intermediate time frame as the chance (or the necessity) to be aggressive because they want their money to grow quickly. However, fast growth potential also means volatility and risk potential. There's nothing wrong with trying to make fast money with some aggressive "go, go!" stocks; however, in that case, you aren't investing — you're speculating.

Long-term considerations

Stocks are best suited for 5 years and longer (the long term, such as for retirement). Any portfolio seeking gains and growth for this time frame should have a large percentage in stocks. If you're conservative in your approach, then stocks with an established growth record (see Chapter 4) and a long-term record of regularly raising dividends should be a big part of this strategy.

Personal goals

What are your goals? What are you trying to do? Sometimes it pays to figure out your goals — how much you need and when you'll need it — and back up from there. Say you need an additional $1 million in 15 years so that you have a comfortable retirement. Given your current assets, you need to grow your assets by only 5 percent per year to hit that level. Growing assets by 5 percent (or even 10 percent) in that time frame means that you don't have to be aggressive or take inordinate risks. A basket of quality, consistent dividend-paying stocks would get you there without undue risk or using fancy, complicated strategies.

When you get a chance, head over to Bankrate (www.bankrate.com). The site has some excellent investment projection calculators that can help you figure out how much capital you'll need to grow at a chosen rate so that you can achieve a certain value. Part of your success with stock investing — and how aggressive or conservative your mix of investments should be — depends on your measurable target.

Your goals have a definite connection to your diversification and allocation. If you're an income investor, either for retirement or another income purpose, then it makes sense to largely fill your portfolio with stocks and bonds that generate income. Someone who's currently retired, for example, would have 80 percent or more of her portfolio allocated toward AAA quality bonds and stocks that have a high current income, such as utilities.

If you're a few years away from retirement, then you would allocate little to bonds and instead have a high percentage (50 percent or more) in stocks that are called *dividend growers* — stocks that have a track record of raising their dividends year in and year out so that you get high (and growing) income later on, when you're ready to start receiving the income (see Chapter 4 for more info).

If your goal is to build wealth and you have a long-term outlook (say, 10 years or longer until you need the money), then it makes sense to have a greater percentage of your assets in growth investing strategies, such as individual stocks in growing sectors and some ETFs or mutual funds with the same objective.

Your risk tolerance

Even if you have the right profile for stock investing, you may not have the tolerance to do so. If you lose money or see your positions down temporarily, do you lose sleep? Does volatility give you nausea? When you lose $40 at the casino during your vacation, does it ruin your week? I'm not saying that stock investing is like gambling, but it isn't like your certificate of deposit, either. Stocks go up and down — constantly. The stock market is a marketplace of stock buyers and sellers, which means that stocks will fluctuate — so if stocks are in your financial picture, get used to those changes.

The conservative investor, the aggressive investor, and the speculator accept different degrees of risk:

- **The conservative investor:** You're investing in quality, and your stock portfolio will likely have stocks that have (or should have) relatively low volatility. The conservative investor often has a high percentage of his or her portfolio in diversified utilities, food and beverage companies, drug retailers, and other defensive healthcare stocks. Overall, the stocks are generally dividend payers, adding stability to the portfolio. Technology investments may be in firmly established, dividend-paying companies such as Intel and Microsoft. In addition, the conservative investor would have ETFs or mutual funds that are in consumer staples and other necessities.

- **The aggressive investor:** Nothing wrong with being aggressive — just make sure you're aggressive with only a portion of your portfolio and that you're not affected in a financially adverse way. In other words, if you lose money, you shouldn't need to drastically alter your lifestyle or break into your kid's piggy bank to buy food — or to pay for a margin call.

  Keep the distinction between investment capital and risk capital, and you should be okay. Investment capital is for investing, while risk capital is a smaller sum set aside and allocated for speculative trades. The aggressive investor still seeks companies that have some value even if the underlying companies are losing money. An aggressive investment may mean buying 500 shares of a company that has a brand-new technology that will lead to a huge payoff if it works out but will tank big-time if it doesn't. Fortunately, those 500 shares won't have a significant and adverse impact on your life or financial future.

- **The speculator:** Speculating is like financial gambling, and that may sound harsh, but I think it's fair enough. The speculator wants big gains and fast — not in years but in weeks or months. The speculator would have a heavy dose of options (see Part III) and small-cap stocks but hopefully (like the aggressive investor) keeps the bulk of his or her money in conservative investments and limits the speculative trading to *risk capital.*

Starting point: A model portfolio

One of the great investors of the late 20th century was Harry Browne. His strong analytical abilities coupled with his investment experience and expertise easily land him in Chapter 17 (where I discuss legendary investors), but I think he also deserves a spot here.

In his book *Fail-Safe Investing,* he makes the case that long-term investors shouldn't try to outsmart the markets or heed the forecasting clarion call of the investment guru of the day. Instead, Harry argues for a simple portfolio setup and notes how (in most cases) it beat out any market experts or vaunted forecasting system. Harry recommends that the investor allocate 25 percent equally in stocks, bonds, cash, and precious metals. In a given year, one (or more) of these components will do well, and the others will underperform. At the end of each year, the investor reallocates to keep the portfolio at 25 percent for each segment of the portfolio. The value of this strategy is that it takes the guesswork out of allocation, and you can take advantage of how markets ebb and flow.

For example, suppose you take $4,000 and allocate $1,000 in stocks, $1,000 in bonds, $1,000 in cash, and $1,000 in precious metals.

Say that stocks perform very well, so that component of the portfolio at year's end is worth $2,000, whereas the other components are still $1,000 each in value. That means that the portfolio is at a market value of $5,000 with stocks now being 40 percent of the portfolio ($2,000 of the $5,000), while the other three components are each 20 percent of the total.

Given that, you sell a portion of the stocks, take the proceeds, and distribute them across the other three components to rebalance the allocation so that again you have 25 percent in each component. Now each component is $1,250 as you head into a new year.

Use Harry Browne's allocation model as a starting point and then tweak it to meet your particular needs and risk tolerance. Given today's trends and overall market conditions (see Chapter 19), here's a good starting point for readers of this book:

- Put 25 percent in conservative, dividend-paying stocks.

- Put 25 percent in growth stocks.
- Put 25 percent in bonds.
- Split the remaining 25 percent between cash and hard assets (such as gold, silver, and collectibles).

Please keep in mind that this model can be modified as the investor sees fit. Younger investors, for example, should consider a greater allocation to stocks and less toward bonds. Check with your financial advisor to find out what changes or modifications are appropriate for you.

Chapter 4

Finding Value and Income

In This Chapter

- Finding value in the stock market with fundamental analysis
- Understanding important documents, numbers, and ratios
- Seeking undervalued stocks and good dividend stocks

The stock price is what you pay for a company's share, but what are you paying for? Are you paying a fair price, or are you paying too much? Buying value for your money is the critical first step to truly successful long-term stock investing.

In this chapter, I cover how to look at stocks from a value point of view. "Value" is not that difficult to understand or to find. When you choose value, you're a winner going into the trade — in other words, right from the start. As your investment increases in value, you'll turn into a long-term winner.

Stock investing isn't only about seeking gains (capital appreciation); it also can be about income (dividends). I think that dividend-paying stocks can be an excellent part of an income investor's portfolio; I cover this aspect of stock investing in this chapter as well.

Recognizing the Principles of Fundamental Analysis

To me, value investing is finding a "bargain" stock before the investing public finds it. Good value investing is like treasure hunting. You find something that is *undervalued* (the stock price is lower than the real or intrinsic value of the underlying company); you hope to sell it later when it's *overvalued* (the stock price is higher than the real or intrinsic value).

At the heart of value investing is fundamental analysis. You uncover value by looking at the company's fundamentals such as earnings, sales, assets, market penetration, and so on. The following sections discuss some important points and principles to make your value investing successful.

I don't go for a comprehensive treatment of fundamental analysis in this chapter. It could fill an entire book — and it did! *Fundamental Analysis For Dummies,* by Matt Krantz (published by Wiley), is a great book for both novice and intermediate investors. I was the technical reviewer for it, so you know it's good! In the following sections, I cover the most pressing things you should be aware of, but I encourage you to get that book for greater detail.

Comparing fundamental analysis to a household budget

If you're an adult with basic intelligence and knowledge about numbers (in other words, you aren't my uncle from Bratislava), you can do fundamental analysis. The only difference between the finances of a Fortune 500 company and your household budget is just a few zeros. If you run a household budget and you seek to make ends meet, you can understand the basics of fundamental analysis.

For example, you know that when your income exceeds expenses in your budget, you're pleased. That result means you're coming out ahead (in net profit or net earnings) that month, quarter, or year. If you can expand your income and/or shrink your expenses, you'll increase your net earnings and do well. If this year's net earnings exceed last year's net earnings, that's great! The situation is similar for companies and their income statements.

You also know that if what you owe is greater than what you own, that's bad news. Your assets should be growing, and your debt should be shrinking or at least not growing in relation to your assets. The balance sheet expresses this relationship in detail; it tells you that your total assets minus your total liabilities gives you your net worth. For companies, assets minus liabilities is simply called *net equity.* You hope that your net worth is a positive number and that this year's net worth is greater than last year's, and the big companies are no different.

Examining the product and the marketplace

Does the company have a great product or service? Do people want it and/or need it? Does the company have a market for its offering? You don't have to be a Wall Street analyst to examine the product and marketplace, but you should see that the company has a growing market so that it will subsequently have growing sales.

If the company sells consumer products, some investors have gone down to the store and actually spoken to consumers about how happy they were with the product. For a restaurant chain, investors check consumer reviews on social media venues. If it's a manufacturing firm, investors would read the consumer reports reviews and so on. Should you do this too? Maybe not, but it can't hurt, and the more you know, the better.

Make sure you check the company's website, and if the company is consumer-oriented in any way, there are sites that can give you consumer reviews and comparisons. Besides checking with some of the resources in Appendix A, use your favorite search engine for consumer sites that feature the company or its industry. Some initial sites to consider are Consumers Research (`consumersresearch.org`) and Consumers Union (`consumersunion.org`).

Aiming for undervalued stocks

When you're shopping for eggs and you see them at $4.99 a dozen, do you buy them? When you see a dozen eggs at $1.99, do you buy two dozen?

You can make money either way. If you see a stock that is overvalued, then maybe you have a good shorting opportunity (see Chapter 8 on going short with stocks). However, value investors see shorting as speculating, so if they come across an overvalued stock, they'll likely hold off on that company for the time being and seek out stocks that could be undervalued.

Keep in mind the adage of some smart consumers: Never pay full price (always try to get a discount). Undervalued stocks have a greater chance of long-term appreciation. Later, in the section "Understanding Ratios," you see some financial ratios to help you figure out when a company's stock is undervalued or overvalued.

Being a contrarian

A contrarian analyzes a company as deeply as possible, especially when the investing public is more concerned about the stock itself and the headlines attached to it. The contrarian generally ignores public opinion and sees the value "under the hood," knowing that eventually a financially sound company will have its stock become popular again with investors.

When everyone is selling, you should be buying; when everyone is buying, you should be selling. This advice could easily be the most profitable advice on the planet, and it applies in business, on eBay, and for sharp consumers. It can also be a life-changing, wealth-building strategy for any speculator.

Don't misunderstand; you don't buy just because people are selling. Sometimes when everyone is racing out of a burning building, that's not your cue to grab some marshmallows and stroll in. Instead, you assess the situation and, after some research, you find bargains after everyone else has sold mindlessly. In late 2008 and early 2009, many spectacular stocks declined substantially in that great market crash. But the level-headed few knew a fire sale on quality stocks when they saw one and scooped them up at bargain-basement prices.

Being a contrarian is something that most agree with (in theory) but amazingly few do in practice because it means being decisive and gutsy when the crowd is losing their heads. Being a contrarian is also important in ebullient times, too. When everyone is joyfully buying up shares in the latest hot stock, contrarians will hold off because popularity is a tipoff that the stock is overvalued.

As I mention in Chapter 1, stocks have dual personalities. On the one hand, you have the stock, and on the other hand, you have the company. The stock is priced based on the actions of buyers and sellers in the stock market. In judging and finding value, you look at the company (its financial and industry data) and ask yourself whether the stock's price is worth it.

Being patient and diligent

The great investors measure twice, cut once, and wait. Part of the success of value investing lies not within the company or the market but within you. Great investors know that even when you choose well, the stock's price may still need some time for the market to discover it.

Many people think that successful long-term investing has a definable period, like if you just wait ten years, two months, and a day, you'll hit the jackpot.

No. Long-term investing, at its core, requires giving the buyers in the marketplace sufficient time to find the stock you're holding right now. As more and more buyers become attracted to the valuable stock in your portfolio, the stock's price will rise.

Also, the reward isn't just that long-term, patient investors achieve larger gains; it's also that long-term investors give less of their gains back in taxes. Short-term traders and speculators, even when they're successful in generating solid gains, typically do so at a higher tax rate compared to long-term investors. Short-term gains (net gains realized after a holding period of 1 year or less) are taxed as ordinary income at whatever your tax rate is. Any net long-term capital gains (net gains realized after holding an investment for at least a year and a day) are typically taxed at a lower capital gains rate. Your tax advisor should be familiar with this distinction.

TIP Everyone wants the same results as great investors, but they don't want to do what it takes. For more information on the investing strategies of great investors, go to Chapter 17.

Reviewing a Few Important Documents

When you're interested in value investing, the income statement and the balance sheet are the primary documents you look at. Another document that investors look at is the cash flow statement. In the following sections, I explain what these documents can tell you.

The income statement

The income statement gives you the sales, expenses, and net gain or loss for the company in a given year or quarter. You can easily find income statements at the sites provided later in "Researching on major financial websites" and in Appendix A.

You should look at total sales and then at the net earnings. Compare these numbers with prior years to see how consistent the company's profits are. (Get the scoop on using key numbers in ratios later in "Understanding Ratios.")

REMEMBER The main dynamic with the income statement is simple: When you look at the income statement and compare it with the one from the year before, you want to see some combination of rising income and/or shrinking expenses. See both? Great! With both or just one of those, net income will rise. Rising income means that more and more investors will be attracted to the company and ultimately buy the stock.

The balance sheet

The balance sheet shows you the company's total assets, total liabilities, and net equity (also called *net worth* or *shareholders' equity*). As you may recall from your old accounting class, total assets minus total liabilities equals *net equity.*

The net equity is the key number you use to determine the company's *book value,* which you compare to its *market value* (the share price of the stock multiplied by the total number of shares outstanding).

The main dynamic with the balance sheet is also simple: When you look at the balance sheet and compare it to the one from the year before, you want to see rising asset value and/or decreasing debt. See both? Again, great! Whether with both or with just one of those, the company's net equity will rise. Rising net equity means that book value is increasing. In turn, more and more investors will be attracted to the book value of the company and will ultimately buy the stock, which will propel the stock's price higher.

The cash flow statement

The *cash flow statement* records the actual flow of cash and cash equivalents coming in and going out of the company during a given period, such as a year or a quarter. This statement breaks down the cash flow into the following three activities:

- **Core operations:** Core operations include cash coming in from sales and going out to pay for inventory or energy costs.
- **Investing:** Investing activities include money coming in from the sale of equipment or marketable securities and going out for new technology or to buy property for a new factory.
- **Financing:** Financing means money coming in from loans or leaving to pay off debt.

The cash flow statement shows investors how the company uses its cash and finances its activities to make way for future growth.

Checking the Numbers

After you know about a company's main financial documents (see the preceding section), consider the key numbers that value investors look at: net profit, sales, and debt.

- The net profit is the heart and soul of the company; when the company is making a profit, its financial strength grows, and it can do more, such as financing expansion or reducing debt.
- Sales are important because they are the general revenue that pays for overall expenses.
- Debt is an important number because too much debt harms the long-term financial success of the company.

The core of the company: Net profit

Profit — or actually net profit — is what sets everything in motion for a company. More profit means more money for research, for hiring staff to manage and grow the enterprise, for funding development, and so on.

Whether you're on the inside as a key manager or on the outside as a potential investor, net profit (or net earnings) is the most important consideration in terms of success both short-term and long-term. Stated another way, for investors, net profit is the difference between a company that's an investment and one that's a speculation.

When someone brings my attention to a stock and I ask about the appeal of the underlying company, he may say, "It's an amazing company with a fantastic new technology that will make them the next Microsoft or Apple." I ask about the company's net profit, and I hear crickets. He then admits, "Well, it's not making a profit yet, but when their high-tech gizmo is complete and on the market, the stock price will soar like gangbusters!" He may be right, but an actual profit is proof. Without that, buying that stock is speculation.

There's nothing wrong with speculation; it's just not quite an investment. A speculation is financial gambling; that may be harsh to say, but it's technically true. Putting your money in the stock of a company that is losing money is a form of betting.

REMEMBER Sometimes you hear that companies play games with earnings, and that's always a possibility. Earnings can be manipulated for a given year. The value investor doesn't judge a company according to a good quarter or year. Instead, see how well the company is doing with its earnings over three years or longer to get not only an accurate picture of how consistent its earnings are but also to confirm that its earnings are trending in the right direction.

Sales

Earnings may be the single most important item to look at, but it isn't the only number you should look at. Another important value is total sales. Sales can save the company from some of its financial mistakes. The company could make mistakes with expenses or with debt, but with consistent and rising sales, the incoming money can alleviate the difficulty.

Looking at earnings is referred to as *bottom-line analysis* or *analyzing the bottom line.* When you're looking at sales, you're doing *top-line analysis.* Top-line analysis looks at not only total sales in terms of dollars but also at how many units have been sold. Top-line analysis also means understanding the company's top-selling products or how (and where) the company generates sales.

TIP Use sales to help you put the other items (earnings and expenses) in perspective to see how well — or poorly — a company is performing. Sales are a benchmark of 100 percent, and other items are a part of that. If, for example, that company has $1 million in sales and earnings are $150,000, then earnings as a percentage of sales is 15 percent. See whether prior years are better or worse than this percentage.

Here's a real-world example. Many investors are drawn to high-profile companies such as Amazon, but value investors see dangers where others see a popular stock. In 2013, Amazon (AMZN) had sales of $74.45 billion with earnings of $274 million. That may sound impressive, but the earnings as a percentage were only 0.368 percent of total sales — a measly amount less than half of a percent.

In 2014, Amazon's total sales nicely went to $88.99 billion — up a solid 19.5 percent from 2013. Yet their net income from 2013 fell to a net loss of $241 million in 2014! In other words, the total expenses exceeded 100 percent of total sales — not a good sign. I'm sure that Amazon has enough in sales and financial clout to weather a relatively small loss, but the numbers are red flags to value investors. Stay away from Amazon stock (a pricey $430 per share as I write this) until you see improvement.

You should look at how the company is doing with sales over multiple periods, such as three years or longer. Are sales trending up or down?

Debt

Debt can be a valuable tool that helps a company make more money, or it can ruin a company. Regardless of the reason, debt cannot be allowed to grow out of control.

If a company is generating net losses in its income statement, the only way for it to continue operating is to make up the difference with cash from somewhere. Hopefully, the cash comes from an asset such as bank investments or another liquid asset such as accounts receivable or marketable securities. Otherwise, the earnings shortfall would come from borrowed funds — debt!

When a company uses debt for a productive purpose such as expanding operations to generate more sales and profit in the future, the presence of debt is constructive. However, when debt is used for undesirable purposes, such as covering short-term expenses because the company isn't earning a profit, that's a huge red flag for value investors. Investors should look at current liabilities and see that they aren't increasing at a faster pace than current assets. Additionally, when companies announce that they will issue bonds (long-term debt), carefully read about the expected purpose of the proceeds:

- If the bond will be used to finance the purchase of assets that will grow the company (such as acquiring another company or expanding manufacturing facilities), that is a positive use of debt.
- If the proceeds of the bonds will be used for dubious reasons, such as covering daily expenses or paying for labor expenses (mounting pension obligations, for example), that is a potential negative.

To see where debt levels should be, see the debt-to-asset ratio that I discuss later in this chapter.

Understanding Ratios

Ratios help you understand the relationship between numbers to help you make an informed and hopefully successful investment decision. Value investors find certain ratios to be very valuable in their research.

The price-to-earnings (P/E) ratio

The price-to-earnings (P/E) ratio is very important because it's one of the few ratios that connects the two worlds of the stock into a single cause-and-effect number: the price of the stock itself to the "heart and soul" of the company, the net profit (or in this case, the net earnings or simply the earnings). The talking heads on the financial shows may refer to the P/E ratio as the *earnings multiple,* or they may say something like "Stock X is selling at 14 times earnings."

When you're buying a company, you're really buying its ability to earn money (in other words, to generate current and future net profit). And the question that arises is "Are you paying a fair price for that company's ability to profit?" Is it undervalued from an earnings point of view?

The P/E ratio is calculated by dividing the price of the company's stock (the *P*) by the company's earnings (or *E*). If the stock is priced at $40 per share and the earnings per share is $2, then the P/E ratio is 20 ($40 divided by $2). Is that good or bad?

Interpreting the numbers

All things being equal and from a value-investing perspective, the lower the P/E, the better. Generally speaking, a P/E of 15 or less is considered a good value. This ratio would be stated as "The stock is selling at 15 times earnings" or "The stock has a multiple of 15."

Now, does this mean you should avoid any stock with a P/E ratio of 15 like the plague? No, the P/E isn't the be-all and end-all of value investing. Just keep in mind that the higher the P/E ratio, the higher the risk that the stock is overvalued and in danger of going down. Note also that the industry matters. A low P/E for a successful technology company could be considered cheap at 25, while a utility stock could be considered overvalued at 20.

Growth investors don't necessarily object to higher P/E ratios, because they expect that the company is poised for higher earnings due to one or more factors that haven't been realized in greater sales or earnings. Maybe the company is set to open operations in a new market, which will subsequently boost sales, or maybe it will unveil a new technology or innovative product that will catapult the company into financial success.

The P/E ratio should always be viewed in context: When the economy is doing well and the stock market is booming, a low P/E may be in the high teens. If the economy is not doing well and stocks are down, the P/E ratio of an acceptable stock ought to be in single digits.

Watching for warning signs

Sometimes P/E ratios are way off, which should send up red flags for value investors. During 1998 through 2001, investors were eager to buy Internet and tech stocks that sported P/E ratios in triple digits that would have made a value investor faint — justifiably! Those stocks subsequently crashed and burned.

What happens when you see a stock with no P/E ratio? Avoid it. When a company has no earnings (a net loss), the P/E ratio may be exhibited as "N/A" (P/E ratio not available) or as a negative number. Either way, the company is losing money, and therefore a value investor won't consider buying it. People who buy the stock of a company that's losing money aren't investing; they're speculating.

In 2014, stocks such as Amazon (AMZN) and Twitter (TWTR) had sales in the billions, but both had net losses for the year. In other words, they had no P/E ratio (or very negative ones), so there was nothing that value investors could tweet home about.

Checking the P/E ratio is not a one-time event right before you buy the stock. Keep watching it as each quarter passes. You don't want to get complacent if the company's financial numbers deteriorate. If the company had a P/E ratio of 12 that's now at 25 or higher, find out why. If the company starts to rack up losses, then eventually the market sees this and sends the share price lower as investors exit. Should you sell the stock or do something defensive such as a trailing stop (see Chapter 5)? Think about these moves if the company starts to do poorly.

The price-to-book ratio

The price-to-book (P/B) ratio is another major valuation method that value investors look at. Here you compare the market value of the stock to the book value of the underlying company. The *market value* of a company (also called *market capitalization*) is the value you calculate by multiplying the share price of the stock by the total number of shares outstanding. If you have a stock that is $20 per share and 1 million shares are outstanding, then the market value is $20 million (1 million times $20). So now you know the price (the *P*).

The *book value* (or *net worth* or *net equity*) is the tally of the company's assets minus liabilities. Sometimes other factors that may not readily appear on a simple balance sheet are included in the book value. For example, some companies have intellectual property that may have a higher value than what appears as a line item on the balance sheet. Maybe the company has real estate property that has been fully depreciated, so the balance sheet shows little value, but realistically the property is very valuable.

If the company's total book value is greater than its market value, that stock is a bargain from a value investor's perspective.

If the company's market value is up to twice or three times the company's book value, that valuation could be fair. But watch out for market valuations that are much greater than book value. If a company has a market value of 10, 20, or more times greater than book value, consider this a warning that the stock is potentially overvalued.

For the year 2014, the popular social media firm Twitter (TWTR) had total assets of $5.59 billion and total liabilities of $1.96 billion to give it a net equity (net worth) of $3.63 billion. That sounds like a lot until you see Twitter's market value: $23.51 billion. The market value is more than six times greater than the book value of the company. Given that Twitter has run net losses in recent years, stay away!

The debt-to-assets ratio

Another important number that value investors look at is the *debt-to-assets ratio* (DAR), which is calculated with numbers from the balance sheet. To find this number, you divide the total liabilities by the total assets.

Of course, at a bare minimum, the total assets should exceed total liabilities. A healthy company will have total assets exceed total liabilities by a wide margin. The great Benjamin Graham (the father of value investing) avoided companies if their DAR was greater than 50 percent. In other words, if total liabilities were equal to or greater than 50 percent of total assets, he would find it unacceptable. The lower the DAR, the better.

Industry comparison

When you see a company's ratios, ask yourself how these ratios compare to similar companies in the same industry. How does your stock's P/E ratio stack up against those of the top companies in the industry? How about book value and the debt-to-assets ratio? Using some of the resources in Appendix A, you can find out about the top companies in the industry of your choice.

When you find, say, the top five or ten companies in an industry, compare them using value ratios. Use various criteria from the stock screening sites that I describe later in this chapter, and do some simulated trading to see how their stock prices would have moved had you purchased them.

Finding Undervalued Stocks

When you begin your search for value stocks, do your homework. Go past the financial headlines and ignore the stocks that get all the coverage. But where do you start? Following are some places to look for undervalued stocks.

What industry interests you? If possible, choose an industry or sector you have some familiarity with. If you aren't sure where to start, I suggest choosing a dividend-paying company that is a defensive stock in consumer staples or utilities. It's hard to go wrong with profitable companies that sell what the public needs, no matter how good or bad the economy is. (Flip to Chapter 3 for more about defensive stocks and various sectors.)

Researching on major financial websites

TIP When I want to do some quick research on a company or industry or just refresh my memory on an investing principle or financial ratio, these are my go-to sites:

- Investopedia (www.investopedia.com) is an investing encyclopedia that provides definitions, explanations of definitions, and even video tutorials on virtually any financial or investing word or concept.
- Nasdaq (www.nasdaq.com) has a wealth of data and news on stocks, along with financial data on most public companies.
- MarketWatch (www.marketwatch.com) is an extensive financial news and commentary site with searchable company data and news.
- Bloomberg (www.bloomberg.com) features extensive news and company information, along with plenty of guidance for investors.
- Yahoo! Finance (www.finance.yahoo.com) is a site with comprehensive financial data on companies and industries, along with a great stock screening tool.

Trying out stock screening tools

After you develop a list of candidate stocks from your online research, drill down for details. A good tool to use is a stock screening tool. I love stock screening sites (the following are three of my favorites). Putting in your criteria and getting a list of stocks gives you a great starting point for your value-investing pursuits. These sites offer great stock screeners:

- Yahoo! Finance (www.finance.yahoo.com)
- Zacks (www.zacks.com)
- FinViz (www.finviz.com)

TIP For some great tutorials and guidance on using stock screeners, go to sites such as About.com (www.about.com) and Investopedia (www.investopedia.com).

Most of these sites work in very similar ways. You can input your criteria based on a less-than or greater-than dynamic so you can pinpoint what you're looking for. Inputting your criteria is done not only with basic numbers such as sales, net earnings, assets, debts, and so on; it can also be done with ratios and even be based on analyst estimates or on how many analysts like (or hate) the stock.

For example, you could search for companies that have a 5-year earnings growth rate that exceeds 15 percent, have a P/E ratio less than 18, are on the New York Stock Exchange, have a dividend yield greater than 3 percent, and so on. Of course, the more criteria you input, the fewer stocks come up.

Reading the company's annual report

The *annual report* is a publication that public companies provide to their shareholders and interested parties (like investors and regulators); it describes the company's business and financial conditions.

Besides the financials, the annual report also has the chief executive officer's message about the state of the company along with the company's spin on what happened with the year and what plans company leaders have for continued growth.

You can get a copy of a company's annual report from its shareholder service department or download a digital copy from the company website. General sites such as Nasdaq's (www.nasdaq.com) can also provide you a copy. The annual report provides an idea of what management has done with the company in the most recent year and what they expect to do in the near future. The company may be planning expansion of its operations or possibly acquiring other companies or assets to fuel further growth. The annual report also provides key financial statements (the profit and loss statement, the balance sheet, and so on) and management's interpretation of key numbers such as sales and net earnings.

The annual report gives management's spin or interpretation of the company's current and prospective financial condition, so make sure you search for news and views from other sources (such as MarketWatch, Bloomberg, and the like) to get a more balanced view of the company and its prospects.

Digging into the SEC's EDGAR database

Public companies both big and small are required to provide reports on their general finances to the Securities and Exchange Commission (SEC) (see Chapter 20 for details). This data is in turn made publicly available through the searchable and downloaded documents on the EDGAR database at the SEC site (www.sec.gov/edgar.shtml).

The two main documents to view for a given company are the 10K and the 10Q:

- **10K:** The 10K is the annual filing. It includes comprehensive information on the company's financial data (income statement, balance sheet, and so on) for that year.
- **10Q:** The 10Q is the quarterly report that is issued for each of the first three quarters of the year. The 10Q for the fourth quarter is part of the 10Q.

As you dig into the database, note that it's always good when you see insider buying for the stocks you're eyeing. Seeing key investors or members of the company's management team buy your stock helps validate your research. (To find out more about insider trading, head over to Chapter 20.)

Considering Dividend Investing

Dividend investing — or a subset of that, dividend growth investing — is my favorite investing approach in today's marketplace. Investing to generate dividends and to see them grow year after year is a sensational strategy for long-term investors. Investing dividends in some way — no matter how limited — will help you reach your long-term goals, such as retirement. In the following sections, I explain how dividend investing works, describe the dividend payout ratio, and discuss dividend reinvestment.

Figuring out how dividends work

Dividends are among the few things in the investment world that tend to be reliable and predictable and that have the strong tendency to match or exceed the rate of inflation. Consider that as I write this (late 2015), bond income that was formerly a good revenue source for income investors is generating a low rate of return due to historically low interest rates. Dividends, on the other hand, have exceeded bonds in terms of yield.

The *dividend yield* of a stock is a ratio in which you divide the current annual dividend amount by the company's current share price. If the annual dividend is $.50 and the share price is $10, then the dividend yield is 5 percent ($0.50 divided by $10). The dividend yield is a neat way to compare various incomes from different stocks or types of investments.

Any strategy, whether conservative or aggressive, should consider dividends as part of the mix. All things being equal, a dividend-paying stock (especially one with a good dividend at 3 percent or higher) is safer than a stock that doesn't pay any dividends. Why? Because in the event of a correction, as the dividend-paying stock falls, its dividend yield will go up, making it an attractive buy.

Say you have a $50 stock with a $2.50 annual dividend. That's a dividend yield of 5 percent. If that stock goes to $25 and is still paying a $2.50, the dividend yield becomes 10 percent — nice! Provided that there's nothing obviously wrong with the company, then the investors in the marketplace would see this stock is a bargain, new buyers would step in, and the stock price would recover. The dividend helps provide the stock with a "floor" because a good dividend is a strong incentive for stock buyers, especially those seeking a good dividend yield.

Keep in mind that your dividend strategy will depend on your current and future needs. Suppose you want dividends and you're choosing between Zap Gas & Electric (ZGE), which has a dividend yield of 6 percent, and Future Gro Inc. (FGI), which sports only a 3 percent dividend yield. Do you want high dividend income today or in the future?

Seeking high current income

If you're already retired, or maybe if you're still working but would like to supplement your current income, then seeking high current dividend income is a primary goal.

Dividend payouts come from the net earnings of the company. If you want high current dividend income, then typically it comes from companies that have a high current stable net income. Companies that make a large payout today will likely not be strong growers of that dividend in the future.

In this example, ZGE has a relatively high 6 percent yield. The current share price is $40, and the current annual dividend is $2.40 per share, for a yield of 6 percent. Keep in mind that dividends are typically paid quarterly, so that annual dividend of $2.40 means the stock holder would get $0.60 quarterly (4 times $0.60 equals $2.40).

Seeking high future income

A *dividend grower* or *dividend growth stock* is a company that has reliably increased its annual dividend over an extended period of many years. There are even some companies that have been reliably paying and raising their dividends for more than a hundred years! FGI (a dividend grower) is a $30 stock with an annual dividend of $0.90, for a dividend yield of 3 percent ($0.90 divided by $30). It seems almost paltry compared to the 6 percent dividend yield from ZGE, but there is a major difference that's a plus for FGI.

Going the preferred route

For those who want relatively high-dividend income but with more safety than common stock, preferred stock may fill the bill. Preferred stock doesn't have the long-term growth potential of common stock, but it's safer if the company is having difficulty. Preferred stock typically has a fixed dividend, and it tends to be much less volatile than common stock. The downside to preferred stock is that it doesn't come with voting rights. However, if the company does have difficulty in paying dividends, preferred-stock holders will always get paid dividends (and any dividends that are in arrears). In case you can't find or choose a preferred stock, choose a preferred stock ETF. (You can find them in the same sources I mention in the earlier section "Finding Undervalued Stocks" as well as in Appendix A.)

Investigating the dividend payout ratio

Regardless of your current or future dividend considerations, you want to make sure that your dividend will keep being paid, hopefully year in and year out as expected. In too many incidents over the years, people became dependent on a dividend and then the dividend was cut or eliminated due to financial difficulties the company ran into.

Look at the *dividend-payout ratio* (DPR), which is a measurement of the dividend being paid as a percentage of the net earnings of the company. You want to be assured that the company has enough net income coming in to comfortably cover the payout of the dividend.

This measurement is calculated using dividends and net earnings on a per-share basis, and it's actually quite easy to find and to calculate. When you're looking at the company's profile on a site such as MarketWatch (`www.marketwatch.com`) or Yahoo! Finance (`www.finance.yahoo.com`), look at the company's earnings per share and the annual dividend per share. Say that earnings per share is $1 and the dividend is $0.30 per share. In that case, the DPR is 30 percent (a $0.30 dividend per share is 30 percent of the $1 earnings per share).

A general rule of thumb for conventional stocks is that a DPR of 60 percent or less indicates a good safety measure for the dividend. In some industries or certain types of securities, the DPR could be higher than that and still be considered safe. Utilities can have a higher DPR such as 70 percent or even 80 percent and be relatively safe, because utilities are typically stable companies with high cash flow (if you don't believe me, look at your monthly bills!). But the more cushion, the better. A DPR that exceeds 90 percent or is near 100 percent is a red flag. If the company's net earnings soften or drop, the dividend would be in danger.

Some types of securities have a very high DPR, and that's actually part of their structure. A *real estate investment trust* (REIT) trades on the stock market, but its fortunes are actually tied to the real estate market. As a tax-advantage trust, by law it must distribute 90 percent or more of its net income to REIT shareholders. Publicly traded entities such as master limited partnerships have a similar requirement to distribute a very high percentage of net income to shareholders (or limited partners).

Keep in mind that stocks considered to be growth stocks tend either to not pay dividends (so they don't have a DPR) or to pay very little in dividends (so they have a very low DPR). Companies that are seeking to grow need to reinvest available earnings into company operations and into expanding their capabilities so that they can ultimately increase sales and market share — which is what growth-oriented investors want. Therefore, you need to be sure about what your outlook is and whether you're seeking growth or income (or a mix of both).

Reinvesting your dividends

Unless you need the dividends, the best thing to do is to reinvest them to keep compounding your holdings. Dividends can be used to buy stock of the underlying company, and if they don't buy entire shares of the stock, they'll at least be able to buy fractional shares. In other words, if your dividend payout is $25 and the stock is $50 per share, then you'll get half a share. Then, going forward, your full shares will issue full dividends while the fractional shares will issue fractional dividends.

To reinvest your dividends, you need to register for that company's *dividend reinvestment plan* (DRP). Many dividend-paying stocks have a DRP, but not all do. You can easily find out whether yours does by contacting the company's shareholder service department or looking for the info on the company's website.

Over time, your DRP provides you with a great way to effortlessly build up your stock holdings. As the dividends are reinvested, you also have the nice option of sending in cash payments to add to your stock holdings if you like. The benefit of this is that usually you can do so without paying commissions.

Later on, when you're ready to have dividends sent to you, you just let the plan administrator know (in writing through the shareholder service department), and you start enjoying your dividend income.

Chapter 5

Breaking Down Brokerage Tools and Tactics

In This Chapter

- Searching for a broker
- Digging into different brokerage accounts
- Taking stock of brokerage orders
- Checking out the use of margin

When you're ready to roll up your sleeves and start to invest (or speculate, as the case may be), you'll need to open a brokerage account. In this chapter, I discuss the various accounts you can use and the brokerage services and orders that will become part of your toolbox for successful investing.

Before You Begin: Finding and Picking a Broker

In today's marketplace, finding a decent broker isn't difficult. Most of them are actually pretty good. The service and price options are outstanding, and even beginning stock investors should have no problem finding a broker that meets their needs and goals.

There are two general types of brokers: full-service and discount:

- **Full-service:** You choose full-service if you want more personal attention and assistance. Are full-service brokers more expensive? Sure! You want more service and attention, you pay for it. Good examples of full-service brokers are Morgan Stanley and Goldman Sachs.
- **Discount:** If you have an idea of what you want to do and you just want to be able to place orders and receive related services, then consider a discount broker such as TD Ameritrade, E-Trade, or TradeKing. Look at Appendix A for an extensive list of brokers along with their contact information.

You can also forge a middle path. Some folks choose a discount broker and use the consultation services and guidance of an independent advisor. Resources in Appendix A can help you with these decisions.

Here are some great sites to help you rate and compare various brokers:

- Reviews.com at www.reviews.com
- The SEC's investor site at www.investor.gov
- Brokerage Review at www.brokerage-review.com

Distinguishing between Brokerage Accounts

When you open an account, you need to know the type of account. It will either be a regular account or a retirement account such as a traditional or Roth IRA. Regardless, the next consideration is the type (or structure) of the account. The following sections describe three types of brokerage accounts: cash, margin, and options.

Because retirement accounts are intended for long-term investing, brokers tend to place more limitations on what you can do in them versus regular accounts. Retirement accounts generally restrict aggressive options strategies (Part III goes into greater detail about which options strategies are conservative and which are aggressive) and place limits on margin trading to minimize overly speculative trading. One of the great benefits of retirement accounts is that your gains and income avoid current taxation so that you have a better chance of accumulating wealth for your future retirement needs (see your tax advisor for details on this). Regular accounts can be fully taxable but have more flexibility in regard to being aggressive or speculative with trading strategies.

Cash accounts

A cash account is the simplest account to set up. You fund it, and your ability to purchase securities is limited to how much cash you've put in. If you put in $5,000, then you can buy up to $5,000 worth of securities.

There are limitations to which types of securities you may be able to acquire. Typically, cash accounts let you buy only stocks and tradable funds such as closed-end funds (CEFs) and exchange-traded funds (ETFs).

The downside of cash accounts is that they don't give you the ability to borrow (go on margin) to purchase securities and usually don't allow the purchase of options. The upside about not being able to borrow means that you stay out of trouble with margin issues.

Margin accounts

Borrowing on margin means that you're borrowing funds from the broker to acquire more stock or other marginable securities. *Marginable* means that the securities are eligible to be acquired with the use of borrowed funds from the broker. Some securities, such as most small-cap stocks (also referred to as OTC or over-the-counter stocks), are only meant to be purchased with cash. OTC stocks aren't listed on a major stock exchange and tend to be risky and volatile securities, so brokerage firms don't usually allow the purchase of these securities with margin debt.

Because a margin account involves credit, approval is needed. The approval process may include requirements such as having sufficient capital in your account or being creditworthy according to that particular broker's margin policy. Check the individual broker's website for instructions on opening a margin account (or any account, for that matter), and speak with the customer service department about approval requirements.

The advantages of a margin account are that you have great purchasing power (through margin debt) to acquire stocks and have the ability to be more aggressive with options strategies. The disadvantage is that if your trades go against you and losses mount, the broker will force you to sell securities or add more funds to cover your margin requirements.

I provide guidelines on using margin in your stock investing strategies later in "Making Sense of Margin."

Options accounts

If you're doing options of any kind (see Part III for details), your account needs to be approved for options trading. Investors can receive various levels of approval, given different investment strategies; the more difficult or risky the trade, the more difficult the approval.

I think that every stock investor should get options capability, because options trading offers various opportunities even for those who are conservative or risk-averse. For info about getting your account options-ready (among other points for beginners), go to Chapter 11.

For many brokers, options accounts and margin accounts require the same level of approval. In other words, if you want to do options trading, you need to get approval for trading on margin, because many brokers see options in general or some types of options strategies as a form of leverage.

Borrowing on your account (margin borrowing) and options trading are forms of leverage. *Leverage* is using certain aggressive financial instruments (such as options) and/or borrowed capital (margin debt) to greatly increase the potential return or gain of an investment. The problem is that you increase risks as well. Options purchased can lose up to 100 percent of their value very quickly. Margin debt can quickly go against you in the event of stock losses.

Novice investors are advised to start with cash accounts and avoid margin until they are more experienced traders. Novice investors should also consider only lower-risk options trades, such as covered call writing (which is covered in Chapter 12).

Looking at Brokerage Orders

Knowing how to order stocks — and which types of orders are appropriate, given certain market conditions or what your goals are — will be very valuable to you. (Or is that *invaluable?* That one always threw me, coming from Yugoslavia.)

As soon as your account is ready (that is, it's opened, funded, and so on), then you're ready to put in orders for your stocks, exchange-traded funds (ETFs), or other securities. The three main types of orders are event-related orders (also known as condition-related orders), time-related orders, and combination orders. You may also run into a few unusual orders.

TIP The Securities and Exchange Commission (SEC) can help you understand more about the orders you place with your broker. You can go to the SEC website, `www.sec.gov`, and download a copy of its publication *Trade Execution: What Every Investor Should Know*. While you're there, check out the publication for investors titled *Trading Basics: Understanding the Different Ways to Buy and Sell Stock*. (Simply perform a search for these titles.)

Event- or condition-related orders

The first type of order in buying stocks is a *market order*. The event in this case is a purchase of stock. Market orders are used for buying or selling in your account.

Other orders are based on a specific condition. These types of orders are entered or triggered due to a particular event, such as the stock reaching a specific price (up or down). Examples include a stop-loss order, a trailing stop, and a limit order.

Market orders

Market orders are the simplest orders to place — not that different from placing your order at the deli counter! When you're ready to buy (or sell), you either call the broker or enter the order at their website. Entering the order by telephone is as simple as saying, "Please buy [or sell] 100 shares of Pepperoni Corp. at the market." The broker will then proceed to buy (or sell) at the current best available price.

The primary reason for a market order is to get that buy or sell transaction done immediately, without being concerned about waiting for or hitting a particular price. Maybe you're considering getting a stock that hit a recent low in its price and you think it's a bargain, so you don't want to miss out in case the stock starts to recover. The market order would be filled in a matter of seconds, so all market orders are *day orders,* which are just what they sound like: orders that expire at the end of a trading day (see the later section on time-related orders for more info).

The negative part of a market order is that you may not get the exact price you expect or you may risk overpaying a little if you're buying (or getting a little less if you're selling stock).

Stop-loss orders

You've heard that old adage "keep your winners and cut your losers" from more than one armchair investment pro. Stop-loss orders (also called *stop orders*) are a tool to help you do just that.

When you own a stock and you're concerned about a short-term correction or sharp downward move for any reason, consider doing a stop-loss order. A stop-loss order limits your downside without limiting your upside. A stop-loss order acts like a trigger or tripwire; when the stock hits or crosses your chosen price, the stop-loss order automatically turns into a market order, and the stock is sold immediately.

Say you either just bought a $50 stock (or ETF) or have a holding in your portfolio that you're concerned about. Consider putting on a stop-loss order at, say, $45 (10 percent below the market price). This means that the stock has unlimited upside potential, but you limit the loss when the stock is sold at the $45 price-per-share trigger. When the stock hits or crosses $45 in this example, the stop-loss order converts into a market order, and the stock is sold as soon as possible. If the market is generally stable, the odds are that you will get out at $45. However, if the market (or, at the very least, the individual stock or ETF) is volatile, it could end up being sold at $44.50 or $44 or thereabouts. The important thing to keep in mind is that the sale will be triggered, and you'll get out soon (instead of watching your stock keep plummeting).

How low you place the stop-loss order depends on the stock itself and your outlook regarding it. If it's a volatile stock that can easily move 10 percent in a single trading session, then consider a 15 percent stop. If it's a stock that you're worried about and you don't mind getting out sooner rather than later, then consider putting on a stop in the 2- to 5- percent range. The important point is that it's better to have a stop-loss order versus nothing at all if the market or the stock itself is looking troublesome.

Another consideration for your stop-loss order may be your personal situation. If you're retiring five or ten years from now, a stop-loss order isn't a major concern. However, if you're retiring next week and your portfolio is brimming with aggressive growth stocks, then stop-loss orders are a good idea.

Stop-loss orders aren't just used to sell stock to prevent losses. If you're "going short" on stocks, the danger is your growing liability if a stock price is going up; in that case, you'd consider a buy-stop order, which instructs the broker to buy the stock at a specific price (or lower). Again, you wouldn't worry about this specific type of order unless you were shorting stocks — a speculative activity that should be done only by experienced speculators and approved by the brokerage firm in a margin account. (Don't sweat this order here; find out more about going short on stocks in Chapter 8.)

Trailing stops

A trailing stop easily qualifies as my favorite type of sell order. This type of order helps you automate your strategy in terms of minimizing downside risk while preserving upside potential.

A *trailing stop* is a variation on stop-loss orders (see the preceding section), but it's really a step up, so to speak. Like the stop-loss order, it is intended to minimize downside moves by your stock or ETF. In order to maximize its effectiveness, also make it a good 'til canceled (GTC) order (see the later section on time-related orders for details).

A trailing stop is best done as a GTC order so that it can work over an extended period such as 30 days, 60 days, or longer. It can be set as a percentage or a dollar amount at any point below the share price. The great thing about the trailing stop is that it automatically adjusts upward in the event that the stock or ETF moves upward. The moment that the stock ceases to move upward and reverses downward, the trailing stop freezes at the most recent share price. When the security does fall and hits or crosses the stop price, it then triggers an immediate sell order (as a market order).

Say that you have 100 shares of HolyMoly Corporation (HMC) that are at $60 per share; your original purchase price was $15. You of course want to see HMC continue to rise, but you're getting nervous about current market conditions or questionable company initiatives. Maybe you found out that HMC will start marketing a Do-It-Yourself Brain Surgery Kit, and somehow that's making you uneasy as a shareholder.

You then place a trailing stop on HMC at 3 percent and make the trailing stop a GTC order. Say that the broker's maximum time limit for a given GTC order is 90 days. In this case, you've made the stop-loss portion of the order tighter than you normally would, given your trepidation.

As the product launch unfolds, initial sales of the kit go through the roof. Investor excitement in the opening weeks pushes the stock to $70 pretty quickly. Your stop-loss order "trails" the stock's price upward like a tail. Before, at $60 per share, the trailing stop was at $58.20 (3 percent of $60 is $1.80; subtract that amount from $60 for the stop's amount). At $70 per share, the trailing stop is now at $67.90 (3 percent of $70, or $2.10, is subtracted from $70). So far, so good!

Unfortunately, excitement for HMC's product quickly sours. Consumers' complaints skyrocket, consumer agencies issue public statements that "anyone who buys this kit should have his head examined!" and the stock price plunges to $2 a share! Fortunately, you got out at $67.90 (whew!).

As HMC's stock price rose, your stop-loss order price rose with it. The trailing stop automatically adjusted as the stock price presumably zigzagged upward. However, when the price reversed, the stop-loss stayed at the most recent high level and didn't budge, so you automatically sold at $67.90 per share. How smart were you?

TIP

The amount of the order can be set as a percentage or a dollar amount. You can vary the percentage or the amount as you see fit. It's a good idea to look at the stock's past performance and note how volatile it is. If the stock typically moves 10 percent in a day, then of course set the percentage at a greater amount to account for this wider price swing. If you're nervous, then of course make it tighter.

Limit orders

A *limit order* means that you can specify either the most you're willing to pay (in buying stock) or the least amount you're willing to take (in selling stock). In other words, you're setting a minimum or maximum price limit on your order.

Say that you want to buy 200 shares of Schlunky Inc. and the current price is at $39 per share, which you think is a little too schlunky for your tastes. You want to pay only $37 for that stock. Maybe you think that’s a better price, or maybe you have only enough funds in your brokerage account to cover this transaction at your chosen lower price — whatever your reason.

If the stock in this example falls to $37, you’ll get your stock at $37. If that stock has a sharp plunge and goes to $36.50, totally shooting by $37 without touching it (referred to as *gapping down;* the upward equivalent is *gapping up)*, then you’ll get the stock at $36.50 — which indeed is better than buying at $37.

A major difference between a limit order and a market order (described earlier in this chapter) is that the broker can’t assure you that the limit order will be filled. Take the order for Schlunky Inc. If that stock falls to exactly $37.01 and then heads back upward, that limit order will not be filled. Keep in mind that the stock you’re considering may never go down (or up) to your chosen price.

Time-related orders

A time-related order means that the order takes place during a specified window of time. A time order is usually coupled with a conditional order (which I discuss earlier in this chapter) because your orders are active during some time frame.

Some time-related orders can take place during a single market day (the *day order*), and other orders may be in effect during a large window of time or indefinitely. Orders that are longer than a day in duration are referred to as *good ’til canceled* (GTC) orders.

Although the GTC order sounds as if it has no definitive end, most brokers do specify a limit to the time, such as 60, 90, or even 120 days. In the event that your GTC order does expire, you’ll likely get an email or letter warning you that it will expire, and you’ll have ample opportunity to renew it.

Unless you specify that your order is a GTC order or provide a window of time (such as until 30 days from now), the broker will automatically take your order as a day order.

In most circumstances, I prefer a GTC order rather than a day order (which is in effect only until the day’s trading session ends, usually at 4 p.m.), especially if the underlying order is a trailing stop or a stop-loss order (covered earlier in this chapter). If I’m going on vacation, for example, and I’m nervous about market conditions in general (or the plight of a particular stock or other security), then I may do a GTC order and make the time frame two weeks (or longer). GTC orders are very flexible and add predictability to your positions, especially during uncertain and volatile times for the general stock market.

Combination orders

How great it is to be alive! Compared with what was available when I began investing back in the 1980s, so much is available to you as an investor today. The technology just wasn’t there — not even a desktop computer. You made all your orders by visiting your broker’s office or making a telephone order; the idea that you can now make a few mouse clicks and have great power and control is beyond cool!

After you become proficient with basic condition- and time-related orders — how they work and when to deploy them — you can take your trading to the next level (hey, that's the whole point of this book!). You can then take advantage of the *combination order,* as in "if this happens, then do that." The combination order is also referred to as *an advanced trade, a trade trigger,* or *a trigger order*.

Although this type of order can be seen as a glorified conditional order, I break it out as a third category to make investors aware that it's a different animal. Regular orders are predicated on a single buy or sell event; combination orders take more than one event into account, so they require a little more experience because a little more complexity and setup are involved to execute them properly.

You can set up a combination order at your broker's website and have a subsequent order triggered automatically based on conditions you set. How would such an order work? Here are some examples:

- You have Stock A that is at an all-time high. You set it up so that if Stock A hits a specific price, you sell it. This event triggers the buy order for Stock B.
- Enter two orders simultaneously. If one order fills, cancel the other order.
- If Stock X rises and hits a specified price, then buy (or sell) Stock Z.
- If Stock M falls to a specified price, buy (or sell) a particular option.

One advantage of a combination order is that it automates precisely what you want (both the conditions and the events); it can occur automatically without your needing to scramble on a crazy trading day. These types of orders can add discipline and predictability to your approach and make it easier to manage your portfolio.

The con is that you must keep track of what the orders and possible outcomes are so you know what will happen given various market scenarios. You still need to watch your portfolio, but combination orders make it easier to react or to take advantage of fast market conditions.

Other orders

TECHNICAL STUFF

For the sake of completeness, here are a couple of orders that are not as common but you may need at some point:

- **Fill-or-kill order:** A fill-or-kill (FOK) order is an order to buy or sell a stock that must be executed immediately in its entirety; otherwise, the entire order will be canceled. In other words, a partial filling of the order isn't allowed. A good example of this order is "either buy 100 shares of XYZ immediately, or don't buy any shares at all."
- **All-or-none order:** An all-or-none (AON) order is an order to buy or sell a stock that must be transacted 100 percent complete — or be completely canceled. An AON order can remain

open (active) until it is either filled or canceled. A good example of this order is “either buy 500 shares of ABC in one complete transaction, or cancel the order,” and this can be an active open order.

Trading after hours

There you are at midnight, getting a piece of pie and a glass of milk from the fridge while the rest of the family is asleep. You’re feeling restless because you want to put an order in, but you won’t be able to do it tomorrow morning because your work schedule is too tight. What can you do?

Fortunately, you’re trading in the age of the Internet, so putting in orders even in the wee hours of the morning or the dead of night isn’t a big deal (anymore). Keep in mind that although you can put in your orders during off-hours, they won’t get filled until the market actually opens the following morning.

If you’re considering logging into your brokerage account to enter an order, no problem. I think that’s a great idea. However, do consider some points before you make that last mouse-click and head back to bed:

- **Don’t put in any market orders.** Sometimes the trading gets unpredictable at night. The trading at the opening bell the following morning can get erratic, and you could end up buying securities at a higher price (or selling at a lower price). At night, there are fewer buyers and sellers, so the price may be more volatile, especially if there are concerns over international events.
- **Use limit orders to make your order more predictable.** With a limit order, you know exactly how much you’re going to pay (if it’s triggered). This is especially important if you have limited funds available for the purchase.

Making Sense of Margin

One of the services in a typical brokerage account is the ability to borrow money (margin) against your stock holdings to buy more stock. This money is borrowed from the broker, and the holdings in your account act as collateral for the margin loan.

And yes, you do pay interest. Fortunately, because the margin loan is a secured loan (your securities are really collateral), the interest is lower than other types of financing such as credit cards and unsecured loans.

In the following sections, I explain the pros and cons of margin, the best times to use it, and tips for making the most of it. I also walk you through an example of margin usage.

Understanding the good and the bad of margin

Although the practice may vary somewhat depending on your broker’s policy, you can borrow money for your brokerage account and use the funds to buy more stock or other securities (called *margin borrowing, borrowing on margin,* or *margin debt*). For eligible stock purchases, you can borrow up to 50 percent of the value of your stock (or ETF). You borrow directly from the broker, which is possible because the stock acts like collateral to secure the margin debt.

Margin debt gives you the power of leverage, which means that you have buying power to acquire more stock. Keep in mind that this is debt and ultimately needs to be paid back (with interest). The smallest amount of margin debt is 50 percent of your eligible stock but no less than $2,000. If, for example, you have $2,000 worth of stock in your brokerage account, you can acquire up to $4,000 (or 50 percent of the market value of the stock) and be able to buy $2,000 worth of stock. Because minimums for margin borrowing can vary from broker to broker, check with your own broker about how you can do so.

If you have $50,000 (your equity or net assets) in a cash account, you can buy only up to $50,000 worth of securities. But in a margin account, that same $50,000 can buy up to $100,000 in marginable securities. This is a relatively easy concept, especially if you have ever bought real estate property using a mortgage. (I introduce cash and margin accounts earlier in this chapter.)

In the event that your stock portfolio rises to $125,000, you make a great profit. In this example, your personal outlay of money was only $50,000, but the leverage of margin borrowing in your account helped you to make a $25,000 profit thanks to the power of that added $50,000 borrowed from the broker. The profit amounts to a percentage gain of 50 percent ($25,000 gain is 50 percent of the equity amount of $50,000).

In this regard, you can see the allure and advantage of margin. But what happens if the stock market goes against you? Say that the stock portfolio actually goes down from $100,000 to $60,000 due to a sharp correction (can anyone say "2008"?). Now what?

In this case, your equity has shrunk from $50,000 to $10,000 ($60,000 total portfolio value minus the outstanding margin debt of $50,000). The broker will then do the infamous margin call (cue the dramatic music). In a *margin call,* the debt as a percentage of your stock's market value has exceeded the broker's margin maintenance level, and the broker contacts you to rectify the situation by either adding more cash to the account or adding more marginable securities so that the ratio of margin debt to market value (or collateral value) is restored.

Yes, in this example, you'll be contacted to shore up your position to regain the original proportion of equity to debt of 50 percent (you need half of $60,000, or $30,000); you will need to add either $20,000 or a larger quantity of marginable stock to beef up the collateral in the account. Perhaps a combination of the two will suffice.

The Federal Reserve's Regulation T mandates that a brokerage's initial margin requirement is 50 percent but that it can be lowered afterward to 25 percent. The broker has the option of having the margin maintenance at either these levels or higher. My recommendation is to impose your own personal limitation to keep margin debt to a minimum and to avoid potential margin calls.

REMEMBER

The bottom line is to find out what your particular broker's policy is when there's a shortfall in margin maintenance criteria; either call the customer support department or read the fine print at the site. Most broker websites have added FAQs (frequently asked questions) and/or tutorials, so the margin policy and requirements should be no mystery beforehand.

Knowing the best times to use margin

Margin use would be to your advantage in two basic scenarios; these are moments in which the risk is generally lower. Call one situation the speculator's scenario and the second the prudent investor’s scenario.

Optimal margin use by a speculator

I generally don’t advocate margin debt for beginning or intermediate investors until they gain more knowledge and grow their portfolios enough to tolerate a small and manageable amount of margin debt. I think it’s fine if a $50,000 portfolio borrows, say, $5,000 to buy a large-cap, stable, high-dividend stock (where the dividend is higher than the interest rate on the margin debt).

For a speculator, margin borrowing means waiting for the right time and the right stock. The right stock can be a profitable company whose stock was temporarily beaten down to such a low level that borrowing to gain the stock is a good bet.

Say that the stock you’re considering, Phoenix Rising Corporation (PRC), is getting hammered in the market. The stock went from $65 per share to $30. It is down sharply, and the price action is truly ugly. As a good contrarian (one hallmark of a successful speculator is to be a contrarian), you see whether this is a possible buying opportunity.

You check the fundamentals and see that the company looks strong — sales and profits look fine. Regardless, the stock market went berserk and people went overboard selling the stock. Their reasons seem to have little if anything to do with the company’s fundamentals. Given that, buying this stock smells like a good contrarian play, and you move in.

Phoenix Rising Corporation stock has stabilized around $30 per share, and you decide this is an opportune time to buy 200 shares on margin. The total cost is $6,000. You have cash for $4,000 and use margin borrowing for the remaining $2,000. (***Note:*** Use just enough margin and do the lion’s share of the purchase with cash.) When the rebound that you’re expecting does occur, PRC climbs back to $53 per share.

Your stock position is now worth $10,600 (200 shares at $53 per share). At this point, you see your good fortune. With your initial grub stake of $4,000, your calculated gain of $6,600 is a whopping gain of 65 percent (Woo-hoo! Time for boasting about your speculative prowess). Playing it safe, you decide to sell a portion of your position; 100 shares of PSC are sold to gain $5,300 in cash.

With the proceeds, you pay off the $2,000 margin loan. You keep the remaining $3,300, as cash so you’re ready to take advantage of the next opportunity. (Because you got the idea of buying on margin from reading this chapter, you send a case of premium steaks and lobster tails to the author as a token of your appreciation. The tears well up in the author’s eyes.)

Optimal margin use by an investor

Utilizing margin to borrow established, stable, dividend-paying stocks is generally a safer strategy than borrowing to acquire volatile growth stocks. Using $5,000 of cash coupled with $5,000 of margin debt to buy $10,000 of dividend-paying stock in the consumer staples sector isn’t a bad strategy. The dividends from $10,000 worth of stock could easily pay off the interest from $5,000 of margin debt (given interest rates circa 2016), which means you’re building equity with the wise use of debt.

Suppose you’ve done your homework, and you spot a solid company. In this case, it happens to be a utility called High Test Gas & Electric (HTGE). Utilities are well-known to be relatively stable stocks. You've checked out the fundamentals and they look good — nothing spectacular but solid. The company has steady, increasing sales and profits, year after year. You think it is boring, but guess what! Boring is good, especially for long-term investing. The stock also has a juicy 6-percent dividend yield. The stock is at $35 and provides an annual dividend of $2.10 ($2.10 is $35 times 6 percent).

You speak with customer service at your brokerage firm and find out that the margin debt interest rate at this time is only 3 percent. You don't plan on using your full borrowing power of up to 50 percent. Instead, you do less with 40 percent. In other words, you make the purchase of 100 shares (at $35 per share) in your account using $2,100 of your cash and $1,400 of margin debt.

To make the example simple, say you hold this stock on margin for a full year. A hundred shares of HTGE provide you a cash dividend amount of $210 that year. The interest cost on the margin debt, at 3 percent of $1,400, is only $42 — perhaps not an exciting gain, but look at the greater picture. If you've chosen well, the odds are that the stock is increasing in value.

When year two starts, you are looking at 100 shares of a good stock (hopefully appreciating) and a nice 6-percent dividend with a good chance that it will increase. Your margin debt is now lower at $1,232 because the $210 dividend you received from HTGE paid the $42 of margin interest and because the remaining amount of $168 ($210 minus the $42 of interest) went toward the loan balance and shrunk it ($1,400 less $168 equals the new balance of $1,232). Not bad!

Note: When you receive a dividend on stock held in your brokerage account, it goes straight to the cash portion of the account. Many brokerage firms "sweep" any cash in your account into an interest-bearing account such as a money market account that resides inside your brokerage account. Any margin interest that is due to be paid (typically paid monthly or quarterly, depending on the broker) comes out of this fund.

Just imagine what happens over time as future dividends keep rising: Your stock keeps appreciating, and your margin debt (and interest) keep shrinking. If you stick with the long-term plan, your debt will have been paid off and the stock you initially paid $2,100 for will now be valued at $3,500 — and that doesn't include any additional price appreciation that was going on during that time frame and the constantly increasing dividends.

Applying some tips for using margin

Margin requirements for brokers and their customer accounts are set by the Federal Reserve Board (the Fed). Regulation T is a Federal Reserve Board regulation that governs customer cash accounts and the extension of margin credit by brokerage firms to their customers to purchase and hold stocks and other securities. Ask your broker about this regulation so you fully understand the risks and obligations.

Keep in mind that different securities have different margin interest rates (the interest rate charged by the broker on a margin loan). List stocks (stocks that are on the New York Stock Exchange, for example) are at 50 percent. Other securities may have a different margin rate. Treasury bonds (issued by the federal government through the Treasury Department) can be borrowed against up to 90 percent.

To make the most of margin (or to keep it from harming you), consider the following points:

- **How much to borrow:** Try to keep any margin debt below the 50 percent threshold. In the same way you shouldn't max out your credit card debt, keep your margin use to a manageable level (translation: as low as possible).
- **What to buy on margin:** Think twice (or three times!) before you use margin on volatile stocks (such as stocks with a high beta; find out about beta in Chapter 2). For safety's sake, limit your margin usage to large-cap stocks that have a stable price and pay a good dividend. Stocks such as utilities or other stocks that are referred to as *income stocks* can be good considerations.
- **Types of orders:** Consider using brokerage orders such as stop-loss orders (described earlier in this chapter) to minimize downside risk.
- **Practice:** Consider simulated trading (also referred to as *paper trading*), in which you pretend to do a margin trade without actually risking money, so you get a feel for using margin and understand the mechanics of doing so. Sites where you can do simulated trading are listed in Appendix A.
- **Knowledge:** Keep monitoring your position and sign up for early-warning alerts about market events and news related to your stock so that you can be a step ahead of what's unfolding.
- **Repayment:** Have a plan in place about repaying your margin debt (especially in a worst-case scenario). Do you have easily accessible (liquid) money elsewhere? That way, if you do get a margin call, you can chat with the broker without financial worries.
- **Tax advantages:** Speak with your tax person about margin debt. The interest is usually tax-deductible (it's considered "investment interest expense"), so learn about any tax advantages you can gain from your margin-related strategies. Hey, every little bit helps!

Walking through a margin example

Say you want to buy 100 shares of Blistering Stock Inc. (BSI). It costs $40 per share, and you have only $2,000 in your account. Of course, you may want to settle for 50 shares and make the purchase without incurring margin debt. But you prefer buying the full 100 shares and going for the full gain potential. This means that you need to borrow $2,000; your equity plus the margin loan of $2,000 gives you the buying power of $4,000 to make your stock purchase. The following sections explain what happens if the stock trades up, flat, or down.

If your stock is trading up

Trading up is, of course, the desired result. If BSI goes to $55 per share, your stock would then be worth $5,500 ($55 multiplied by 100). Meanwhile, your liability is the margin loan of $2,000. If you sell the stock so that you can book an immediate profit, the total proceeds would be $5,500, which would be immediately used to pay off the margin loan ($2,000), leaving you with $3,500. That equals your original net investment amount of $2,000, plus the profit of $1,500. This represents a tidy profit percentage of 75 percent ($1,500 divided by $2,000). You are a rock star!

What kind of profit percentage would you have had if you actually funded the entire purchase amount of $4,000 by yourself (say you found some extra cash under the sofa cushions)? Then your profit would have been 37.5 percent ($1,500 divided by $4,000) — not bad, but not as impressive as 75 percent.

In this scenario, margin helped you double your profit. In this case, leverage is great!

REMEMBER Margin debt used properly can significantly boost your profit. Just don't forget that regardless of how well or how poorly your stock performs, your debt must be paid back — plus interest.

If your stock is trading flat

Well, the stock hasn't been doing much — went up a buck or two, went down a buck or two. BSI is not exactly blistering anything. Margin loans usually don't have the burden of monthly payments like typical debt. The interest accrues and will be charged to your brokerage account. If your stock is paying dividends, then that could offset the interest expense.

Say that you bought BSI stock at $40 per share (100 shares at $40 would be a total of $4,000, not including commissions), the margin debt outstanding is $2,000, and the current margin interest rate is 10 percent. If six months have passed and the stock is still around $40, what happens with the margin debt? The total amount of the debt is still around 50 percent, so no worries about a margin call. However, the interest will be piling on. Each month, you'll be charged interest that will accrue over time. At a 10 percent annualized rate, your total interest charged is $100 ($2,000 at 10 percent annualized is $200, so six months' worth — or half the year — is $100). This is offset by any dividends that are credited, and in the event of new money coming in (a deposit you make into your brokerage account or securities being sold), that money would be used to pay off the accrued interest. In this case, the interest is working against you and is shrinking your total equity in that account.

If your stock is trading down

Uh-oh! The stock is not doing well. When a stock is down, you reach for the antacid. When it's down on margin, you're wondering about moving to Antarctica. BSI is blistering all right — blistering your account with a huge loss. The stock went from $40 down to $22. Your total position value went from $4,000 to $2,200 — and the margin loan is $2,000, so your net equity in this mess is down to $200 (yikes!). The margin call is coming, if it hasn't already buzzed on your smartphone. Your loss percentage? Don't ask! This is why you're careful about margin trading.

TIP When you're using margin, employ other brokerage tools such as stop-loss orders (described earlier in this chapter). With BSI, a 10 percent stop-loss order that is also a GTC order would have limited the damage (and possibly kept you away from Antarctica). If you had set that 10 percent stop-loss order when the stock was at $40 per share, the stock would have been sold at $36 per share. The proceeds from that sale would be $3,600 (100 shares times $36); that in turn would pay off the margin debt of $2,000, resulting in a cash balance in your brokerage account of $1,600 ($3,600 minus $2,000).

REMEMBER In the event that you see your margin trade trending against you, it’s probably a good idea to liquidate the losing position early to minimize losses; then you can pay off the margin debt. Learn the lesson from the experience and redeploy whatever the proceeds are on a (hopefully) better trade.

Chapter 6

Intermarket Analysis

In This Chapter

- Discovering types of markets
- Understanding positive, negative, and no correlation in charts
- Checking out marketplaces around the world

The world of stock investing is not an island untouched by the rest of the world. The stock market is very much affected by other markets such as the bond market and the currency market. Studying and seeing how markets affect each other — especially to make informed investing decisions — is called *intermarket analysis* (IMA).

Savvy investors are always on the lookout for advance warnings for a particular stock or type of investment. The sooner you can get positioned for a big move (up or down) before the investing crowd does, the better your gains can be. Understanding how one market can and will affect another market such as stocks can give you an early warning to help you make better investment and speculative decisions.

Intermarket analysis can be a profitable addition to your wealth-building arsenal. In this chapter, you discover various markets and how they may affect each other.

Looking at the Major Markets

A market can affect another market directly or indirectly. Market A affects Market B, and Market B can in turn affect Market C. I describe major types of markets and how they may affect each other in the following sections.

Because a company's stock is judged based on how well the company is performing, you can reason that the factors that directly affect the company's performance will ultimately and decisively affect the company's stock price. I take a closer look at economic indicators in Chapter 19.

Stocks

Stocks are the star in this book, but in this chapter, they're just another player. For intermarket analysis, you want to know what affects stocks directly and what stocks, in turn, affect.

Money flows to the stock market when the investing public believes that the underlying assets (the companies) are or will be doing well. Money tends to flow to stocks from bonds and cash investments.

When the economy is struggling or in recession, money either doesn't flow into stocks or flows out. The money flows from stocks into those assets perceived to be safer, such as bonds, cash, and cash-related investments (such as money market funds and bank certificates of deposit).

Note: The preceding scenarios are simple, so keep in mind that other factors affect the flow of money as well, such as interest rates and geopolitical events.

Bonds

Bonds are marketable debt issued by companies and all levels of government. Investors can buy bonds for income purposes. Because the investing public can buy either a company's stock or its bonds (or both), the stock and bond markets are related.

The bond is a liability of the company, and it's part of the company's balance sheet. In addition, the interest on that bond, which a company pays, is part of the expenses that are included on the company's income statement. A company that has difficulty carrying (and ultimately paying) this debt will have difficulty growing and being profitable going forward. If the company's difficulties turn into a major financial problem, then this will have a harmful effect on the company's finances, and that, in turn, will have an adverse impact on the stock; stock investors will sell the stock when they're concerned about the company's outlook.

If the company sees sales that are flat or shrinking (especially in difficult economic times), it may not have enough cash coming in to pay liabilities. Another scenario is that if interest rates rise, there will be a greater outflow (higher payments and higher interest expenses), which can result in lower net income. The market tends to interpret lower net income negatively and sells the stock accordingly.

TIP

> The relationship of the bond to the stock of the same company is one of the simplest forms of IMA. Therefore, one of the most important things for a stock investor to look at is the company's bond rating. A bond rating is issued by an independent firm (such as Standard & Poor's or Moody's) that analyzes the bond based on the current and foreseeable financial strength of the issuer of the bond (the company itself). If the company is judged to have satisfactory financial strength, then the bond will be issued a positive bond rating. A bond rating of AAA is the highest rating available; AA and A are also positive but slightly weaker. Any bond ratings lower than BBB tend to be referred to as "junk ratings," and the bonds are called (rightly or wrongly) "junk bonds."

To find a bond rating, use sources such as the following:

- **Yahoo! Bond Center (`www.finance.yahoo.com/bonds`):** Besides giving you the basics on bonds, this site also has a bond screener that can help you find bond ratings for a given bond.
- **Investing in Bonds (`www.investinginbonds.com`):** This site is a great resource to help you understand the bond market and features of bonds, including the bond rating.

- **Bonds by About.com (bonds.about.com):** This site has great information on bonds and can help you with finding and analyzing bonds.

The bond rating is a solid indicator of how strong the company is. Here are some cases in which the bond rating can help you evaluate investments in other markets:

- **Looking for candidates for long-term stock investing:** If you're seeking a strong company for long-term investing, check out the company's bond rating. I make it a habit to check bond ratings, especially if I'm considering a large position in the company's stock for the long term.
- **Discovering potential problems with held stocks:** If I have a stock and I find out that the company's bond rating has gone down, I check to see whether that necessitates selling the stock. I look at the company's balance sheet to see whether its debt is getting too large (Appendix B has ratios to help you see whether debt is too high), and I check the income statement to see whether the company's interest expense is getting higher.
- **Identifying bearish candidates:** If I'm considering a stock as a shorting candidate (see Chapter 8) or for bearish option strategies such as a put (see Chapter 13 for puts and Chapter 15 for bearish combination trades), then a deteriorating bond rating would make me perk up. A bond rating that's going down indicates that the company issuing the bond rating (such as Standard & Poor's or Moody's) is seeing worrisome signs that the company's finances are weakening; this drop can be an early warning for investors to either sell the stock or avoid it.

Currency

The currency of a nation is similar to the stock of a company. If a country is doing well, then its currency will also do well; if the country isn't doing well, then that reflects negatively on the currency. You could say that a currency is the "nation's stock," and its value reflects what the rest of the world (and the currency traders in the marketplace) think about the nation's current and future economic prospects.

A currency is essentially money created by a country's central bank. This money flows into all aspects of the economy and financial markets. One crucial difference between currencies and other paper entities (such as stocks and bonds) is that a currency can essentially be created in unlimited quantities and is intended to be a "means of exchange" for goods and services. In addition, currency can be used to buy assets.

When too much of a given currency flows into any area, be it goods and services or assets (such as stocks, commodities, and so on), prices rise (inflation). Between 2010 and 2015, the Federal Reserve (the United States' central bank) created more dollars (the U.S. currency), and the dollars flowed into the stock market, which inflated stocks (called *asset inflation*).

Meanwhile, many economies across the globe (Europe, Asia, and so on) experienced difficulties and grew weaker, so many investors across the globe exchanged their own currencies for U.S. dollars. When there is more demand for a currency, the price rises relative to other currencies.

Currencies are subject to supply and demand fundamentals just like other vehicles are. When a currency is strong, there is demand for it and its value rises; the reverse also is generally true. The U.S. dollar is the leading reserve currency in the world, which means that it's used by other nations that need to conduct business in the international community.

How does this currency situation impact the stock market in terms of intermarket analysis? In recent years, the U.S. dollar and the U.S. stock market have had a negative correlation: When one goes up, the other goes down.

What, in turn, affects currency markets? Currencies are more often affected by other currencies and by assets that compete with currencies, such as gold and silver. Currencies can affect stocks and bonds, but stocks and bonds don't affect currencies.

If reports come out that are bullish about a nation's economic fortunes, investors seeking to profit put on bullish positions on the currency. How do you do that? Currencies are traded in futures accounts, and there are also currency ETFs. If you're bullish on the U.S. dollar, for example, you can get the currency ETF with the symbol UUP.

You can also speculate on currencies (referred to as the *forex* or foreign exchange market). There are options on both currencies and currency ETFs. (Go to Part III for complete details on options.)

You typically find a negative correlation between currencies. For example, when the U.S. dollar is up, the euro is down. To speculate on which currencies will go up or down, choose ETFs that are either bullish or bearish on currencies. For example, if you're bearish on the euro, you can consider an inverse ETF (symbol EUO). If you're bullish on the euro, you can buy the ETF with the symbol FXE.

TIP To find out more about bullish and bearish currency ETFs, go to the ETF Database site at `www.etfdb.com`. I cover bullish ETFs in Chapter 9 and bearish ETFs in Chapter 10.

Commodities

Commodities are natural materials and resources that are utilized by the economy for its wants and needs. The usage ranges from the obvious, such as agriculture (feeding people with grains, sugar, meats, and so on), to the not-so-obvious, such as technology (gadgets need both base metals and precious metals, too). The price of coffee in South America will have an effect on your Starbucks common stock, and the price of silver will definitely impact the price of your Silver Wheaton stock.

REMEMBER Because commodities are tied directly to many sectors (especially manufacturing and human-needs sectors such as food and beverage and energy), it pays to watch commodities and see which major factors affect them. Here are a couple of factors to watch:

- **Weather conditions:** For consumable commodities, weather is an obvious factor. A drought or a flood in a prime growing region will acutely affect the price of a particular commodity, which in turn affects the stock of those industries and companies involved. Nimble investors and speculators try to move quickly to take advantage of short-term price movements.

- **Supply and demand:** Few factors have so obvious and so dramatic an effect on commodities and related investments as classic supply and demand factors. In today's markets, it's easier than ever to get good data and reliable reporting on supply and demand of various commodities.

Take coffee and Starbucks stock, for example. When you look at a long-term chart (say three or five years), the price of coffee actually is negatively correlated with Starbucks. When the price of coffee goes down, the price of Starbucks stock goes up (and vice versa). The reasoning is quite simple: When coffee is cheaper, then Starbucks' costs go down, which results in a higher net profit for the company (and again, vice versa). Therefore, an investor in Starbucks stock would definitely be advised to track the price of coffee as well.

Credit and interest rates

Credit is a ubiquitous market, present in every modern economy. Its proper usage spurs on positive economic activity such as the buying of big-ticket items like cars and houses. Credit is integral in the operations of most large enterprises in both private companies and in government agencies.

Interest rates have a major impact on various assets that you should be aware of. Rising interest rates tend to be good for short-term money market investments but bad for long-term, fixed investments, such as most corporate and government bonds.

Also, interest rates in a particular country tend to make that particular country's currency stronger, which could have a negative effect on another country's currency.

Income investors should pay attention to interest rates because such rates have a direct impact on bond prices and an indirect effect on stock prices. When interest rates go down, that's considered positive for stocks in general, but it's particularly good for income stocks (stocks that pay a higher-than-average dividend).

Speculators should also watch interest rates in order to anticipate short-term movements (up or down) in various types of investments, such as fixed-interest rate investments (bonds, for example).

Suppose you have a 30-year bond that is paying a face interest rate of 3 percent, which means that a $10,000 bond would be paying $300 in interest to the bond holder (the one who bought the bond). That bond would pay $300 in interest year in and year out until that bond matures, in which case the bond holder would get back the principal amount of $10,000.

If interest rates rise to 5 percent, then the market value price of that particular bond would go down to $6,000 (a drop in market value of $4,000). Why? To receive an effective rate of 5 percent, the market price of the bond must go down so that when the interest of $300 is paid out, the investor will get the full 5-percent rate. In this particular case, the bond would have to fall to $6,000 because $300 is 5 percent of $6,000. This fall seems extreme (the bond's value plummeting from $10,000 to $6,000 is a drop of 40 percent) because the bond is long-term. If the bond matured in a relatively short time frame (such as a few months or a year), then the impact on bond values wouldn't be as significant.

Because we have trillions in long-term bond debt (as of autumn 2015), then even a slight change in interest rates can have a substantial effect on bond values. Because interest rates are at historic lows, the greater danger to bond values is the possibility of interest rates rising.

Derivatives

Derivatives are one of the least understood and least reported areas of the financial world, yet they're huge — and I mean *huge*. In dollar value, derivatives dwarf the dollar value of the world economy in terms of gross domestic product (GDP). As of 2014, the global economy's GDP was priced at approximately $45 trillion. Meanwhile, the murky world of derivatives exceeds $600 trillion.

Derivatives exposure definitely has a correlation with the banking industry. In 2008, along with the meltdown in the housing and mortgage markets, derivative positions imploded. This in turn had a terrifying impact on the banking sector: Some banks that were overexposed to these types of securities obtained a bailout from the Federal Reserve.

The interesting fact is that, as of 2015, the banking industry's exposure to derivatives is greater than ever. Expect some major rumblings here in the coming years.

Derivatives are an important consideration in times of financial bubbles (such as what I see as I write this, during September 2015). They are essentially bets and have their primary impact on the banking and brokerage sectors. For example, Bear Stearns was a top brokerage firm in 2007 (hitting $130 per share), but it went out of business in the spring of 2008 due to a great extent to its derivatives exposure (the stock basically plummeted to zero). Derivatives tied to the subprime mortgage market played a key role in the now-infamous market meltdown of 2008.

Because we're in the midst of a historic debt/bond bubble, derivatives will have a negative impact on financial institutions in particular and financial markets in general.

> To find out about derivatives positions on financial institutions, go to the site for the U.S. Treasury's Office for the Comptroller of the Currency (`www.occ.gov`) and look up the capital markets publications.

Taking a Peek at Intermarket Analysis Charts

In this section, I provide you with actual charts showing the relationship between two investments. When you know that Market A is directly affected (good/bad or negatively/positively) by Market B, you have enhanced your ability to make a winning trade (short-term speculating) or investment (for long-term purposes). If you know that a particular market has strong growing demand, then you can profit by speculating or investing in a company or sector that will supply that demand.

Negative correlation

I think everyone recognizes negative correlation in their lives: "The more I spend on necessities, the less I have for fun stuff like vacations," "The more taxes they take out of my salary, the less take-home pay I have," and so on.

In the financial markets, a *negative correlation* is a relationship between two assets or markets in which one increases in value while the other one decreases in corresponding value.

Many markets are negatively correlated. The U.S. dollar, for example, tends to have a negative correlation with gold. I say "tends to" because there are very few examples of perfect negative correlation. A perfect example would be if Asset A went up 50 percent while Security B went down by 50 percent. (Negative correlation tends to be like hand grenades and horseshoes — close enough can be close enough.) On nine trading days out of ten, the U.S. dollar and gold usually go in opposite directions. In the human financial world, 90 percent is pretty darn close.

Here's another example: When interest rates go up, then long-term fixed-interest bonds tend to go down. If interest rates go down, then those same types of bonds will rally (go up).

The dollar and the euro are a classic pairing of two investments that have a negative correlation. Look at the 5-year chart in Figure 6-1.

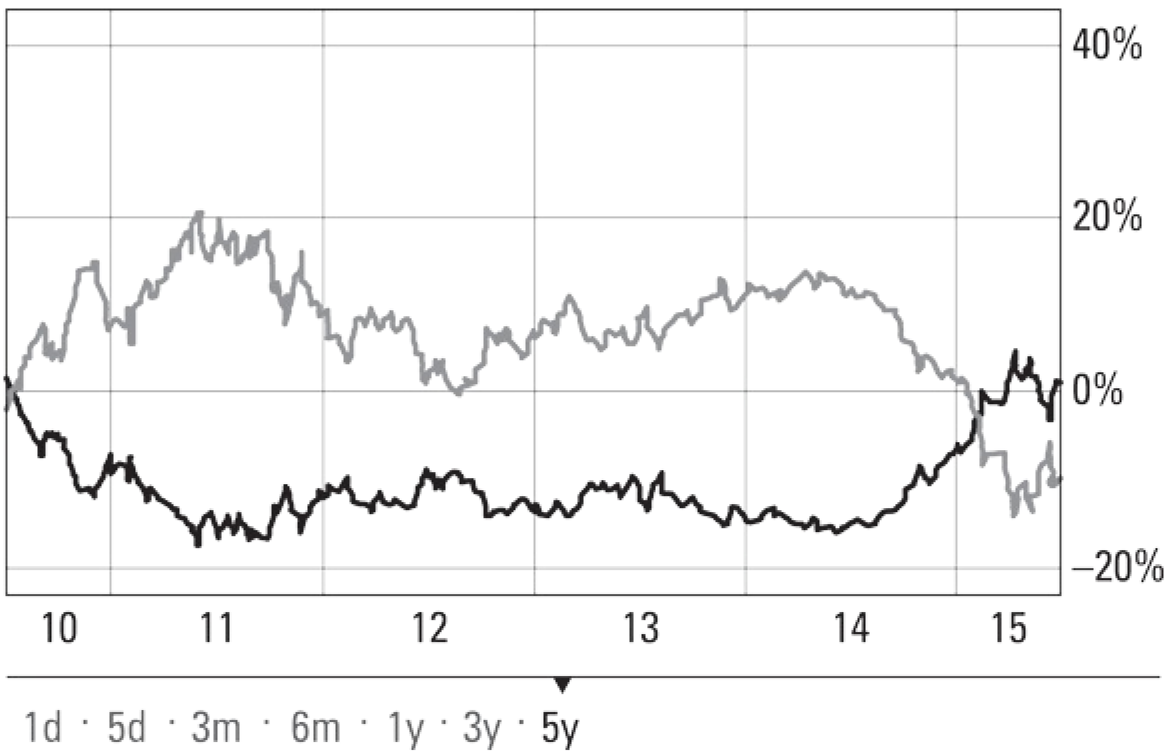


Figure 6-1: An IMA chart showing a negative correlation.

Note the near-perfect negative correlation of the euro (the gray line) and the bullish dollar ETF (the black line). The vertical axis shows the magnitude of the change, and the horizontal axis indicates the year (this is a long-term chart, from 2010 to 2015). Charts like this can help you make better trades when considering either currency in your strategy.

Positive correlation

In financial markets, *positive correlation* means that two assets or markets have a strong tendency to move together in a given market condition. For example, consider agricultural products traded in the futures market; when soybeans move up sharply, then corn tends to move similarly. When the Dow Jones Industrial Average goes down on a given market day, the Standard & Poor's 500 (S&P 500) index tends to go the same way.

Figure 6-2 is a good example of positive correlation. Those stocks whose underlying companies are commodities-based tend to trend with the fortunes of the commodity in question.

Figure 6-2: An IMA chart showing a positive correlation.

The interesting observation here is not the correlation of the movement but the degree of difference. In Figure 6-2, you see the price of oil (as represented by the United States Oil ETF, USO) in the lower gray line. The higher black line is the price movement for the Select Sector SPDR Energy ETF (XLE), which represents the top 50 or so oil companies (such as Chevron, Exxon Mobil, and so on); the time frame used is 5 years.

The shows the years (ranging from 2010 to 2015), and the percentages on the right show the magnitude of the change. You can see that the movement across the years was generally the same but the companies performed better than the underlying asset (oil). This means that an investment in the ETF performed better than the commodity in question, leading to better gains in the portfolio. The companies performed better in part due to the fact that the companies paid dividends in addition to providing the potential price appreciation.

There's a positive correlation, and XLE outperformed the movement of USO. In late 2014/early 2015, when oil plunged about 50 percent, the ETF also went down, but the drop was mitigated. Part of the reason is that the oil companies happen to be good dividend payers; USO is a direct play on the commodity oil in terms of futures contracts, and it doesn't pay dividends.

This chart also illustrates that oil is more volatile than dividend-paying large-cap oil companies. In this case, USO would have been appropriate for speculators, while XLE is more appropriate for investors.

No correlation

With negative or positive correlation, there is some connection between the behavior of two assets or markets. Some markets have no correlation between them, however. *No correlation* means that two given assets move up or down with no plausible connection between them. A bank certificate of deposit and an art collectible investment, for example, likely have no connection. In other words, both of these assets may gain value simultaneously, but neither has a connection to the other; both can go down in value or go in separate directions, but again, there's no connection between the two.

How about two different stocks in two different industries? In Figure 6-3, I compare Twitter (TWTR), a social media technology stock, with an ETF that is a good proxy for utilities (FXU). I use a 1-year time frame. TWTR has only been a public stock since late 2013, but even with this time frame, you see enough to notice the difference in the movement of each stock. How correlated are they? Take a look at Figure 6-3.

Figure 6-3: An IMA chart showing no correlation.

As you can see, these two stocks were not correlated in that relatively brief time frame. I suspect that even over a 5-year time frame, you'd see a similar lack of correlation.

The lower (relatively flat) black line is the price movement of the utilities ETF (FXU), and the higher, choppier gray line is the price movement of Twitter (TWTR) stock. The numbers/dates on the bottom of the chart indicate the time frame, which is June 2014 to May 2015 (a year of activity), and the right side of the chart indicates the percentage of movement for each individual security.

TWTR is very volatile. As the chart indicates, it has soared and crashed more than once. It is a great vehicle for short-term trading, but it would freak out those who want stability. Calling TWTR volatile is like calling a king cobra an inappropriate kid's pet. TWTR looks like a short-term trader's dream. You can comfortably infer that TWTR is likely very correlated to volatility. The fact that the company lost money that year tells you resoundingly that TWTR doesn't yet have what it takes to be a long-term investment.

Meanwhile, not only is FXU not correlated to stocks like TWTR, but it seems almost comatose in its price movement. Ah! A great investment for a conservative, long-term portfolio. Also, its price doesn't move like a jackrabbit; the stock is still worth consideration due to its high dividend and stability. FXU went up modestly and was generally stable, so it's a good security for those who don't like or want volatility in the price movement. It's primarily bought for income purposes (utilities tend to pay a high dividend), so it isn't typically bought or sold very frequently (which also makes it less volatile).

Choosing ETFs that are close in correlation

For the scope of this chapter, I cover which markets naturally interact with other markets, negatively or positively, and I mention that you won't get perfect correlation (good or bad). However, if you want to come really, really close in terms of correlation, you should consider synthetic vehicles that are as close as possible in correlation. Certain ETFs can achieve this:

- If you're bullish on the S&P 500 and don't want to buy 500 different stocks that would mirror it, then purchase the SPDR S&P 500 ETF trust (SPY).
- For bearish folks, purchasing the Proshares Short S&P 500 ETF (SH) would allow you to profit as the S&P 500 declines.
- Now, for you speculators who want to take it up a notch, there are leveraged ETFs. They try to mirror the return and possibly double or triple the possible gain. You can find bullish and bearish versions of these.

For information on ETFs for bullish investors, go to Chapter 9; bearish investors can go to Chapter 10.

Shining a Spotlight on Major Marketplaces

Intermarket analysis doesn't just look at *what* market affects stocks (such as commodities, currencies, and so on); IMA can also consider the *where* of markets. We live in an interconnected world. Events and conditions that affect one part of the world can have a significant effect in another part of the world.

Say that you love Gadgets-Arama Corporation (GAC) because it makes a great consumer electronic gadget that is coming out like gangbusters in the United States. GAC stock is soaring, but you just got the report that there's major political and civil chaos in Schlunkistan, which is somewhere between Bratislava and Outer Mongolia. At first you shrug it off, but you find out that 100 percent of the company's production facilities are there. What do you think will happen to the company's stock price?

In that example, I take IMA to the micro level — how a market affects a specific company. But you can take the analysis to the macro level and ask yourself how an event in Country A or World Region B will affect either the sector you're invested in or the general stocks in your portfolio.

Having a diversified stock portfolio could mitigate the impact. However, if a large percentage of your portfolio is in, say, bank stocks, and these banks have a huge exposure in a particular country or region, then you should sit up and take notice.

The following sections list the world's major marketplaces and how they relate to different markets such as stocks, bonds, and the like.

The United States

As I write this in mid-2015, the United States is still muddling its way through an unusually weak recovery years after the tumult of 2008 and 2009. Yet, when compared to the rest of the world, the United States is still considered the "safest market"; it remains the largest market and is relatively stable and predictable, both economically and politically.

At this time, the U.S. dollar is the premier reserve currency, and with that comes recognizable strength, because it's considered a safe-haven currency when compared to the currencies of other countries, especially from emerging markets such as those in Asia, South America, and so on.

> To see how a currency is strong or weak (in a relative sense), consider going to a site for finding and creating a chart, such as Stock Charts (`www.stockcharts.com`) or MarketWatch (`www.marketwatch.com`), and compare currencies against each other and against the U.S. dollar to see how they performed (good or bad) during a given time period. Good examples are currency ETFs for the U.S. dollar (UUP), the euro (FXE), the Canadian dollar (FXC), the Japanese yen (FXY), and the Swiss franc (FXF). It's easy to put two or more of these ETFs on a chart and see how they performed over a month, a year, or longer so you can see which currencies are weak or strong, given different market or economic conditions (bullish or bearish). Additionally, consider making a chart where you can see one of more of the currencies and how your stock or ETF performed against them. This will give you clues about which market affects which other markets.

If you owned a gold mining stock (positively correlated to the precious metal gold, of course), your chart would show that gold tends to be negatively correlated with the dollar and positively correlated with the euro. This can help you understand how markets affect one another in given market or economic conditions.

Europe

The European Union (EU) interacts with the United States, China, and the rest of the world. It's considered a de facto nation, even though the EU is a collection of sovereign nations. The EU has enormous collective strength. Its stock market tends to have a positive correlation with the U.S. stock market in good times. However, when there's a financial crisis in Europe (such as when the Greece crisis was in full bloom), the general European stock market tends to go down and the U.S. market tends to retain its strength as money moves from one market to another.

> Although stocks in general are considered a *risk-on asset*, when you drill down, you'll

see that some stocks are considered riskier than others. All things being equal, U.S. stocks are considered a safe-haven investment when directly compared to European stocks, which are considered risk-on in pessimistic moments. The same point applies within the same stock market. In the U.S. stock market, utility stocks are considered safe-haven when the general stock market (particularly growth stocks) is having a bad day. (See the nearby sidebar about risk-on versus safe-haven assets for more information.)

In recent years (2013 to 2015, for example), Europe's stock market has generally had positive correlation with the American stock markets. Interestingly, it's generally negatively correlated with the currency, the euro. Keep in mind that markets don't stay negatively or positively correlated forever; when there is a major change in the economic or market picture (particularly global changes due to a variety of factors such as war, geopolitical change, and so on), correlation can change and intermarket analysis would need to change along with it.

China

In recent years, China has become the 800-pound gorilla of economic growth. China has been an enormous consumer of commodities not only to feed its huge populace but also due to its appetite for base materials for building cities. In addition, China has accumulated precious metals as it seeks to provide a foundation of value for its currency.

The Chinese seek reserve status for their currency, the yuan. *Reserve status* is the condition given to favored currencies (such as the U.S. dollar) that allows them to be used for international transactions between nations. The governing body overseeing the reserve status of currencies is the International Monetary Fund (`www.imf.org`). The Chinese seek to have their currency qualify for reserve status by such means as expanding the use of their currency in international transactions; boosting the currency's value, stability, and acceptance by trading partners (other countries); and backing it with gold and a stable economy. When the IMF believes that China has achieved these objectives (as well as other requirements and guidelines), then the yuan will have a chance.

When China's economy grows, expect a similar upward move in the materials (commodities) tied to this growth.

In recent years, Chinese economic growth (as measured through GDP) and commodities have tended to have positive correlation. The Chinese economy (as represented by its leading stocks) and U.S. stocks (as represented by the Dow Jones Industrial Average) have tended to be generally correlated. However, there is very little correlation with the U.S. corporate bond market.

Emerging markets

Emerging markets is the catch-all phrase for those economies that are essentially still in their formative stages in terms of growth and maturity. Emerging markets include countries such as South Korea, the Philippines, and India.

The stocks of emerging markets are considered risk-on assets, as money flows to them during periods of positive growth (optimism). However, when there is global economic difficulty or the expectation of bad economic times, emerging markets tend to go down.

Other marketplaces

I won't list every country or region, but it pays to see which ones will impact your stock, your industry, or the commodities that are tied to the success or failure of your investment.

Precious metals investors, for example, should pay close attention to India. India is a major buyer of gold and silver, especially during the wedding season, typically in the autumn. Increased demand for gold in that major market means higher gold prices. Higher gold prices mean higher stock prices for gold mining companies.

For insights, news, and commentaries covering international marketplaces, here are some resources I like:

- Emerging Markets Insights (blog.frontierstrategygroup.com)
- Financial Times (www.ft.com)
- International Investing (internationalinvest.about.com)
- Mish's Global Economic Trend Analysis (www.globaleconomicanalysis.blogspot.com)
- The Economist Blogs (www.economist.com/blogs)
- Zero Hedge (www.zerohedge.com)

Risk-on assets versus safe-haven assets

Sometimes you hear about an asset being *risk-on* or *risk-off,* or you may hear the phrase *safe-haven assets.* These terms are not a commentary on the intrinsic or real value of the asset in question; they actually refer to the market's sentiment — either optimism or pessimism. In other words, a particular asset may be fine as a long-term investment, but perception in the short term reflects its desirability as either optimism or pessimism prevails.

When the general investing public is feeling optimistic, they move their money into risk assets or risk-on assets. The main beneficiary of this shift is typically stocks. If you're optimistic, you'll tend to do activities that are aggressive or growth-oriented. With pessimism, you withdraw from risky activity and head into safety. This means that assets perceived as risk-off or safe-haven are more attractive. Money then leaves stocks and heads into perceived safe havens, such as the reserve currency (the U.S. dollar at the moment). For many years, the Swiss franc and precious metals have had safe-haven status.

Part II

Choosing High-Potential Stocks and Exchange-Traded Funds

Find out why a popular stock often isn't a great stock in an article at www.dummies.com/extras/highlevelinvesting.

In this part …

- Find hot stocks of small-cap companies that could become Fortune 500 companies in the future. You even discover how to avoid losers.
- Make great profits by finding companies poised to fall. Check out the mechanics of going short to profit in bear markets.
- Get the lowdown on exchange-traded funds (ETFs) and how they can be a profitable addition to your stock investing strategies. Grow your money with ETFs in a bull market and find out how ETFs can make you great gains when the market is plunging.

Chapter 7

Small-Cap Stocks

In This Chapter

- Discovering who can benefit from small caps
- Distinguishing between different kinds of small caps
- Examining the positive signs and pitfalls of small-cap stocks
- Seeking out strategies for successful small-cap investing
- Unearthing small-cap winners with handy resources

This is everyone's dream in the stock market: buying that low-priced, obscure stock and seeing it ride long-term popularity, booming and zooming to a staggering level. Everyone has seen some pundit or investing research article state something like "Had you bought $1,000 worth of Tiny-2-Colossus Corp. at $1.50 a share 20 years ago and held on, today it would be worth $3.4 million!"

Such a claim may be true, but few actually accomplish this for a variety of reasons (lack of patience is the first!). Imagine if you had bought Microsoft, Apple, or Yahoo! when it was a small-cap stock in its initial public trading days. In this chapter, you can figure out whether the world of small-cap stocks (and even smaller stocks, such as penny stocks) is right for you.

Understanding Who Can Benefit from Small-Cap Stocks and Why

A *small-cap stock* is a stock whose market capitalization (the *cap*) is less than $1 billion. I cover capitalization in Chapter 1, but let me re-cap (see what I did there?). *Market capitalization* is nothing more than the company's stock price multiplied by the total number of stock shares outstanding. Given that, *small cap* means small (or low) capitalization.

If a company has 10 million shares outstanding and its share price is $2 per share, then its market capitalization, or market cap, is $20 million. Most of the big-name stocks that you're familiar with will most likely be large-cap stocks, where the market cap is in the tens of billions. Exxon Mobil, for example, is considered a *mega-cap stock* because its market cap is north of $300 billion.

For growth-oriented investors, putting some speculative risk capital into small-cap stocks can be a great strategy. Here's why:

- **More potential upside:** Small companies have an easier time doubling or tripling their sales, and it isn’t uncommon for small-cap stocks to move 50 or 100 percent or more relatively quickly. Large-cap stocks have much of their growth potential behind them, whereas a good small company has much growth ahead of it. Over an extended period of time, selective small-cap stocks have appreciated far more (percentage-wise) than large-cap stocks since the 1920s.

- **Diversification of your portfolio:** Small-cap stocks perform differently from other classes of investments in the same economic environment, and they offer diversification if you have a large percentage of your money in cash, bonds, and large-cap stocks. Diversifying into small-cap stocks is especially suitable for long-term investors who don’t need to worry about retirement or other income considerations for 10 years or longer. (Flip to Chapter 3 for an introduction to diversification.)
- **Seeing the company up close:** Seeing a small company operate up close tends to be easier for investors than observing some distant multinational corporation. You have a first-hand opportunity to check out the company’s products, marketing approach, and so on.

Small-cap stocks are great for investors who seek more-aggressive growth potential in their portfolios. If you’re in your peak earning years, you have adequate diversification and liquidity in your situation, and you have at least 10 years until retirement, then small-cap stocks could be a solid consideration for you.

Small-cap stocks (including penny stocks and other micro-cap stocks) are usually inappropriate for people who have already retired or who live on limited means or have difficulty in their financial situations. Seek professional assistance from a financial advisor regarding your personal circumstances.

Considering Different Types of Small-Cap Stocks

In terms of public companies that you can acquire for your portfolio, there are two types of small-cap stocks: micro-cap stocks (including penny stocks) and standard small-cap stocks. In the following sections, you see how these types of stocks compare.

Micro-cap stocks (including penny stocks)

A *micro-cap stock* is a publicly traded company whose market capitalization is under $250 million. That amount may sound like a lot, but it doesn’t even buy lunch at some mega-cap companies. Penny stocks generally fall in this category; *penny stocks* tend to have very low share prices that are typically under $5 per share. (Yes, there are even penny stocks priced in actual pennies per share.)

One of the best books on the topic of penny stocks is *Penny Stocks For Dummies* by Peter

Leeds (published by Wiley). It provides excellent information and guidance on this fast-paced and volatile market.

The greatest benefit of penny stocks and micro caps is the potential for growth with limited capital at risk. When you buy 100 shares of a stock for $4 each ($400) or 1,000 shares for 25 cents each ($250), you may have tremendous upside potential but risk only a few hundred dollars. Investing in a single penny/micro-cap stock is like buying a lottery ticket, so losing is very easy. Therefore, it makes greater sense to speculate with five to ten stocks (or whatever your risk tolerance is) because the odds of buying a true winner will increase. The bottom line is that the money you risk must be considered risk capital that, should you lose it, won't have a significant impact on your investments or overall financial well-being.

Microsoft (MSFT) is a classic example of a former small-cap stock that became a technology giant. Initially, the stock was priced at $21 and had 2.5 million shares issued for a total market capitalization of $52.5 million in 1986. During its life, it had ten stock splits. In the fall of 2015, Microsoft's stock price was around $45 a share, and its market cap exceeded $350 billion. What would have happened had you bought 100 shares of Microsoft in 1986 and held it long-term? To get a bird's-eye view of MSFT's stock price history (along with stock splits) from its IPO in 1986 to 2015, take a look at Table 7-1.

Table 7-1 Microsoft between 1986 and 2015

Event	*Total Shares (Share Price)*	*Total Value of Your Shares*
Bought 100 shares (1986)	100 ($21)	$2,100
2-for-1 stock split (1987)	200	
2-for-1 stock split (1990)	400	
3-for-2 stock split (1991)	600	
3-for-2 stock split (1992)	900	
2-for-1 stock split (1994)	1,800	
2-for-1 stock split (1996)	3,600	
2-for-1 stock split (1998)	7,200	
2-for-1 stock split (1999)	14,400	
2-for-1 stock split (2003)	28,800	
2-for-1 stock split (2015)	57,600 ($45)	$2,592,000 (***Note:*** This total doesn't include dividends.)

A *stock split* is when a company divides (splits) its existing quantity of shares into multiple shares. The number of shares changes, but the price is also adjusted. Although the number of shares outstanding increases by a specific multiple, the total dollar value of the shares remains the same compared to presplit amounts, because the split didn't add any real value. The most common split ratios are 2-for-1 and 3-for-1, which means that the stockholder has two or three shares for every share held earlier. For example, if you had 100 shares at $40 and there was a 2-for-1 split, then you would have 200 shares at $20 per share.

MSFT experienced nine stock splits from 1986 to 2003. Two of those splits were 3-for-2, and the rest were 2-for-1. Had you acquired 100 shares of MSFT in early 1986, you would have had 28,800 shares by the end of 2003. You would be receiving dividends on all those shares today!

In late 2015, the stock was worth about $45 per share. At this point (the end of Table 7-1), your holdings would be worth $2,592,000 (57,600 shares times $45). As good as all that sounds, I have to invoke the clarion call of late-night ads and say, “But there’s more!”

Consider the dividends during that time: MSFT paid its first dividend in early 2003 (8 cents per share paid immediately after the stock split that year in February) and started paying regular quarterly dividends in 2004. The interesting thing is that the amount of your first dividend in 2003 would have been a payout of $2,304 (28,800 shares times 8 cents per share), which is greater than the entire investment you would have paid for 100 shares of MSFT stock in 1986 (100 shares times $21 per share is $2,100, not including commissions).

By August 2015 (when MSFT raised its quarterly dividend to 31 cents per share), your total quarterly dividend payout would have been $17,856 (57,600 shares times 31 cents). Imagine the cumulative dividends you would have received in all that time.

Yes, Microsoft is an atypical example, but you can learn much from it to apply to your own situation and strategies. Microsoft benefited from a megatrend in personal computers and related technology that started in the late 1980s. Many other companies benefited and had enviable growth rates as well.

Some of the investing greats (such as John Templeton, who is profiled in Chapter 17) will buy a batch of micro-cap or small-cap stocks in a given sector or under certain criteria (low stock price and strong fundamentals), knowing that even if only one or two stocks out of ten picks do well, the overall portfolio will still do very well. Fortunately, penny stocks and other low-priced stocks don’t require a large capital outlay, so this approach can be reasonable (even if it is speculative).

Standard small-cap stocks

Depending on who you speak with, a *small-cap stock* commonly represents a publicly traded company whose market capitalization is under $1 billion, though some people think the cutoff is at $2 billion. Standard small caps also have a higher market capitalization than micro-cap companies.

Because penny stocks and micro caps are the most aggressive play, many investors should consider small caps; they also have tremendous upside potential but are at least more proven as companies and have a track record to analyze in addition to the public documents that are filed with the SEC.

When you’re ready to buy a small-cap stock, do the same due diligence that you would if you bought any stock and check for consistent profitability (three years or longer), growing sales, and an industry or sector that is also growing. (For more on value investing, check out Chapter 4.)

Keep in mind that growth potential is the first thing that comes to mind when you’re considering small-cap stocks, but the second thing that you should think of is risk. Higher potential for growth is usually accompanied by greater risk potential. All things being equal, a small-cap stock has greater risk than a larger, more established company in a given industry or sector. Small-cap stocks come with financial risk (the risk that the company won't succeed as planned) or can experience losses in the early, struggling years, so monitor the company's progress both quarterly and annually.

Noting the Hallmarks of Potential Small-Cap Winners

When you sift through the decades of stock market trading and you research what penny stocks and small-cap stocks have done, you see a definitive profile of winning small-cap stocks. Regardless of industry or sector (see Chapter 3), there are clear signs to look for in identifying the small-cap stock that could soar and earn you some phenomenal gains.

What are the company's numbers?

Is the company an existing enterprise with sales and earnings? How long has it been around? What are its assets and liabilities? You analyze a small company in much the same way you would analyze larger companies. Use a value investing approach (see Chapter 4 for details) to see whether you have a company with a promising future.

This type of research is especially important if you're an investor (rather than a speculator), which means you'll potentially be with this company for years.

What are the product and the market?

Is the product good? Is there consumer acceptance for what the company offers? Who is the company's market? Is it a growing market? Check this out. Go to consumer sources such as Consumer Reports (`www.consumerreports.org`) or Consumers' Research (`www.consumersresearch.org`) to find out about the product and how popular it is. Do a search for its industry or sector at sites such as Bloomberg (`www.bloomberg.com`) or Hoovers (`www.hoovers.com`) to see whether the market is growing and who the competitors are. Check out research sources in Appendix A.

> TIP: If possible, visit the company, especially if it has a retail outlet or it's a restaurant or other type of enterprise that's accessible to the public. Ask yourself whether the place looks busy, how many customers there are, and what they are buying. It's also good to have a brief chat with an employee or two. Ask whether they like the company, when it is busy, whether the company is planning expansion or adding new products, and so on.

Can the company ride a megatrend?

Many times, what makes a stock a success is riding a megatrend of popular interest. A good example is Chipotle Mexican Grill (CMG), which was a small-cap stock in 2006. Then (as now), the public wanted fresh, healthy food that tasted good. Greater consciousness about healthy alternatives to hot dogs and hamburgers gave CMG the market oomph it needed to boost its sales and profits.

Chipotle restaurants proliferated, and its stock soared over 1,000 percent. Its stock price surpassed $700 per share in early 2015, and CMG is currently a large-cap stock with a market valuation of over $18 billion. For more guidance on megatrends, check out Chapter 19.

Who are the company's partners?

One of the clues of potential success for a small company is who it will be doing business with either as a marketing outlet or as a business partner. For example, part of what spurred on Chipotle's success (see the preceding section) was partnering with the well-known restaurant chain McDonald's.

When a small company can gain a larger and more successful company's backing, the small company's prospects for success are helped because it can leverage the larger company's expertise and resources to enhance its potential success. In this case, McDonald's is a huge company with decades of proven success in the fast food industry, which is something that Chipotle (as a fledgling company) can benefit from.

Keep in mind that when a large company does get involved with a small company (in a joint venture, an investment, or other involvement), the connection tends to be a public event, and that information is usually revealed at either or both companies' websites and in press releases that are published at major financial sites (such as the ones listed in Appendix A).

> News reports on the company — along with press releases and other public communications — will alert you when high-profile joint ventures or business deals occur. When a large, successful company does business with your company, the chances of success go up dramatically.

What's the track record of the management team?

As you research the company, look at the profiles and bios of the management team. If they have a successful track record, that's a huge plus. Good management is crucial for success.

> As you read the biographies of the key managers, make sure they have extensive experience in the same industry and/or the same type of business. If the business is a biotechnology firm, does the management team have extensive experience in biotech, and how did the firms they were with perform?

Are insiders buying the stock?

When the management team is heavily buying the stock of the enterprise and key high-profile outside investors are buying the company's stock, chalk it up as another big plus. Hey, look — if Warren Buffett is buying a half million shares, can you take a hint and get some shares, too? For more on insider buying, go to Chapter 20.

What have been the company's turnaround opportunities?

Believe it or not, a good place to look for a successful small-cap company is in a formerly successful company. A company that has succeeded and then stumbled offers you a chance to profit on its rebound. Looking for turnaround candidates can be a profitable pursuit.

A good example of this is Anthera Pharmaceuticals (ANTH). I credit this example to an associate, Paul Mampilly, a successful speculator who made himself and his clients excellent gains. He is also the editor of *Professional Speculator* (details in Appendix A).

In 2012, ANTH traded as high as $65 per share before it tumbled all the way down to $0.84 in 2014. Paul analyzed the company and saw that the company had intrinsic value, plenty of cash, and patents. In 2014, the investing public's appetite for biotech continued its steep ascent, and biotech firms in general rallied. ANTH rallied to $7 per share for a gain of 733 percent.

The takeaway for investors is to spend greater time and effort looking as deeply as possible to see value that gives the company opportunities to produce income in the near future.

Watching Out for the Pitfalls of Small-Cap Stocks

Don't think that small-cap stocks and penny stocks are all sugar and spice (unless that's what the company is into, of course!). Keep the following downsides in mind before you put your money at risk.

Volatility

Penny stocks and other low-cost stocks are much more volatile and riskier than the stocks you're familiar with. Seeing these low-priced stocks double or triple in a few days or a few weeks isn't that uncommon, but the reverse is also true. In fact, the reverse — heading down — is more common than the upside.

Investing in small-cap stocks is more speculating than not, and you should buy shares using only your *risk capital* (money that is used purely for speculative purposes and, if lost, doesn't impact your financial well-being; I discuss this topic later in this chapter). Fortunately, if you do lose a few hundred bucks on a small-cap stock that goes south, it's not the end of the world (just maybe the end of your speculating). Flip to Chapter 2 for an introduction to risk and volatility.

Thinly traded markets

Small stocks (especially over-the-counter stocks and stocks on Nasdaq) are notorious for thinly traded markets. This means that not many shares are trading on a given day, so it can be tough to buy or sell at a favorable price because of the lack of liquidity.

If you intend to acquire stocks in a thinly traded market (with a penny stock or micro cap, then it's best to assume a thinly traded market), use limit orders so that you don't buy at an unpredictable price, and use only speculative capital (with no debt) for the purchase. If the time comes to sell and you're having difficulty selling the stock (such as through the broker's website), then call the broker's trading department for assistance in placing the sell order.

The potential for scams

Sometimes unscrupulous players in the market manipulate penny stocks and micro caps more easily than in in larger markets (such as the New York Stock Exchange). Schemes such as "pump and dump" and "short and abort" occur when well-capitalized players push a stock up or down to lure players to buy stock and then make the stock reverse and bag some illegal profits.

To get the full details on how stock market schemes work, read the consumer reports and bulletins on the SEC site (www.sec.gov) and its sister site, Investor.gov (www.investor.gov). Both of these sites have a text search box on their home pages so you can easily find useful reports and warnings. Use terms such as "scam" and "fraud" as well as "penny stock" and "microcap" to find their latest documents. In addition, make sure that the company you're considering is listed in the SEC records and has the necessary documents on file with the SEC. To find those documents, use the SEC's search engine (called EDGAR) at www.sec.gov/edgar/quickedgar.htm. Keep in mind that when a company is in trouble with the SEC, advisories and warnings about the company are made public at its site, so do a search for any company you're considering for investment.

Heavy-promotion stocks

You may get an email from a publisher hyping how wonderful and amazing a particular small-cap stock is. It sounds like a fantastic investment opportunity! The problem is that the allegedly informative newsletter giving you the lowdown on the stock is actually getting paid a promotional fee from either the company or the investment banking firm that is underwriting the stock.

As a general rule of thumb, *you* should find that great investment, not the other way around. If you're getting deluged with emails or regular mail about a hot stock, give it the cold shoulder.

A lack of transparency

Penny stocks and micro caps sometimes offer limited information on their financial status. Although extensive information is available on stocks on major exchanges, some small stocks have surprisingly little data available.

Data for publically traded companies should be easy to find, and their profiles and general information should make their financial standing transparent to all. If you have difficulty getting enough information on a particular small-cap stock, just move on.

Trying Out Tactics and Principles for Small-Cap Success

Micro-cap and small-cap stocks are tailor-made for speculators. Whether you're doing short-term speculating (such as trading) or long-term speculating (hoping your choice eventually becomes a major investment), you're gambling. You may not be putting a fortune on the line, but it is your hard-earned money. Here are some small-cap guidelines to keep you sane — and hopefully profitable:

- **Know your goals.** You should know as much about yourself as you know about the company and its small-cap stock potential. What is your approach? What do you aim to do with small-cap stocks?
  - **Short-term speculating:** There's nothing wrong with seeking quick gains if you don't mind the potential risks. With speculating, the fundamentals of the company aren't that great of a concern, because you don't plan on holding the stock for very long. As a speculator, you would use technical analysis to evaluate the stock (see Chapter 21).
  - **Long-term investing:** Here you approach the stock as a value investor. Think growing sales and increasing earnings. Use fundamental analysis, as covered in Chapter 4.
- **Designate risk capital.** You allocate your funds for a variety of purposes — emergency funds in the bank, investment funds in your IRA and/or 401(k) plan, and so on. For small-cap stocks, allocate a sum of money that you are comfortable losing in a worst-case scenario; this money is called *risk capital.*

  This sum has to be high enough for you to diversify your small-cap holdings but small enough that losing the money won't alter your life or general prosperity. Unless you're more experienced with small-cap stocks, consider limiting your exposure to less than 10 percent (or less than 5 percent for novice investors).
- **Become proficient in the industry.** When an industry does well, many of the stocks in that industry tend to do well, and the small-cap stocks tend to do very well. The more you know about an industry and the major factors that influence it, the better you'll be as a stock picker. Check out Chapter 3 for an introduction to stock sectors.
- **Diversify.** Yes, if you have 100,000 shares of one small-cap stock, you'll have a fortune if you're right. But the odds are definitely against you. Losing all or most of your money is too strong of a possibility to ignore. You're better off having, say, 20,000 shares in each of five companies.

  In the world of small-cap stocks, you could have a situation where you end up with four losers and one winner and still come out ahead in total market value.

- **Buy some, sell some.** If you bought 1,000 shares of a stock and it's up a few hundred percent, take some money off the table and cash out enough to have (at the very least) your original investment back. Then hold the remaining stock for the long term if you're an investor.
- **Get to know the company through a phone call (or visit).** Usually, company executives like to discuss the business with investors and other interested parties, and a call or visit gives you the opportunity to pick up some valuable information. Ask about their short-term and long-term objectives.
- **Check for news and insider disclosure.** Many financial websites give you the ability to receive alerts when major events happen with your stock. Many financial websites let you see what the insiders are doing. Take advantage of that. Appendix A provides a list of resources.
- **Use limit orders.** Choose brokerage orders that minimize risk and potential losses and maximize gains. Use limit orders rather than market orders with small-cap stocks so you can control the prices you pay or receive when you enter or exit positions. Find out more about these types of orders in Chapter 5.
- **Choose a batch of potential winners.** When you're investing in micro caps and/or small caps, get five to ten in your chosen industry or sector. This strategy enhances your chances of a winning total portfolio, especially if you choose a hot industry or sector.

TIP One of my favorite long-term investors is John Templeton. He started his legendary multimillion-dollar fortunes by investing in small stocks during the Great Depression. Templeton made sure that the company had true value (profitability, valuable assets, and so on) and recognized when the stock price was significantly below the company's value. Find out more about his approach in Chapter 17.

Finding Small-Cap Gems

TIP If you're looking for small-cap stocks, consider starting your search with top organizations that may already have those stocks in their portfolios. If experts chose small-cap stocks for an exchange-traded fund (ETF) portfolio or for a mutual fund that specializes in small-cap stocks, those stocks probably offer a good starting point for your research.

To look for micro caps and small caps, go to sites such as the following (along with Appendix A):

- **Nasdaq (`www.nasdaq.com`):** This is not only a premier site for stocks but also the hub of activity for small-cap stocks. You can find stock reports and SEC filings for virtually any small-cap (or larger) company.
- **OTC Markets (`www.otcmarkets.com`):** Find small-cap stock listings and prices as well as the most active small-cap stocks.

- **Stockwatch (**www.stockwatch.com**):** This very active site is packed with news and views of stocks in general, but it emphasizes small-cap stocks.
- **The SmallCap Network (**www.smallcapnetwork.com**):** This extensive site has research and reports on small-cap stocks.
- **Small Cap Directory (**www.smallcapdirectory.com**):** This site is a search engine for doing research on small-cap stocks.

Also, consider alternatives to directly owning small-cap stocks. Buying ETFs that have a diversified portfolio of small-cap stocks can be a safer and more convenient way of adding small-cap stocks to your portfolio. For more information on ETFs, go to Chapter 9.

Chapter 8

Shorting Stocks

In This Chapter

- Finding profits with bad stocks
- Figuring out how short selling works
- Analyzing a bad stock for short selling

You may assume that to make good gains in the stock market, you should always look for stocks that will soar to the stratosphere. But *au contraire!* Some of the best profits to be made are in finding stocks that are ready to crash and burn.

Considering this book's title, I feel strange writing about profiting with stocks that are reaching the next level, uh, down. But some of the quickest and most outrageous profits happen when a stock (or other security such as an exchange-traded fund, or ETF) plummets.

In this chapter, I cover what you should know about a tactic called *shorting stocks,* and I explain how to do it while keeping the risks at a minimum. ***Note:*** Keep in mind that *going short, short selling,* and *shorting* are treated as synonymous terms.

Understanding Some Important Points about Shorting

"Buy low, sell high" is such an ingrained principle that it needs no explanation (if you need it explained, you shouldn't be in the stock market). But shorting is essentially the opposite, and therefore it becomes a head-scratching lesson even for some intermediate investors. No worries! You have the right book in your hands or on your screen.

Before you dig into the world of shorting stocks, here are a few essential points to keep in mind:

- **Making money shorting stocks is not a bad thing, morally speaking.** It's not like you're burning down Grandma's house and looting the knitting supplies she uses to make sweaters for orphan puppies. You are (or are seeking to) make money from the (downward) market gyrations of a stock; you aren't causing anything to drop. You didn't cause any grief to the underlying company, and you aren't cheering for any firm to suffer. The downs of stock movements are part of what makes it a market.
- **Over the long term, markets tend to have an upward bias.** Look at any long-term chart (say,

10 or 20 years or longer), and you see that the stock market tends to move upward (in a zigzag manner). That's why shorting stocks over an extended period of time tends to be a losing strategy. Shorting can mean phenomenal profits for you in the short term, but it's very risky beyond that.

- **Stocks aren't the only things that you can go short on.** You can also go short on exchange-traded funds (ETFs). This is one of the similarities between stocks and ETFs; both are generally marginable, optionable, and shortable, and trading can be done with the usual brokerage orders.

  What if you think that industry X is in terrible shape and you're very bearish on it, but you just can't seem to find the right stock to short? Consider going short on industry X. Do your due diligence (research the industry to see whether your bearish views are confirmed) and find an ETF that mirrors that industry.

  By the way, if you do want to short a particular industry (or an entire sector or a type of investment such as a commodity, for example), then consider inverse ETFs. An inverse ETF is definitely speculating, but it's much less hazardous than shorting. Find out more about ETFs in Chapter 9 and about inverse ETFs in Chapter 10.

Because going short on stocks has greater risks than going long (the practice of buying stock, holding onto it for a while, and hoping its value goes up), I strongly advise that beginning investors avoid shorting stocks until they become more seasoned.

Getting a Handle on the Mechanics of Shorting

The essence of short selling is that the stock you're choosing to go short on is first borrowed by the broker, placed in your account, and sold instantly. If you're correct and the stock goes down, you can then buy back the stock at a profit and return it from whence it came.

Keep in mind that "borrowing stock" is the heart of the short sale. The stock has to be returned. The broker typically borrows it from other clients (a third party, done even without the party's knowledge). I know that doesn't sound right, but it's common practice, and the broker does guarantee the transaction for the stock owner, so there's nothing wrong here in that regard.

Shorting can be done only in a margin account (discussed in Chapter 5). It requires approval from the brokerage firm, and you need to have sufficient cash and collateral (in the form of other stocks) to cover your potential liability in the event that your shorting strategy generates losses. Speak to your brokerage firm's customer service department for full details on the firm's shorting requirements, margin maintenance, and guidelines to minimize losses.

Suppose that XYZ stock is trading at $40 per share. You believe it will go down, and you believe that will happen soon. So that you can take advantage of this potential move in the stock, you decide to go short on XYZ.

You call your broker, who then proceeds to borrow 100 shares of XYZ from a third party (which party is immaterial to you) for your short sale. The broker then sells this stock at the market price of $40 per share to receive total proceeds of $4,000. This money, which is now sitting in your account, is considered a liability for you, and you pay interest on this amount. You have an obligation to ultimately return 100 shares to your broker, who will then return the stock to the third party from whom it was borrowed initially.

Several weeks pass, and XYZ stock falls to $22. At this point, you want to lock in your profit and get out, or *close out* the trade. You call the broker and instruct him to "close out and cover my short trade on 100 shares of XYZ at the market." The broker will then buy 100 shares at $22 and return the acquired stock to the third-party source.

The end result is that your short-selling trade worked out very well. You "sold high and bought low" and earned a profit. In other words, you sold XYZ stock initially at $4,000, you bought it back at $2,200 to cover and close out the trade, and you made a profit of $1,800 ($4,000 minus $2,200), minus commissions.

But what if the trade didn't work out? As you know, the short term can be unpredictable and irrational. That's the market! Suppose that XYZ stock doesn't fall in the short term; it rises. What then? If XYZ rises to $70 per share, there's a serious margin issue (see Chapter 5 for an introduction to margin). Although you have $4,000 in cash sitting in your account, the full amount needed to cover your transaction is $7,000. You'll get the dreaded margin call, and you'll need to either increase the cash in the account or add (or have) marginable securities in the account. If the stock does go to $7,000 and you don't have marginable securities (which act like collateral so that the margin liability is secure), then you'll have to cough up the extra $3,000 — and that's a lot of coughing!

WARNING!

In short selling, the most you can make is 100 percent (in this case, the stock goes to zero, meaning that the company most likely went bankrupt). But if you aren't careful, you could lose more than 100 percent. In the case of XYZ, if the stock zooms to $85, then your loss would be a whopping $4,500! In that case, you either cough up the extra dough or take the next flight to Burma. (Of course, preventing a bad situation is better than dealing with it, so make sure you see the later section "Protecting yourself.")

After you see both the good and bad sides of shorting, you can check out the chronological step-by-step of what to do in the following sections.

Opening a margin account

You need a brokerage account to do a short-selling transaction. Shorting stock or borrowing to buy stock is possible only in a margin account, so you need margin approval. Keep in mind that *margin* is simply a "cushion" the broker requires in case your short sale becomes a loss in your account.

The broker thus uses the cash and securities in your account as a form of collateral, so short selling is just a way to borrow from the broker to invest. (I discuss margin and brokerage accounts in Chapter 5, and you can find resources to help you choose one in Appendix A.)

Note: For the sake of the examples in this chapter (and most examples in this book), I do not factor in brokerage commissions. This move keeps things tidy and makes the math easier for me!

In terms of funding your account (or trades within your account), make sure you use funds you've allocated for speculating. Going short is like financial gambling and should be treated with the same prudence and due diligence that any type of speculating or gambling requires. Don't do short selling in retirement accounts or with emergency funds, rent money, or anything from your kid's piggy bank (but using the change you find in your sofa cushion may be okay).

Keep in mind that in your margin account, you must have at least 100 percent of the stock's market value. This equals the cash from the initial short sale plus any increase of the stock's price that may have happened. The rule that governs margin requirements in your account is called *Regulation T,* and it's a Federal Reserve regulation for brokerage firms.

Make sure you contact the brokerage firm's brokers to discuss the firm's specific margin and broker order policies and to go through the possible scenarios that may occur — especially if the short trade goes wrong. More on margin is in Chapter 5.

Doing your homework before you choose a stock to short

There may be thousands of stocks to choose from if you're buying (going long), but not every stock is shortable. For example, you can't short a stock that is less than $5 per share. Also, a regular retail investor (like you and me) can't go short on certain types of stock, such as stocks listed in the over-the-counter market (see Chapter 7).

Stocks that are good shorting candidates tend to have certain characteristics. Both fundamental and technical analysis will help here. I touch on these techniques (and other considerations for choosing a stock) later in "Your Shorting Strategy: Deciding What and When to Buy Safely," but a fuller treatment of fundamental analysis is in Chapter 4, and Chapter 21 is an entire chapter on technical analysis.

Making the trade

Be disciplined and have a plan and an exit strategy before you enter a short sale. This means making sure that emotions such as fear and greed won't cause unforced errors. (I cover exit strategies later in this chapter.)

When you're ready, call the brokerage's order line or go to its website to make the trade. If you're calling, say something like, "I would like to go short on 100 shares of XYZ stock at X dollars per share."

If you're making the trade on the brokerage's website, you enter the order type as "going short" or something similar. Every broker is a little different, so check the directions on the website. Most brokers offer some type of ordering guides, such as tutorial videos or how-to articles.

After you click or press the button for designating the trade a short sale, fill in the rest of the order details, such as the symbol for the security, the number of shares, and the type of order (market, limit, and so on).

TIP

If you want to get into a short trade, consider doing a limit order so you have some control over the price. When you want to get out (and get out immediately), consider a market order so that it can be transacted very quickly (in seconds!). Don't forget to also make it a GTC (good 'til canceled) order so you can keep this protection active until you cancel it.

For more information on brokerage orders, head over to Chapter 5. Also, take a look at the later section "Your Shorting Strategy: Deciding What and When to Buy Safely" for the ways you can protect yourself when you're speculating (especially with shorting).

Keeping an eye on the stock while the trade is live

Okay, you did the trade and the short sale is now sitting in your account. Now what? There are plenty of stocks I've purchased that I either rarely look at (for a variety of reasons) or don't look at obsessively; if I chose properly, then I don't worry that much. However, shorting stock is a different animal. I watch the stock price closely every day, even if it looks as if I'm realizing a gain.

WARNING!

Short selling is riskier than buying a stock. It entails a liability — one that can grow dangerously if not attended to properly. While the trade is live, or open, watch the stock like a hawk (you are, right?) and be aware of the costs:

- **Liability:** Because you borrowed stock, the situation is much like any other liability: You'll have to pay it back eventually — in this case, by buying the stock you shorted.

  Although there's no set time period on how long the short sale is active, or live, it can be closed if the owner of the stock decides to sell, which means that you in turn have to close out your position by buying the stock, and that could happen at an unfavorable price to you.
- **Interest:** You have to pay interest to the broker on the margin balance amount (amount borrowed).
- **Dividends:** If the stock generates a dividend in the midst of your short selling, the dividend is due to be paid to the stock's owner. You essentially pay it to the broker, who passes it along to the stockholder.

Having your exit strategy in place

Keep in mind that if the stock you're shorting is rising, you should put in a limit order to minimize the potential damage. If you sold short XYZ at $40, for example, then have your buy-limit stop-loss in place at $42 or $44 (5 percent or 10 percent) so you don't take a real hit financially.

Similarly, it's a good idea to have your exit strategy in place when you're realizing a gain. If XYZ stock falls from $40 to, say, $32, consider moving your buy-limit order from $42 (or $44) down to at least $35 so you can start locking in a gain.

If your outlook about XYZ changed when it indeed hit $32, then close out your position and take that $8 per share profit. If you feel XYZ still has plenty of downside potential, then just adjust your buy-limit order downward so you aren't surprised by a sudden reversal.

Trying not to get squeezed

Sooner or later, you have to buy back the stock you shorted so it can be returned to the owner. And sometimes your hand is forced because the owner sells and you have to cover the trade (buy back the stock) sooner than you anticipated. What happens when heavy buying activity comes into the market and the stock price starts to really take off?

The heavy buying pushes the stock price higher, and this puts great pressure on speculators who are shorting the stock. You then have a condition referred to as a *short squeeze:* Short sellers scramble to buy back their stock to avoid further losses, fueling the buying frenzy so that the stock price rises even further.

Keep an eye on the total short interest of a stock, which is usually reported on the major financial websites (such as at the websites for Yahoo! Finance and Nasdaq; see Appendix A for details). For a given stock, the *short interest* tells you the total quantity of shares that have been sold short but not yet closed out, or covered. You can also find which stocks are the most shorted.

The short interest can be expressed as a percentage by taking the quantity of shares sold short and dividing that number by the total outstanding shares. If you see that a stock has 4 percent short interest, then 4 percent of the stock's outstanding shares are being held short. As a general rule of thumb, if the short interest is higher than 5 percent, the danger zone has been entered and it's time to head for the exit.

Days to cover, which is another measurement related to short interest, indicates the average length of time (in days) it takes short sellers to buy back all the borrowed shares. The longer the days to cover, the greater the risk of a short squeeze — in other words, the greater the chance that shorted shares will be bought back and create buying pressure that will increase the share price and possibly make those who are short start to lose money.

All things being equal, it's safer to short a stock when the total short interest is low and the length of the days to cover is shorter rather than longer.

In the event that you're shorting a stock, short interest is high, and the days to cover increases, then consider either reducing or eliminating your short position or, at the very least, set up a *buy stop-loss order,* which is a stop-loss order that buys the stock to exit the trade and close out the short position (Chapter 5 covers brokerage orders).

Some speculators try to outspeculate those speculators who are short by analyzing the stocks that have huge short interest to see whether going long (buying that stock) would be a good idea. The rationale is that if that company is essentially sound and the short interest indicates that the market went too far in its shorting, there's a chance for the stock to bounce back. Basically, the speculator is anticipating a short squeeze and wants to be on board for (hopefully) a fast profit. If you see a good stock that you feel is undervalued (see Chapter 4 on finding value) and you were considering it anyway, seeing that it has a large short interest could signal a good time to buy.

Closing out your short trade

When you're long, you close out your trade by selling your position. But when you're short, you buy back your position to close it out. If you were talking to a broker, you would say something such as "Close out my short position on stock X by buying back 100 shares at X price." You can specify whether you want a market order ("buy at the market") or a limit order ("buy back at X price or better"). After the stock is bought back and you're no longer in that position, the stock is returned from whence it came. You then calculate your gains and losses (don't forget any commission you paid both when you sold short and subsequently bought back).

If you locked in a profit, what did you discover? If you got out with a loss, I'm sure that it was a learning experience. Either way, the transaction should grow your knowledge and experience.

Even the best speculators have losses or trades that were not as profitable as expected. But these people use what they've learned and make the next shorting opportunity that much better. The best speculators know that short selling is part of the wealth-builder's arsenal; you make money on bad stocks as well as good, and you can make money in down markets (bear markets) as well as in up markets (bull markets).

Your Shorting Strategy: Deciding What and When to Buy Safely

People who consistently do well with short selling tend to follow a plan in terms of both identifying stocks that are shortable and watching for market signals as to the timing. The following sections give you the scoop on discovering what to buy and when and on how to protect yourself from losses.

A good way to learn about what to do in the near future is to review history! Before you move forward with your strategy for going short, think about those companies that crashed and burned, like Enron, Fannie Mae, Global Crossing, and Bear Stearns. How did it happen? Much of what you need to know is now public knowledge, so look online or see whether your library carries newspapers like *The Wall Street Journal* in its archives. Many of these companies had obvious signs that trouble was brewing. Lots of folks didn't see it at the time, but that's because fear and/or greed got in the way of reason, analysis, and discipline. Have a notebook and jot down what these companies' problems were and why they may have occurred.

Using fundamental analysis to choose "what"

Fundamental analysis — looking at the company's numbers (sales, profits, and so on) and related data (industry factors, market factors, and the like) — will help you create a pool of candidates from which to choose for your shorting strategy.

Normally, you'd use fundamental analysis as a filter to separate the good from the bad and the ugly. In this case, you discard the good, embrace the bad, and become truly enamored with the ugly. With shorting, ugly is beautiful.

Chapter 4, which is about finding value, offers plenty of info on earnings, debt, and other factors to look at to discern value when you're selecting companies to invest in. Of course, when you want to find companies that are shorting candidates, then you use the opposite logic. The following sections provide more information.

Short selling in bear markets

What kind of market are you trading in?

Short selling in a bull market is akin to paddling upstream. Sometimes it's like paddling up Niagara Falls with tennis rackets rather than paddles. Yes, there are bearish opportunities inside bull markets; after all, some companies have bad-hair days (and weeks and months) in any given market conditions. But it's just easier to short when the general market is struggling and falling. After all, if a rising tide raises all boats, it's better to bet on sinking boats in a tsunami.

Given past market data, bear markets tend to come around about once every 3.5 years (give or take a few months) and tend to last about 18 months (give or take a few weeks). For bullish investors, that length of time tends to mean half a bottle of aspirin (give or take a few tablets).

It makes the most sense to slowly step into a shorting (or other bear market) strategy when a bull market is looking very toppy and has all the indicators of running out of steam and starting to head downward. Selling at the top is, of course, much easier said than done. But fortunately, short-selling opportunities are plentiful even after a bull market has already ended and started to zigzag down. (I cover looking at the big-picture concepts in Chapter 19.)

Looking at the company's sales and earnings

If a good company has rising sales and earnings, then a weak company has shrinking sales and earnings or, even better, no earnings (that is, net losses).

TIP View the income statements from at least the most recent three years to see where the company is trending. If sales have been flat or falling for three years and you also see falling net income to the point of losses, then you have yourself a shorting candidate. Finding this data — which basically shows total sales minus total expenses with the net income or loss — is not difficult. Websites such as MarketWatch (`www.marketwatch.com`) and Yahoo! Finance (`www.finance.yahoo.com`) are good for starters.

Find out more about sales and earnings in Chapter 4 and in Chapter 7, which covers small-cap stocks and related investments.

Seeking out unsustainable and/or rising current debt

Unsustainable debt has been the wrecker of many companies, big and small (not to mention millions of individuals and some countries, too). The size and scope of a company's debt can be found on its balance sheet (see Chapter 4). A balance sheet summarizes (in order) the company's assets, liabilities, and *net worth* (which equals total assets minus total liabilities). Compare the most recent balance sheet with the balance sheets of the prior two years to see whether a trend is unfolding with unsustainable debt.

The same sites that provide income statements also provide the balance sheet as well (see the preceding section). More resources are in Appendix A.

While long-term investors look at the company's total debt, a short seller is more concerned about the sustainability of current debt. Total debt or long-term debt may be an issue, but it's more likely a long-term issue. Short sellers don't worry about debt difficulties unfolding years into the future. They want to see immediate difficulties because shorting isn't typically a long-term pursuit.

TIP Look at the company's financial ratios for clues about how strong or how weak a company is. An appropriate ratio to look at, for example, is the quick ratio (discussed in Appendix B), which compares the current assets of the company (such as cash and accounts receivables, excluding inventory) to current liabilities (debts that need to be paid within 12 months). The quick ratio is categorized as a liquidity ratio, meaning it measures those assets that are liquid (or able to be converted to cash) and can be used for immediate bills and liabilities. Inventory is excluded from this ratio, but inventory isn't always as liquid as it can be.

Obviously, if the current assets exceed current liabilities, that's good for the company. Ideally, the current assets should exceed current liabilities by a wider margin, such as 2-to-1 or better. In other words, if a company has current liabilities of $1 million, it's better to have current assets of $2 million or better so the company has some financial breathing room.

A company would have a negative quick ratio if current liabilities exceeded current assets. This indicates that financial difficulties will arise in the short term if something positive doesn't happen.

Couple issues of current debt with, say, bad sales and earnings numbers for a company, and you see an attractive short-selling opportunity for a speculator. If a company has stagnating or shrinking sales, a net loss on the income statement, and a negative quick ratio, then you have a short-sale candidate.

Using technical analysis to choose "when"

Timing is everything with short selling, so technical analysis is valuable. Sellers in the market may not immediately recognize that a company has bad fundamentals (identified from fundamental analysis in the preceding section). Sometimes the stock of a bad company trades in a narrow range and doesn't break to the downside until some months have passed.

You could have the right shorting candidate but the wrong time for shorting. What if this is an exuberant bull market and all stocks, both good and bad, are rising?

This is why technical analysis can be valuable. Some folks who do short-term trading rely strictly on technical analysis, but I think that blending both approaches makes it a better bet, especially if you're a novice to short selling.

In this section, I cover a few points to keep in mind regarding technical analysis for short sellers. For a more detailed look at technical analysis, go to Chapter 21.

The double top pattern

Technical analysts look at chart patterns to see where the stock's price has been so they can get clues about where it may go. They check for resistance and support levels for a given stock:

- **Resistance:** Resistance refers to the price level that seems to act like a glass ceiling to a stock's price movement. In other words, the stock's share price keeps failing to break through this price level.
- **Support:** Support acts like a floor (I don't know if it's glass or not) that the stock price is able to bounce back up from reliably.

In a *double top pattern,* the stock price has made at least two runs upward but in each case was stopped at a particular level. This pattern may indicate that (for now, anyway) the stock has run out of steam on the upside and may be bracing for a pullback. Double (and even triple) top patterns tend to be reliable, so topping patterns are taken seriously.

If a company with bad fundamentals is also experiencing a topping pattern, this could indicate trouble for the stock's price — and opportunity for short sellers.

Bollinger bands

When a stock price is zigzagging up (or down), it tends to move in a channel. *Bollinger bands* are lines that delineate both the top and the bottom of that channel; they typically follow not the actual stock price but an averaged price, such as a 21-day moving average.

If the stock's average price moves above the top of the band, the stock is considered overbought, and if it goes below the bottom band, it's considered oversold. When a stock is *overbought,* that means that it shot over a sustainable price level and is vulnerable to a significant decline.

Given that, a short seller will use Bollinger bands to see whether the stock is overbought and will time the short sale at that point to anticipate the decline.

The Relative Strength Index

Another way to check whether a stock is overbought or oversold is through the Relative Strength Index (RSI). The RSI is an indicator that looks at the technical momentum of a stock and compares the size and strength of recent price gains to recent losses. If the stock has an RSI rating of more than 70, it's considered overbought. If it has an RSI rating of under 30, it's oversold. Therefore, an RSI greater than 70 would be another nail in the coffin for that stock — a good sign for short sellers.

Protecting yourself

In going short, you aren't worried about your stock falling (odds are you're either relieved or happy). Instead, you're worried about your stock going up. After all, the more that stock goes up, the more you stand to lose. Limiting your losses is more important when you're shorting versus when you're long. Why?

When you're long on a particular stock, your potential gain is unlimited, but your loss is strictly limited to 100 percent of your investment. If you buy a stock at $35 per share, certainly the gain could be as high as the market takes the stock, but you know going in that the most you can possibly lose is $35 per share. If 100 shares became worthless, your loss would be $3,500.

However, in going short, the most you stand to gain is 100 percent, but your loss is potentially unlimited. Given that, you need something in place to limit your potential loss. Here are a couple of safety devices:

- **Buy-limit orders:** Because you close out a short position by buying the stock you're shorting, consider using a buy-limit order. If you just got into a short stock position at, say, $35 per share, put in a buy-limit order at 5 or 10 percent above that price, such as $36.75 ($1.75, or 5 percent, above the $35 price) or at $38.50 ($3.50, or 10 percent, above the $35 price).

  The amount depends on your comfort level. At 5 percent, you would limit your total loss to $175. At 10 percent, the total loss would be $350. Hey, no one likes losses, but small losses are preferable to larger ones. If you're nervous about going short, then maybe you shouldn't be shorting. Still, if you aren't sure, then choose the closer limit price. For more on limit orders, go to Chapter 5.
- **Call options:** Because the danger of shorting stock is that the stock may rise, hedge against this rise and do something that would increase in value should the stock rise. Buying a call option on the same stock that you're shorting is one way to do that. I cover call options in depth in Chapters 11 and 12.

Your first time shorting, limit how much you do until you get how it works. Don’t go short on 100 shares of an expensive stock. The stock prices of Apple and Google, for example, are usually in the triple digits. Instead, short a lower-priced stock and maybe do only 50 shares. That way, if the trade goes against you and you do experience a loss, it won’t hurt too badly. In addition, you learn a valuable lesson in short selling, which means you’ll be that much wiser next time.

Chapter 9

Exchange-Traded Funds for Big Up Moves

In This Chapter

- Understanding how ETFs work
- Examining the pros and cons of ETFs
- Surveying ETFs for bullish investors
- Getting income from ETFs

I love exchange-traded funds (ETFs). There, I said it! I think that there's an ETF that is appropriate for virtually any portfolio, whether it's conservative, aggressive, or speculative. In this chapter, I go through the world of ETFs with the slant that they're bullish on either the entire market or a very specific industry or niche.

I cover the good, the bad, and the ugly of ETFs, but I think there's plenty of good, definitely some bad, and very little ugly. No investment vehicle is perfect, but ETFs come close, especially when you carefully pick them and match them with your investing needs and goals.

ETFs offer the advantages of stocks but have the added advantage of being diversified (even if it's only within a single industry or sector). I think that ETFs belong in most investment portfolios, and they certainly merit a chapter in this book. Here, find out more about ETFs' growth possibilities, and hang on for details on their income opportunities too.

Intermarket analysis and issues such as correlation are very useful to anyone considering investing and speculating with the world of ETFs. Understanding these concepts will help you make more informed (and successful) investment decisions (see Chapter 6 for details).

Introducing ETFs: A Powerful Vehicle

An *exchange-traded fund* (ETF) is a fund that has a fixed portfolio of securities that may track an index, mirror the performance of an industry or sector, or have another common trait that investors (or speculators) seek.

Keep in mind that the term *exchange-traded funds* means just that: ETFs are traded on an exchange like stocks are, and ETF shares are bought and sold daily on stock exchanges (such as the New York Stock Exchange and Nasdaq).

An ETF is like a stock in that you do with an ETF virtually anything you can do with a stock, and it's like a mutual fund in that it's a portfolio of securities, so you have some measure of diversification similar to what you'd find in a mutual fund. ETFs also share similarities with closed-end funds.

Comparing ETFs to stocks

An ETF is like a stock in that you can do the following:

- You can buy it in shares. You can buy 1 share or 50 or 100 or whatever quantity you can transact. There's no set "minimum cash amount"; your minimum purchase is technically 1 share (but keep in mind that there are brokerage commissions).
- You can do various brokerage orders on it, such as a stop-loss order, trailing stop, or limit order (see Chapter 5 for the scoop on brokerage orders).
- You can do short selling (find out more about short selling in Chapter 8).
- Where available, you can do options (Part III talks about options in detail).

Why would you trade an ETF rather than a stock? A stock can easily do better than an ETF, but it can easily do much worse. You're talking about what one stock does against the cumulative performance of a fixed portfolio of stocks.

Because ETFs and stocks have many of the same ancillary features (you can buy by the number of shares, the same brokerage orders apply, and so on), you instead evaluate whether to buy an ETF or stock based on your risk profile:

- A speculator or aggressive investor would favor an individual stock because it has a greater chance of gain, and he or she may not mind the commensurate risk.
- An investor who is more risk averse would go the ETF route due to the less risky nature of a large basket of stocks.

If you're not sure whether to choose a stock or an ETF, choose the ETF. Having the convenience of 50+ stocks of a given sector or type of security along with the same convenience of stocks (stop-loss orders, put options, and so on) is the safer route. If you're ever unsure about an ETF in your portfolio, you can put on a stop-loss order or trailing stop just the way you can with stocks in general.

Stacking up ETFs against mutual funds

ETFs are considered funds. They mirror mutual funds in that they're issued and managed by an investment firm. They offer the investor the advantage of diversification much like traditional mutual funds. However, an ETF is *static* in its diversification style (there's little movement in the total portfolio), while a mutual fund tends to be *dynamic* (movement is pretty regular and sometimes very frequent). Mutual funds may have higher fees, but they also have greater flexibility in regularly adjusting their portfolios by selling weak holdings and adding more-promising securities. An ETF portfolio is fixed, and usually any movement in the portfolio is due to factors such as mergers or companies going out of business.

ETFs tend to be transparent; you can easily see what securities the ETF has along with the quantity of each security, and you see which sectors these choices are in and so on. Mutual funds, on the other hand, are transparent only to the extent that you can see the last quarter. Mutual funds publish a snapshot of their portfolios as of the last trading day of the quarter (typically the end of the calendar quarter, such as March 31, June 30, September 30, and December 31, which is also the year's end).

Given that, if you're in a mutual fund on, say, June 5, it's very hard to tell what changes have occurred to the portfolio since the last publicly available snapshot more than two months earlier (the end of March). If the market has been particularly volatile and fast-moving lately, then for all you know, many of the positions from the last quarter's end have changed drastically.

Because ETFs are traded like stocks on stock exchanges, they can be bought and sold at any time during market hours (9:30 a.m. to 4:00 p.m. Eastern Time). When you buy into a mutual fund, it's a much different matter. Mutual funds are traded and quoted at net asset value (NAV), which is calculated at the end of the trading day. When you send in your money to a mutual fund, your money will purchase shares of the mutual fund at the quoted NAV. The NAV is essentially a tally of the market values of all securities held at the time market trading ends. In other words, stocks and ETFs get priced the moment you buy them at that time of the trading session, whereas the mutual fund pricing of your purchase occurs at the end of trading.

Perhaps the best way to illustrate the differences between traditional mutual funds and ETFs is by laying out the key differences in Table 9-1.

Table 9-1 Comparing ETFs and Mutual Funds

Issue	*ETF*	*Mutual Fund*
Initial purchase	From broker and by number of shares	From the fund directly (usually) and by dollar amount, typically $1,000 or more
Initial paperwork	After your brokerage account is open, buying is a simple call or a visit to a website.	An application must accompany the initial investment.
Pricing	Intra-day (like stocks)	Once a day at 4 p.m. (when the market is open)
How to acquire	Through any brokerage account	Varies by mutual fund
Portfolio transparency	High	Low
Listed on exchanges?	Yes	No
Continuously offered in the marketplace?	Yes	Yes
Management of portfolio	Passive*	Active
Internal costs and fees	Costs are generally low because the portfolio is not actively managed.	Costs are usually higher than those of ETFs due to commissions and the like.
External costs and fees	Each time you buy ETF shares, there are brokerage commissions.	You send in dollar amounts, and there are usually no external fees or commissions.
Tax efficiency	Usually high (turnover is low, so there are few gains/losses in the portfolio)	Due to active management, gains/losses are regularly reported.

Are shares finite in quantity or open-ended?	ETF shares are generally issued finite in quantity, much like stocks.	Mutual funds are open-ended, which means they can continuously issue shares if needed.
Reinvestment options	Limited; some ETFs can have dividends reinvested in your brokerage account.	Extensive; dividends, interest, and/or gains may be fully or partially reinvested.
Redemption fees	With ETFs, there are no redemption fees — just a normal brokerage commission as with any sale of securities.	Some mutual funds have a redemption fee; many do not. Check with the company.

** In recent years, some new ETFs have started actively managing their portfolios, so check with the ETF sponsor. Your broker or a major financial site can provide this information if you aren't sure from the ETF's name or title.*

Looking at ETFs versus closed-end funds

Closed-end funds? Sheesh, another wrinkle to this? Closed-end funds have been around for many years, but few investors are aware of them.

A closed-end fund (CEF) is like a mutual fund in most respects; the greatest difference is that traditional mutual funds are open-ended, which means the fund's management can buy, sell, and issue shares in its fund continuously. There's no finite quantity of mutual fund shares, hence the term "open-ended."

A *closed-end fund,* as you may have guessed by now, has a fixed quantity of outstanding shares, which are bought and sold similarly to stocks and ETFs.

Closed-end funds can be good deals when the net asset value (NAV) at which you purchase shares is lower than the book value of the portfolio. Also, some CEFs have very attractive dividend yields. Speak to your financial advisor about whether CEFs make sense for your portfolio. You can also find out more about them with educational resources at the Closed-End Fund Association website (www.cefa.com).

Picking Out the Pros and Cons of ETFs

There is no perfect investment, but there are many times when an investment can be perfect given market conditions and expectations. Knowing the pros and cons of ETFs will make it easier for you to choose when to deploy them given your situation and goals.

The benefits

Fortunately, ETFs have more pros than cons for most investors. Take a look at the positives so you can make an informed decision:

- **Transparency:** What you see is what you get! You can see the portfolio, and you know what you're getting. The ETF won't change the day after you put it in your personal portfolio. An ETF generally has a fixed portfolio and seeks to maintain it.
- **Ease of trading:** Buying or selling an ETF is easy; it's done with a few mouse clicks at your brokerage firm's website.

- **Brokerage orders:** As soon as you have your ETF in your account, you can do brokerage orders much as you would with stocks. You can do stop-loss orders, trailing stops, buy-limit orders, and time-related orders, such as a good 'til canceled (GTC) orders; find out more about these orders in Chapter 5.
- **Optionable:** If you want to do puts or calls or any type of option combination strategy with your ETF, you can do it. The same way you can use various options strategies with stocks, you can use them with ETFs. (Find out more about options in Part III.)
- **Marginable:** Just as with stocks, most ETFs are marginable. This gives you the ability to use leverage with the power of borrowing. Discover more about margin in Chapter 5.
- **Low fees:** The typical ETF is not actively managed like a mutual fund; therefore, there aren't high management fees. An ETF doesn't employ a team of active managers, so it can pass savings along to investors in the form of net higher returns.

  WARNING! Although ETFs generally have low fees, the real cost issue comes from trading too frequently. In recent years, brokerage commissions have come down to the point that many brokerage firms tend to charge only $7 or $8 per trade (usually regardless of the size of trade or number of shares). Given that, many investors turned into traders and bought and sold with greater frequency. The result is that total gains are greatly eroded due to the costs of excessive trading. As long as you aren't constantly trading, ETFs can generate great long-term returns than can be equal to or better than those of mutual funds.
- **Laser-focused purpose:** In recent years, ETFs have become quite targeted in terms of investing niches. If you want a fund that focuses on water stocks, only the top dividend-paying stocks in the S&P 500, or just business development companies, you can get it easily and conveniently with an ETF. If you want an ETF in Australian bonds, cloud computing, platinum miners, China's infrastructure, or small-cap German stocks, then by golly, there's an ETF for you! In fact, if you want an ETF that excludes a sector, you can do that as well.
- **Tax efficiency:** Because there's little turnover in typical ETF portfolios, there's little in the way of pass-through capital gains and losses. Depending on the ETF, you may receive dividends and/or interest, which is usually taxable unless the ETF is in a tax-advantaged account such as an individual retirement account (IRA) or a 401(k) plan.
- **Weighting and concentration:** Sometimes you have what looks like two similar ETFs, but they have different methodology and weighting. For example, you may have ETF A, which has equal quantities of each of the top 50 stocks in a given sector. Meanwhile, ETF B has the top 50 stocks in the sector, but it's disproportionately to, say, the top 20 stocks with a reduced exposure of the bottom 30.

  Whether the market is up or down, each ETF would likely generate different results. For you, the task is simple. Because transparency is a major hallmark of an ETF, you can view the holdings of both ETFs and make your decision regarding which ETF you prefer.

The growth of an industry

In January 1993, the first ETF emerged for active trading: State Street Global Advisors' S&P Depository Receipts Trust (called SPDR and quickly referred to as "Spiders") with the symbol SPY. By 1998, the industry started adding ETFs that focused on major sectors, such as healthcare and technology. By 2011, more ETFs had a goal-oriented focus, such as dividend yield and low volatility.

According to the Investment Company Institute (www.ici.org), by December 2014, the ETF industry grew to 1,411 funds and a value exceeding $1.9 trillion. The conventional mutual fund industry is still much larger (approximately $10 trillion in 2014), but the gap in market size keeps shrinking. The popularity and growth of ETFs continue as new and innovative ETFs cater to more-targeted niches and as international opportunities and other investing opportunities keep being added.

The downsides

Although I like ETFs, they aren't without their downside risks. I don't think the risks are a huge issue. They're just something you should be aware of:

- **Pass-through risk:** ETFs are a conduit for other securities, be they stocks or bonds or something else. The primary downside is basically tied to the downside of the securities inside the ETF. An ETF is only as good as the securities that are in it. You might say that a downside of ETFs is pass-through risk. There's no filter of whatever risk is inherent in the securities.
- **A static portfolio:** The ETF is a fixed portfolio, so if any securities in the portfolio are not doing well, you can't do anything about it — and neither can (or will) the sponsor of the ETF. If your ETF is in the top 50 banks and some of them are having major difficulty, you can't pick up the phone and call the portfolio manager to tell them to drop the bad bank stocks.
- **Low interest in the marketplace:** Keep in mind that many ETFs have been created for a variety of purposes. The growth in ETFs has been tremendous in recent years, but that growth hasn't been without casualties; every year, a handful of ETFs do close down, frequently due to low or little interest in the marketplace.

  Make sure that the ETF you're considering has been around for at least a year and that you see definitive interest in it, such as high activity with rising trading volume (I like to see a minimum average daily trading volume north of 100,000, preferably above a quarter-million shares).

Checking Out the Main Categories of ETFs

In this section, I want to touch on the various categories of ETFs so you can judge which ones fit your needs. I also provide at least one example of a typical ETF in each category as well as share my thoughts on who that ETF may be appropriate for.

The examples I provide are meant for informational and educational purposes only. After all, I have no idea about you and what's appropriate for you, so please discuss specific ETFs with your financial advisor and get more resources on ETFs in Appendix A.

I could easily write a book on ETFs, because it's a rich topic. I think there are excellent choices available regardless of the type of investor you are or your risk tolerance, personal profile, or ultimate goals. This section only scratches the surface! So here are a few general thoughts:

- **Trading the big picture:** When you read the other chapters in this book (you'll read the other chapters, right?), refer to this chapter. ETFs are a convenient way to invest, speculate, or trade as you see which sectors and investments will soar (or fall) with changes and events in the economy and international landscape.

  Chapter 19 is about the big picture; Chapters 17 and 18 are about what the legendary investors and speculators do. When you see profit potential and you aren't sure which stock may benefit, the odds are good that a particular investment asset or sector will benefit, and you can seize that opportunity with ETFs.

- **Hedging strategies:** Of course I want you to succeed. But sometimes strategies don't work out. Mr. Market has a different attitude and time table. Given that, be ready to protect your positions or discover how to let your winners run but cut your losses, whether that means stop-loss orders, trailing stops, proper diversification, or maybe protective puts (see Chapter 13 regarding put options).

- **Doing your homework:** As they say, the more you learn, the more you earn. Although I have some great resources on ETFs in Appendix A, here are some resources that provide more extensive guidance, information, and news on ETFs:

  - ETF Trends (`www.etftrends.com`)
  - ETF Database (`www.etfdb.com`)
  - Investment Company Institute (`www.ici.org`)

Index ETFs

The oldest ETF that is still actively trading today is an index ETF, the S&P Depository Receipts Trust (SPY) issued by State Street Global Advisors. It was meant to mimic the S&P 500 index, one of the most watched and followed indexes in the world.

I say *mimic* (rather than *mirror*) because this ETF doesn't have the 500 stocks needed to be a true barometer of the 500 stocks that are actually tracked by the S&P 500 index, but it is constructed to be close enough that it substantially follows the widely followed index.

For many investors, it doesn’t pay to try to beat the major indexes; it pays to merely be as good as the index. An index ETF is as good as it gets. This type of ETF is the easiest way to participate in the market without buying 500 stocks.

Investors can also get ETFs for the Dow Jones Industrial Average (DIA) and Nasdaq (QQQ). There are also index ETFs for the Russell 2000 and other leading indexes.

Sector ETFs

In terms of mainstream investing, a sector ETF is the place to be. To have an instant portfolio of generally high-quality stocks in a given sector just a few clicks away is a powerful benefit for investors.

Holding multiple stocks in the same sector may be a good way to diversify, protecting you from the risk of holding an individual stock, but keep in mind that sectors have a correlation issue. In other words, if you have a sector ETF in, say, technology, the entire portfolio will, of course, be affected when issues hit the technology sector. A technology ETF will likely do very well during a bull market but will have issues when the economy is struggling or contracting and the market is uncertain or declining.

Technology tends to be cyclical, which means that it rises and falls with the economic cycle. For safety’s sake, have another sector ETF in your portfolio that is defensive. *Defensive stocks* are stocks that hold their value during down periods (such as food, beverages, and utilities). Defensive stocks don’t typically do as well as cyclical stocks when the economy and financial markets are on the upswing, but they outperform cyclical stocks during downswings.

An easy way to view cyclical stocks and defensive stocks is to remember the words *wants* and *needs*. In good times, wants (spending on restaurants, home improvements, new technology, new cars, and so on) rises. In bad times, people spend less money on what they want but keep spending on what they absolutely need (food, water, utilities, and the like).

Sector ETFs can be good for extended periods of time and can be rotated as the economy ebbs and flows. Rotating provides a good way to switch without having to be too twitchy. One simple strategy is to switch between consumer discretionary ETFs and consumer staples ETFs. When the economy is growing and stocks are bullish, have a greater percentage of your money in consumer discretionary. If the time comes that the economy is more uncertain and economic indicators don’t look good, switch to consumer staples. And when I say *switching,* I don’t mean one ETF this week or month, the other one the next week or month; investing is a long-term pursuit, and switching happens over a period of a year or two or longer.

In Table 9-2, I provide the main sectors, noting whether they're cyclical or defensive (some call this *countercyclical,* but the term should be *noncyclical*) and providing examples of representative ETFs. You can find out much more about sectors, cyclical stocks, and defensive stocks in Chapter 3.

Table 9-2 A Snapshot of Sector ETFs

Sector	***Cyclical, Defensive, or a Mix?***	***Example ETF***
Basic materials	Mixed. Some are cyclical (base metals), some are defensive or countercyclical (precious metals).	Materials Select Sector SPDR (XLB)
Communications	Mixed. Telecommunications service tends to be defensive, while telecommunications technology is cyclical.	iShares U.S. Telecommunications ETF (IYZ)
Consumer discretionary	Cyclical	Consumer Discretionary AlphaDEX Fund (FXD)
Consumer staples	Defensive	Consumer Staples Select Sector SPDR (XLP)
Energy	Mixed. Some are defensive (oil and gas), and others are cyclical (oil exploration).	iShares U.S. Energy ETF (IYE)
Financial	Cyclical	Financial Select Sector SPDR (XLF)
Healthcare	Mixed. Some are defensive (drug retailing), and others are cyclical (medical technology).	Health Care Select Sector SPDR (XLV)
Industrial goods	Cyclical	iShares U.S. Industrial (IYJ)
Technology	Cyclical	Technology Select Sector SPDR (XLK)
Transportation	Cyclical	iShares Transportation Average ETF (IYT)
Utilities	Defensive	Vanguard Utilities ETF (VPU)

In Table 9-2, don't be too hung up on sector classification. Some folks tell you that there are only nine major sectors because some sectors overlap. Some companies are conglomerates, which means the company has many subdivisions that stretch across diverse sectors. Still other people list "services" as a sector, but it's hard to find an ETF that focuses on services; services will likely be lumped into consumer discretionary and/or staples.

In terms of whether an ETF is cyclical or defensive, just consider those designations as broad classifications, because few sectors are 100 percent cyclical or 100 percent defensive.

REMEMBER There's usually more than one ETF for a given sector, so do your homework (with the help of the sites listed earlier in this chapter and in Appendix A). No two ETFs are alike, and two ETFs of the same sector but by two different issuers can have significant differences. Issuer Number 1 may give more weight to larger stocks, while Issuer Number 2 may give equal representation to all stocks, regardless of capitalization.

Subsector ETFs

A sector can be broken down into interrelated subsectors that can, in turn, be broken down into interrelated industries before you get down to the companies themselves. As you look more closely, you end up seeing that some subsectors or industries are cyclical, while others are defensive.

The healthcare sector is a classic example of a sector with many subsectors and industries, spanning the range from very cyclical to very defensive. In addition, some industries are generally conservative (such as hospitals), while some are very aggressive (bio-tech). Some are cyclical (medical high-tech), and some are defensive (medical supplies).

A subsector ETF (also called an *industry ETF*) is a perfect way to play a specific industry without worrying about choosing a specific stock. If that industry does well, you have a great performing ETF. Just note the drawback: It isn't a form of diversification. An industry ETF consists of a batch of very similar stocks, so when that industry is doing well, that group of stocks will soar. However, if that industry is having a bad time, those stocks will get hammered. A good example is what happened to oil stocks during the second half of 2014 when the price of oil collapsed (yikes!).

Commodity ETFs

At one time, the average investor couldn't invest directly in commodities in his or her stock brokerage account except for maybe a large agricultural or a mining stock. But how times have changed!

Take energy, for example. Yes, oil and gas companies and related companies are scattered across the energy sector. But there are specific ETFs for oil (USO), natural gas, gasoline, and uranium. You can find ETFs for the major oil companies or for oil services and drillers.

Why stop there? Those ETFs are good if you're bullish on those companies or commodities. But what if you were *really* bullish? You can choose leveraged ETFs that can really make your gains gush if you're right! (I talk about leveraged ETFs later in this chapter.)

But what if you're bearish on energy? Well, some ETFs are configured so that you can make a profit if you're betting that energy (or related companies) will go down. If you're bearish on a given stock sector or commodity or type of investment, check out Chapter 10, where I introduce inverse ETFs.

Commodities ETFs have the same pros and cons as their underlying assets (commodities). When the economy is growing or experiencing inflation, commodities perform well as an asset class. When economic times are difficult (such during a recession) or during deflation, commodities don't perform well.

Currency ETFs

Do you have a yen for Japanese currency speculation? Do you wanna yuan? Want to bet dollars to donuts with the U.S. currency? Want me to stop with the puns? Okay, then. Currency ETFs just might be the ticket for you. Not that long ago, trading or investing with currencies (or using them as a hedging strategy against stocks) was not only outside the reach of the average investor but also out of the reach of the average stock brokerage account.

Trading currency required a futures account, and that took lots of paperwork and approval. But if you have a regular, run-of-the-mill stock brokerage account, you can now trade currency ETFs, putting this class of investing and speculating within reach.

During 2013 and 2014, when the world was on shaky ground and international currencies and stock markets were experiencing all sorts of unhealthy vibrations, investors flocked to the U.S. dollar. The ETF for the dollar (UUP) did very well. Why? It was considered a safe-haven asset, and international investors wanted to protect their money from market weakness.

Currency ETFs have the same issues as their underlying assets (the currency of a particular country). A weak currency translates into a weak currency ETF. Because most currency ETFs have options tied to them, speculators can be bearish or bullish right in their stock brokerage accounts, which means that speculators can speculate with currencies without opening a separate futures account.

International ETFs

Do you think that Canada has a great economy, and are you bullish on Canadian companies? How about India, Russia, or China? You might say, “Gee, Paul, I would love to invest in a foreign country, but it seems so darn difficult and complicated! Do you have any suggestions?” Well, my friend, I do! International ETFs may be right for you.

By now, you can find ETFs for every major country and a few minor ones, too. You can play the world and speculate which country will do well or have a bad time … or just hedge against the U.S. stock market. Keep in mind that there aren’t just ETFs for individual countries; there are ETFs that are for entire regions of the world or continents.

Besides the typical risks that accompany the underlying assets, international ETFs have political risks and other problems associated with a particular country.

Bond ETFs

Would you like corporate bonds, municipal bonds, or U.S. Treasury bonds? If you need to diversify away from stocks, bonds are usually the first thing that your financial advisor will suggest. With bond ETFs, it’s easy to add bonds to your account.

Bond ETFs are a convenient way to invest in bonds without the outlay of buying bonds directly. A bond can cost $1,000, $5,000, or more, depending on the type of bond you’re buying. A bond ETF is transacted like a stock — you can buy 1 share, 10 shares, 100 shares, or however many you want to buy. In addition, you can use the same strategies as are available for stocks (such as stop-loss orders, options, and the like).

The downside of bond ETFs is that they have the same risks as direct investments in bonds; they may go down in value when interest rates increase. In addition, knowing the quality involved is important, so make sure you see the bond ratings for bonds that are held inside the ETF. Keep in mind that bonds rated less than A may be considered aggressive (meaning that they are riskier), and some bonds are rated so low that they are labeled "junk bonds."

Now, if I were to cover just the world of bond ETFs, I could quickly absorb a lot of space in this chapter, so I'm sure that other venues will be better on this singular topic. Consider picking up the book *Bond Investing For Dummies,* 2nd Edition, by Russell Wild (Wiley).

Special purpose ETFs

Sometimes an ETF doesn't neatly fall into a conventional category. Many ETFs cater to a special purpose or a desirable goal, such as the following:

- **Dividends and stability:** Would you like to invest in preferred stock so that you have more stability and a nice dividend yield? Several ETFs cater to this interest. Other ETFs construct a portfolio of only stocks that have raised dividends every year for ten years or longer. Because dividend ETFs are a great category, I discuss them in their own section, "Using ETFs for Income," later in this chapter.
- **Exclusions:** Would you like to invest in an ETF that has a diversified portfolio but excludes the financial sector? *Ex-sector ETFs* cater to that particular interest. Since 2008, many investors have become wary of bank and financial stocks, and this demand translated into ex-sector ETFs.
- **High or low volatility:** Some ETFs are specifically designed for low volatility, which is perfect for people who grab that bottle of antacids too quickly. Then again, some people want as much volatility as possible, and they have their own ETF. Ahh, different strokes …

What's that? You can't find an ETF that specifically interests you? My advice is to wait. Sooner or later, you will. When it pops up, the odds are you'll be able to find it quickly at sites such as the ETF Database at `www.etfdb.com`.

Specialized ETFs have the same characteristics as mutual funds, with the same general advantages and disadvantages. ETFs and mutual funds are "conduits," meaning that they aren't direct investments; they are merely holding vehicles for investments. In other words, ETFs and mutual funds are only as good (or as bad) as the investments they hold. Therefore, before you invest in a specialized ETF (or any ETF or mutual fund), review the ETF's holdings and understand the pros and cons of the securities themselves.

Leveraged ETFs

If you want to really turbo-charge your bullish strategies, consider using leveraged ETFs. Leveraged ETFs (as the name clearly indicates) seek to amplify returns by using leverage. *Leverage* means either using margin or options combinations. These ETFs are certainly risky and more volatile than other ETFs, but if you're looking for high potential in the short term and don't mind the commensurate risk, then leveraged ETFs may be just what you're looking for. The leverage factor may be double or triple the intended move of the underlying security.

Keep in mind that although leveraged ETFs attempt to double or triple the gains of the underlying asset, that's easier said than done. Due to market fluctuations, getting the exact leverage percentage gain is almost impossible. The ETF seeks the stated gain on a daily basis, not an annualized return.

Much more important than the chance you won't realize a perfectly leveraged gain is the loss potential of a leveraged ETF. Here, risk versus reward is a brutal way of life. If you're wrong with a leveraged ETF, then your loss will be extra painful. If the investment in question goes down 5 percent, then your double-long ETF will lose about 10 percent in value (and at that point, the only "double" you'd be interested in would be at the local bar).

I cover bullish leveraged ETFs in the following sections, but if your interest is bearish in nature (making money when investments or markets fall), then consider inverse ETFs, which I cover in Chapter 10. You can find ETFs that are simply bearish and others that are leveraged. Fortunately, I cover bearish ETF strategies of all stripes and degrees in that chapter.

The double-long ETF

A typical leveraged ETF may be called "ultra-long," "bullish double-long," "2X," or a similar name indicating leverage. A *double-long* ETF is seeking to double the potential move of the security or investment asset in question. In other words, if the security or investment is going up, say, 5 percent, then the ultra-long or double-long will seek to go up 10 percent. To achieve this, margin credit would be used.

That ETF will likely have 50 percent direct ownership in that particular investment and would use margin debt to pick up the other 50 percent. If the asset is, say $1 million in oil futures contracts, then the ETF would have $500,000 in equity ownership and use $500,000 in margin debt. If the market value of the asset goes up to $1.5 million (a 50 percent move up), then the equity of the position rises significantly ($1.5 million minus the margin debt of $500,000) to equal $1 million, and at that point equity ownership has doubled. Instead of a 50 percent gain, the ETF realized a 100 percent gain.

The triple-long ETF

The triple-long ETF (or "3X" or "mega-super-ultra") will kick up the ETF returns a notch by employing more elaborate means than just margin. Bearish option strategies will also be used.

If you want a "safe" way to speculate — as a bull — then consider the triple long or 3X ETF. Yes, you can do options (see Chapter 11 for starters), as they're the go-to vehicle for uber-speculators, but leveraged ETFs give you a solid bang for the buck with one added benefit for newbie speculators: They don't have an expiration date.

With a bullish perspective, leveraged ETFs are most comparable to call options (which I cover in

Chapter 12). Options have a finite shelf life; they can expire worthless. Leveraged ETFs, on the other hand, have nearly the same upside potential as options, but they don't expire. When compared to call options, the leveraged ETF is a safer choice (I guess in the same way that a machete is safer than dynamite).

Using ETFs for Income

In this book, the emphasis is on gains, but I highly suggest earning steady income in your portfolio, too. Some superb ETFs concentrate on dividend yield, which I think deserves consideration for virtually any portfolio.

Dividend-growing ETFs are probably my favorite category of ETFs. This category isn't about stocks from a particular industry, sector, or region. In this category, stocks for the fund are chosen according to specific criteria — in this case, their ability to consistently raise their dividends. Investors don't choose this type of ETF because of how high the current dividend is but because of how high these funds keep growing their dividends in the future.

A good example is the iShares Dividend Growth ETF (HDV). This ETF chooses stocks that have a track record of consistently raising their dividends, year in and year out, for ten years or longer. That ETF had a 24-cents dividend in 2011, and it grew to over 72 cents in 2015. In other words, in only four years, the dividend grew by 200 percent! Considering how low interest rates were during that time frame and how sluggish the economy was, that's a noteworthy increase.

But this is a key point in long-term investing: The gains and income become enviable to those impatient folks who aren't experiencing the same gains. I know some folks who bought stocks many years ago and today have dividend payments that actually exceed their total original investments! The fact that you have the same potential today but with a safer vehicle — an ETF that's a portfolio chock-full of dividend-growing stocks — just makes the tears well up in my eyes!

Maybe you're already retired and you can't wait for dividend growth, which may mean waiting at least a few years. Maybe you need the income today. Fortunately, some ETFs provide high current income today; just know that those that pay high dividends today probably won't increase future dividend payouts at the same growth rate as dividend growers.

TIP Success with ETFs isn't just in what you invest in but in how long you wait. Many brokerage firms give you the ability to reinvest dividends, even if the stock is sitting inside your brokerage account. If you don't need the money, why not have the dividends reinvested? Reinvested dividends will buy more stock. The dividends will buy fractional shares if they can't buy full ones.

Chapter 10

Exchange-Traded Funds for Big Down Moves

In This Chapter

- Understanding the definition of *inverse ETF*
- Distinguishing inverse ETFs from other bearish tactics
- Assessing different levels of inverse ETFs
- Seeking out situations for using inverse ETFs

Some of the greatest fortunes in history were made betting on the crash of a market or particular investment. Usually it was in a venue in which profiting wasn't generally available or convenient to the investing/speculating public. For example, most folks didn't have the means or the expertise to make a billion dollars in a single day the way that investor George Soros did when he shorted the British pound in 1992 — or to make $3.7 billion in a year, as hedge fund manager John Paulson did when he and his fund shorted mortgage securities in 2007.

Fortunately, making money in speculating that some asset or security will go *down* has gotten much easier. Some years ago, the only ways that a regular investor could make bets on something falling was to either go short (see Chapter 8) or deploy put option strategies (see Chapter 13). Both had drawbacks. Fortunately, with the popularity of exchange-traded funds (ETFs) in recent years came a new tool in the arsenal of bearish speculators: the inverse ETF.

I don't know if you're going to make the same bucks as a Soros or a Paulson, but at least you can try, and as you find out in this chapter, inverse ETFs will make implementing your bearish strategies a little easier. If you do make some good money with inverse ETFs, just remember that my wife would enjoy a case of lobster tails.

WARNING! I want to state something from the outset: Inverse ETFs are pure speculation. They have nothing to do with investing, and they aren't a long-term pursuit. However, they may have an edge on options in the sense that they don't have an expiration date (find out more about options in Chapter 11).

Defining Inverse ETFs

REMEMBER *Inverse ETFs* are exchange-traded funds that structure their portfolios to take advantage of downward moves of a given index, asset class, or type of security. They generally have some combination of actual short positions, put options, and derivatives.

An inverse ETF is designed to help speculators conveniently be bearish or short an investment. In other words, this ETF should act the opposite of the underlying investment. For example, if the ABC Oil ETF is intended to track oil's price movement up or down, then the ABC Oil Inverse ETF will attempt to have the opposite or inverse price movement. You can buy an inverse ETF in the same way you'd buy a stock or a regular security.

Short and *bear* are the words most often used to indicate that an ETF is an inverse ETF. Although a regular ETF may be called XYZ ETF, XYZ Long ETF, or XYZ Bull ETF, an inverse ETF will most likely be called the XYZ Short ETF or XYZ Bear ETF.

Additionally, the language of speculators will make the inverse status clear. When you hear someone say, "Richard is bearish on the QRS sector, so he acquired the QRS Bear ETF," you can be sure that having "Bear" in the name makes it clear that the expectation or goal of the ETF is a decrease in the value of the underlying asset or index.

Inverse ETFs also come in a turbo-charged form. You'll notice inverse ETFs with words like *ultra* and references to "2X" or "double short" and also "3X" or "triple short." These terms refer to inverse ETFs that intend to double or triple the potential price move. (Find out more about these in the later section "Looking at the Next Level of Inverse ETFs.")

Before you try out an inverse ETF, go to a popular financial website and create a chart to see how both an investment and its inverse ETF have performed during a given period, such as a month or a year. (Many sites let you chart investments for free. Appendix A has resources for this, and I also cover charts and free online charting services in Chapter 21.) This chart will give you an idea of how both of them diverge (or go in opposing directions). Then start simulated trading, and record the starting points of the investment you're tracking and the inverse ETF. Track their movements over a week, 2 weeks, a month, and, say, a quarter (3 months). Then ask yourself whether you would have made money or lost money had you actually traded. Why or why not?

I recommend this exercise, called *backtesting,* as a way to test how well an inverse ETF has acted in real market conditions. You can see real-world results to help you make more predictable trades. Many professionals do this.

Exploring How Inverse ETFs Work

The best way to see an inverse ETF at work is through an actual example. Figure 10-1 offers a chart of oil (the crude oil price as per the electronic NYMEX futures market) and how it performed in 2014. Added to the chart is an inverse ETF, the United States Short Oil Fund (DNO). The figure indicates the full year's price movement of both. The percentages on the right tell you the magnitude of the price differential movement.

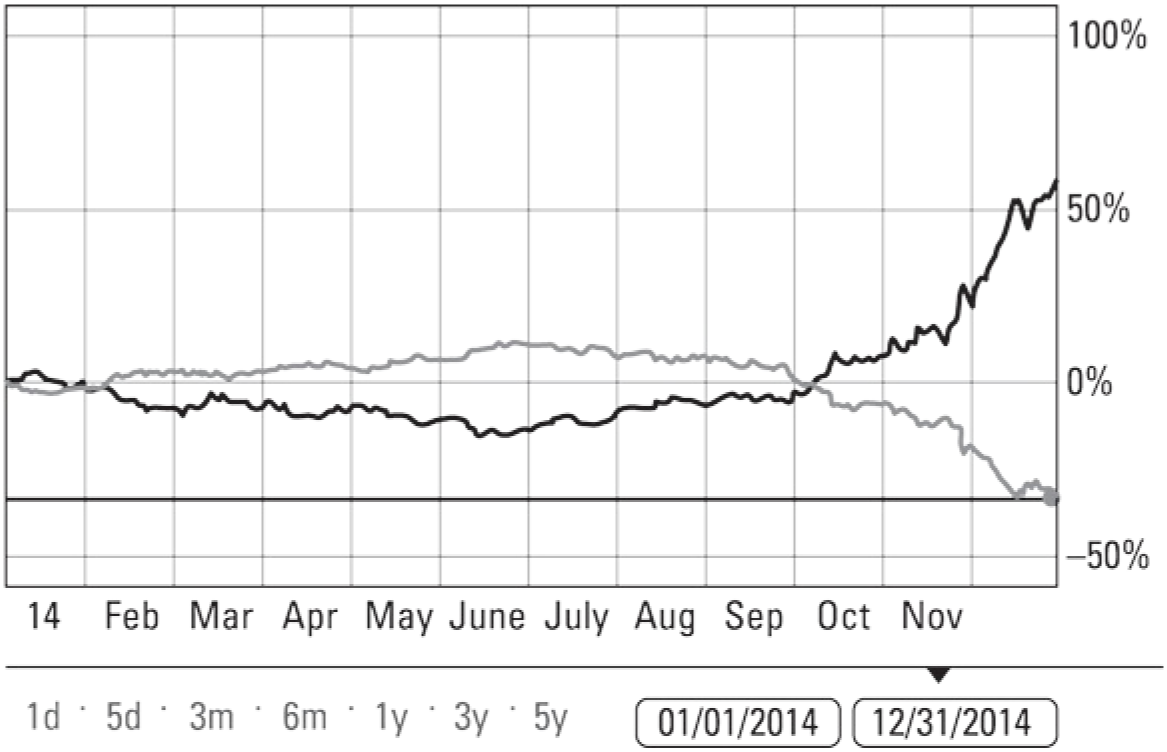


Figure 10-1: The price of oil versus an inverse oil ETF.

Technically, DNO is inverse or opposite to the movement of the spot price of crude oil. However, this particular index tends to correlate very closely to the price of oil, so to keep my example simple, charting oil prices will suffice.

The divergence is very clear. Throughout 2014, the price of oil (the gray line) and the inverse ETF (the black line) moved in almost perfect negative correlation. During the first half of 2014, oil was moving upward while DNO reacted by doing the opposite (it moved downward). If you were bearish on oil during the first half of 2014, you would've lost money, especially in DNO.

Then what happened? At mid-year, there was definitely a reversal of fortune. Oil starting going down steadily and then plunged during the last quarter of 2014. Oil was at $86.67 (per barrel) on January 2. It hit its high for the year at around $97 on July 1. On December 31, oil closed out the year at a price of about $56. The second half of the year was a great time for oil and gas consumers, but the bullish oil speculators definitely needed lots of aspirin and antacids.

Had you bought DNO on January 2, you could have bought it at just under $36 per share. By July 1, it would have hit about $31. So by mid-year, you would've seen DNO's price tumble by $5 per share — a loss of roughly 14 percent. However, oil then took a drastic downward turn. Your inverse ETF would head upward; on December 31, it was just over $56. DNO continued its volatile ride into 2015 and was as high as $74 in August 2015.

If during the second half of 2014 you had put on a trailing stop and made it a good 'til canceled (GTC) order (see Chapter 5), you would've had a good chance of getting out somewhere near that $29 high and bagging a good profit.

During early 2015, after the price of oil hit the $40-ish price range, it stabilized, and by June 2015 it was in the $60 area. Those gutsy speculators who put on bullish oil trades (such as buying oil long ETFs or ultra-long ETFs) could have more profits as the price of oil rallied.

Think about how a nimble speculator could've played oil's roller coaster ride from early 2014 to mid-2015. If you acquired a bullish ETF in early 2014 and rode up with oil's modest rally, you could've exited with a profit in mid-2014. Then you could've switched to a bearish ETF and continued profiting in the second half of 2014 as oil plummeted. Then when oil showed signs of stabilizing in early 2015, you could've gotten out of your inverse (bearish) ETFs and subsequently switched into bullish ETFs again. You would've profited handsomely three times.

Yes, that's easier said than done, and hindsight is indeed 20/20, but the preceding scenario wouldn't require a crystal ball. It would require some discipline, research, diligent monitoring of oil's market fundamentals, and looking at the price action. Intermarket analysis (Chapter 6) and technical analysis (Chapter 21) would definitely help!

Comparing Inverse ETFs to Other Bearish Strategies

Sometimes you want to deploy a shorting strategy but aren't sure which vehicle is best suited to the bearish opportunity that you're eyeing. The following sections cover the most common ways to go short in bearish situations, including inverse ETFs.

Actually going short

Going short is the most direct way to make a profit from the falling price of a particular stock or a regular ETF (more details are in Chapter 8). Going short is also more hazardous than using an inverse ETF, because you may lose dramatically if you're wrong. Although unlikely, the outside risk is that you'll lose more than your initial outlay.

With going short, the most you stand to gain is 100 percent (if that particular stock or ETF has its price go to zero). A stock going to zero indicates that the underlying company went bankrupt. But if that stock or ETF goes up, it's possible to lose more than 100 percent of your initial "investment" and really take a financial beating.

Going short is the purest inverse play; if you're seeking 100 percent negative correlation, going short is the strategy for you. If that stock (or ETF) goes down 57 percent, your short position gains 57 percent. This is the upside of shorting (pardon the pun). However, the downside is that if you're wrong, you have potentially unlimited losses. Do it right by following the guidelines in Chapter 8.

TIP Because shorting a regular ETF can be so hazardous, you're safer getting a put option on that ETF (check out Chapter 13) or getting the corresponding inverse ETF (the whole point of this chapter). Yes, you could lose money with an inverse ETF, but at least you won't get hammered — or be subject to a margin call — the way you could with directly shorting the stock.

Deploying a put option

Options are a popular speculative vehicle. In fact, I devote Part III to them, explaining the pluses and minuses of deploying options. For the sake of brevity, I'll simply say that a put option is a bet that the underlying security will go down in the near future. You can buy a put on a stock, a stock index, or an ETF.

The advantage of put options is that they require less capital than other shorting strategies. The disadvantage is that they have a finite lifespan and can expire worthless. To use them properly, check out Chapter 13.

Although put options are generally inexpensive, they have expiration dates (just like that carton of milk in your refrigerator), so they run the risk of becoming worthless. Whether that put option costs you $75 or $750, it can still go to zero. Most options expire in nine months or less.

Considering a put option combination

A put option is 100 percent bearish as a strategy. But what if you aren't 100 percent bearish? You could use a bearish combination option strategy that's more refined or more appropriate for you, depending on market conditions.

For example, you could employ a bearish put spread, which is considered bearish but also has a heading feature — a second option coupled with the put option — that makes the trade less bearish. Don't ask me to explain here; I do a whole chapter on bearish option combinations (check out Chapter 15). Put options, whether alone or in a combination trade, still have the risk of expiring worthless.

Using an inverse ETF (ta-da!)

An inverse ETF avoids the hazards of going short, and it doesn't expire as do put options and put option combinations. Also, because the inverse ETF trades like a stock or any other ETF, you can use protective brokerage orders too.

To make your use of inverse ETFs less risky, employ brokerage orders that help minimize potential loss. If your inverse ETF strategy is looking shaky, consider doing a stop-loss order or a trailing stop (see Chapter 5 for full details). The stop-loss or trailing stop order prevents a loss (or a greater loss) but preserves some profit too. For example, say your strategy is working out and you're sitting on an unrealized gain with your inverse ETF. You think more gain is possible, but then you start to worry about a reversal in the underlying investment's price. In that case, move to preserve the gain with that stop-loss order or trailing stop.

Suppose that you're bearish on Sector X, and a regular ETF (fake symbol XB) that mirrors it is at

$50 per share. The inverse ETF is the Sector X Short ETF (fake symbol XS), and it's also priced at $50.

The intent for XS is to act inversely to Sector X. If you're correct in your expectation that this sector is going down, what happens? If the regular ETF (XB) goes down to $40 per share, then your inverse ETF, XS, goes up to $60 per share. As Sector X goes down 20 percent (20 percent of $50 is $10), your inverse ETF goes up 20 percent to $60. Then you start monitoring to see whether you can realize further gains or you start to be wary and protect what gain you do have.

But what if you're wrong? Markets are often irrational in the short term. If XB goes up instead, your inverse ETF would go down by a corresponding amount. At that point, you'd have to decide whether to cut your losses or wait for a favorable move.

Knowing When to Use Inverse ETFs

Inverse ETFs are a high-powered bearish tool, so you don't whip them out for just any old occasion. You need a plan, and you resort to inverse ETFs when conditions warrant their use. Following are two such occasions.

Speculating

Speculating is the primary rationale for using inverse ETFs. When you're diligent about your research and you come across situations where a market or type of investment is troubled — or when an investment seems like it's been rising forever — then start considering inverse ETFs.

Many seasoned speculators see two optimal moments for putting inverse ETFs into play:

- A troubled investment is starting to tumble, and you want to get in as it gathers steam and starts to snowball downward (steam and snowballs don't mix, but you know what I mean).
- An investment is experiencing a jubilant market, and it seems like everyone thinks it's going to the moon and beyond — then you may have a good early entry point.

Of the two, the second scenario is a little less risky. When an investment reaches nosebleed territory, the price of the inverse ETF is probably very cheap. The double short ETF is probably dirt cheap, and the triple short ETF is so cheap that they're giving away free toasters to the first 100 speculators.

REMEMBER

When you are bearish and are seeking shorting opportunities, timing is everything! Both the entrance and the exit are timing issues. Keep in mind that over the long term, markets (especially stock markets) have an upward bias. When shorting, getting out too early for profits will still be less dangerous than holding out for more.

Hedging

Bull markets zigzag upward, and bear markets zigzag downward. When an investment is in what's called a secular or long-term bull market, pullback or interim "bear markets" may occur along the way. Sometimes these pullbacks are severe, and sometimes it looks like a bad market has just arrived and that the value may start to zigzag downward.

Given that, some folks see inverse ETFs as a hedge or a type of protection or insurance in the event of tumbling or decreasing prices that could erode the wealth they built up during the bullish market moves.

Using the inverse ETF could add another dimension to your wealth-building and wealth-protection strategies. For example, suppose you have an extensive portfolio of diversified, dividend-paying stocks and you’re in your pre-retirement years, but you’re convinced that a major stock market pullback or bear market is coming. What would you do? Some investors (please note that I didn’t say *speculator* this time) may hedge by getting an inverse ETF that goes up when the major market goes down.

A good example of a hedge against a market decline is the inverse ETF Proshares Short S&P 500 (SH), which is constructed to go up when the general market is down (to the extent that the S&P 500 represents the general market). When the coast is clear, you can cash out SH at a profit and then turn around and use the proceeds to buy more of your favorite dividend-paying stocks at lower (more attractive!) prices, which means you get a nice locked-in dividend yield. Enjoy your retirement!

Putting a spotlight on current bearish opportunities

In the world of cause and effect, inverse ETFs have a place in your wealth-building arsenal. Don’t automatically choose an inverse ETF; if you find a scenario that looks like a great shorting opportunity or if the market you’re in currently looks ominous, *then* you may have an opportune time to get an inverse ETF. As I write this (the summer of 2015), there are plenty of potential speculative opportunities for investors looking for trouble. The general stock market is definitely heading into bubble territory. If it’s higher by the time you read this, you may have an even better shorting opportunity!

There are bubbles galore (bond bubbles, debt bubbles, and so on), and the world seems to be having brewing difficulties in Europe and the Middle East; some inverse ETFs could skyrocket as a result.

Sometimes looking at the big picture means big profits, so from here, take a look at Chapter 19 for bearish (and bullish) ideas.

Looking at the Next Level of Inverse ETFs

How bearish are you? Or rather, how much of your neck will you put on the line with your bearish expectations? The type of inverse ETF that you choose to employ depends on how deeply you believe that your outcome will materialize and how aggressive you want to be. Inverse ETFs aren’t all or nothing. There’s one that fits each level of bear there is:

- **Double short ETFs:** A double short inverse ETF (also called a 2X short ETF) seeks to double the opposite move of the underlying security or asset. For instance, if an investment goes down 5 percent, then the accompanying double short inverse ETF will go up 10 percent (or pretty close to that).

- **Triple short ETFs:** Time to light the TNT. The triple short ETF (also called a 3X short ETF) is your choice if you really, really, truly believe with all your heart (and research) that a particular investment is going down — soon. If that investment goes down, say 10 percent, the accompanying triple short inverse ETF would go up 30 percent.

Consider the double and triple short ETFs only in markets that are volatile and in trouble. Make sure (double and triple sure!) that the investment you're bearish on exhibits bright red flags in terms of technical analysis and fundamental values (see Chapter 4 for info on finding value and use the opposite logic). Understand concepts such as being overbought and other indicators that may warn you of a reversal in the investment's price action (see Chapter 21 for details).

Double short and triple short ETFs are more than a double-edged sword. They're more like a double-edged buzz saw. When you're right, you're profitably right, but when you're wrong, you're truly financially whacked!

Part III

All about Options

Placing an Option Order

If You Want to …	*Then You Would …*	*Position*
Buy a put or call	Buy to open	You're going long.
Cash in that put or call	Sell to close	You're closing a long position.
Write a covered call or sell a put	Sell to open	You're going short.
Close out (buy back) a covered call or a put you sold	Buy to close	You're closing a short position.

In a free article at www.dummies.com/extras/highlevelinvesting, get the scoop on an option strategy to try in a turbulent market.

In this part…

- Get the complete details on the power and flexibility of options and why they belong in every wealth-builder's tool chest. Discover how they can help you create gains or income, whether in up or down markets.
- Check out valuable strategies with call options, which can boost your profits when the market is rising.
- Read about valuable strategies with put options, which can be profitable when you're bearish on a stock or other investment.
- Get info on option combinations that will make you money when you're bullish. See how these combinations can be structured for maximum gain.
- Employ option combinations when you're bearish on a stock or industry. Use bearish option combinations that can protect your investment when it goes down.
- Discover how to profit with option combinations even when you don't know or don't care which way the market is going. Find out about option strategies that can generate income for you even when the market is going nowhere.

Chapter 11

Introducing Options

In This Chapter

- Telling the difference between calls and puts
- Considering why you should use options
- Delving into option contract details
- Seeing an example of how an option works
- Ordering options and reading tables
- Checking out option combinations, resources, and tutorials

Time to open the speculator's tool chest and pull out the high-caliber vehicles: call and put options! I think that options are a very versatile and powerful addition to any portfolio, whether you're aggressive or conservative. Done right, they can either help you make money or keep you from losing money. In this chapter, I give you an introduction to options and how to use them appropriately. The rest of Part III goes into detail on call options (Chapter 12), put options (Chapter 13), and combinations you can use (Chapters 14 through 16).

Right out of the starting gate, I want you to know the downside of options: They're a form of speculating — really, financial gambling. They aren't an investment, and if you buy options, you could lose 100 percent of your money.

Okay, that's a little harsh — I gave you the worst-case scenario for options. I love options, and I think an options strategy of some kind is actually a good thing in many kinds of portfolios, even ones where being risk-averse and conservative is a prime consideration. But the bottom line is that options are indeed ultra-speculating, and it's good to know that going in.

I could write a whole book on options! I didn't, but I know who did. Check out the best book for beginners on trading options: *Trading Options For Dummies,* 2nd Edition, by Joe Duarte (Wiley).

Defining Options: Calls and Puts

In the financial world, an option is a contract with a finite shelf life. In other words, it will expire at some point in the near future. An option contract has two parties: the buyer and the seller. The buyer in an option contract is paying money for the right — but not the obligation — to do something. In the case of options, that right is either the right to buy something (such as 100 shares of a stock) or the right to sell something (such as 100 shares of a stock). You can use shares of a stock in an option, but you can also use shares of an exchange-traded fund (ETF) or another type of security or asset altogether.

The two types of options are called calls and puts:

- **Call option:** The *call option* is a contract that gives the buyer (holder) the right but not the obligation to buy a number of shares of the underlying security or asset at a given price (the *strike price*) on any business day before the option's expiration date. The buyer gets the right in the option contract by paying a fee, which is called the *premium.*

  The other side of the option is the *writer* (or seller) of the option. The writer receives the premium as income but then has the obligation to sell the shares at the strike price that is stipulated in the option contract.

- **Put option:** The put option gives the buyer, who pays the premium, the right (but not the obligation) to sell a number of shares of the underlying security at the strike price at any time before the option's expiration date. The writer (or seller) of the option has the obligation to buy the shares.

TIP

Having trouble sorting out the terminology? In the world of options, the option writer is technically the seller. I remind myself that the writer "wrote the contract" and sold it to the buyer. Writing an option is the same as creating the contract.

The agreed-upon or stipulated price is the *strike price.* I like to think that the buyer would love to see the asset's market value "strike" the price that's stated in the contract.

Table 11-1 provides a brief comparison of call options and put options.

Table 11-1 Comparing Calls and Puts

Type of Option	*Buyer (or Holder)*	*Writer (or Seller)*
Call option	Has the right to buy	Is obligated to sell at the agreed-upon price
Put option	Has the right to sell	Is obligated to buy at the agreed-upon price

Checking Out Reasons to Consider Options

Options are a versatile part of your wealth-building and wealth-protection arsenal. No matter what is happening with the markets — up, down, or sideways — there's an options strategy for making money (or for helping you avoid losses). Here are a few ways that options can help you:

- **Big potential versus small risk:** Can you make a few thousand dollars while risking only a few hundred dollars? Yes — if you're correct in your expectations, an option can quickly make a large gain. Say that you buy a call option for $100 that gives you the right to buy 100 shares of a stock for $20, and the stock soars to $50 per share. This call option gives you the opportunity to buy that stock for $2,000 (100 shares times $20); you can then turn around, sell that stock for $5,000 (100 shares times $50), and make a gain of $3,000 ($5,000 minus $2,000). At that point, you'll make a net gain of $2,900 ($3,000 gain minus $100 option cost), not including commissions.
- **Capital gains:** Options give you leverage to truly boost your gains. A single option can have the power of 100 shares of a stock or ETF. I've had an option that I purchased for $100 become $1,000 in a few weeks.
- **Creating income:** Covered call writing is a great way to boost income from your portfolio. Imagine getting an additional 3 percent, 5 percent, 7 percent, or more from your existing stocks or ETFs. (See the later section "The option from the writer's perspective" for details.)
- **Gains in up or down markets:** Call and put options give you the power to make profits in up or down markets. If you're looking to bag big gains in an up market, consider call options. And if you're looking to make some great profits in a bear market, then consider put options.
- **Protect your gains or hedge your bets:** Put and call options are more than a way to speculate while risking small amounts of your money. They also act as a form of insurance that can augment your overall stock investing strategy. Here's how:
  - If your stock position is at risk from a temporary pullback, a put option can protect you.
  - If you're going short (Chapter 8 covers this) and you're worried your stock position will go against you (going up is bad when you're short), then a call option could protect you.
- **Buying stocks at a discount:** Believe it or not, I have used options to buy stocks at below-market rates. For more about this, check out Chapters 12 and 13.

Digging Deeper into the Features of an Option Contract

Earlier in this chapter, I explain the basics of how call and put options work. The following sections review the basic elements of an option contract. When you understand how an option works, it will become an important part of your wealth-building strategy (either for speculating or hedging against potential losses).

Calculating the premium

When an option buyer pays the premium, how is the price of this premium calculated? The premium is a combination of time value and equity value:

- **Time value:** Time value is how long the option is for; it's the shelf life of the option. A shorter time frame means a lower premium. All things being equal, an option expiring in three months is much cheaper than an option expiring in nine months. A two-year option will generally be much more expensive than one expiring in a few months.
- **Equity value:** Equity value refers to the relationship between the market value of the underlying asset and the option's strike price. For example, if an asset is $100,000 and the strike price (the agreed-upon price) is $125,000, then there's no equity value in a $5,000 premium that the buyer pays. In that case, the option is referred to as being *out of the money* (more on this later in this chapter). If the strike price is $125,000 and the underlying asset's market value is $145,000, then the option has equity value of $20,000 ($145,000 market value minus the strike price of $125,000).

Understanding the contract multiplier

When you buy an option, it provides you with leverage; a small outlay in buying an option can give you the firepower of 100 shares of the underlying stock. Given that, when you see an option quoted at an ask price of "5.00," that means that the option would cost you $500 (not including commission). Why?

REMEMBER

The multiplier for a stock option is 100 because the underlying asset is 100 shares. So when you see a price of, say, $4 for a call option, then one contract would cost you $400, two contracts would be $800, and so on (and don't forget commissions). The multiplier is present throughout the options world.

Working with the expiration date

An option is a wasting asset, ticking away. In other words, an option has a finite life, and it eventually expires. Most options expire nine months after they're issued.

TIP

Some options called LEAPS have a shelf life of one year, two years, three years, or longer. LEAPS stands for Long-term Equity AnticiPation Security, but really it's just like any other option, only with a much longer time frame. LEAPS are my favorite types of options because the extended time makes it easier to turn a profit as you wait for the underlying asset's price to move in the direction you're expecting.

Most options expire on the third Friday of the expiration month. If you have a call option on Apple stock that expires in July 2016, for example, then it will expire on Friday, July 15, 2016. When the option expires, all the rights of the buyer and the obligation of the writer vanish as the option becomes worthless.

TECHNICAL STUFF

To *exercise your option* is to invoke your legal right to either buy an asset at the strike price (call option) or to sell an asset at the strike price (put option). Most options in American markets are called *American-style,* which means that the buyer can exercise the option on any business day during the life of the option. *European-style* means that the option buyer can exercise the option only on the expiration date itself. See that? It's one of the reasons I left Europe — I mean, what do they know about exercising an option?

The option buyer should be aware of the expiration date and do something productive with the option (cashing it in or exercising it) before it becomes worthless.

Considering the underlying assets

Fortunately, the assets with which you can do call and put options are numerous and varied. You can do options on thousands of different stocks, on many exchange-traded funds (ETFs), and on stock indexes. These options are traded on the Chicago Board Options Exchange (www.cboe.com).

It doesn't stop there! You can do options through the futures market on commodities such as gold, silver, oil, grains, energy, and hundreds of others. *Futures* is a reference to *futures contracts.* A futures contract is a standardized contract in which the buyer locks in a specific quantity of a particular commodity to be delivered at a future date at a specified price. Corn, for example, is a commodity. You can get a corn futures contract for, say, 1,000 bushels of corn to be delivered in December 2016 for $X per bushel. With an option, you can bet on the price of a commodity going up or down through futures contracts.

You can also do options on currencies such as the U.S. dollar, the euro, the Japanese yen, and other currencies in the foreign exchange (forex) markets.

TIP You can find out more about options on futures and currencies by heading to sites such as the Chicago Mercantile Exchange (www.cmegroup.com) and FutureSource (www.futuresource.com).

Distinguishing between money positions

To what extent does the value of the underlying asset affect the value of the option itself? This concept is an important part of the world of options, and some label this relationship as *moneyness*. To illustrate the money positions, look at call options for the stock Mo Money Corporation (MMC) in Table 11-2. I leave out expiration dates to make the example simple.

Table 11-2 Money Positions for Call Options

Call Option	***Market Value of MMC***	***"Money" Position***
MMC Call $50 strike price	$48 per share	Out of the money
MMC Call $50 strike price	$50 per share	At the money
MMC Call $50 strike price	$52 per share	In the money

The different positions are out of the money, at the money, and in the money:

- **Out of the money (OTM):** An *out of the money* (OTM) option has no equity value — it is pure time value (see the earlier section "Calculating the premium" for more about these values). This is why OTM options are the cheapest options to buy.

  As you can see in Table 11-2, if the strike price is $50 for the MMC call option, any price below $50 is out of the money. Why would someone exercise the option to buy that underlying asset at $50 when he or she could easily buy it at a lower price in the general marketplace? Why pay $5,000 for 100 shares when you can buy 100 shares at $4,800?
- **At the money (ATM):** *At the money* is probably the simplest of the three values. Whether the option is a call or a put, the stock's market price is the same as the strike price. At this point, the option may be exercised by the call buyer to obtain the underlying stock.

  If you were the buyer of an OTM option and now it's ATM, you're a happy puppy, as your option has gained value and you're now crossing into profitable territory.
- **In the money (ITM):** This is where you want to end up, as someone who bought an option that was either ATM or OTM. Seeing the option become an ITM option means you're making a great profit. This is true whether you're merely looking to cash out your option or if you're seeking to buy the underlying stock at the strike price. *Cashing out* an option is when the buyer of the option sells the option ("sell to close").

That is the scenario for MMC and the call option. How about a put option? Check out Table 11-3.

Table 11-3 Money Positions for Put Options

Put Option	*Market Value of MMC*	*"Money" Position*
MMC Put $50 strike price	$52 per share	Out of the Money
MMC Put $50 strike price	$50 per share	At the money
MMC Put $50 strike price	$48 per share	In the money

As you can see in Table 11-3, the picture for a put option is inverted or opposite the call option. Keep in mind that the put option gains value when the underlying asset goes down in price. With the put option, you have the right (but not the obligation) to require the put writer to buy the stock at the strike price.

With the put option strike price at $50, the stock is out of the money when the market price is above the option's strike price. *At the money* is of course the same; if the stock price is at $50, it is the same as the strike price.

Walking through a Call Option Example

Options can be complicated, so I'll use a very basic example to explain how everything works in more detail — an example that I actually use in my options seminars. This example is a call option; you can find information on put options in Chapter 13.

Bob is a speculator, and he believes that raw land will do very well. He seeks to profit from the upward moves he expects in the raw land market. Alice owns some raw land, and she got it at a market value of $100,000. Because raw land doesn't usually generate income, Alice would like to find a way to monetize her asset.

Here is where the option comes in and potentially benefits both. Bob and Alice get into an option agreement. The option agreement is simple: Bob pays Alice a premium of $5,000 for the right — but not the obligation — to buy her land for $125,000 (the strike price) on any business day between today (say it's February 1, 2016) and the day when this particular option expires, which is December 31, 2018. Alice realizes that in exchange for the income from the premium Bob pays, she has a legal obligation to sell her land at $125,000 if — and I mean *if* — the market value of the land reaches and/or surpasses $125,000.

Bob is obviously bullish on raw land. The option gives him the right (but not the obligation) to buy that asset for $125,000. Because that asset has a market value of only $100,000, his act of buying the option means that he believes that land will rise to $125,000 and possibly higher. Additionally, he believes or expects this bullish move to happen before the option expires. If that land rises above $125,000 after December 2018, it would be too late; the option is set to expire on the last day of 2018.

The following sections explain how the call option can play out from both the buyer's and the writer's perspectives.

Note: I'm personalizing this option transaction to make it easy to communicate both sides of the option, but keep in mind that when you do your option transactions, they won't be a personal, face-to-face moment; your options will be done as faceless transactions in your brokerage account.

The option from the buyer's perspective

For a speculator, buying a call or put option is a way to get an unlimited gain while limiting the loss to a small, predetermined amount. Here are the possible scenarios that can occur from Bob's perspective as the option buyer.

The option expires worthless

This is the worst-case scenario. Bob's option expires worthless, and he loses the full $5,000 he paid as premium. But he knew that he could lose that going in.

The option is exercised

Many option buyers do look toward exercising the option so that they can gain an asset at a specified price.

For Bob, he would have the power to buy the underlying asset (the raw land) at a price that he chose ($125,000 is the strike price). The odds are that he will exercise it if the market value is at or above the strike price (in other words, in the money).

The option is sold with a gain

The vast majority of option buyers seek to buy and then sell the option for a profit in the options market. Keep in mind that options are bought and sold much like other securities. In the options market, there are many buyers and sellers, so it's usually not difficult to resell your option to other buyers.

In this example, Bob bought that call option for $5,000. The land at the time was worth only $100,000 (the market value), and it was still far away from the strike price of $125,000 (it was out of the money at the time he purchased the option).

If the market value rises to $125,000, the value of Bob's option will rise as well. Say that the market value of the land is around $125,000 (at this point the market value is *at the money,* or in rough parity to the strike price). Say that the rise in market value happens around January 2018, which means the option still has nearly a year of time value remaining.

Given the asset's rising value and that there is still plenty of time left on the option, the option itself can then be worth $11,000 (an estimate for the example, assuming its market value in the options market). Bob can cash out the option and make a $6,000 profit ($11,000 option sale price minus $5,000 original purchase price).

What happens if Bob is really right and the market value of the land shoots up to $175,000? Bob's option will be worth at least $50,000 (land market value of $175,000 minus the strike price of $125,000).

The option is now in the money, as I'm sure you'd agree — Bob has an option that gives him the right to buy a $175,000 asset for only $125,000! If Bob cashes out this option for $50,000, he will net a profit of $45,000, or 900 percent.

The option is sold at a loss

Say that it's the summer of 2018 (about six months before the option expires on December 31, 2018) and that raw land is not doing much pricewise. The land is still around $100,000, give or take a few thousand bucks. Now what happens to the option's value? With only months to go on the shelf life of the option and the asset's market value not doing much, the option starts to lose tremendous value. The loss in value for the option is referred to as *time decay.*

REMEMBER

An option is a wasting asset, and if the underlying asset is not making any significant move toward the strike price, that doesn't bode well for the option's value.

Say that in mid-2018, the land's market value is only $105,000. With only six months to go, the option's value has plummeted to only $1,100 (I'm being kind here for the sake of the example — it could be even lower).

Bob decides that the outlook for raw land will not change much for the better in the remaining few months of the option's life span, so he sells and takes a loss. He risked $5,000 but ultimately cashed out with $1,100 for a net loss of $3,900. Live and learn!

The option from the writer's perspective

The seller, or writer, of an option may write a covered or uncovered call:

- **Covered:** Writing a covered call, when done right, is the safest option strategy. It's even allowed in retirement accounts. In the event that the buyer wants the underlying asset, the call writer already is *covered,* meaning that she already has the asset in case the option is exercised (*exercise* means that the buyer will use his right to buy the underlying asset at the strike price). If the buyer exercises the option, all that's necessary is to relinquish ownership.
- **Uncovered:** The most dangerous strategy is writing an uncovered (or naked) call. This means that as the writer, you'd incur a liability in which you must provide the underlying asset when required to do so. The problem is that because you don't have the asset, you must go into the open market and buy it. However, if the asset is moving up in price, you may have to pay more for it to make good on your obligation.

In this option example, Alice wrote a covered call — she is the covered call writer. Here are the possible scenarios that can occur from Alice's perspective as the option writer.

The option expires worthless

For Alice, as the covered call writer, having the option expire worthless is actually a positive event. If the option expires worthless, this means that she keeps both the underlying asset (the raw land) and the premium of $5,000 — cool!

The option is exercised

If the option is exercised, Alice as the call writer must sell the asset at the strike price. But it's not such a bad deal. If the asset is sold at the strike price, Alice makes a net profit of $30,000; $5,000 from the covered call premium and $25,000 from the gain when the asset is sold ($125,000 strike price minus the original market purchase price of $100,000). Not bad!

The option is bought back with a loss

Say that it's January 2018 and the land's market value is trending upward; it's now around $125,000, which makes it in parity with the strike price (at the money). Now Alice is worried that the option is in danger of being exercised, which means that she'd have to relinquish her land at the strike price. The danger for Alice is that she had a change of heart regarding the covered call option she wrote. She has decided to change in midstream, and she wants to avoid losing her property in the midst of the call option. Is she stuck with losing the land?

No, she does have, uh, an option here! She could essentially buy her way out of the obligation. Say that the price of the option is at $11,000. Alice could pay $11,000 and close out her option and retain ownership of the underlying asset. But she takes a hit; she now realizes a loss of $6,000 (she gained $5,000 when she wrote the covered call but then had to pay $11,000 to close out the option). Another case of live and learn!

The option is bought back at a gain

Suppose the land's market value is at $105,000 in the summer of 2018. At that point, the option has lost lots of value because the land's price isn't doing much as the option is losing time value. The option is now worth only $1,100. But she isn't crying about it — she sees the opportunity.

Alice buys back the option for only $1,100 and books a gain of $3,900 (she received the $5,000 premium and paid $1,100, for a net gain of $3,900). She keeps the land and makes a nice profit on closing out the option, too.

Placing Option Orders

How would you buy (or sell) an option? Option orders actually depend on the underlying asset:

- **Options with stocks, stock indexes, and exchange-traded funds (ETFs):** A regular stock brokerage account will suffice.

  Options are bought and sold by buyers and sellers in an organized marketplace. The largest option marketplace for options on stocks, stock indexes, and ETFs is the Chicago Board Options Exchange (CBOE). The CBOE has a wealth of educational resources on options for both novice and intermediate investors at `www.cboe.com`. Find more resources later in this chapter.

- **Options on futures, commodities, and currencies:** Generally, you should use a futures account. (For the purposes of this book, I discuss only a stock brokerage account.)

To do options in your stock brokerage account, you need to have options approval. The customer service department of your chosen stock brokerage account can provide you with all the details and the necessary options approval form.

Every broker does options approval a little differently, but the same general approach applies. There are different levels of approval:

- Level 1 approval allows you to do covered call writing (as I explain in the earlier section "The option from the writer's perspective"). For some brokers, Level 1 means covered call writing and also doing protective puts (a *protective put* is placed on a security you own as a form of insurance in the event that the security goes down in value; find out more about puts in Chapter 13).
- Level 2 includes everything from Level 1 and also typically allows the buying of calls and puts.
- For more complicated combinations and riskier options trading (such as naked calls), a higher level of approval is necessary. Check with your broker regarding your situation.

After you're cleared for options trading, you need to know how to initiate your option order. If you're buying a call option, for example, you don't just order a call option. Keep in mind that an option is a contract, and a contract is bought or sold by opening and closing it. Table 11-4 tells you how it's done.

Table 11-4 Placing an Option Order

If You Want to …	*Then You Would …*	*Position*
Buy a put or call	Buy to open	You're going long.
Cash in that put or call	Sell to close	You're closing a long position.
Write a covered call or sell a put	Sell to open	You're going short.
Close out (buy back) a covered call or a put you sold	Buy to close	You're closing a short position.

So if you were buying a single call option, you would "buy to open one contract." You would also decide whether the order is a market order or a limit order (more on brokerage orders is in Chapter 5). When you do buy an option, it's usually at the *ask price* (see on the next section for more about bid and ask prices).

If you decide to get out of the option (selling or cashing it in), you would "sell to close," and you'd usually realize the *bid price.*

If you're writing a call or put option, then you're "selling to open." In other words, you're opening a contract. Keep in mind that the option writer is receiving the premium in return for opening the contract and getting into the obligation.

In the event you want to get out of the option before it expires, you basically buy your way out of the option. This is why getting out of the option is called "buying to close."

Buying a call or put is referred to as *going long.* A buyer is long when he buys a call or a put. Writing a call or a put is referred to as *going short.* A writer is short when he writes (or sells to open) a call or a put.

Reading an Options Table

Whether you're currently in an option or you're looking at getting into an option, you need to be able to read an options table like the one in Table 11-5. Options tables are actually easier to read than the stock tables.

Table 11-5 A Sample Options Table

Column 1	*2*	*3*	*4*	*5*	*6*	*7*
Option Symbol/Option Type	**Last**	**Net Change**	**Bid**	**Ask**	**Vol.**	**Open Interest**
MMC160318C5000	2.5	0.25	2.75	3	454	2156

Here's how to make sense of Table 11-5:

- **Option Symbol/Option Type:** Column 1 usually identifies the option: what type, the company, or the security. In Table 11-5, you see the option symbol for a call option of MMC with a strike price of $50 expiring March 18, 2016. Here is a breakdown of the symbol MMC:

MMC	**16 03 18**	**C**	**5000**
Stock symbol	Expiration date (Year-Month-Day)	Type of option (C = call, P = put)	Strike price without decimal point (5000 is $50.00)

- **Last:** Column 2 shows the price of the most recent trade that went through (in this case, $2.50).
- **Net Change:** Column 3 is how much the last price changed since the closing price of the previous day (here, 25 cents).
- **Bid and Ask:** Columns 4 and 5 are Bid and Ask. When you're buying an option, you usually pay the *ask* price. When you're selling, or writing, an option, you usually receive the *bid* amount.

  When you're buying an option (looking at the ask price), make sure that the spread (or difference) between bid and ask is not great; otherwise, you'll overpay for the option. The difference should be no more than 5 to 10 percent, and some options pros think even that is too great. High bid/ask spreads tend to happen with low-volume activity.
- **Vol. (Volume):** Column 6 tells you how many contracts have traded during that market day's trading session.
- **Open Interest:** Column 7 is the total number of outstanding option contracts that are still open.

You can find options quotes at the CBOE site (www.cboe.com). CBOE also offers a key so you can follow and understand every element in the table, along with tutorials on how to read the options table.

The Nuts 'n' Bolts of Option Combinations

Asking the question "Why do an option combo?" is like asking "Why put mac with cheese?" They just go together. Putting together two or more elements in an option trade can enhance your chances of profitability. In this section, I cover some points to consider as you choose your option combination(s). Chapters 14 through 16 go into detail on different types of option combinations.

Even though classic option combinations are constructed in a precise way, you don't have to be in lock-step with that setup. You can vary the structure of a combination depending on your outlook and how strongly you feel about a certain direction of the underlying asset. The *synthetic long* that I discuss in Chapter 14, for example, is typically where you buy a call and write a put with the same expiration date. But who says that it must be that way? Maybe you want the call to last longer than the put. In other words, as those TV dinner boxes say, “Vary cooking times for your personal taste.”

Considering your outlook

Here’s your very first consideration when combining options: What is your outlook? The option strategy you choose flows from what you expect. Are you bullish, bearish, or somewhere in between?

If you’re very bullish or somewhat bullish, head to Chapter 14. Some option combinations are tipped toward being very bullish, and some, like the bull call spread, are only mildly bullish. A bull call spread gains value if the underlying asset goes up, but it doesn’t gain very much; one of the options is a hedge, diminishing the profit potential. The degree of bullishness all depends on how much the combination is predicated toward gain.

Bull call spreads and bull ratio spreads certainly have bullish positions, but they also have positions that are bearish and that hedge, which limit your potential gain while they minimize potential losses. The synthetic long has positions that don’t hedge or limit potential gains.

Just because you start an option combination, that doesn’t mean that you have to end it that way. You can close out a portion of your position if your outlook changes while your position is still active. For example, say that you are mildly bullish on a stock and you bought a bull call spread on it (in other words, you bought a call with a close strike price and you wrote a call with a faraway strike price). Midway through the position, the stock is down. In that case, both calls would, of course, lose value, but it gives you the opportunity to buy back the call option you wrote at a profit and subsequently leave the call option you bought still on. But now, it’s unfettered by the former short leg that was a hedge. If the stock rebounds, the call option will more easily gain in value as the other (short) leg was removed and is no longer hampering the long call leg. Remember, options in general and options combinations in particular aren’t set in stone. They can be modified — in part or in whole — as quickly as your outlook changes.

What if you aren’t bullish? If you’re very bearish or somewhat bearish, go to Chapter 15. If you’re neutral or you expect a sideways market, then consider the strategies in Chapter 16.

What’s that? You aren’t sure about your expectations? Then don’t do any options at all — certainly not any aggressive option strategies. Do some research about the economy (go to Chapter 19) and review your personal situation and goals.

Distinguishing net debit from net credit

When you hear the terms *debit spread* and/or *credit spread,* they’re referring to how much money a particular option combination will cost you in cash or how much cash it will bring you:

- **Debit spread:** Say that you have a combination that involves buying an option for $150 and writing a different option for $125. In this case, you would pay $150, but simultaneously you’d receive $125. The combination would give you a net debit of $25. It would cost you a net amount of $25 in your brokerage account.

- **Credit spread:** If you're buying an option for $100 and writing an option for $130, then you'd have a net credit of $30. In addition to the two option positions, $30 cash would be added to your account.

Whether an option combination gives you a net debit or a net credit depends strictly on the prices of the options involved, including commissions. It doesn't take into account any cash outlay that will need to occur if the buyer exercises the option. When you initiate a net credit option combination, then all things being equal, time decay is on your side; if the options expire, you keep the money. When you have a net debit, time decay is not on your side; if the options expire, you lose the net amount you paid.

Looking at the legs

Options may be long or short. Buying a call is a *long call,* and buying a put is a *long put.* Writing a covered call is a *short call,* and writing a put is a *short put.* All the parts of an option combination are referred to as *legs.* For example, an option combination with three options in it has three legs. The long positions (buying a call and/or a put) are referred to as *long legs,* and the short positions (writing a call and/or a put) are referred to as *short legs.*

As you construct option combinations to achieve your speculating objective, see Table 11-6 for a snapshot of what the legs could do.

Table 11-6 A Summary of Legs' Profit and Loss Potential

The Leg	*You Profit When …*	*Profit Potential*	*Loss Potential*
Long call	The asset goes up (bullish outlook)	Significant	Limited to the premium amount
Short call	The option expires	Limited to the premium amount	Done right, no significant loss
Long put	The asset goes down (bearish outlook)	Significant	Limited to the premium amount
Short put	The option expires	Limited to the premium amount	Done right, no significant loss

As you put the legs together in your combination trade, keep in mind what each leg was designed to do. Know in advance what each leg's maximum and minimum profit potential is, along with the maximum loss. You know, for example, that if you buy some calls and puts, each leg will have significant profit potential, but because option writing is in the mix, each leg could lose 100 percent of its value.

Weighing risk versus return

The old-age concept of risk versus return is a key point with options in general and with option combinations in particular. A very aggressive option strategy such as a simple call or put offers unlimited income but could mean losing 100 percent of your money. Option combinations such as spreads limit your potential profit but also limit your potential for loss.

Gauging how aggressive or conservative you're going to be (in addition to whether you're bullish or not) will be key decisions going forward with combinations. Keep in mind that risk means that you may lose money if you're wrong — possibly a portion or all of your money. Reward means the chance to realize a gain. All things being equal, risk and reward have a love/hate relationship that works like a seesaw. If you want large gains, then you have to tolerate a greater level of exposure to risk. If you don't want more exposure to risk, then you may have to tolerate a lower reward (or a lower return on your money). Bank savings accounts, for example, have very little risk, but that low risk is also accompanied by a low rate of return (low reward). Options can have substantial power for gain (reward), but they can also be very risky, and you can lose most or all of your money.

Should you be more or less aggressive (in other words, how much exposure to risk do you want)? A variety of personal and financial factors are tied to that decision, and you may need to discuss your approach with a financial advisor, but the shortcut to your decision is asking the following question: "If I lost money with this particular option strategy, would that adversely affect my financial situation?"

The bottom line is that I encourage those of you who want to speculate with options to limit your options trading to a relatively small portion of your investable assets — if you lost every penny of that amount, you would still be in strong financial shape (after some sobbing, of course).

Talking about time and moneyness

Option strategies don't just take the types of options and the number of puts and/or calls into account. Other considerations include how long the time frame is and whether the options expire on the same date:

- **Vertical spread:** In a vertical spread, both legs expire at the same time. The dates are on top of each other, so to speak.
- **Diagonal spread:** In a diagonal spread, one of the legs of the spread is longer (timewise) than the other. You might, for example, have the long call be nine months long while the short call is six months.

If your outlook or trading bias leans more bullish or bearish, consider making your spread a diagonal one so that the longer-term option is your true bias while the shorter-term option is against your bias or expectation.

Also consider whether the options will be out of the money (OTM), at the money (ATM), or in the money (ITM). Keep in mind that OTM, ATM, and ITM simply describe the relationship of the underlying asset's price compared to the option's strike price:

- In call options, OTM means that the underlying asset's price is less than the strike price. If, for example, the asset is a stock priced at $20 and the option's strike price is $25, you would have the right to buy that stock at $25. But what good is it if the stock itself can be bought directly at only $20? This is an example of OTM.
- If that stock rises to $25 and is in parity with the stock's strike price of $25, then you say that the stock's price is ATM, which is easy to understand.
- If that stock goes over $25 — say, to $30 — it's then ITM, and I think this is easy to see as a positive. If that stock is at $30 and you have the right (through the call option) to buy it at only $25, that's great! You can see the value there.

For speculators, buying an option that is OTM and then cashing it in when it is ATM or (much better) ITM is a very profitable trade (especially if it goes from OTM to ITM ASAP!). Of course, if the stock's price doesn't go up, then the option could expire worthless (in other words, DOA). But that's why this process is called *speculating* and not *investing* and why options traders should be aware of the "risk versus reward" aspects of options (see the preceding section).

Trying Out Option Tutorials and Resources

For novice and experienced options traders, a wealth of resources, information, and educational materials and programs are available to help you become more proficient with your options strategies. These are among the best:

- **Chicago Board Options Exchange (**www.cboe.com**):** The CBOE has extensive educational materials and programs at their site for beginners and experienced options traders.

  Sign up for CBOE's free options newsletters. You'll get lots of great tips and news about the options market. In addition, you'll get mailings when CBOE does free live option seminars in your local area.
- **The Options Industry Council (**www.optionseducation.org**):** This is the industry trade group for all exchanges that trade options. You can find plenty of educational materials and programs on their site. In addition, anyone can call 888-OPTIONS (888-678-4667) and ask general questions about options.
- **The Options Guide (**www.theoptionsguide.com**):** This is an extensive resource of options trading lessons and tutorials.
- **OptionsTradingpedia (**www.optionstradingpedia.com**):** This is like an encyclopedia of options trading articles and tutorials.
- **CME Group (**www.cmegroup.com**):** If you're interested in options on futures, commodities, and currencies, go to this extensive site for general information and guidance.

Chapter 12

Call Options

In This Chapter

- Using call options for different purposes
- Trying out tips for buying call options
- Checking out guidelines for call option writing

The call option is a powerful tool for the bullish among us. No matter what's going on across the world's financial markets, something, somewhere is either going up or is poised to do so. It's time for the call option!

As you find out in Chapter 11, which introduces you to the great big world of options, a *call option* is a contract that gives the buyer (holder) the right — but not the obligation — to buy 100 shares of an underlying asset at a given price (the *strike price)* on any business day before the option's expiration date. The buyer gets the right in the option contract by paying a fee called the *premium.* The writer (seller) of the option receives the premium as income but then has the obligation to sell the shares at the strike price that's stipulated in the option contract.

In this chapter, I dig into the three main speculative uses for call options: gains, income, and protection. I also provide some golden rules for call-option buying and writing.

As long as you're aware of all the possible negatives that come with options, both financially and emotionally, you're ready to move forward. Of course, options are entirely speculative, and the main negative is that your option could expire worthless. The flip side is that a call option is a relatively inexpensive way to speculate, so losing some money shouldn't be a break-the-bank moment for you.

The Uses of Call Options

Having call options among your investment choices expands the possibilities for both gains and income. In the following sections, I describe the various ways that a call option boosts your chances for profitability.

Using call options for gains

Out of all the vehicles and strategies covered in this book, the simple call option (or the *long call*) has the biggest bang for the buck for bullish speculators. There are two basic considerations for success in using call options to make big gains: content (the underlying asset) and timing.

The underlying asset is key

The big secret to success with options actually has little to do with options; success ultimately depends on the underlying asset. You don't have to be an expert with options, but you should be as proficient as possible with the underlying asset.

An option is not an investment or asset; it's a *derivative.* That means that it derives its value from something else. If the underlying asset is doing well, then the call option will derive value from that. If the underlying asset is having a bad day, then the attached call option will have a really bad day.

One speculator opened a futures account with $90,000 in February 2004. He decided to buy call options on a commodity: oil. He didn't know call options as well as he knew the oil market. As you may know, 2004 was a bullish year for oil. How did this speculator do?

By December 2004 (less than 11 months later), that account was worth about $1.1 million. That doesn't include more than $300,000 that he took out of the account during the year to cover some of his living expenses (I guess like buying gas for his car). This is a spectacular — and true — example of what you can accomplish if you thoroughly research a market and understand its fundamentals (supply and demand and such). Check out the resources in Appendix A to help you do your own research.

Now, keep in mind that you don't have to speculate with such a large amount. Percentagewise, you could have had similar results with much less. I've helped some clients turn $2,500 into $25,000, so successful options speculating is not tied to how much capital you're putting at risk.

Timing is everything else

Options sometimes seem to observe Murphy's Law. If you buy an option that will expire in five months, the event you're waiting for will happen in the sixth month. In other words, although you could be totally right about an asset going up, you might get in too soon or fail to buy an option with enough time on it.

If I had a choice between buying ten options with a six-month time frame or two options with a ten-year time frame, I would definitely choose the latter. I know one person who bought 100 call options on a high-profile stock that were expiring in about three weeks, but the desired outcome came much later. Meanwhile, those (very brief!) options expired worthless, and she lost $32,000.

This is why I like options that are called Long-term Equity AnticiPation Security (LEAPs). LEAPs have a shelf-life of one, two, or three years — possibly longer in some markets.

Timing your entry and exit points will increase your chances of success. Keep these points in mind when you're ready with your option order:

- **When possible, buy a call option on a down day for your chosen asset.** Options react to market volatility (up or down), so make that movement work for you. When an underlying asset is being hammered in the market, the options attached to it will be doubly hammered. That means a good buying opportunity for options.

- **When possible, write (sell) your covered call on an up day for your chosen asset.** When an asset is having a strong up day, then the attached options will be higher, indicating an opportune time to write an option. (I introduce covered calls in Chapter 11 and discuss them in more detail later in this chapter.)
- **Buy multiple contracts.** Seasoned traders buy multiple contracts so that they can cash out some to lock in a profit while allowing a few contracts to hang on for more potential gains.
- **Lock in profits.** Options can be a great way to build wealth, but they aren't a good way to preserve wealth. When you're sitting on big gains (or just gains period!), take some chips off the table. No one was ever hurt taking profits. An option is ultimately a wasting asset that can lose value, even when the underlying asset looks strong and profitable.

  When you start seeing gains, slowly cash in and seek to recoup your original investment. If you started speculating in options with $5,000, then take advantage of nice gains in your account to remove $5,000 and shift that money to cash or long-term investments (such as stocks, remember those things?). You'll be glad you did.
- **Keep your emotions in check.** Holding options is like holding a lit match — will you keep holding on until you're burned? Options can magnify not only gains or losses but also emotions. Fear and greed are regular parts of the options market, so discipline is crucial for long-term success and sanity.

  One speculator I know opened a futures account and funded it with $2,300. He bought gold call options. Gold went up sharply, and in four weeks his account was worth $80,000. He had the opportunity to cash out some of his positions but didn't do so. What happened then? In the subsequent four weeks, gold fell by the same amount, and his options value shrunk to $22,000. Now if I told you that he went from $2,300 to $22,000 in eight weeks, you might be impressed. But I'm sure he's kicking himself for not cashing out some of his positions when the value was around $80,000. The only thing worse than losing money with options is having gains within your grasp and then losing them.

Writing covered call options for income

If you're seeking to boost income from your portfolio with a relatively low-risk strategy, then covered call writing is worth considering. You won't lose money if you write covered calls in a disciplined way. However, this approach does come with one risk: You may be forced to sell your asset — at a profit.

As you find out in Chapter 11, when you write a covered call, you receive income in the form of the premium (paid by the option buyer). However, in exchange, you have an obligation: You may be required to sell your stock (or whatever the underlying asset may be) at a prearranged price.

If you're going to be forced to do something, then it might as well be at a profit, right? Having a stock you own at $48, seeing the option exercised, and selling your stock at a strike price of $50 is a risk, but what the heck! You made money!

When you write a covered call, you're speculating that the market price of the underlying asset won't go to (or exceed) the strike price during the time frame that the call option is active. The strategy is technically bearish, even though you may be bullish for the long term for your asset. Basically, you're only bearish during the time the call option is in effect.

Doing (writing) a covered call can also be considered a form of hedging, which is effectively a short-term bet on the near-term future of the asset's market price.

If a stock that you wrote a covered call on does indeed get called (the call option is exercised), then don't fret. If you really like the stock, consider writing a put option. A put option would obligate you to buy the underlying stock. But let's face it: Is buying really an obligation if you want the stock back? Many speculators do this tandem of writing a covered call and then immediately writing a put after seeing their covered call exercised. (For more on the pros and cons of writing puts, go to Chapter 13.)

Buying call options for protection

Most speculators understand that you can buy calls for bullish speculating and that you can do covered call writing for income. But on some occasions, calls can be a form of hedging. When would you use call options for protection?

If you're doing short selling because you think that a particular stock or asset is a good bearish candidate, consider buying a call option against your short position as a form of insurance.

For example, if you're shorting 200 shares of MMC Corporation at $50 per share, then consider buying two calls on MMC at $50 or $51 if possible. Why two calls? An option contract covers 100 shares, so two contracts would give you more coverage.

Going short is a form of speculating. The danger is that the stock you're shorting will reverse and rally upward, meaning that you'll incur losses. Because a call option gains value when the underlying stock is increasing, it works as a good hedge or form of insurance against unlimited losses. (For more information on going short, check out Chapter 8.)

Because shorting a stock is typically a short-term pursuit, you don't need to buy long-term (also called *long-dated*) call options. If you see yourself shorting a stock for two or three months, then consider getting an option for four months, giving you some cushion on the time. Buying the short-term call option can be an inexpensive way to limit your potential loss.

The Golden Rules for Call Option Buyers

Here are some golden rules for call option buyers that I want to share from my nearly quarter-century of doing options and teaching about them:

- Call options expire worthless if you aren’t careful.
- Note that you don’t have to be an expert in how options work to make money with them. The real secret is in being proficient with the underlying asset.
- There are options on all sorts of securities and assets, so make sure you specialize. Don’t try to master stocks and commodities and currencies. The most successful practitioners focus on a particular asset class and know it inside and out.
- After you master a particular asset class, become proficient in a few basic option strategies (see the resources in Chapter 11 for details). For some folks, just mastering covered calls makes a huge difference in their overall success.

  To practice option strategies before you risk real money, consider doing some simulated trading. Many of the resources listed in Chapter 11 have links to software and sites where you can simulate your trades.
- When choosing which call option to buy, get the longest time frame that you can afford. The longer the time frame, the greater your chances of success.
- If you choose calls that are out of the money (OTM; see Chapter 11), it’s better to get one option that’s really close to the strike price than two that are far away. Get closer to the money, and you increase your chances of success. Use this golden rule to augment the preceding rule.
- Use technical analysis where applicable. One of my favorite tools is the Relative Strength Index (RSI), which helps you gauge whether a stock or other asset is oversold or overbought. The optimal time to buy calls is when the underlying asset is oversold (having an RSI reading of under 30). For more about the RSI, see Chapter 21.
- Unless you’re desperate to buy a particular option and need to do a market order, use a limit order to get a better price. If an option has an ask price of $1.50, for example, do a limit order for $1.50 or even a little lower. Most of the time, you’ll get your price, especially if the trading session isn’t volatile. (Find out more about brokerage orders in Chapter 5.)
- Be a contrarian where possible. When everyone is bearish, you can get call options dirt-cheap. Just make sure you know the difference between bull and bear markets, or you may end up buying lots of call options that expire worthless.
- Stagger your option purchases if possible. In other words, if you’re devoting $5,000 to buying call options, consider deploying a third now and the rest later, after a few weeks of watching the trading action. Use this approach especially if you’re a novice and you need to slowly test the markets.
- Diversify your options, even if you’re speculating. If you buy 50 call options on a single stock or asset and you guessed right, you’ll make a fortune! But if you’re wrong, you’ll lose big-time, even if the options are cheap. Consider different options on different securities; have

some bullish strategies and some bearish strategies as well. This approach increases your chances of having winning positions in your portfolio.

The Golden Rules for Covered Call Option Writers

Just as I've developed rules for call option buyers, I don't spare the option writers! Here are my rules for writers of covered calls:

- Even if you qualify for doing uncovered (naked) call writing, don't do it. The most you can make is 100 percent of the premium, and your potential loss is unlimited (or, at the very least, quite substantial). Naked call writing is the most dangerous option-writing strategy.
- If your intention is to hold onto the stock or security, write a covered call that puts the odds in your favor. Make sure the call is out of the money (or OTM, as I explain in Chapter 11). An OTM call is less likely to be exercised than an option in which the stock's market price is at the same level as the option's strike price (at the money, or ATM) or in which the market price is above the option's strike price (in the money, or ITM).
- As a point that augments the preceding rule, make sure the covered call you write has a relatively short time frame. A three- or six-month call is less likely to be exercised than one that is nine months or a year long.
- Use technical analysis where applicable. It's better to write covered calls on stocks or other assets that are considered overbought. An overbought stock is less likely to have the momentum to continue rising and risk being exercised at the strike price. In general, overbought stocks have RSI readings that are over 70 (see Chapter 21 for details).

Chapter 13

Put Options

In This Chapter

- Profiting from buying put options
- Generating income from writing puts
- Protecting your stocks from short-term pullbacks

The put option is a powerful tool in the speculator's tool chest, and in this chapter, I cover this versatile vehicle. No matter what's happening in the general stock market, some stocks or exchange-traded funds (ETFs) may pull back or even crash, so be ready with put options.

When a buyer pays a premium, a *put option* gives the buyer the right — but not the obligation — to sell a number of shares (100 shares per contract) of an underlying security at a given price (the *strike price*) at any time before the option's expiration date. The writer (or seller) of the put option has the obligation to buy the shares. Please check out Chapter 11 for the downside risks on puts and the mechanics of how they work before you proceed in this chapter. Keep in mind that put options are a form of speculation, not investing.

After you have put and call options in focus and ready for use, consider stepping up your game with option combinations. Chapter 14 covers bullish option combinations, and Chapter 15 is on bearish combinations. What's that? You're neither bullish nor bearish on the coming months? No worries — you can actually profit from a sideways market with neutral option combinations, which I discuss in Chapter 16.

Buying Put Options for Gains

Even though I've been teaching about stocks and general investing for decades and I've often been bearish on many assets and markets, to this day I haven't done a single instance of short selling (introduced in Chapter 8). Why?

When you can buy put options and even long-term put options, why bother doing a short sale? I know that when I speculate with a two-year put option and it costs me a few hundred bucks, the worst that can happen is that I'll lose a few hundred bucks.

A put option is my favorite vehicle for speculating that a stock or other security will fall in price in the near future. As you keep reading, I'm sure that you'll see the profitable potential of what puts can do in your bearish speculating. The following sections explain what you need to know.

Finding the "worst" candidate

When you're researching put options to buy, keep in mind that you're looking for a stock whose company has terrible fundamentals and whose stock price is much higher than the company's intrinsic or book value. The ideal candidate is one that looks beautiful to the marketplace, but when you peel away the layers, you see true ugliness. In other words, think of a hot stock and find the company's fatal flaws. Consider checking out Chapter 4 on finding "good stocks" and do the opposite. Profitable companies are good to invest in; you should obviously avoid unprofitable companies as investments, but they can be candidates for put options. Chapter 8 (on shorting stocks) also has some good tips on finding "bad stocks."

Also, many exchange-traded funds (ETFs) are now optionable, so the put option speculator can seek industries and sectors that are good bearish candidates for put options.

Profiting when the market is "too high"

Part of successful put option speculating is choosing the right entry point. When you're shopping for puts on an underlying stock or stock group that is rallying, the puts tend to be very cheap. The cheaper the put option, the less money you're risking and the better chance you have of making money when the underlying asset reverses and heads downward.

If you see a bubble or a humongous rally in a particular stock or industry, don't rush in immediately and buy dozens or hundreds of put options and then go shopping for a yacht, expecting a fortune waiting for you in your brokerage account. Sometimes bull markets, bubbles, or bear markets last longer than your options. Experienced speculators buy a few puts, wait for confirmation of their expectations, and then buy some more.

Some of the best money I ever made with puts occurred during 1999 through 2001, when the Internet stocks and tech stocks bubble popped. In 1999, I was buying put options as Internet stocks and tech stocks were skyrocketing. Although my put options kept losing value in late 1999, I kept buying because I saw a true opportunity to buy long-term puts at very cheap prices. I thought that the mania in these stocks created a perfect shorting opportunity. The stocks were soaring, yet the fundamentals of the underlying companies were either bad or horrible.

When the reversal finally came, the rush for the exits was spectacular indeed. Buying puts at that moment meant paying a lot for them, because those stocks were already plummeting. That was fine with me, as I had bought the puts earlier when they were extremely cheap. (For more on market bubbles, check out Chapter 19.)

Recognizing the gains you can get from exits

Although put options are generally a mirror inverse of call options, some things are a little different. One difference is the speed of bullish and bearish markets, which could be a plus for put speculators.

The most extreme and euphoric bull market rallies don't typically move as hard and as fast as an extreme bear market correction. In those moments, the movement sure doesn't feel like a correction; it feels extremely incorrect to bulls! The point is that investors and speculators move faster when they're driven by fear than when they're driven by greed.

Participants move faster and in greater volume when they're heading toward the exit than when they're heading toward the entrance. Many of the most spectacular and timely gains come with puts rather than calls. (See Chapter 12 for details on call options.)

Understanding the golden rules for put option buyers

Some of the following rules for put option buyers may mirror my golden rules for buyers of call options (see Chapter 12), but I include them for completeness. Of course, the put is the opposite speculation from a call:

- Puts can expire worthless if you aren't careful.
- Your expertise, proficiency, or research should not be tied to the put itself; it should be on the underlying asset. As a derivative, a put option (just like a call option) doesn't have its own value.
- There are options on all sorts of securities and assets, so make sure you specialize. Don't try to master stocks and commodities and currencies. The most successful practitioners focus on a particular asset class and know it inside and out.
- After you master a particular asset class, become proficient in a few basic option strategies. For some folks, just mastering put option spreads makes a huge difference in their overall success.

  To better understand option strategies, try simulated trading before you risk real money, especially if you're inexperienced. Many of the resources in Chapter 11 include links to software and sites where you can simulate your trades. In fact, you can do simulated trading without resorting to fancy programs. Just choose a few candidates for your put options, head over to the quote tables at the Chicago Board Options Exchange website (`www.cboe.com`), and view all the possible puts (and calls, too) for your chosen stock or security. You can download the entire list of quotes and then import the data into your favorite spreadsheet program. Do this on a weekend, when markets are closed. Then do it again in, say, two weeks, and see which puts and put strategies would have made money.
- When choosing which put option to buy, get the longest time frame that you can afford. The longer the time frame, the greater your chances of success.

- If you choose an out-of-the-money (OTM) put (see Chapter 11), it's better to get one that's really close than two that are far away. Get closer to the money, and you increase your chances of success. Use this golden rule to augment the preceding rule.
- Use technical analysis where applicable. One of my favorite tools is the Relative Strength Index (RSI). The optimal time to buy puts on a stock or asset is when it's overbought (having an RSI reading of over 70). You can find more info on the RSI in Chapter 21.
- Unless you're desperate to buy a particular option and need to do a market order, do a limit order to get a better price. If an option has an ask price of $1.50, for example, do a limit order for $1.50 or even a little lower. You have a strong chance of getting your price most of the time, especially if the trading session isn't volatile.
- Be a contrarian where possible. Where is the exuberance and jubilation? Overwrought markets do tend to reverse in due course.
- Consider the preceding point in relation to the broader picture. Buying puts is more successful in a general bear market than in a general bull market. Understand the difference between bull and bear markets so you don't end up buying lots of put options that expire worthless.
- Stagger your option purchases if possible, especially if you're a novice and need to slowly test the markets. For example, if you're devoting $5,000 to buying put options, consider deploying a third now and the rest later, after a few weeks of watching the trading action.
- Diversify your options, even if you're speculating. Consider different options on different securities; have some bullish strategies and some bearish as well. This increases your chances of having winning positions in your portfolio.
- Consider option combinations. Besides the put option, other bearish combinations could be good strategies, given certain market conditions. Check out Chapter 15 for details on bearish combinations.

Writing Put Options for Income

When you write (sell) a put option, you receive income (the premium), and in exchange you have an obligation: to purchase the underlying security at the option's strike price if the option is exercised. Given that, we come to the first rule of writing put options: Write puts only on stocks or assets that you would love to own. Think of stocks that would be an excellent addition to your portfolio, see whether the market has pushed the stock price down, and then write a put option. When writing put options, you want to concentrate on companies or industries that are quality — that is, the winners! That's where Chapter 4 (on finding value stocks) will come in handy.

REMEMBER

Puts are usually associated with making money when stocks or markets fall, so writing puts is almost counterintuitive. The key point with writing puts is that you're obligated to buy the underlying stock. Would you rather be obligated to buy a bad stock or a good stock? In other words, do you want to be forced to buy a stock you hate or one you love?

In the following sections, I explain the two ways you can write put options.

Cash-secured puts

The put option you write obligates you to purchase the underlying asset if it hits the strike price and gets exercised. Depending on your broker and your account, at a bare minimum you need to have enough cash in your account to cover the potential purchase of 100 shares of stock at the option's strike price.

For example, if you write a put on MMC at a strike price of $25, then you must have at least $2,500 in cash in your brokerage account to cover the potential purchase of 100 shares at $25 per share.

Before you seek to do put writing, have your broker approve you for writing puts and calculate your cash needs for the stocks you're seeking to write puts on. The minimum cash amount that you'll need is based on the strike price in your put option.

Portfolio-secured puts

In case a put option you wrote gets exercised, one way to cover your obligation to buy is to have enough collateral from securities you own in the brokerage account where you're writing put options. With a portfolio-secured put, you own listed stocks that have enough value to be marginable so that you have buying power for your potential purchase. You can find more about margin in Chapter 5.

Say that you write a put on MMC at a $30 strike price. That means that you need to be able to pay (or have the ability to borrow) $3,000 (100 shares times $30 per share). If you have $6,000 in listed marginable securities, then 50 percent of that ($3,000) will be considered buying power.

Please discuss your margin and buying power issues with your broker's customer service department before you attempt any put writing.

Considering Put Options for Protection

Many people buy puts as a way to speculate, but you can consider using put options in an entirely different way: as insurance or hedging.

Suppose you're a long-term investor, but you're worried about the next few months. You've been reading reports about problems in the general economy, or maybe some worrisome issues are arising in an industry you've invested in. Maybe you have a long-term holding in a stock that you bought years ago and it has a large unrealized gain, but lately you've been concerned because the stock is up at a dizzying level according to the P/E ratio (see Appendix B) or the RSI shows the stock is very overbought.

In that case, why not buy a short-term put option on your own stock? Because the option is short-term, the cost won't be great, and it could give you some peace of mind.

Say you own 200 shares of a stock that is at $75 per share. Given the concerns just cited, consider buying two put options that will expire in less than six months. In that case, buy two put options at a strike price of $75, $72.50, or $70. If the stock goes up, the puts would of course lose value or expire worthless, but that isn't a big concern — the stock is the big concern.

If the stock goes to, say, $65 per share and you have two put options at the strike price of $75, your 200 shares may be down a total of $2,000, but the put options can gain $1,000 per contract, so two contracts can have the power to gain $2,000 total. The put options gain value, which in turn offsets the downward moves of the underlying stock positions to a great extent.

You don't buy these puts because you want to profit from the put options; you do it to offset any potential short-term downside moves by your stock. Obviously, the main concern is your primary (long) position in the stock. In the same way you don't want your house to burn down just because you have fire insurance, you don't want to see your stock go down just because you have a put on it.

Using a put for stock-market bargains

One of the great little secrets of puts is the ability to buy stocks at a discount. I'm not just saying that you buy "undervalued" stocks. I mean you can buy a stock at a discount from the day's market price.

Here's a real-life example: As I write this, one of my favorite stocks (nicknamed *ZZZ*) is down. At about 2:00 p.m., the stock is at $15.62 per share, down $1.92 from yesterday's close of $17.54. I then look at the options table at `www.cboe.com` and see a put option on *ZZZ* at a strike price of $18.

The strike price of $18 would have yielded a premium of $4.35, which means that had the option been triggered, I would have effectively bought the stock for only $13.65 — a savings over the market price ($15.62) of $1.97, or a discount of nearly 13 percent! The put option would have required me to buy the stock at $18 (or $1,800 for 100 shares). However, my net cost would have been $1,365 because I would have received $435 from the premium of the put option I wrote ($1,800 stock purchase minus $435 put option premium equals net purchase of $1,365). Compare that to buying the stock at $15.62; it would have cost me $1,562 (100 shares times $15.62 per share). To acquire the same 100 shares of *ZZZ* (at the same moment of time), I would have spent an extra $197.

Chapter 14

Bullish Combination Strategies

In This Chapter

- Beginning with the bull call spread
- Surveying the bull ratio spread
- Looking at the synthetic long

Time to get fancy! Option combinations are a great way to boost the success of your wealth-building efforts. In this chapter, I focus on how to combine two or more options (either put or call or some mix) for people with a bullish outlook.

Any combination I cover is really easy to deconstruct, because all option combinations, no matter how complicated they sound, boil down to calls (Chapter 12) and/or puts (Chapter 13). Before you attempt your first combination, familiarize yourself with the basic options. You also find an introduction to option combinations in Chapter 11.

In this chapter, I give you details on three bullish option combinations, but don't stop there. You'll find dozens of bullish combinations if you drill down. Many option combinations (bullish and otherwise) are detailed at the following sites:

- Options Industry Council (`www.optionseducation.org`)
- The Options Guide (`www.theoptionsguide.com`)
- OptionsTradingpedia (`www.optionstradingpedia.com`)

Markets move in all sorts of directions, so don't just look for upside potential. Check out bearish option combinations in Chapter 15 and neutral option strategies in Chapter 16.

The Bull Call Spread

The spread is one of the most common option combinations. Spreads can be bullish or bearish. When you understand the most basic setup, in this case a bull call spread, every other spread should be a piece of cake.

A *bull call spread* is a combination of buying a call option (a long call, also referred to as the “long leg” in the combination) and writing a second call option (a short call, also referred to as the “short leg” in the combination) that has a higher strike price. A spread can limit your risk, but it also limits your gain to the difference between the strike prices of the two options. You can easily structure your spread to be narrow or wide:

- **Narrow spread:** In a narrow bull call spread, the call you write will generate more premium income, but it will greatly reduce your potential gain.
- **Wide spread:** In a very wide spread, you have the potential for a greater gain, but the income you receive from the premium of the call you wrote is very little.

Calculate the cost and the potential gain and then go for spreads that have a gain potential of 3-to-1 or better. In other words, if a spread costs $100, make sure your potential gain exceeds $300 to make it worthwhile. Think of the timing of the spread, too. To get in at a good price (especially for the primary leg, the long call), put in your order when the stock’s price is stable or down a little.

Suppose you’re bullish on UpMove Corporation (UMC), but you aren’t willing to be too aggressive. With UMC’s share price at $48 per share, you decide to do a bull call spread. Table 14-1 breaks down the legs in this scenario.

Table 14-1 A Sample Bull Call Spread

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Long call	$50	Pay $250	Dec. 15, 2017
Short call	$60	Receive $150	Dec. 15, 2017
		Total cost: $100	

Note: Most options typically expire on the third Friday of the expiration month, especially options on the Chicago Board Options Exchange (CBOE; find out more at www.cboe.com).

As you can see in Table 14-1, the bull call spread has two call options that have different strike prices:

- The primary leg is the long call at $50, which is closer to the stock’s market price of $48, so it’s almost at the money; it’s a very close out-of-the-money call.
- The short call (the one you wrote) is much further away at $60, so it’s definitely out of the money. The short call’s purpose is to both hedge the position and also help pay for the combination.

The total out-of-pocket cost is only $100, which means you may lose $100 in the worst case (if both options expire). Because the net of this combination is a cost (the $100), you have a net debit spread. So far, so good! Both legs have the same expiration date, so this bull call spread is vertical rather than diagonal. In the following sections, you see the three basic scenarios that could occur with a bull call spread.

The stock goes down or stays flat

In a bull call spread, like with many "directional" trades, you need to see the underlying asset move in the direction of the trade. Because bull call spreads are set up with an upward directional bias, if the stock's price doesn't head upward (even mildly), then the options in the bull call spread lose value. You won't be happy if the long leg is losing value (you bought it), but you won't mind if the short leg is losing value (you sold it).

If UMC stock falls or stays flat at $48, the market price stays below the primary leg's strike price of $50 (which is below the other leg's strike price of $60). Both options expire worthless, unless you cash out the spread before expiration to recoup some of the value. If UMC's stock plunges (say, to under $40), those options could easily be effectively worthless before their expiration date.

The stock enters the range of the strike prices before expiration

In a bull call spread, seeing a stock rise to the middle range of the option combination's strike prices is good — consider it "the sweet spot" where you get optimal value. If the stock's price is at the money or in the money (at or above the long call's strike price) yet still below the strike price of the call you wrote (which is out of the money and at the higher strike price), then your long leg gains significant value and your short leg gains less (or little) value. This means that you'll be able to cash out (or close out) the spread at a nice profit.

As UMC's stock rises to $50 and a little over it (say, up to $53), the spread effectively acts like a simple call option. The $50 strike price gains substantial value and will likely be profitable, while the $60 call doesn't react much because there's still significant distance between the stock's price (under $53) and the call's strike price of $60.

If UMC's stock rises past $55 and heads closer to $60, the offsetting value of the $60 call will increasingly be a drawback because it's the liability leg in the combo. The $60 call may be a hedge, but if you're correct and UMC's stock rallies, that call will greatly limit the gain.

Note: Many traders would lock in a good profit by cashing out the spread as soon as UMC hit the $55 area. Others, thinking that UMC might have further upside potential before the call's expiration, would buy back the $60 call to convert the combination from a bull call spread to a simple call.

The stock goes over the higher strike price before expiration

After the underlying asset's price surpasses the strike prices of both options in a bull call spread, there is a point where the maximum profit is "frozen" and no more profit can be extracted. Keep in mind that one option (the short leg — the option you wrote) offsets the value of the long leg (the option you bought). At this point, cash out the spread and take your gain.

Say that UMC goes to $65. Don't pop open the champagne; the gain isn't as good as you think. The most you can net in this specific bull call spread is $900. Even if UMC's stock skyrockets to $70 or $80 or more, your gain stands firm at just $900. Why?

In the bull call spread, your long call option gives you the ability to buy 100 shares of stock at $50 per share, for a total of $5,000 (100 shares times $50), while your short call option obligates you to sell the stock at $60 per share, or $6,000. If you bought the stock at $5,000 and sold it at $6,000, the gain would be $1,000. Deduct $100, your cost of the spread, and the gain is $900.

In a covered call, the writer is obligated to sell the stock at the option's strike price regardless of how high the stock goes above the option's strike price. Therefore, the covered call that helped you buy the spread ultimately acts like a ceiling on your potential gain.

Note: Normally, when you write a call option, you're required to have the underlying asset in your account to cover the potential obligation of selling 100 shares at the strike price. However, in the specific case of a bull call spread, one leg secures the other. Here, the primary leg call option at $50 secures the $60 call because the $50 call you bought gives you the right to obtain 100 shares of stock at $50 per share.

The Bull Ratio Spread

In a *bull ratio spread,* you're buying two call options and one put option. If your predictions are right, your biggest gain will come from the two bullish legs, the two calls. If you're wrong, the put just might save your bacon. Table 14-2 shows a typical bull ratio spread.

Table 14-2 A Sample Bull Ratio Spread

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Long call 1	$50	Pay $100	Dec. 15, 2017
Long call 2	$50	Pay $100	Dec. 15, 2017
Long put	$40	Pay $100	Dec. 15, 2017
		Total cost: $300	

You're buying three options, so this is obviously a net debit combination. The bias or outlook is definitely bullish with the two calls, and the put is the hedge in case you're wrong. If all the options have the same expiration date, you have a vertical spread. If there are different expiration dates, you have a diagonal spread, also called a *calendar spread.* (And if the underlying asset is a dairy product, the combination may be called a "cheese spread.")

Say you're bullish on Rocket to the Moon Inc. (RMI), which is at $45 per share. However, you know market volatility could send RMI's stock price quickly downward without much notice. The following sections spell out what happens next, given three possible scenarios.

The stock moves sideways

In a bull ratio spread, your bullish positions (two call options) outnumber the bearish position (the single put option), so a profit is most likely when the underlying asset's price moves significantly upward (your preference) or downward. Should the stock trade flat (essentially stay at its current price) or move sideways (very little up, then very little down), then all the legs of your combination lose value. Calls and puts are directional bets, and a neutral move (or no move) in the asset's price means eroding (losing) value of the options.

Flat or sideways movement of the stock price is the kiss of death for this option combo. If the stock is around $45 and is making no moves toward $40 or $50, the options' value heads into the vortex of time decay.

In this type of trade, volatility is your friend. You want the stock soaring, but you could recoup some value and even make a small profit if it goes down. But sideways? Not good.

The stock soars

Now you're talking! A soaring stock is the preferred scenario. In a bull ratio spread (as the word *bull* indicates), your outlook is achieved when the asset's price goes upward because two of the three legs are call options that you've bought. In other words, a rising or soaring price is the best outcome in this combination.

At $45, all three options were out of the money, but as soon as RMI hits $50 (and hopefully goes beyond it), both call options are at the money. The profit potential is unlimited. Meanwhile, the put loses value (it goes down from $100) and probably turns worthless. But with two call options with fat gains, who cares?

The stock goes down

The bull ratio spread performs best when the stock goes up, but all is not bleak if the stock's price does fall. Keep in mind that's why you have the put option as the hedge in the combination.

If RMI's stock price falls below $40, your out-of-the-money put becomes at the money and then in the money. Your two calls would become worthless (a loss of $200), but don't be surprised if the put offsets most of the loss. If RMI really falls hard, the put could be worth more than your original outlay for the total combo ($300).

The Synthetic Long

The synthetic long is hands-down one of my favorite bullish combinations. It can offer an unlimited bullish gain potential and no losses. In fact, if you time it well, the synthetic long could also give you a net credit. What's the catch? Well, you may end up buying a stock you love at a reduced price.

The *synthetic long* is a simple combination, as you see in Table 14-3.

Table 14-3 A Basic Synthetic Long

The Legs	***Potential Gain***	***Potential Loss***	***Comments***
Long call	Unlimited	Lose your premium	The premium for the call is paid for by the premium received from the short put.
Short	Limited to your	Done right, no significant loss, but you may need	Only do the short put on securities you wouldn't

put	premium amount	to buy the underlying asset	mind buying.

This combination is very bullish. It effectively works as if you bought the stock (that's where the "synthetic" part comes in). It just doesn't require any capital outlay initially, and you need not own the stock when the trade is implemented.

Suppose you're bullish on the stock Sky Rocket Up Inc. (SRU), which is currently at $35 per share. Table 14-4 gives you the synthetic long combination.

Table 14-4 A Sample Synthetic Long

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Long call	$40	Pay $95	Oct. 20, 2017
Short put	$30	Receive $100	Oct. 20, 2017
		Net credit: $5	

As you can see from Table 14-4, this combination is a net credit spread of $5 (you receive $100 from the put you wrote, and you paid $95 for the call you bought). It is also a vertical spread because both legs of the combination expire on the same date. I cover the possible scenarios in the following sections.

The best time to deploy the (potentially zero-cost) synthetic long is when the stock or ETF you're eyeing is having a bad day (its price is down sharply), yet the fundamentals and the technicals look good and warrant a bullish outlook. I recall one stock I thought was fantastic; the stock had such a bad day that not only was the synthetic long a net credit, but the put was very fat (it gained tremendous value before I sold it), and the premium was fat enough to pay for two calls. So keep an eye out for bad days, because they could be great entry points for a synthetic long, perhaps even a 2-for-1 combo (one that could thrill you enough to send this author a case of lobster tails).

The stock price remains flat or goes sideways

In a synthetic long, especially if you structured it as a net credit, time isn't against you as it can be in other combinations. If the stock doesn't rise (or fall) significantly and the combination expires worthless, no worries! The net credit means that in the worst case, you made a little money.

If the stock stays at or near $35 during the life of the options, both options could expire worthless. If your synthetic long combo was structured to result in a net credit — the income you received from writing the put was greater than the cost of buying the call — then you keep the money as a result, and no harm done. (On the other hand, if the cost of the call option exceeded the premium you received, you have a net debit, and that's all you've lost.)

The stock price falls

If the underlying asset's price falls, the only real "negative" event is that you may be required to buy the asset because part of the synthetic long is a put option that you wrote. However, it's really a positive because the obligation means buying a stock you like and at a predictable low price (the strike price in the put that was written).

If SRU's stock goes down to $30 or lower, the price drop would likely trigger the exercising of the put, and you'd end up buying the stock at $30. But you aren't distressed, because you placed the put on a stock that you'd be happy to own. The call option would most likely expire worthless, but that isn't an issue, because it was paid for by the put you wrote. Ultimately, you'd end up with 100 shares of SRU and a net credit of $5 from the option combo.

The stock goes up

Jackpot! A synthetic long truly shines as an option combination when you're correct in your outlook and the stock's price has a significant rise. You would make two profits:

- The first one is that the put option expires and you can potentially make a 100 percent gain (if the put option expires, you keep the full premium amount).
- The second profit is from the call option you bought, and it has the potential to be substantial.

Say that SRU's stock goes to $50. What happens? The call with a strike price of $40 gives you the ability to buy 100 shares at $40 per share, for a total of $4,000. Meanwhile, at a market price of $50 per share, those 100 shares would be worth $5,000. Your gain would therefore be $1,000 ($5,000 market value minus $4,000 purchase price).

But wait, there's more! The $30 put that you wrote is now worthless. No worries, though — you didn't buy it; you sold it. When you sell a put (or a call) and it goes worthless, you simply keep 100 percent of the premium you received. When the option expires, your obligation to buy the stock also expires. For SRU, you get to keep the $100 from writing the put.

Let's tally what happened here:

- You made $1,000 from the call.
- You made $100 from the put that expired.
- You got $5 from the original net credit.

You made a total profit of $1,105 from this option combo when your bullish outlook was realized. I love happy endings!

Chapter 15

Bearish Combination Strategies

In This Chapter

- Understanding the bear put spread
- Using the bear ratio spread
- Protecting your positions with the zero-cost collar

The stock market has experienced some earth-shaking crashes, such as in September 2001 and again in the fall of 2008. When bearish events unfold, nimble investors and speculators are ready to profit. This chapter reveals some of the most popular option combinations for either profiting from a falling market or protecting your stock and/or exchange-traded fund (ETF) positions.

REMEMBER Before you attempt any option combination, familiarize yourself with the basics of a put and a call. Chapter 11 introduces options, Chapter 12 is about call options, and Chapter 13 is about put options. And don't limit your combinations to just bearish strategies; check out bullish option combinations in Chapter 14 and neutral option strategies in Chapter 16.

The Bear Put Spread

Spreads are versatile strategies. There are many variations for bullish speculators (see Chapter 14) and bearish ones, too. In a *bear put spread,* you buy a put (the *long* put) with the strike price near the stock's price while writing a put (the *short* put) at a strike price that's further away (it's out of the money, or OTM; see Chapter 11).

Suppose you're eyeing a stock that you feel will go down in the near term, but you're not that bearish on it. In other words, you're mildly bearish on the stock of Plunging Gently Inc. (PGI), which is trading at $42 per share. Table 15-1 gives you the basic setup of a bear put spread in this scenario.

Table 15-1 A Sample Bear Put Spread

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Long put	$40	Pay $250	Dec. 15, 2017
Short put	$30	Receive $150	Dec. 15, 2017
		Total cost: $100	

Because the premium you're paying for the long put is more than the premium you're receiving for the put you're writing, you have a debit spread: a total cost of $100.

The bear put spread has two put options that both expire in the same month and day, so it's a vertical spread, but the puts have different strike prices:

- **The long put:** The primary leg is the long put at $40, which is closer to PGI's market stock price of $42. The put you're buying isn't at the money; it's actually out of the money, but it's close enough to be profitable even if PGI has even a small move down. If you were doing only the long put, you'd be making a very bearish move. But then there's the second leg of the spread …
- **The short put:** The put you write is further away, at $30, so it's out of the money. The short put is the leg that acts as a hedge and helps pay for the spread. The total cost for this combo is $100, so the loss limit is only $100.

The following sections explain the basic scenarios with this bearish spread.

The stock goes sideways or stays flat

In the event that the stock goes sideways (very little movement up, then very little down) or flat (essentially staying at its current price), both legs of a bear put spread lose value. The bear put spread counts on some movement downward for the spread to generate a profit.

If PGI's stock price is trading in a narrow range and it isn't decisively moving down toward $40, then both options start to lose value and will eventually expire worthless, unless you cash them out before then to recoup some of the value.

The stock rises

In a bear put spread, both puts lose value when the underlying asset's price rises. If the asset's price continues to rise, the puts likely will expire worthless.

If PGI's stock price rises, then the spread loses value very quickly. The spread could be effectively worthless long before expiration because the market doesn't have much demand for puts that become more and more out of the money.

TIP If the put options in the spread lose most or all of their value, consider decoupling the spread immediately. You can hang onto the long put in hopes that PGI will change direction and head downward. Meanwhile, the put option with the lower strike price (at $30) is the one that you wrote, so you don't mind if that leg loses value. If that option is at or near zero value (or effectively worthless), you can book a profit by just closing out the short leg; you do so by buying back that portion of the spread.

When you opened the spread, the $30 put you wrote was entered as *sell to open,* and you received the $150 premium. Suppose that this put option is now worth only $5. You'd then do an order to *buy to close* that put option. With that, you book a profit of $145 (the $150 you received, less $5 paid).

Now, you still have the long put, the one at the $40 strike price. Yes, that one is probably also down in value sharply, but it has some time remaining. If PGI makes a sudden reversal (confirming that bearish outlook you had when you did the spread to begin with), the long put's value could revive as PGI's stock price heads back down toward $40. If it's a quick and sharp move down, you could cash out the long put at a profit.

This example highlights the possibility that a spread could generate two gains if you play it right and if the underlying stock has relatively fast and sharp moves (up and then down) during the life of the option.

The stock's price goes into the legs' price range before expiration

Seeing the stock's price fall to the middle range between the bear put spread's strike prices is just what you want! As with other spreads (like the bull call spread in Chapter 14), I consider it "the sweet spot" where you make optimal profit. If the stock's price is at the money or in the money (at or below the long put's strike price; see Chapter 11) yet still above the strike price of the put you wrote, then your long leg gains significant value while the short leg gains less (or little) value. You then can cash out (or close out) the spread at a great profit.

If PGI's stock falls to $40 and maybe goes a little lower, the spread will effectively and temporarily act like a simple put option. The $40 strike price will pick up significant value while the $30 put's market value won't react as much, because it's still significantly out of the money.

As PGI's price moves down past the midway point of the price range (around $35), the $30 put you wrote starts to gain value, which increasingly offsets the gains that are building with the long put leg of the spread.

> When the stock's price enters that midway area (again, around $35), consider exiting the trade and cashing out the spread. By then, you'd have a solid profit. Some people may hold onto the spread until PGI goes even lower, but keep in mind that your total profit in this particular spread will be limited, no matter how low PGI's stock price goes.

The stock goes under the second leg's strike price

In a bear put spread, after the underlying asset's price continues moving down past the strike prices of both puts, you reach a point where the maximum profit is "frozen" and there is no more profit to be made. Keep in mind that one option (the option you wrote) offsets the value of the long leg (the option you bought). At this point, cash out the spread and take your gain because there is no more gain to squeeze out of the position.

Your bearish expectation is on target, and PGI goes below $25. Both of the put options are now in the money. But no matter how low below $30 PGI goes, your total net profit would be limited to just $900 max. Why?

In the bear put spread, the long put gives you the right to sell PGI for $4,000 ($40 share price times 100 shares), and the short put you wrote at $30 obligates you to buy that stock for $3,000 (or 100 times the $30 stock price). The difference is $1,000. You paid $100 for the spread, so the difference is your maximum net profit ($1,000 less $100).

The Bear Ratio Spread

In a *bear ratio spread,* you buy two put options and one call option. The combination is similar in structure to the bull ratio spread (see Chapter 14), but it's inverted to be a bearish combination trade. Table 15-2 gives you the layout of a sample trade.

Table 15-2 A Sample Bear Ratio Spread

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Long put 1	$40	Pay $100	Nov. 17, 2017
Long put 2	$40	Pay $100	Nov. 17, 2017
Long call	$40	Pay $100	Nov. 17, 2017
		Total cost: $300	

Suppose that you're bearish on a stock called Screaming Drop Corporation (SDC), which is trading at $44. You're buying (going long on) three options, so this is obviously a net debit combination. The bias (or predominant outlook) is bearish because two of the legs are puts and the third leg is the long call, which acts like the hedge just in case you're wrong in your bearish outlook.

In this example, I made all three legs of the trade options with the same strike price of $40 and the same expiration dates (a vertical spread). You can certainly vary all the legs of the trade to your liking and have different strike prices or different expiration dates.

If you make the combination a diagonal spread (also called a *calendar spread*), you can tweak it to make it more or less bearish. If you're tilting toward being more bearish, then consider giving a long leg (a put option you bought) a longer time frame.

You can see what happens in various scenarios in the following sections.

The stock moves sideways

When you have a combination where you're long on all the legs, then you're really expecting big moves (volatility). In a bear put spread, a flat or sideways movement wouldn't be good.

As the stock snoozes through, time decay is wide awake. The spread loses value as time ticks on toward expiration.

TIP

Monitor the underlying stock to see whether anything has occurred that could change your outlook, and choose a time to cash out (sell to close) some or all of the positions to recoup some value and minimize losses. Yes, the most you can lose is $300 in this example, but it's still good money!

For the bear ratio spread on SDC, all three legs of the position (the two puts and the single call) will lose value, and they will likely lose value rapidly. If the sideways movement of the underlying security continues, this combination could become worthless, and at some point it's better to close out the entire position to recoup some (or any) value.

The stock goes up

A bear ratio spread performs best when the stock goes down, but all is not bleak if the stock's price does go up. That's why you have a call option as the hedge in this combination.

Say that SDC goes north of $50. Your two puts would lose tremendous value and be near worthless. But the saving grace is that you do have a hedge, and the long call will certainly gain in value. In the case of a soaring stock (something that totally goes against your bearish expectation), the call option could gain enough value to give you a net profit for the total spread.

If SDC goes to $50, that $40 call option could be worth $1,000 because the call would give you the ability to buy $5,000 worth of stock (100 shares with a market value of $50 per share) for $4,000 (100 shares at $40 per share). You could actually net a decent profit of $700 ($1,000 gain minus $300, the initial cost of the trade). Not too shabby!

The stock crashes

In a bear ratio spread, your outlook is achieved when the asset's price goes down because two of the three legs are put options that you have bought (the word *bear* is a dead giveaway). In other words, a falling or crashing price is the most profitable outcome in this combination.

Suppose that SDC plunges to $30 per share. Now what?

The single leg of your trade (the call option) loses, and it's heading toward becoming worthless. But the good (great!) news is that you have two puts that are getting fat! With SDC at $30, your two puts with the $40 strike price are worth at least $1,000 each. Note that a put with a $40 strike price means that you can sell that stock for $4,000 (100 shares times $40), even though the stock is trading at $30 (100 shares would be $3,000).

With two puts on SDC, the total gain would be $2,000. Because you paid $300 for this spread (three options times $100), your net profit would be $1,700.

The Zero-Cost Collar

Bearish combinations aren't always only about acquiring gains; sometimes they help you *preserve* your hard-earned gains. The collar is intended for a stock or ETF you currently have in your portfolio. Technically, the collar may be considered a neutral option strategy (see Chapter 16 for the full scoop), but the net effect is that you could gain a double profit if your stock's price goes down.

Table 15-3 notes the legs of the collar. As you can see, the collar gives boundaries to the stock price.

Table 15-3 The Legs of a Zero-Cost Collar

The Legs	Potential Gain	Potential Loss	Comments
Short call	Limited to the option premium	You're forced to sell your stock at the strike price	The premium is income that pays for the defensive put you bought.
Long put	Limited to the option premium	Done right, no significant loss, but you may need to buy underlying asset	Do the short put only on securities you wouldn't mind buying.

Suppose you have a stock in your portfolio called Falling Like a Rock Inc. (FLR) at $45 per share. You're optimistic long-term with FLR, but you're getting very nervous in the short term, so you decide to do a zero-cost collar. Table 15-4 shows its specific components.

Table 15-4 A Sample Zero-Cost Collar

The Leg	Strike Price	Cost/Price	Expiration
Short call (writing a covered call)	$50	Receive $100	March 17, 2017
Long put (buying a protective put)	$40	Pay $90	March 17, 2017
		Net Credit: $10	

This example uses a *zero-cost collar* (it pays for itself), so it's a net credit spread. Because the expiration dates are the same, it's a vertical spread. The following sections show how this combo would play out in a variety of scenarios.

The stock is flat or goes sideways

In other option combinations, having the underlying stock move flat or sideways is an unwelcome development. However, it isn't unwelcome in a zero-cost collar. The zero-cost collar isn't intended to be a profitable trade; it's intended to essentially act as insurance in case the underlying asset's price goes down. In other words, the investor prefers that the profitability ultimately comes from the asset itself. (Zero-cost collars aren't typically speculative trades; they protect the main position — your stock or ETF.)

In this case, FLR goes sideways, and both the short call and the long put expire. But no worries, because the position didn't cost you anything. In fact, you made $10 because the combination gave you a credit spread. Hey, you got insurance and put a few bucks in your pocket — good deal!

The stock goes up

A collar is intended to keep the asset's price essentially corralled within the range of the strike prices of the two options involved (hence the name!). The covered call (one of the legs) has the drawback of limiting the upside of the underlying asset to the strike price of the call. The positive side is that it generates the income (from the premium) to help pay for the other leg of the trade (the long put).

What if FLR's stock price skyrockets … or at the very least goes over $50 per share? Note that the covered call you wrote obligated you to sell FLR at $50, so it won't matter if FLR is at $50 or $52 or $98 per share; you must sell it at the strike price.

If you change your mind in the middle of writing a covered call, getting out could be costly. When FLR stock was at $45 and you wrote that covered call at the $50 strike price, you received $100. But if FLR's stock goes to $55 and you decide to get out in order to avoid the exercise of the call, buying your way out could cost you at least $500 ($5 price difference times 100 shares).

The stock goes down

A collar (whether it is zero-cost or not) fulfills its ultimate purpose when the underlying stock's price goes down. In that case, both legs of the collar gain value, and the intention is that the combined gain in value of both legs will offset most (and possibly all) of the stock's downward move (the stock's lost or losing value). In other words, when the stock goes down, the collar combo shines. If your stock goes down, you have the potential to offset the downturn in your stock with two profits from the collar.

Say that FLR goes to $35 per share. What happens to the value of your collar? The covered call you wrote loses value to the point it's worthless. Why would anyone (the option buyer) exercise a call to buy a $35 stock for $50? If the call expires, you as the call writer keep the stock and keep the $100 premium.

With the stock at $35, what happens to the value of the other leg in the combo, the long put? As you know, puts are bets that the underlying asset will go down. The long put with the $40 strike price, which you bought for $90 as an out-of-the-market put, is now worth at least $500. How so? With FLR's stock at $35, you have an option that requires the put writer to buy the stock from you at $40 per share — a total purchase of $4,000 (100 shares times $40). You can buy 100 shares of FLR stock at the market value of $3,500 (100 shares times $35), so your option would be worth at least $500 ($4,000 less $3,500).

I say that the option's value would be *at least* $500 because the option may have other things going for it, such as time value. The $500 comes from the difference in the equity price (more on an option's equity value in Chapter 11). If the price of FLR fell hard and fast, the option could pick up value due to volatility as well.

With FLR's price down so sharply at this point, you have an opportune time to cash out both legs of the collar and make a double profit. You made $100 on the covered call and $500 on the put, and your original cost was really no cost because you went in with a credit spread for a gain of $10.

The cool-headed investor surveys the moment and sees opportunity. If your stock went down due to the machinations of the stock market, reanalyze the stock and see whether its fundamentals are still sound (check out value investing points in Chapter 4). If the stock is still a good value and you don't need the money for other purposes, consider using your gains from the collar combo to buy more shares of the stock at the now-lower price.

In the event that FLR’s stock did go down sharply and it’s still a good value, consider making the next strategy a bullish one. When a stock is riding general stock market movements up and down, you’ll have profitable opportunities with bullish and bearish strategies:

- When a stock is down and the next expectation is an upward movement, then consider some of the strategies in Chapter 14. A simple call option or the more advanced synthetic long could be a good speculative move.
- If you expect the stock to consolidate at the lower price level in the wake of the collar strategy you just used, then a neutral strategy could work out. For more on neutral option combinations, check out Chapter 16.

Chapter 16

Neutral Combination Strategies

In This Chapter

- Understanding how to profit from high (or low) volatility
- Making gains by buying straddles and strangles
- Generating income by selling straddles and strangles

Neutral in the context of this chapter doesn't mean that you don't have an opinion or bias. It's strictly a reference to where you think the price of a stock or asset is going — and it's not up (bullish) or down (bearish). Instead, you believe that the price of your chosen asset is going sideways or may even stay flat. Fortunately, this chapter covers strategies that are neither bullish nor bearish.

In this chapter, think *volatility.* If you want to profit from too much or too little volatility, then neutral option combination strategies are for you.

Before you try any option combination, familiarize yourself with the basics of a put and a call. Chapter 11 introduces options, Chapter 12 is about call options, and Chapter 13 is about put options. And don't limit your combinations to neutral strategies; check out bullish option combinations in Chapter 14 and bearish option strategies in Chapter 15.

Pondering Neutral Points

I'm the type to always have an opinion, and it's usually bullish or bearish when the talk goes to anything financial, so doing a chapter on being neutral feels odd. But keep in mind that even being neutral involves taking sides.

With neutral option combination strategies, the key is your outlook on volatility. You need to choose an outlook that translates not to "up" or "down" but to how fast and how hard you think your chosen stock will move when it's trending sideways.

The question boils down to this: Do you foresee lots of major moves (regardless of which direction), or do you see a comatose and sleepy market?

To translate the choices in your outlook to being long or short, think of the correlations in Table 16-1.

Table 16-1 High versus Low Volatility

Expectation	*Then Consider …*	*Which Means …*
High volatility	Strategies for gain	Buying calls and puts (being long on options)
Low volatility	Strategies for income	Writing calls and puts (being short on options)

The following sections discuss the volatility of a stock's underlying asset and provide some resources for researching volatility.

Noting the underlying asset's volatility with the beta rating

You often hear that options are a risky and/or volatile vehicle, but the real volatility is with the underlying asset itself.

Options are not assets; they're derivatives. At the heart of that word is *derive*. Not only does an option derive its value from the underlying asset, but it also adopts some of the asset's behaviors. If the underlying asset is a volatile vehicle, then the corresponding option will be volatile, too.

In general stock investing, take a look at the stock's beta rating (see Chapter 2). The *beta* is a statistical measure of a stock's volatility as compared to the general stock market. The general stock market is assigned a value of 1, and an individual stock's beta could be higher or lower. A stock that has a beta of 1.1 is 10 percent more volatile than the general stock market, and a stock with a beta of 0.9 is 10 percent less volatile.

Quality utility stocks, for example, tend to be less volatile than the general stock market, so they tend to have a lower beta. Tech stocks tend to be more volatile than the general stock market, so they tend to have a beta higher than 1.

For option traders who are seeking to profit from high volatility (as I explain later in "Taking a Chance on High Volatility"), look for stocks that have a high beta, preferably a 2 or higher. A stock with a beta of 2 is rated as being twice as volatile as the general stock market. You can easily find high-beta stocks by using stock screening tools (find some good ones in Appendix A), so consider beta as part of your research with option strategies described in this chapter.

Checking out the VIX

Is there an indicator for the market's volatility? Yes! The Chicago Board Options Exchange (CBOE) created the Volatility Index (VIX), which calculates recent volatility (specifically, the most recent 30 days as an average). The index is constructed using the "implied volatility" of a wide range of calls and puts on the S&P 500 Index. Find out more about the VIX at www.cboe.com/micro/vix/vixintro.aspx.

When the VIX is rising (the number goes above 12), volatility is increasing, and when the VIX is falling or stable (typically under 12), then volatility is dropping. The VIX is widely followed, and commentators and observers of investor sentiment frequently call it the Fear Gauge.

Maybe the easiest way to trade volatility is by buying a simple call or a simple put on the VIX itself. If you think that general stock market volatility will be going up, get a VIX call option. If you think that it will go down, get a VIX put option. As of the writing of this book, VIX options have a standard shelf life of up to nine months (versus LEAPS, or Long-term Equity AnticiPation Securities, which can last up to a few years). To find out more about speculating with the VIX, go to www.cboe.com.

Taking a Chance on High Volatility

When you're betting on high volatility, the direction of the move is immaterial. You don't care whether the stock or asset is soaring or crashing; you just hope it moves very soon and very hard. At the very least, you expect the movement to happen before your option combination expires.

The first neutral option combination to consider is the long straddle; another is the long strangle.

The long straddle

The *long straddle,* or simply the *straddle,* is the act of buying one at-the-money (ATM) call option and one at-the-money put option simultaneously on the same underlying stock or asset. (See Chapter 11 for details on *at the money* and related terms.) In a typically successful trade, one is the winner and one is the loser. Table 16-2 shows the basic setup for the straddle.

Table 16-2 The Long Straddle

The Legs	*Potential Gain*	*Potential Loss*	*Comments*
Long call	Unlimited	Limited to the cost of the call option	The call is at the money, and the buyer is seeking high volatility.
Long put	Substantial, but it's capped by the drop of the stock to zero	Limited to the cost of the put option	The put is at the money, and the buyer is seeking high volatility.

To buy both options, you *buy to open* in your account. Your maximum potential loss is the total cost of both options (plus commissions, of course).

Say that in your research, you come across a stock that you believe is a good candidate for the long straddle. You decide to do the straddle on Rollercoaster Price Inc. (RPI), which is at $25 per share. Table 16-3 shows what the long straddle on RPI would look like; note that this example is a debit spread.

Table 16-3 A Sample Long Straddle

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Long call (ATM)	$25	Pay $130	Oct. 20, 2017
Long put (ATM)	$25	Pay $130	Oct. 20, 2017
		Total cost: $260	

Here's one of the rare cases where you'd be thrilled to hear that one of your option legs went to zero ASAP. It would mean that the other leg was very profitable! What are the possible scenarios for RPI? I cover them next.

Note: Your straddle doesn't have to be a strict vertical spread (both expiring on the same date). If your bias is a little bearish, for example, you can make the bearish leg (the long put) longer than the other leg.

The stock price stays flat or goes sideways

Yes, seeing the stock price stay flat or go sideways is the crawl to oblivion for the long straddle speculator. Low volatility with a stock more boring than that book on advanced bacteriology you've been putting off is the big turnoff.

The straddle is a burning match (like any option-buying strategy), and whether you get out early, before the option is worthless, is your choice. Time value is an issue. Of course, the longer the time until expiration, the more you pay for the position.

TIP

Make sure your straddle has a time frame of six months or longer, even if you expect volatility much sooner. Why? The market operates on its own schedule. That way, if you were expecting volatility next week or next month or within a few months and it doesn't show up, you may still have some value in both options (because they were at the money); you can cash them in (sell to close) to recoup some money instead of seeing them expire worthless.

If RPI's price stays flat or moves sideways, both legs (the call and the put) would lose value due to time decay. As you near the expiration date, one or both of the options may be automatically exercised if either option is in the money, even by one penny or more.

Say that RPI, on the date of expiration, is $25.50. It would be in the money by 50 cents, the call option would be automatically exercised, and you would own 100 shares of RPI. Meanwhile, the put option would expire worthless.

When your option expires and it's in the money even by a relatively small amount, the broker could automatically exercise it. That means that when the call option expires, you would then automatically purchase 100 shares of the stock at the strike price of $25 (in the RPI example). If the stock's price was below $25, the call option would expire worthless, but the put option would be exercised (100 shares would be sold).

The bottom line is to check with your broker regarding the specifics of what happens when the long straddle position expires. Many brokers have an auto-exercise feature, even if the stock is in the money by one penny or more.

The stock zooms up

If the stock soars, the call option would gain substantial value while the put option would lose most (all?) of its value. Note that the stock would need to go high enough so that the gain from the value of the call option exceeds the potential incurred from the put option losing value.

If RPI soars to $40 per share, then your call will be very valuable while your put will be essentially worthless (depending on how much time value the put still has). How much net profit did you get?

With RPI at $40, the call option is worth $1,500, and the put option is worthless. Your net gain with the straddle becomes $1,240 ($1,500 less the $260 cost of the combo).

For any option combination you do, especially one that is a big debit transaction such as the long straddle, calculate your break-even point. With the straddle on RPI, the cost or outlay is a total of $260. This means that if one option becomes worthless, the other option would need to generate a gain large enough so that you could recoup a minimum of $260 to avoid a loss. Always make sure to calculate your potential losses and the break-even point.

The stock crashes

When the stock crashes, you're not crying, because you did a leg (the put option) in the combination that will gain substantial value. The more the stock crashes, the more value the put option will gain, and at some point the put option's gain will far exceed the potential loss you will experience with the other leg of the combination (the call option).

This is just the inversion of the preceding scenario. If PRI's stock crashes to, say, $15 per share, the call option leg would become worthless while the put would soar in value to $1,000 (the difference between 100 shares at the strike price of $25 and the market value of the same at $15). Your net profit would be $740 ($1,000 less original outlay of $260).

The long strangle

The long strangle doesn't look appealing, but it really isn't about physical violence; it's about violent stock moves and making money from them — peacefully, of course!

In the earlier section "The long straddle," you find out that straddles are at the money, and they can be pricey. The *long strangle* follows the same concept — buying a call and a put on the same underlying stock or asset — but the options are cheaper because they're out of the money (OTM). Of course, you still plan to profit from high volatility.

With RPI stock at $25, consider the long strangle in Table 16-4.

Table 16-4 A Sample Long Strangle

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Long call (OTM)	$30	Pay $50	Sep. 15, 2017
Long put (OTM)	$20	Pay $50	Sep. 15, 2017
		Total cost: $100	

As you can see, the long strangle is also a debit spread, but at only $100, it's cheaper. However, the need for volatility may be more acute because the strike prices are a little further away from the stock price.

TIP Strangles are cheaper than straddles (all things being equal), so consider getting a longer time frame. If you allocated, say, $260 for a straddle, then the same outlay for a strangle could afford you options that have a longer shelf life. Given that, you could have a greater opportunity to profit with the strangle.

In times of high volatility, you might see the same stock or asset soar and fall within a relatively short time frame. Imagine that in January 2014, you bought a long strangle option combination on oil (or oil-related stocks) with a one-year time frame. In the first half of 2014, oil soared, and the call option could have made you a fabulous profit. Had you cashed out the call and simply kept the put option (why cash out a worthless option, anyway?), you would've been treated to a great bearish profit in the second half of 2014 when oil crashed. By the end of 2014, your put option would have been profitable, too.

TIP Long strangles can be decoupled in the middle of the trade. If one leg is profitable and the second leg is at or near worthless, then cash out the profitable leg and simply hold onto the losing leg. If the underlying asset makes a turnaround, then you have the chance to cash out that leg at a higher price. Hey, it even has an outside chance of being profitable.

In the following sections, I describe the possible scenarios of a long strangle.

The stock goes up

If the underlying stock or asset goes up, the call you bought will increase in value while the put will lose value and be potentially worthless. Fortunately, because both options were bought out of the money, not a lot of money is at risk. If the stock goes up significantly — to the point that it's either at the money or (even better) in the money — the call option should be valuable enough to have you yield a profit for the entire combination.

Say that the call option is now worth $250 because the underlying stock shot up and that the put option subsequently became worthless. The speculator in this case would end up with a net profit of $150 ($250 minus the $100 total cost of the long strangle).

If your stock skyrockets or crashes, consider cashing out the profitable leg and holding onto the losing leg, just in case there is an immediate reversal of the stock or asset's market movement. If, for example, the stock skyrockets, then cash out the call option to lock in your net gain. If the put option in that case is essentially worthless (its value is at or near zero), then you may as well hold onto it because closing it out will mean paying a commission. Why pay a commission if the option is virtually worthless? If it expires worthless, then you book a loss for tax purposes. In the (unlikely) event that the underlying asset makes a swift reversal and goes down, it may boost the value of the put option, and you could either regain the cost of the put or maybe even realize a profit. This will, of course, also hinge on how much time is left on the option.

The stock trades flat

The stock trading flat or moving sideways is the death knell for the long strangle. Because the long strangle is a bet on high volatility, a sideways move is basically a low volatility situation, which means that both legs of the strangle slowly lose value to the point that they are worthless. In the RPI example, you would end up losing $100 (the cost of the combination) and probably have dinner at home rather than at that lavish restaurant.

The stock goes down

The stock going down is essentially the practical opposite of the stock going up, of course; the put option would gain value while the call option would lose value. The hope is that the value of the put option exceeds the total cost of the long strangle and that you end up with a profit.

If RPI goes below $20 per share, then the call option (at the $30 strike price) would lose much (all?) of its value while the put option (with the $20 strike price) would pick up lots of value. The total value of the strangle combination would go up, and you would make a net profit (thanks to the put option!).

Seeking Income with Low Volatility

Options are a versatile vehicle in all sorts of market conditions, and an option strategy exists for virtually any investor. Typically, you hear about profiting with options when stocks or other markets are soaring or crashing, but some option strategies work when all is calm and boring.

Short straddles, for example, are designed for people who want to profit from a stable (and hopefully unexciting) market. Short straddles will generate income for you, but there are certainly risks, too. Short strangles are another way to profit in a market with low volatility. I cover both of these slow-and-steady combinations next.

The short straddle

The *short straddle* is a combination of a short call and a short put that are both at the money. In other words, you're writing a call option and also writing a put, and the strike price of both are at parity with the market value of your stock or other security. Table 16-5 shows the setup.

Table 16-5 The Short Straddle

The Legs	*Potential Gain*	*Potential Loss*	*Comments*
Short call (ATM)	Limited to the premium amount of the call option	You may be forced to sell your stock.	The writer is seeking low volatility.
Short put (ATM)	Limited to the premium amount of the put option	You may be forced to buy the underlying stock.	The writer is seeking low volatility.

REMEMBER When you're doing a short straddle, some conditions must be met before you initiate the trade, because you'll have potential obligations:

- **Providing stock:** The call you're writing must be a covered call, which means that you must have enough stock in your account to cover the potential obligation of providing stock (100 shares per call option contract) in the event that the call buyer exercises the right to buy the underlying asset. If you're writing two covered calls, then you must have 200 shares. Similarly, you need 300 shares for three calls.
- **Buying stock:** Because you're writing a put, you'll have an obligation to buy the underlying asset at the strike price if the buyer exercises the option. If you write two put options, for example, you'll need enough cash or buying power to acquire 200 shares.

For more on the mechanics and obligations of puts and calls, refer to Chapter 11. In this example, I'm using Horizontal Snooze Corp. (HSC), which is at $25 per share. Table 16-6 shows the combo.

Table 16-6 A Sample Short Straddle

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Short call	$25	Receive $130	Oct. 20, 2017
Short put	$25	Receive $130	Oct. 20, 2017
		Net credit: $260	

What are the scenarios for you in the short straddle? Find out in the following sections.

WARNING! In this example of a short straddle, you're covered because you own the stock attached to the obligation of the short call, and I presume that you're okay with the idea of buying the underlying stock in the case of the put. Just understand that a short straddle that's *uncovered* can be a dangerous trade; your gain would max out at the cost of the premiums, but the loss potential would be unlimited.

The stock price stays flat or moves sideways

First of all, you have $260 in income. Second, if the stock's price stays around $25, then there's a high probability that one or both options will be exercised.

In the case that both options are exercised, your trade could be a countervailing one. The stock bought due to the exercised put would cover the stock being sold when the call is exercised.

The put option may obligate you to buy 100 shares of the underlying stock, and the call option may obligate you to sell 100 shares of the stock, so be ready (and approved) in the event that one or both options are exercised.

The stock price goes up

If HSC's stock price goes up, then the short call will be in danger of being exercised at the strike price while the put will expire. You'll gain $260 in premium income. If the call option is exercised and you end up selling HSC at $25, then you may have a gain if you originally bought the stock at some price below $25. If you bought HSC at $23, for example, then you'd have a capital gain of $200 (100 shares bought at $23 per share and sold at $25 apiece).

The stock price goes down

If HSC's stock price goes down, then the short put will be in danger of being exercised while the call will expire. Again, you realize $260 as income from the short straddle and are also required to buy HSC at $25 due to the short put.

Just keep in mind why the short put was there: It better be because you like the stock (find more about put options in Chapter 13).

The short strangle

In terms of being short, the strangle is a better bet than the short straddle. Out-of-the-money options are much less likely to be exercised. The downside is that you receive less premium income because both legs are out-of-the-money options. Fortunately, the odds are against both options being exercised, and the odds of one option being exercised is less likely.

The *strangle* is a combination of buying both a call and a put on the same security; both of the options are out of the money, so they're less expensive to purchase.

Table 16-7 shows what the short strangle looks like, and the following sections explain possible scenarios.

Table 16-7 A Sample Short Strangle

The Legs	*Strike Price*	*Cost/Price*	*Expiration*
Short call	$30	Receive $50	Sep. 15, 2017
Short put	$20	Receive $50	Sep. 15, 2017
		Net credit: $100	

The stock trades flat or sideways

The stock trading in a narrow range with low upward or downward movement is the ideal condition for a short strangle. Both the call and the put would ultimately lose value and expire worthless, which is good news for the writer of both options because you would pocket both premiums — in this case, $100 (minus commissions).

The stock goes up

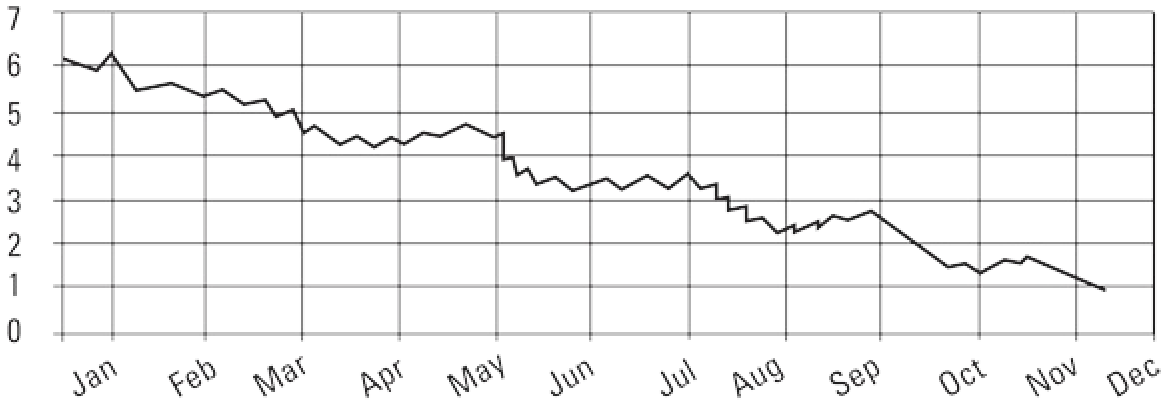
If the stock goes up in a short strangle, then the put option may expire (and you keep that premium), but you would have to sell 100 shares of the underlying stock, so you must have at least 100 shares sitting in your account in order to meet your obligation.

The stock goes down

If the stock goes down, then you keep the premium from the call option because it expired. You also keep the premium from the put option, but you may have to meet the obligation of buying 100 shares of the underlying stock at the option's strike price. Given that potential obligation, you must have either enough cash in the account for the potential purchase (enough cash equal to 100 times the share price) or have enough borrowing or buying power (as through margin) for the transaction.

Part IV

Strategies from the Greats



Discover the details of the Warren Buffett Indicator in an article at www.dummies.com/extras/highlevelinvesting.

In this part …

- Get the scoop on how legendary investors made their staggering fortunes and how you can emulate their approaches. Discover the traits of great investors.
- If you’re going to speculate, do it the proven way with the guidance you find here.
- Understand how megatrends and the big-picture approach make it easier to make massive gains in stock investing. Find stocks that are poised to gain from major economic and geopolitical events.
- Watching insiders and the big investors gives you clues to making your profits more assured. See how to track corporate and government insiders to get a leg up on successful investing decisions.
- Most of the successful short-term traders and speculators use technical analysis to navigate the markets, and you can apply the same techniques and use the same indicators.

Chapter 17

Legendary Investing Strategies

In This Chapter

- Understanding the traits that the greats share
- Discovering the tools and tactics of specific investors
- Finding and monitoring great investors

How have the greatest investors in history made their money? And I'm not talking about a piddly 100 percent gain here or there; I'm talking millions and billions of dollars. You can always learn from the best and the most successful. Some started with very little money. Regardless, you should note how they acted as investors and what they did to build wealth in the stock market.

The point about this chapter is not the money; it's the recipe. What ingredients did the greats have in their plans and approaches?

Keep in mind that this chapter concentrates on investing while Chapter 18 covers speculating. I take great pains to treat each as distinctly different activities — they may seem similar, but they are quite different:

- Investing (as far as I'm concerned) is about buying assets that have value and can provide appreciation and/or income over an extended period of time (measured in years).
- Speculating is about making calculated bets about the future price of an asset and typically done in a shorter time frame (could be measured in months).

Also keep in mind that an asset or security can easily transition from being a speculative vehicle to an investment vehicle. For example, putting your money into Internet stocks during 1999 through 2000 was very speculative because most of the companies in that industry were untested ventures. However, as the industry matured, a number of the companies became profitable and valuable investments.

Considering Characteristics of the Great Investors

Although the investing greats were different in many ways, they did have some common principles they vigorously adhered to:

- **Measure twice, cut once.** They didn't invest based on someone's tip or because they got a convincing argument from their broker. Most didn't rely on third parties for their analysis. They usually did their own homework and read many sources to get a more complete assessment of what they were putting their money into. (You can find resources for your own investments in Appendix A.)
- **Exercise patience and fortitude.** These investors knew that time was on their side: If they had chosen stocks or other investments with facts, logic, and proper analysis, then over time, they would have far more winners than losers. Some great investors waited years; some, decades. They knew that in terms of investment, a big loser is limited to 100 percent loss (although that doesn't sound comforting), but winners could have percentage gains in the many hundreds or even thousands.
- **Take a value-oriented approach.** These investors knew that if a company they'd invested in was going to survive and thrive, it needed to have value. This meant that the company had good earnings, rising sales, undervalued assets, and so on. Great investors relied on fundamental analysis (covered in Chapter 4) and rarely if ever relied on technical analysis (at least not knowingly).

  This is no knock on technical analysis; it can be useful for timing a purchase or sale for investing, but it's more typically used for short-term considerations such as trading or short-term speculating. (Find more on technical analysis in Chapter 21.)
- **Get rid of stocks that cease to have value.** Holding stocks long-term is one thing; holding onto stocks forever is something entirely different. If you have a successful stock in your portfolio, that's fine if nothing fundamental changes in an adverse way. Great investors are not "buy and hold and ignore" investors. The moment they start to doubt the continued viability of that stock, they'll either sell or put on stop-loss or trailing stop orders. (Find out more on these types of orders in Chapter 5.)
- **Be a contrarian.** When you do the same things that everyone else does, you'll get the same results. It's probably only in heaven's stock market that "everyone was right and made a staggering fortune." Uh, no. It's easy to do what the crowd is doing, and too frequently, the crowd ends up on the losing end. Great investors are to some extent contrarians. Whether in substance, style, or another factor, the contrarian streak in great investors is very strong.

  A good example of being contrary is in Warren Buffett's famous quote "Be fearful when others are greedy and greedy when others are fearful."

Benjamin Graham, teacher to the greats

Just as most great athletes had a coach, nearly every great investor had a financial educator or mentor. For many, it was Benjamin Graham. Graham was considered the godfather of value investing and security analysis. He had a profound impact on numerous investors, stock analysts, and even securities legislation. One of Graham's most enthusiastic students was Warren Buffett, who quipped that "I am 85 percent Benjamin Graham."

Graham authored two very important and influential books on investing, *Security Analysis* (1934) and *The Intelligent*

Investor (1949). He also played an important role in helping craft the landmark legislation The Securities Act of 1933. One of the lasting impacts of this legislation is that, thanks to Graham, financial statements have to be certified by independent accountants, making analysis much easier.

Spotlighting Specific Investors and Their Tactics

No matter which profession or pursuit you're in, it always pays to watch and learn from the masters of the craft. There are dozens of great investors and probably an army of honorable mentions, so forgive me if I don't name them all. In the following sections, I include the ones who have a body of work that everyone can easily review and benefit from.

These investors differ widely in the strategies and philosophies they applied to their trading. Some came up with new and innovative ways to analyze their investments, whereas others picked securities almost entirely by instinct. Where these investors don't differ is in their ability to consistently beat the market.

As you read about the greats, keep in mind that one approach may or may not be better than another. Part of your investing success will come not just from learning about these approaches but from developing your own approach. There's more than one way to get to your chosen level of wealth, so gravitate toward the great investor whose style and philosophy resonate with you.

Some of these great investors are bottom-up investors, and others are top-down. What does that mean?

- **Bottom-up:** A bottom-up investor prefers to focus on the company itself rather than the industry or the overall economy. He or she de-emphasizes general economic ups and downs. Good examples of bottom-up investors are Warren Buffett, John Templeton, and Peter Lynch.
- **Top-down:** The top-down investor looks at the big picture and chooses stocks that would benefit from the general up-or-down tied to economics and politics. George Soros (read about him in Chapter 18) and Harry Browne are top-down investors.

Keep in mind that none of the following investors are 100 percent top-down or bottom-up, but these terms describe their foundational approaches.

Warren Buffett: Buying businesses in a market of stocks

Seriously, how can you do a chapter about legendary investors and not include Warren Buffett? Kind of like doing a Kung Fu museum and not including a Bruce Lee exhibit.

For as long as I've been teaching investing, I've said the same thing: "Everybody would love Warren Buffett's results, but few want his process." I say that because his investing portfolio includes stocks that he has held for decades. In fact, much of his initial billions came from when he was buying stocks during the brutal bear stock market of 1973 to 1974, when even great companies saw their stocks get cut nearly in half. Then, he didn't simply see a stock market; he saw a market of stocks.

Buffett understood that he really wasn't buying stocks; he was buying businesses. He bought the stocks of businesses that had good management, sound business practices, and a unique status and brand that competitors couldn't easily replicate.

The interesting thing to me is that Buffett didn't follow conventional portfolio theory. In fact, if you showed his portfolio to 50 professional portfolio managers today (without telling them that it's Buffett's portfolio), you'd likely get 50 strong opinions on why it's an imperfect or maybe even bad portfolio. Guess what! Many of them would be right: Buffett never strived for a perfect portfolio, because a perfect portfolio meant too many positions that offset each other to the point that the entire portfolio did not move much. This point is a reference to diversification and allocation, which is covered in greater detail in Chapter 3.

WARNING! Before you embrace Warren Buffett's portfolio approach, do take heed that he doesn't fully diversify. And when you see a new stock in his portfolio, don't assume that it's an investment. In recent years, he did some speculating (and even apologized to shareholders for speculations that went bad), so do your own research and don't automatically be a Buffett copycat.

TIP Fortunately, Buffett communicates the investments he makes — and the rationale behind them — in the annual report for his company, Berkshire Hathaway. Never mind my words or what others report; you can read what the Oracle of Omaha writes to the shareholders directly. Go to `www.berkshirehathaway.com/reports.html` to read his reports. You can always find an interesting and useful commentary from either Mr. Buffett directly or from his partner, Charlie Munger. In addition, you'll see which investments his firm is holding so you can glean some wisdom from his stock-picking pursuits.

John Templeton: Buying at points of maximum pessimism

John Templeton is one of my all-time favorite investors. Besides being a legendary investor, he's a philanthropist and a successful businessman. He made his initial fortunes in the depths of the Great Depression by doing what many would consider too risky: buying penny stocks when the stock market was mired in gloom. It was like skinny-dipping in shark-infested waters and using barbecue sauce instead of sunscreen.

Templeton took "buy low" to a new low. On borrowed money, he bought 100 shares each in 104 companies that were selling under $1 dollar per share. One-third of the companies (34) were technically in bankruptcy. Actually, only four companies went out of business. He held each stock for an average of four years and parlayed his initial investment of less than $10,400 into $40,000.

He called this strategy buying at “points of maximum pessimism.”

Templeton took this strategy to higher levels. He purchased securities in industries that were down, and then he went international through his mutual fund company by buying stocks that were in distressed countries (Templeton Growth Fund started in 1954). He became a pioneer of global investing, and *Money Magazine* labeled him “the greatest global stock picker of the century” (January 1999).

Get John Templeton’s bio (which includes insights on his investing approach) at the site `www.sirjohntempleton.org`. You can download a free PDF version of his biography.

His principles of investing, which I cover next, are as good now as they were back then.

Calculate intrinsic value

To calculate the intrinsic value of a stock, Templeton priced out all the assets of that company and combined them for a total value. Then he tallied the full market value (share price times total shares outstanding). If the market value was lower than the company’s full intrinsic value, it was undervalued, indicating a true buying opportunity.

His bio offers a good example of this approach regarding an insurance company in Japan. He added up all its assets (investments, property, and so on), divided this sum by the total shares outstanding, and came up with the intrinsic value on a per-share basis. When he saw that the market value was 80 percent below its intrinsic value, he recognized the stock as a huge bargain and bought it immediately. In the coming years, those investments propelled his fund to perform at or near the top of the mutual fund industry.

Be fully informed

Templeton recognized that not every company can be easily purchased using the intrinsic value approach. For example, retail companies were affected by other factors, such as local demographics and local competition, which weren’t easily calculated using the company’s data and listed assets.

Templeton made sure he was as informed as possible, given that particular company or industry. He spent a lot of time researching and analyzing before he rendered an investment decision. (To help you research, use the resources in Appendix A.)

Embrace the principle of maximum pessimism

Templeton was in general an optimistic man, and his general outlook was bright. He was a man of strong faith, and he also believed that humanity was industrious enough to keep progressing generally upward, despite the difficulties that needed to be overcome. But he saw how pessimism in the investing world was a powerful force that had the ability to send stock prices down on a particular stock or during difficult times.

This idea leads to a concept that I discuss in Chapter 1: the dual nature of stock investing. If a company is doing fine but a pessimistic market is pushing its stock price down, you have a great buying opportunity. Templeton was intimately aware of this pessimism and maximized this principle to keep finding investment bargains that ultimately made him — and his fund — millions.

Peter Lynch: Investing in what you understand

Peter Lynch was the manager of the Fidelity Magellan Fund from 1977 to 1990. The fund's assets grew from about $20 million to $14 billion. He achieved a fantastic annual average return of 29 percent. In addition, Lynch authored some best-selling books, such as *One Up on Wall Street* (1989) and *Beating the Street* (1993), which gained wide appeal, especially for beginning and intermediate investors.

Lynch was a bottom-up style of investor: He focused on individual companies with an emphasis on products that he was familiar with. Here are some of his principles:

- **Don't try to predict economic cycles or interest rates.** He concentrated on choosing valuable companies that could do well despite the economy's gyrations.
- **Invest in what you know or can easily understand.** Choosing winning stocks is easier when you understand a particular company and what it offers.
- **Buy stocks of companies with good management.** Good management becomes evident in the company's financial numbers, and there are financial ratios that help you see this (see Appendix B).
- **Always know why you're buying something.** Are you buying for long-term appreciation, short-term speculating, or generating dividend income? Choose investments that match your goals.
- **Avoid speculating.** It's easier to make money with long-term investing than with speculating because speculating can be very risky.
- **Check the company's fundamentals.** Buying a stock means buying the company, which means you should see how strong the company is. Find out more about fundamentals in Chapter 4.
- **Don't pay attention to short-term movements of the market.** The short-term movements of the market can seem irrational and are tough to play. Long-term investing is more rational and easier to profit from.
- **Invest for the long run.** With investing, time is an asset. Good investments, such as well-chosen stocks, do well over time.

Although Lynch doesn't have a public website, information on his investing ideas are widely written about on sites such as the ones listed later in "Tracking and Analyzing the Pros."

Harry Browne: Preparing for any economy

Harry Browne wasn't just one of modern history's great investors and speculators; he was also insightful about how economics and government policy affected investing success. If you didn't understand economics, then you didn't understand the big picture, and you risked making a fatal mistake with your money. In other words, he was a top-down investor.

Many investors look back to a book that Browne wrote in 1970 called *How You Can Profit from the Coming Devaluation* (1970), which clearly outlined how the Federal Reserve followed a calamitous monetary policy. Browne correctly warned that the dollar would be devalued and inflation could be severe, and he reasoned that gold, silver, and foreign currencies would skyrocket in value.

A good example of using Browne's top-down approach was to choose winning investments that correlated with gold and silver (this is also a good example of intermarket analysis, which I cover in Chapter 6). In 1976, silver was about $2 an ounce, and by January 1980 it hit $50. Gold went from under $50 an ounce to $850 by January 1980.

Astute stock investors took note of what could benefit from that increase in precious metals prices. Silver's rise ignited a meteoric rise in the related silver mining stocks during that same time frame. Obscure penny stocks such as Lion Mines went from 7 cents per share in 1975 to $380 per share by early 1980. In other words, about $185 worth of that stock would have become $1 million. Precious metals stocks had phenomenal rises due to their asset (in ground reserves) of millions of ounces of gold and silver.

Browne developed an all-weather portfolio designed to give investors a way to safely build their wealth over the long term, regardless of what positive or negative phase the economy was in:

- 25 percent in stocks (such as the S&P 500) for a rising economy.
- 25 percent in bonds (Treasury bonds) for a recession.
- 25 percent in precious metals (gold and silver) for inflationary times.
- 25 percent in cash (such as in a bank savings account) for deflationary times.

In any given economic environment, one investment would do well, and another would not. Once a year, an investor was to rebalance the portfolio to get the proportions back to 25 percent. So if stocks, for example, did very well, bonds did poorly, and the metals and cash were unchanged for the year, then you'd sell some stocks and use the money to buy bonds. This would continue year in and year out.

The portfolio was meant to protect (and keep growing) the individual's wealth. Browne wanted to take out the guesswork so that investors could have a portfolio that didn't require a financial advisor or constant fiddling.

How did this approach fare? When it was back-tested over an extended period of years, it performed remarkably well. In 1982, Browne cofounded a mutual fund (`www.permanentportfoliofunds.com`) that successfully used and modified the permanent portfolio concept.

The Permanent Portfolio was described in detail in a great little book on portfolio management called *Fail-Safe Investing* (1998). The concepts in that book are as good today as they were then. In recent years, many financial advisors took the concept and further refined it. For more information on Harry Browne and his works, check out www.harrybrowne.org.

Other pros to check out

Don't stop with the investors in the preceding sections! I can't do a chapter like this without mentioning other investors who deserve your attention. Look them up with your favorite search engine or directly on the sites I mention in the next section. I cringe a little knowing that limited time and writing space keep me from sharing more on the ideas and strategies of many great investors, so do check them out!

- John Bogle, investor and founder of Vanguard Mutual Funds
- Doug Casey, successful investor and speculator in natural-resource stocks
- David Dreman, one of the great contrarians in investing
- Philip Fisher, the "father of growth investing"
- William O'Neill, founder of *Investor's Business Daily* and creator of the CAN SLIM method of growth stock investing
- Richard Russell, the "godfather of investing newsletter publishers"
- Michael Steinhardt, a very successful, high-profile investor
- Richard Young, a successful investor and long-time newsletter publisher

Tracking and Analyzing the Pros

The buy and sell transactions for large investors — both the famous and the not-so-famous — are recorded and made publicly available at the SEC site (www.sec.gov) and many financial sites (see Chapter 20 regarding insider trading). To monitor and learn from what today's noteworthy investors and speculators are doing, here's a batch of great sites and newsletters you can turn to:

- **GuruFocus** (www.gurufocus.com) tracks the performance of the great investors, hedge fund managers, and insiders.
- **Stockpickr** (www.stockpickr.com) tracks and reports on great stock investors.
- **Investopedia** (www.investopedia.com) has great educational articles and videos on great investors and their strategies.

- ***Hulbert Financial Digest*** (www.marketwatch.com/premium-newsletters/hulbert-financial-digest) is considered the premier publication that monitors, analyzes, and ranks the major investment advisory newsletters.
- **Newsletter Access** (www.newsletteraccess.com) is an extensive searchable database of newsletters (stock investing and otherwise).
- **Stock Gumshoe** (www.stockgumshoe.com) does a great job of dissecting hype and outrageous claims of the major newsletter performers.

Chapter 18

High-Octane Speculating

In This Chapter

- Seeing how the great speculators made their money
- Plotting your speculating strategy

Are you ready to make that big score? Imagine making that $500 or $1,000 bet and gaining 10, 20, or 50 times that in a relatively short period of time. I remember buying a $2 stock that became a $40 stock within a few years. I recall another time when I bought four call options for under $2,000 and they became $40,000 in three months. But that's nothing compared to the great speculators!

Is it possible for you to make a year's income in a single trade? Yes, but what can you do to make that a reality? First, learn from the best. Speculating takes guts, and you must be ready for risk and failure if things don't go your way; I've had my losers, too. In this chapter, I try to tip the odds in your favor.

> Today, you have more information, technology, and trading tools at your fingertips than at any other time in history. Please keep in mind that this chapter on speculating doesn't stand alone. Become thoroughly familiar with other chapters in this book to accompany your speculating pursuits. Read the chapters on value investing (Chapter 4), using brokerage orders (Chapter 5), viewing the big picture (Chapter 19), and using technical analysis (Chapter 21). Of course, because you're speculating, you've already read the chapter on risk (Chapter 2), right? I don't have to start with the loud warnings about risk, volatility, and more risk, do I? You already understand that speculating for big bucks means potential losses and that you may end up living naked and hungry in a wet paper bag by the side of the road, right? Good! Let's get to it.

A Few Important Lessons from Great Speculators

In the world of speculating, those who achieved greatness (as measured by overall financial success) had some common traits, as you find out in the following sections. They intensely researched their chosen markets or industries, and they had a strong measure of discipline. More times than not, they were contrarians who knew that if everyone was buying a particular stock or type of investment, it made no sense to do the same because any upside potential was greatly diminished. Conversely, speculators sought out buying opportunities when everyone was selling. Being a contrarian required a strong dose of courage and independence. They generally avoided the "herd instinct" that can be common in the world of investing and financial markets.

Jesse Livermore

Doing a chapter on speculating without mentioning Jesse Livermore is like writing about English literature without mentioning Shakespeare.

Jesse Livermore was a bigger-than-life speculator who made (and lost) several fortunes during the early years of the 20th century. He shorted the market right before the 1907 stock market crash and made $3 million, which would be an amazing trade even in today's market. His most famous speculative moment came in 1929, when he boldly shorted stocks and made $100 million when the 20th century's most infamous crash occurred. In today's money, that was the equivalent of making nearly $1.5 billion.

What makes Livermore also arguably the greatest speculator of the last century is that he did so at a time when the odds of success were more against him than with him. He didn't have the technology, tools, information resources, and staff (like administrative and research assistants) that many successful speculators have had in the modern era. Heck, he didn't have a hedge fund or financial institution backing him up or any advisors, coaches, or mentors.

Livermore was very astute in his day, and his insights and lessons on trading are still considered must-reads for today's speculators. One of the important lessons you can infer from him is that many things may change, but human nature is not one of them. Fear, greed, and other human foibles will get in the way of wise trading. Maybe the real difficulty in successful trading is not managing or overcoming the realities of the marketplace but in managing oneself.

As Livermore stated, "There is nothing new in Wall Street. There can't be, because speculation is as old as the hills. Whatever happens in the stock market today has happened before and will happen again." With that, the following sections note his lessons for us.

Get the classic book *Reminiscences of a Stock Operator,* which is based on Livermore's life and contains more valuable insights regarding his trading philosophy. In addition, he recorded his approach in the book *How to Trade in Stocks*.

Patience is a speculative virtue

Livermore points out, "It never was my thinking that made big money for me. It was always my sitting. Got that? My sitting tight!" In other words, he never rushed into (or out of) a trade. For him, knowing the *when* of a trade was just as important as other factors.

Experience is the best teacher

Livermore claims that "the game taught me the game." In other words, he didn't resort to reading books about trading, because experience is the best teacher. Yes, you can practice with a demo account or with simulated trading, but the real lessons come when your own money is at risk.

Looking for perfection is disastrous

Livermore notes, "My plan of trading was sound enough and won oftener than it lost. If I had stuck to it, I'd be right perhaps seven out of ten times."

Speculators and traders can be trapped by *loss aversion,* which means that they allow losses to accumulate because they stubbornly want to avoid booking a loss. This is a tactical mistake because you can't avoid losses. If you have six or seven winners and minimize your losers, you'll profit overall.

Cut your losses

Here's one of Livermore's greatest quotes: "A loss never bothers me after I take it. I forget it overnight. But being wrong — not taking the loss — that is what does damage to the pocketbook and the soul."

Here he points out that being disciplined to limit your losses is crucial to your success. There will always be some losses and risks when you speculate, but if you limit your losses and keep your winners, you'll succeed. Sticking to your plan and setting your maximum loss are paramount to your winning action plan.

> TIP: Livermore was a big proponent of using stop-loss orders to minimize the downside. For more information on brokerage orders to help you limit losses, go to Chapter 5.

Work the plan, and you will profit

Livermore states, "The professional concerns himself with doing the right thing rather than making money, knowing that the profit takes care of itself if the other things are attended to."

The point here is that if the trader sticks with the plan and does the right moves as a disciplined trader, then the gains will materialize. If the plan is a tested and proven approach to successful trading, then you'll get in trouble if you veer away from it, and then you'll thwart your own success.

Set some winnings aside

This point is not from Livermore's quotes or lessons; I'm chiming in with a final thought regarding his successful approach. Livermore made fortunes, but he also lost fortunes as well. Had he set aside a portion of his gains, he could have had a more prosperous life. As I mention in other chapters, speculating is very similar to gambling. Making money is great, but preserving your gains is critical; otherwise, you'll only lose what you worked so hard to gain.

John Paulson

Hedge fund mogul John Paulson made billions by going short on subprime mortgages in 2007 — a time when real estate and the general mortgage market seemed like powerhouses. Many people consider this bet he made in shorting the mortgage market to be the greatest trade ever (in terms of a single trade and its gain value). His bold trade earned his hedge fund $17 billion just in 2007. It also put him on the map as a star in the hedge fund industry.

Paulson's success also offers a lesson about being a contrarian, because his associates on Wall Street didn't agree with his analysis of the subprime market. Paulson's firm found that national housing prices were flattening (no longer going up) but that mortgage debt was rising while credit standards were falling. Given that, Paulson concluded that securities tied to poor-quality mortgages (where the debtors weren't creditworthy and would have difficulty paying back mortgage debt) had no more upside potential as investments and that their values would plummet.

He started a hedge fund to exclusively short these securities and get ready for a market collapse, and it proved to be a spectacularly profitable bet. In other words, he felt that it was a bubble ripe for imminent collapse and a great shorting opportunity.

For budding speculators, this is a classic example of going past the headlines and the media commentary and being the contrarian. When the major news about a particular market or investment is overly positive (or negative), consider looking for signs that a reversal could develop soon.

In the mortgage markets, for example, Paulson basically observed that asset values (real estate property) weren't going up while debt against the asset values (mortgages) were increasing; he also observed that the debt was unsustainable and to a great extent unpayable and that the primary direction for these securities would be down.

To find out more about Paulson's current trades, look him up at `www.gurufocus.com`. GuruFocus tracks the activities of major investors and speculators that are publicly reported, so it can be a good research source for those who want to find (emulate?) noteworthy professionals. In addition, *Forbes Magazine* (`www.forbes.com`) runs detailed profiles of many successful major investors and speculators and their general strategies.

George Soros

The way that Warren Buffett earned his name with long-term investing (see Chapter 17 for details), George Soros did that in speculating. As the main principal of the Quantum Fund, he earned a spot on the speculating wall of fame in 1992 with a now legendary trade, when he shorted the British pound. He made a billion dollars in a single day.

Soros, despite his controversial public policy views and political activities, is a great example of a contrarian who seeks extreme situations for profit potential (both bullish and bearish). In 2015, he started making large investments in industries that had experienced tough times up to that point. He started buying gold mining companies and coal companies as their share prices were battered during 2014 and 2015 for different reasons.

For those tracking Soros, take note of the timing. The great speculators frequently buy investments that recently were decimated due to many high-profile issues such as being in an unpopular political environment. The reasoning is that you buy these investments when their prices are so low that the downside is minimal or nearly nonexistent (in other words, there's "nowhere to go but up"). When you find these extreme values, the next question is "Will demand for what they offer turn around in the near future?" If that answer is positive, then you potentially have a great speculative play.

TIP As Soros is a high-profile speculator and a key investor, you can track his trades at www.gurufocus.com.

Other greats

If I were to list and describe the exploits of great speculators and the lessons you can derive from their insights and strategies (both what worked and what didn't), the information could easily be its own book. But I think I'll keep it short and sweet here. In the following sections, I give you some basic guidelines to help you think and act like many of the greats.

Look for anomalies (or insanity)

I earned some of my best profits during 2000 through 2002 by betting against Internet stocks. I recall scratching my head in 1998 and 1999, telling folks that I didn't see the value in these stocks, and I didn't buy them — yet they kept going up with eye-popping gains.

It seemed like all the proven strategies of finding value, such as low P/E ratios (see Chapter 4), had become obsolete, as companies with no earnings and nothing of substance were seeing their stock prices double and triple in no time. Had the rules of sane value investing and fundamental analysis gone the way of the dodo bird?

No, not really. It was only a mania that even enthralled some experienced money managers.

Jim Chanos is considered one of the best short-sellers in the market. One of his greatest successes was going short on Enron when it was a popular stock among analysts during 2000 through 2001. Chanos thought that the "numbers didn't add up" and started to drill down. As he found discrepancies in Enron's financial statements, he kept adding to his short position. He found that the company was using very questionable accounting practices that falsely boosted the numbers on potential profitability while hiding data on unprofitable investments in offshore private entities that were very difficult to find in public filings at the SEC.

No doubt that he may have seen some of the data that I had noticed was in plain sight, such as having a very high P/E ratio (the high 90s during its last year), among other very poor fundamentals and questionable financial ratios. No, I didn't short Enron (darn it!), but I did warn others to stay away from it. (You can find more information on fundamentals in Chapter 4; I cover financial ratios in Appendix B.)

Enron fell apart in fall 2001. Its stock fell from more than $80 per share to under $0.80 per share in a matter of weeks, and Enron filed for bankruptcy before the year was out. Chanos had many successful short trades, including bets on the telecom stock WorldCom and on home-builders such as KB Home.

Part of the fallout of Enron was that the accounting firm involved, Arthur Andersen, went out of business, too, and the scandal of Enron's management team was the catalyst for new oversight regulation such as the Sarbanes-Oxley Act.

Anticipate a megatrend

The first guy who started investing in personal computers or in biotechnology probably bought when no one noticed. (Good! Who needs competition?)

Being the early bird in a major market, before the public and the majority of market pundits get in, is a great way to build long-term wealth. In this approach, you don't necessarily need to have all the details of the individual security or asset; you have to look at the big picture of that sector or industry (see Chapter 19). This means you look at the major statistics and market data, searching for signs like an expanding number of consumers and new developments that may position the sector or industry for new growth.

To notice developments that could be game-changers, you need to read industry reports. Here are two examples of anticipating that megatrend:

- **The Telecom Revolution of 1996–2005:** Speculators who were watching telecommunications in the mid-1990s had a staggering opportunity facing them when the Telecommunications Act of 1996 was enacted. This removed regulatory barriers to growth. Anyone who bought a batch of the leading telecom companies when this law was passed would have done extraordinarily well.

  This legislation opened up the pent-up demand that soon exploded with the Internet and the dramatic expansion of cellular service and related services.

- **The commodities boom of 2000–2008:** After nearly two decades of low-key activity, commodities were poised for growth due to increased supply and demand from a burgeoning world economy (led by China, India, and other growing economies) coupled with an inflationary environment that was ideal for precious metals and commodities (energy, grains, base metals, and so on).

  An early adopter was Jim Rogers. He made the forecast that commodities would be booming in the new century (he even wrote a book on the topic, *Hot Commodities*). Despite a major pullback in commodities due to the 2008 crash and subsequent recession, Rogers is generally still bullish on the long-term potential for commodities because currencies will continue to be devalued and there will continue to be problems with paper investments (such as stocks and bonds).

Specialize in an industry or investment

When you know an industry or a particular investment such as stock warrants or a commodity inside and out, your chances of success go up dramatically.

Doug Casey is a world-renowned speculator who specializes in precious metals investments (such as mining stocks) and other natural resource investments. He made tremendous profits during the precious metals and resources bull market of the 1970s and repeated that success during 2000 through 2010.

Because he researched the industry extensively and also visited the companies personally, he became very knowledgeable about the industry and what it takes to have a winning company. He has frequently bought inexpensive mining stocks and cashed them out after making gains of 25, 50, and even more than 100 times the initial investment.

Have courage as a contrarian

Sorry to go a little “no guts, no glory” on you, but courage is part of the great speculative trade. Doing what the crowd isn’t doing always takes some courage. If you want different results from the crowd, you have to essentially do the opposite of the crowd. At the very least, you don’t do what they’re doing. Sometimes being a contrarian means just not participating.

In 1929, Bernard Baruch, a successful speculator, decided to cash in his chips and get out of the stock market in early 1929. While speculators like Jesse Livermore were all-in in terms of going short on the market, Baruch simply decided to walk away.

Identify the worst that can happen

When I was doing research for my book *Micro-Entrepreneurship For Dummies* (Wiley), I came across entrepreneurs who were taking huge risks in their business endeavors. One woman stated that the worst that could happen was that she would lose all her money and close down the business endeavor, but she could stay with her parents and still have food and a warm place to sleep. (She did succeed in her endeavor, by the way.) She was able to clearly see her worst-case scenario, and she took a risk anyway with the comfort of knowing that the worst case was not so dire.

For the speculator, it’s important and comforting to know what the worst-case scenario is before you make the trade. If you’re talking about losing money — maybe even big money — but you’ll still be okay afterward if you’re truly on the losing end, then the worst case isn’t so bad. On the other hand, is the risk worth it if that victorious trade would mean a staggering, life-changing gain? Well, you have to answer that question on a personal level.

My thinking is that if you know you’re betting *risk capital* — money that will not change your life or have a material impact on your financial well-being — then you might be ready to speculate.

Speculating Approaches That Work

After you’ve studied some of the speculating greats, you can start doing your research (read about the greats in the preceding sections and track them at venues such as GuruFocus and StockPickr; find more info in Appendix A). Consider the following trading techniques as you enter the world of speculating: working with undervalued assets or going short.

Discovering undervalued diamonds in the rough

Some speculators like to bet on a major market that recently crashed or has been dormant and is now ready to climb. The point is that the upside potential far exceeds the potential risks to the downside. Hedge fund mogul David Tepper offered a good example of this approach. In 2009, Tepper bought beaten up shares of big banks such as Citigroup and Bank of America. After they got hammered due to the financial crisis of 2008, Tepper reasoned that the worst was behind them.

The banking shares did indeed rebound in 2009 along with the general stock market (thanks in part to Federal Reserve intervention). Bank of America quadrupled in market value, and Citigroup tripled during 2009 through 2010.

Part of Tepper's success was that he had an extensive background in speculating with distressed and battered assets. Having that kind of specialized knowledge gave him an advantage as many others avoided the banking shares due to residual fear from the 2008 crash. What looked like a real gamble to his peers was actually a great opportunity due to his experience.

Another good example involves John Templeton, whom I discuss in Chapter 17. Templeton felt that in post–World War II Asia, the Japanese people were hard-working and industrious and that Japan had the ingredients to rebound strongly after the war. In the 1950s, Templeton was the first American mutual fund manager to invest in Japan. It was a bold move at the time. At one point, Templeton had up to 60 percent of his fund's assets in Japanese securities. It was risky, but it paid off tremendously. The Japanese economy prospered during the 1950s and 1960s, and Templeton's fund profited from it; the fund has consistently had one of the most successful long-term track records in the mutual fund industry. (To find value stocks, check out Chapter 4, and if you want to speculate with small-cap stocks, go to Chapter 7.)

Finding and shorting the overvalued

After everyone has bought, who is left to buy more? Those speculators who notice loud jubilation in a particular industry or sector know that ebullient buyers of stock often overshoot what is a fair market value.

Speculators start to drill down and analyze earnings, debt, and so on. They look at both the fundamentals and the technical indicators. They see whether the company is getting extended, and they look at technical indicators such as the relative strength index (RSI; see Chapter 21) to find out whether the company has weak numbers and whether the market's exuberance has pushed the stock's price out of whack compared to the real underlying value. Speculating isn't only about putting your money in those assets or securities that will go up; speculating is also about making money with bets that certain assets or securities will go down as well. For more information on shorting stocks (and exchange-traded funds), check out Chapter 8.

Chapter 19

Big Picture, Big Profits

In This Chapter

- Checking out essentials of the economy
- Seeing how bubbles form and how to profit from them (or avoid their problems)
- Recognizing megatrends for better investing opportunities
- Trying out resources for more about the big picture

A stock has a dual nature: You have the company issuing the stock on one hand, and then you have the stock itself. The success, failure, and/or movement of the two aren't 100 percent in sync. Although the strength of the company affects the stock price, other factors contribute as well.

Similarly, in the big picture, the economy and the stock market are related but separate. Like a stock's underlying company, the underlying economy is a physical entity that has consumers, producers (the companies), sales, earnings, products, services, and so on. The stock market is driven by buyers and sellers, their perceptions and expectations of stocks, and their future prospects.

Seeing the big picture — the changes in the economy and their effect on the market — will help you make easier and bigger profits. When the market is trending in your direction (either up or down), then even your mediocre choices can make you outstanding profits.

Where are the mega-moves going? In this chapter, I help you recognize economic signs, megatrends, and market bubbles so you can make better bullish or bearish bets.

Examining the Big-Picture Elements of the Economy

Generally, stock prices are tied to their underlying companies. However, these companies are simply entities inside a larger economic system. For decades, people have made their investment decisions based on what was going on in the economy. When the companies did well and economic expectations were good, then insiders, analysts, and other professional observers bought stocks. The stocks' rising, in turn, became a signal or leading indicator to others in the investing public that the economy was on a positive track. Given that, the stock market was considered a leading indicator of how well the economy was performing (or was expected to perform). In other words, there was a correlation between the economy and the stock market, much as there's correlation between an individual company and its stock. (Find out more about the concept of correlation in Chapter 6.)

Because of this relationship, analysts and pundits in the media watch economic reports to see how the market will respond. You hear comments such as “The government’s jobs report came in under expectations, and stocks are down,” or “Housing starts are up, and this is causing the home-building stocks to rally.”

When you’re watching economic data for its current and future impact on the stock market, you can consider values like employment and interest rates, gross domestic product, and inflation — all of which I cover in the following sections.

The economy is a system — the result of countless actions from millions of individuals, companies, governments, and other organizations. Although the system is beyond any one person’s control, the federal government actively influences some economic values. For example, the *central bank* is in charge of the monetary system of a nation, and in the United States, the central bank is the Federal Reserve (www.federalreserve.gov). This bank controls the *money supply,* which is the creation and disbursement of the nation’s currency. By creating rules for the money supply — that is, through *monetary policy* — the Fed tries to minimize unemployment, moderate long-term interest rates, and keep inflation under control. All these moves affect the economy as a whole and therefore the markets you’re investing or speculating in.

Gross domestic product

The *gross domestic product* (GDP) is the total monetary value of goods and services produced within the economy during the year. When it rises, the economy is expanding. When it declines, the economy is shrinking. Of course, a growing GDP is a good sign for both the economy and ultimately the stock market. The growth of GDP is considered a positive harbinger for the stock market; it indicates that the underlying companies will be able to keep prospering as the general economy keeps expanding.

When the GDP is growing at 3 percent or better per year, that’s considered adequate growth, which means increased tax revenue for the government, more private jobs for the citizenry, and a great “economic pie” in general.

The investing public can find out about the GDP and how it’s growing by checking out sites that track the GDP (and other national economic measurements) such as www.investing.com, www.marketwatch.com, and www.bloomberg.com.

Leading economic indicators

Measuring the progress of the economy is important to stock market investors. If the economy is performing well (growing), then that bodes well for stocks. If the economy isn’t performing well (it’s stagnant or shrinking), that isn’t a good sign for the stock market.

Some types of economic activity happen before the economy performs (leading indicators), some happen while the economy performs (coincident indicators), and some happen after the economy performs (lagging indicators).

For example, before constructing houses, builders need to get building or construction permits. Those permits are counted and tabulated on a regular basis. Housing permits are considered a *leading indicator* because they precede the building of houses. If the number of permits is rising, then that's an obvious sign that more construction is forthcoming.

If you're investing in real estate–related securities (such as the stocks of home builders and companies that provide furniture and consumer appliances), the housing permits data will be key to your investment decision.

An important indicator for many investors is the Leading Economic Index (LEI). The LEI is a collection of indicators that cumulatively give you an indication of what's expected from the economy as a whole. If the LEI is up — consistently up for more than a single quarter — that bodes well for the general economy and ultimately is a positive sign for the stock market. Conversely, if the LEI is down and it shows a trend downward, the stock market could be entering a bear market.

The index of Leading Economic Indicators and other major economic statistics are compiled by the Economic Conference Board and can be found at www.conference-board.org.

Interest rates

As you may know, interest rates are "the cost of money" when you're a borrower. The economy has so much activity tied to borrowing (mortgages, personal loans, credit cards, and so on). Some rates are long-term, such as those on 30-year mortgages or corporate bonds. Others are short-term, such as those on business lines of credit and personal credit cards.

Rising interest rates have an impact not only on demand for loans but also on the cost of carrying debt. When interest rates rise, they tend to dampen activity such as business and consumer spending because so much spending is tied to the cost and availability of credit.

Therefore, if you're investing in stocks of companies that are affected by interest rates (directly or indirectly), then you definitely want to watch interest rates. Good examples of industries that are sensitive to interest are housing and automobiles.

Keep in mind that interest rates don't have a direct effect on stock prices, but they can have a direct effect on the financial condition of various companies by either raising their costs of borrowing or making their products more expensive to purchase (such as with large-ticket items like home improvement projects and automobiles). This can diminish the net profit of the companies and ultimately bode ill for their stock prices.

Unemployment

The more people who have jobs in the private sector, the better it is for the entire economy.

The most important job in the economy is that of the entrepreneur. If entrepreneurs don't launch businesses, they can't hire staff (private jobs). If they don't hire folks, then paying for the public sector (public jobs and public assistance) becomes more difficult.

Since 2008, unemployment has been a serious issue for the United States. Investors watch unemployment data to see how healthy the economy is. You can find unemployment data at the Bureau of Labor Statistics (www.bls.gov).

The stock market views unemployment in a negative light; the greater the number of people unemployed, the more negative economic health is, which affects the potential income for companies (and that, in turn, bodes ill for stock prices).

Government spending and deficits

Government is a major consumer in the economy (if you don't believe me, check your pay stub). The government receives its spendable money through taxation and borrowing. It typically borrows from the central bank (the Federal Reserve), which has the capacity to increase the money supply (print more money). The Fed gives this money to the government, usually by buying Treasury bonds (also referred to as *monetizing the debt*).

The government spends money on a variety of programs and initiatives. When the government spends beyond its ability to pay, it has to borrow. Investors watch the spending data — how much and on what — to see its effect on economic growth.

The stock market generally likes government spending because it means that more money is being spent on goods and services, which then means that many companies benefit, and if the companies benefit, that bodes well for their stock prices. However, if investors see that government spending is excessive or unsustainable, they get concerned because unsustainable spending can lead to difficulties that can then lead to austerity (greatly limited spending) and potential economic problems (such as a recession). In that case, government spending is viewed negatively.

> TIP: A good site on government spending is www.fedspending.org. This site provides detailed information on total federal government spending and gives you an indication of where government money is going. Many companies see increased income as they provide the products and services whose sales are boosted directly from government spending (such as technology and paper products).

Money supply, inflation, and deflation

You hear talk about inflation and deflation and how that impacts everything from consumer spending to investing strategies. Many people speak of inflation and deflation as the rising and falling of general consumer prices. However, when prices rise or fall in the marketplace, that isn't inflation; that's the effect of inflation.

When the government's central bank (in our case, the Federal Reserve) increases the money supply, then the new money (currency) flows throughout the economy and/or financial markets. When the new money flows into consumer goods and services, more dollars (currency) are chasing a finite supply of those goods and services. In that case, the prices of goods and services rise. *Inflation* is really not that the prices of goods and services have gone up; it's that the value of the corresponding money has gone down.

Inflation is judged not only by the quantity of money supply but also by a concept called *velocity.* This basically means where the new money is flowing and how quickly it's moving. If the Federal Reserve prints $10 trillion and sticks it in a drawer, that's called inflation, but more specifically, it's really *monetary inflation,* which means inflating (or increasing) the currency supply. Prices haven't gone up yet because the new money hasn't flowed anywhere. When the money flows, then you see *price inflation* in the resulting area (consumer prices, asset prices, or both). During 2009 to 2015, monetary inflation, for the most part, flowed into financial markets (such as the stock market) and pushed the prices of assets (such as stocks) upward.

When monetary inflation sees the newly created currency flow into the prices of goods and services, this creates *price inflation* or *consumer price inflation,* and if it goes into assets (stocks, real estate, or other assets), then those resulting assets rise in price, which is called *asset inflation.*

The Fed basically passes new money into the banking system through its member banks (also called *money center banks*), which in turn either use it to invest (such as in securities or other assets) or simply lend it directly to consumers and businesses or to other sources, such as local banks, Wall Street brokerage firms, and so on.

Where this new money flows next is something that the Fed doesn't have total control of. Here's where the money can go:

- **Consumer markets:** If the money flows into the consumer markets, then it will turn into price inflation and affect indicators such as the government's Consumer Price Index (CPI), which gives the official inflation rate.
- **Businesses:** If the new money flows toward businesses, then you'll notice it in indicators such as the Producer Price Index (PPI), which tracks the prices of raw materials and commodities that industry uses to manufacture finished products used in the economy.
- **Financial markets:** In recent years (circa 2008 through 2015), much of the new money supply flowed into financial markets and actually created *asset inflation;* when you have many units of currency (such as dollars) chasing a finite supply of an asset (such as stocks), then the price of those assets rises. Investors, whether they see this process of unfolding bubbles or not, are appreciative of asset bubbles, especially in their early development. (Find out more about bubbles later in this chapter.)

Be generally aware of the money supply and whether the current (or subsequent) economic environment is inflationary or deflationary, because certain stock market strategies can excel in one and not the other:

- **Deflationary environment:** Consider investing in defensive stocks (see Chapter 3) and bank investments.
- **Inflationary environment:** Consider cyclical stocks (see Chapter 3) and hard assets such as precious metals and real estate.

When investors check out inflation, they can view two statistics, the CPI (Consumer Price Index) and the PPI (Producer Price Index). The CPI tracks general consumer prices, while the PPI essentially tracks the prices of raw materials that producers (such as manufacturers) pay. The PPI's movement tends to precede the CPI because the prices the producers are paying eventually show up in the CPI. These two indexes are compiled by the Bureau of Labor Statistics (`www.bls.gov`).

When asset inflation starts, money is flowing toward the markets (such as the stock market). Early on, there are bullish opportunities in the markets that are the recipients of that money flow. When asset bubbles start to appear, investors should start to be cautious, while speculators (of the bearish view) should look for shorting opportunities.

To decide how to play asset bubbles, use a value-investing approach (fundamental analysis). When asset bubbles are forming (especially in the stock market), the price of the stock rises, but the performance of the underlying company (sales, earnings, book value, and so on) may not be reflected in the stock price. (For information about value investing, go to Chapter 4.) If the stock's price is rising and the company's performance is not, then the ratios reveal the problem. The first ratio to look at is the price-to-earnings (P/E) ratio. When the P/E ratio is sharply rising and heads into frothy levels (over 50 is high and over 100 is dangerously high), then the stock is in danger of falling. Another valuation ratio to look at is the price-to-book (P/B) ratio, which warns you about the stock's price being too high versus the company's value. You can find out more about these ratios in Appendix B.

For information on money supply and related data, see the Federal Reserve site `www.federalreserve.gov`. The Census Bureau (which is part of the U.S. Department of Commerce) has an extensive listing of economic indicators and related stats at `www.census.gov/economic-indicators`.

Demographics

Demographics cover the number of people, their composition, and factors such as age, sex, ethnicity, and so on. Demographics are commonly an issue when the media focuses on baby boomers (those in their retirement years) and millennials (the twenty-somethings).

For stock investors, demographics can make it easier to choose which company to invest in. Does the company serve a growing or shrinking customer base? If you're considering investing in

Company A, which serves a demographic that has been shrinking in recent years, or Company B, which serves a growing demographic, the numbers make the choice obvious.

A good example of a successful proponent of using demographics for long-term investing strategies is Harry Dent (www.dentresearch.com). He's a market analyst, author, and market forecaster, and he uses demographic information extensively in his research and his forecasts for general markets as well as specific stocks and sectors.

For demographic information, see the Census Bureau website at www.census.gov.

Pop! Breaking Down Bubbles

Bubbles are a symptom of asset inflation gone too far. If you're already in a particular asset (such as stocks or real estate), then you love bubbles because they push your asset's value upward. However, keep in mind that bubbles are dangerous conditions that ultimately tumble as fundamentals (such as supply and demand) kick in, and then the asset falls hard — very hard. It's important to understand this concept so you aren't financially obliterated.

Telling a bubble from a bull market

As you likely know, *a bull market* is a period of rising prices for a given security or market (the prices are zigzagging up). A *bubble* refers to a market that has seen its prices rise above what many observers see as true market value.

How can you tell the difference between a bull market and a bubble? And how can you tell whether a security or a market is in a bear market or something worse — what I sometimes label a *reverse bubble?* I've posed these questions to various financial pros, and I'm astonished by the answers I get. Some pros have told me that a bubble is a "bull market that has gone on too long" or that a bubble is "when an asset or market has high prices." Those aren't the right answers!

A bull market is a healthy market in which there are more buyers than sellers. It can last for months, years, and even decades. A bull market turns into a bubble when an artificial stimulus comes in and turns the bull market into an overheated mania — buying turns frenzied. The key point to remember about bubbles is the phrase *artificial stimulus.*

Stocks, like any investment or product or service, are subject to supply and demand. With an artificial stimulus, someone has introduced something into that market that spurs on demand. At first, that increase seems like a good thing. However, when you artificially increase demand, that in turn artificially increases supply (or production). When you send that misleading signal to the producers (businesses), they in turn increase their production by buying more resources and hiring more employees to service the increased (but false or temporary) demand. Eventually, the increased production raises demand to the point that it's satisfied and then flattens or diminishes. At that point, the bubble is punctured, and demand starts to fall.

But what about all the extra supply (the production that was boosted)? When businesses start seeing the dropoff in sales, the reversal of fortune kicks in. Production then starts to contract. Factories lay off workers and close down excess capacity.

Taking away lessons from past bubbles

When you're bullish, it's great to be in front of a bubble that is forming, and it's terrible to be at or near the very top. Of course, when you're bearish, then it's wonderful to be at the very top. Therefore, recognizing bubbles — and their opposite, an extreme bear market (the reverse bubble) — is extremely valuable.

Major events of the past give you crucial insights that you can use today for building wealth tomorrow. As the old saying goes, history may not repeat exactly, but it does rhyme. The great stock market up cycles and the historic market crashes did have events and conditions precede them. Of special note are the signs that bubbles were forming. The following sections offer some notable examples of bubbles, the crashes that followed, and the lessons you can take away from them.

The stock market crash of 1929

Do you think that the stock market crash of 1929 came out of the blue? No, not at all. It's just that the crowd didn't notice the problems until too late (the crowd usually doesn't notice until too late). But investors who watched carefully and acted either saved a fortune or made one.

One famous speculator noticed that the market was getting too frothy and got out early to save his fortune. Another famous speculator saw the bubble forming and expected it to pop. When the market melted down in 1929, he made $100 million. For the names of both, head over to Chapter 18. Both noticed that stock prices were much higher than the values (and net earnings) of the underlying companies. In other words, stocks were overvalued and poised to decline.

The Internet and tech crash of 2001

In 1999, I lost a client because I refused to help him acquire Internet stocks. I thought they were speculative and not an investment. He thought differently. I scratched my head about how these Internet stocks, which had large losses, kept going up. Yes, it was a bubble. I had questioned my sanity and was asking the ghost of Benjamin Graham (see Chapter 17) whether value investing had gone the way of buggy whips and Cabbage Patch dolls.

I was buying long-term put options on Internet stocks and technology stocks because I thought that they were beyond overvalued — that at some point they would fall. Finally, the market sensed that the underlying companies were running losses, and the crash came along.

The signs that Internet stocks were overvalued and ripe for a crash were in the underlying companies' profitability (most weren't earning any profits). Those that were earning profits had very high P/E ratios (in triple digits — yikes!), and many of the firms were overleveraged (too much debt). All these signs were in publicly available financial statements, so the red flags were quite obvious.

The market crash of 2008 and its aftermath

Just because the stock market goes up, don't assume that the economy is in good shape. If the economy is struggling and the stock market is soaring, it could be a signal that the stock market is heading into bubble territory.

During 2005 to 2007, the housing bubble led to the expansion of low-quality debt (such as subprime mortgages) issued by government-sponsored enterprises (GSEs) such as the Federal National Mortgage Association (FNMA, or "Fannie Mae"). This low-quality debt was packaged as securities and sold to many Wall Street brokerage firms and financial institutions. Because the ultimate payers of these securities were actually borrowers who didn't have the financial strength to make payments on this debt, defaults occurred on a massive scale, and the securities became worthless. This, in turn, meant that the brokerage firms and financial institutions incurred massive losses, and they needed to replenish these losses by selling what assets they had, such as stocks. Stocks were sold en masse to cover these losses and keep many financial institutions from going out of business.

The public data clearly showed that the skyrocketing levels of debt were too large and definitely unsustainable. When I saw this coming, I told my investing readers and students to avoid debt and the general stock market and especially to avoid stocks of brokerage firms and financial institutions. For those who were speculators, put options on housing stocks and financial industry stocks (such as those of brokerage firms and mortgage companies) were profitable moves.

REMEMBER The takeaway for investors is that you need to understand how interrelated markets are. Heavy and unsustainable debt (such as low-quality mortgages and related securities) have an impact on firms that are exposed to them (and their stocks!). Be aware of not only the quality and financial strength of your investments directly but also of related markets and companies.

Due to the historic convulsions that occurred at the time of the market crash of 2008, the Fed started intervening in the stock market, which impaired the traditional relationship between the stock market and the economy. In 2009, the stock market hit rock bottom and then soared from 6,547 (March 2009) to over 18,000 (early 2015), which is an increase of nearly 200 percent. However, the economy has had an anemic recovery from the 2008 recessionary low, and the GDP of the United States grew in low single-digit percentages.

During this time, the Fed bought stocks through its member banks to boost the stock market. However, this wasn't a good idea because a central bank such as the Fed can artificially stimulate a market when it pumps up the market with money (more money buying more stocks), which leads to an asset bubble that, in turn, can grow into a dangerous bubble. However, the economy itself needed repair — not the stock market. When the economy is good and thriving, the financial condition of companies improves, which then makes them attractive for stock investors.

WARNING! Don't assume that the economy is in good shape just because the stock market is soaring. The economy and the stock market tend to be correlated, but that changed shortly after 2008 as the stock market soared due to intervention from the Federal Reserve while the economy itself continued to hobble along. Always check the valuations of the general stock market because the relationship of the stock market and the economy is akin to the relationship between a stock and its underlying company; you therefore need to keep an eye on valuations of an individual company or the general economy. Watching for bubbles fortunately isn't that difficult, because the data is public and many sites report on them (such as the ones mentioned later in this chapter).

Recognizing today's potential bubbles

Oh sure, it's easy to talk about past bubbles, but how about what's going on now? Apply what you know so you can see what may be threatening your portfolios today and tomorrow.

As I list potential bubbles in the following sections, keep in mind that they won't necessarily have popped by the time you read this. Bubbles can go a long time. At some point, bubbles become unsustainable, and seeing them pop and cause damage is probably not a question of *if* but *when*. Keep monitoring bubbles with the resources at the end of this chapter and in Appendix A so you aren't blindsided by these potentially dangerous developments.

Part of how investors can protect themselves from global currency issues is to have (at least partly) hard assets as part of their portfolios. Precious metals such as gold and silver along with other assets (such as real estate and collectibles) can be a good diversification not only away from paper assets (such as stocks and bonds) but also against potential currency problems (such as inflation). Keep in mind that all paper currencies (even reserve currencies such as the U.S. dollar) have the potential to be overproduced (inflated) and cause a lack of confidence from society at large.

The government debt bubble

Government spending across the globe is becoming a serious issue. The debt is fast becoming a sum so large that it simply can't be paid back. This debt is evident in the worldwide government bond market ($50 trillion and growing), which is now greater than the size of the world's GDP.

A great book that goes into detail about the burgeoning bond market and the problems that will ensue when it pops is Michael Pento's *The Coming Bond Market Collapse: How to Survive the Demise of the U.S. Debt Market.*

The currency bubble

Richard Maybury, the editor of the *Early Warning Report* (`www.earlywarningreport.com`), mentions two major events that investors should always bank on as long-term problems: a currency crisis and war. A currency crisis usually occurs when a currency is overproduced (becomes a currency bubble) and the populace starts to lose its confidence in that currency as a store of value and as a means of exchange. The result is that the currency could experience hyperinflation (become greatly overproduced) and lose its value (or become *devalued*).

I can certainly relate to currency bubbles. I came from Yugoslavia (my family got out in 1963), and I watched from a safe distance as the nation hyperinflated its currency during 1993 to 1994. The value collapsed amid social upheaval and civil war. Currency-related issues have been and will continue to be a major problem during 2015 through 2019.

Right now, many currencies are in crisis across the globe, ranging from the South African rand to the Venezuelan bolivar. Publications such as the *Financial Times* (www.ft.com) regularly report on global currency issues.

The derivatives bubble

Derivatives are a murky, misunderstood but immense market that primarily financial institutions are involved with. The bubble-forming derivatives I mention here are predominantly in the venue of large financial institutions both in the United States and abroad. When I say these are immense, I'm not overstating it.

Based on the derivatives reports of the Office of the Controller of the Currency (www.occ.gov), the international derivatives situation shows that the total derivatives notional (or market) value exceeds \$505 trillion as of May 2015. Considering that the world economy's total GDP is a paltry \$45 trillion to \$50 trillion, the derivatives number (at over a half quadrillion) is mind-numbing.

Folks may not remember that part of the meltdown in 2008 was a relatively small amount of derivatives (in the subprime market) that went astray. What happens if these derivatives go bad? Given that humongous risk, I generally avoid the financial sector in my investments.

The stock market bubble

Based on a variety of factors (price-to-earnings ratios and so on; see Appendix B for the scoop on ratios), stocks are overpriced. During 2009 through 2015, a tremendous infusion of money from the Federal Reserve member banks and from overseas institutions pushed the stock market to very high levels. Here is a case where stock prices and the values of their underlying companies are experiencing a disconnect.

Investors need to be cautious. A major pullback or correction is a major possibility as I write this (summer of 2015). Will I have egg on my face by the time you read this? We'll find out!

Regardless of a potential pullback, correction, or bear market that may occur during 2015 through 2016, it's safe to say that stocks in late 2015 aren't presenting a great buying opportunity, so value investors need to be more selective. Of course, in a bubble, speculators (especially those of the bearish variety) see opportunities and start to circle the markets like sharks waiting for that first drop of financial blood.

Other bubbles

There's also a college debt bubble. The amount of debt outstanding in terms of college loans recently surpassed $1 trillion. Unfortunately, the people who have to service this debt (college graduates) aren't getting the jobs they were expecting. The impact on the economy and the stock market will be an ongoing issue.

There is also the social media bubble, which is similar to the Internet bubble of 1998 through 2001. Social media companies (such as Twitter and LinkedIn) have seen their stocks rise to unsustainable levels that are much higher than the underlying companies' actual book values. Twitter stock was valued at a total market cap of about $19 billion as of September 2015, yet the underlying company is losing money.

Making Sense of Megatrends

A *megatrend* is a significant and long-lasting trend that encompasses a large swath of society or the general economy. In a megatrend, demand for certain products and services will grow for the foreseeable future. It can also mean a shrinking of demand for other products and services.

A good example of an emerging megatrend is the Internet in the late 1990s. Millions of consumers and businesses got online. This meant increased demand for Internet services and technology. Since the Internet became a major source of video entertainment, this translated into decreased demand for DVDs and video rental stores.

When you invest in companies or industries that benefit from a megatrend, long-term success with those particular stocks is more likely.

REMEMBER

Don't confuse a megatrend with a bubble. A megatrend unfolds in the general society and economy. Bubbles originate with elements in the financial markets such as credit, debt, and the money supply. Megatrends typically involve many people and localized organizations (small businesses, stores, and so on), and they need products and services.

TIP

Here are some megatrends to watch:

- **The aging of America:** During 2008 through 2018, the baby boomers (78 million folks now in retirement and pre-retirement) will have an impact on healthcare spending and related industries.
- **Population — 7 billion and counting:** As of 2011, the number of people on our planet has exceeded 7 billion. This megatrend means that companies that provide food, water, and utilities and other "human need" industries will continue to be good investments.
- **Online education:** Online education is tied in part to the college debt bubble that I mention earlier in this chapter. Inexpensive alternatives through the Internet will be an ongoing megatrend and provide attractive investment opportunities.
- **Self-sufficiency:** Industries that cater to self-sufficiency and related issues (such as do-it-

yourself solar power technology) are providing growth investing opportunities for investors.

- **Healthy living:** Organic food and healthy alternatives to traditional fare are becoming a prime interest for our society, and companies that cater to this will continue to be attractive investment opportunities.
- **Robotics and technology:** This area is relatively new, but the applications in a variety of fields indicate robotics and technology will grow for years to come.
- **Security and defense:** As conflict grows across the globe, companies that help equip national defense needs will become attractive investment opportunities. In addition, companies that provide self-defense (such as gun manufacturers) have done very well.

Tools, News, and Views That You Can Use

Understanding basic economics is crucial for your long-term investing. I like to look at many factors that have a potential impact on the stocks I choose for my portfolio. Stocks don't perform inside a box, as if the outside world doesn't affect them. For example, the mortgage and derivative markets melted down during 2007 through 2008, and that, in turn, affected the general stock market in late 2008. This concept is similar to the idea that if you buy real estate, you want to know what type of neighborhood it's in as well as what the city and the state are like because those factors have a tremendous bearing on the value of your holding. The following resources will help you see the world (the economy, financial markets, and so on) to make informed stock investing decisions. (Find even more resources in Appendix A.)

Researching potential market crashes and bubbles

If you're looking to be safer in your investing or you're a speculator looking for opportunities, here are some sites that regularly cover potential bubbles and problem markets both nationally and internationally:

- **King World News (`www.kingworldnews.com`):** Check out Eric King's interviews of successful contrarians.
- **Economic Collapse Blog (`www.theeconomiccollapseblog.com`):** Michael Snyder tracks issues with today's economy and financial markets.
- **The Bubble Bubble (`www.thebubblebubble.com`):** Forbes columnist Jesse Colombo tracks and explains past and current bubbles.

Understanding the big picture

When you need to understand economics and demographics and related data to pick up on megatrends and big-picture issues (government spending, national debt, and so on), check out these sites:

- **Trends Research Institute (`www.trendsresearch.com`):** Gerald Celente's research team tracks economic and societal trends for problems and opportunities.

- **Grandfather Economic Report (**www.grandfather-economic-report.com**):** Michael Hodges extracts and presents the financial data for the big picture, including research on government debt, Social Security liabilities, and so on.
- **Shadow Stats (**www.shadowstats.com**):** John W. Williams drills down and keeps track of government reporting and economics statistics; he then presents the same information after modifying it for more realism.
- **Census Bureau (**www.census.gov**):** The Census Bureau has tremendous data to help investors learn about demographic shifts and market needs.
- **Ludwig von Mises Institute (**https://mises.org**):** This site provides great economic insights from the Austrian school of economics.

  Virtually every major economic event (the Great Depression, currency crises, and so on) was predicted by proponents of the Austrian school of economics. Ludwig von Mises, the "Dean of Austrian Economics," predicted the Depression.
- **Free Lunch (**www.freelunch.com**):** This site provides searchable and downloadable economic data.
- **U.S. Debt Clock (**www.debtclock.org**):** The Debt Clock provides a detailed snapshot of U.S. government and private debt and other key economic data.

Chapter 20

Corporate and Political Skullduggery

In This Chapter

- Keeping track of corporate insider trading
- Breaking down insider buying versus selling
- Watching out for political insider trading

If you knew that dozens of heavyweight investing experts and insiders were buying a particular stock, would you consider doing the same? Or what if you had a stock in your portfolio and you saw that all the bigwigs of that particular company's management team were selling their shares en masse — what would you do (besides reach for the antacid)?

Beyond that, what if you heard that politicians were planning to pass laws that would harm (or at least make it more difficult for) certain stocks in your portfolio? Or what if you found out that a politician was quietly buying a million shares in a company that would profit handsomely if certain legislation were passed?

All the preceding scenarios happen more often than you know, but the reality is that noticing these types of events can make for profitable moves in your portfolio. The stock market isn't a pristine environment, and the reason is simple. You're dealing with a part of the universe we'll always have problems with: humanity. Human beings seek gains, often when no one notices. This is true in both the corporate world and (even more so) in the political world.

Although much of this chapter is about insider hijinks, don't automatically assume it's all negative. Some of it is just noticing what the big players are doing and seeing whether you should look at an event or movement as a danger or opportunity. It's time to pull back the curtain and see how you can use this information to optimize your investing and speculating strategies.

REMEMBER

Tracking and monitoring the actions of those who have a bird's-eye view of the company or asset is more telling than public relations announcements and public speeches and other promos. In other words, watch what people do, not just what they're saying.

Tracking Corporate Insider Trading

Would you board a ship if you saw the captain and his crew race off the ship, their arms flailing? Or if you were already on the ship and looked out your cabin window and saw the ship's captain and crew jumping overboard and swimming for land, would that concern you? You'll get extra credit if you figure out why they're leaving, too.

I hope you take notice of such events. The captain and crew know better than anyone how well that ship is operating (both good and bad) from where it counts: the "inside," or from a position of great knowledge. In the same spirit, you should know about the insiders of a company you're invested in and what they're doing (both good and bad). The following sections explain when to note insiders' activities and the forms that describe those activities.

Company insiders, or simply *insiders,* refers to key managers within the company as well as key investors who tend to trade large and significant quantities of a company's stock. A typical insider is the president or CEO (chief executive officer) and other C level executives, such as vice presidents.

Knowing when to take notice of the insiders

Insiders are especially knowledgeable about the company's current and future prospects. They realize what the glaring negatives may be — too much debt, slumping sales, shrinking profit, product failures, and so on — before the public finds out. Conversely, they know what the positives are and could be — new technologies, new deals coming, rising profits, and the like — before the crowd does. All of this isn't necessarily good or bad; it just is. The same way you know what good or bad is happening inside your home before the rest of the world does, so do those inside an organization.

The key is that the sooner you're aware, the better you're able to make informed decisions. You can get an idea of what's happening based on actions that insiders take with their stock positions. When insiders take the telling and significant step of buying or selling stock (usually a large quantity of stock), they have the legal duty of reporting this action to the SEC, which in turn makes the report publicly available. (Check out the next section for details.)

Single insider events are usually not considered significant, and they could be misleading. Is that new president of the company buying shares merely because it's expected of new executives? Is an executive selling stock today because she needs money to fund her daughter's college expenses or because she needs down-payment money for a new home?

Take notice when unusually large activity occurs by many insiders during a relatively short period of time. If dozens of key managers and large investors are selling huge quantities during, say, a single month or quarter, then that should set off alarms. Conversely, if you own or are considering the purchase of stock, seeing key managers buy stock should simply confirm the research you're already undertaking as a diligent investor. Don't base a decision on buying or selling stock solely on the actions of insiders.

Insider selling of stock can be tricky or misleading, but insider buying is generally a positive indicator. Flip to the later section "Comparing Insider Buying versus Insider Selling" for more information.

Getting the scoop from the SEC

Insiders who buy or sell stock must file disclosure documents that report their trading transactions to the Securities and Exchange Commission (SEC). Here are some forms that are worth checking out:

- **Form 3:** When the insider makes his or her initial buy or sell transaction, it's reported on the SEC's Form 3. An insider of an issuer (such as a broker-dealer) that is registering equity securities for the first time under Section 12 of the Securities Exchange Act must file this form no later than the effective date of the registration statement. If the issuer is already registered under Section 12, the insider must file Form 3 within ten days of becoming an officer, director, or beneficial owner.
- **Form 4:** When the insider changes his or her level of ownership (such as by increasing or decreasing how many shares he or she owns), the change is reported on Form 4. This form must be submitted to the SEC within two business days.
- **Form 5:** Insiders must file a Form 5 to report any transactions that should have been reported earlier on a Form 4 or were eligible for deferred reporting. If a form must be filed, it's due 45 days after the end of the company's fiscal year. This form may cover transactions that are relatively small and not required on Form 4, such as minor transfers of stock done within the company.
- **Form 144:** This form is intended as a public statement that an insider intends to sell *restricted stock* — stock that the insider received as an award or compensation. If the insider decides to sell this stock, then the stock must be sold within 90 days of filing Form 144, or the insider may sell later but submit a new Form 144. The form is submitted before or on the day of the stock sale. Additionally, after the sale is completed, the insider is required to file Form 4.

The Securities Exchange Act of 1934 dictates that company officers and directors and any stockholders who have 10 percent or more of the company's eligible stock (such as common stock) must file a statement of ownership with the SEC. The Sarbanes-Oxley Act of 2002 provided amendments to the Securities Exchange Act to accelerate the deadline for filing these reports.

In the past, regular investors had to wade through paper at the SEC or use expensive services or research newsletters that did the digging for them. Fortunately, data on insider trading is now more accessible than ever. Streamlined services from the SEC coupled with the Internet let you find the right data within a few minutes and a few mouse clicks.

The SEC has a full slate of educational investor resources and information at their main site, www.sec.gov. Not only can you find out about insider trading and access actual insider reports, but you can also read investor tips about stock investing and related investing activity. The SEC site also has a wealth of information regarding the financial conditions of public companies. More about this is in Appendix A.

Although you can view disclosure documents at a regional SEC office (make it a day trip for the family!), you're better off going to the SEC site's EDGAR database at `http://edgar.sec.gov/edgar/searchedgar/companysearch.html`. EDGAR is short for Electronic Data Gathering, Analysis, and Retrieval. Since June 2003, the SEC has required that insiders submit forms electronically through EDGAR and additionally required those companies that maintain websites (most do) to post the forms by the end of the next business day after submitting them to the SEC.

If you need to find reports that were submitted before EDGAR made these reports available online, you can contact the SEC's Office of Investor Education and Advocacy.

Comparing Insider Buying versus Insider Selling

You've heard the warning "Don't listen to what they're saying; watch what they're doing." I'm sure it was first said by observers of insider trading. Both aspects of corporate insider trading — buying and selling — offer important guidance for you.

The upside of insider buying

Insider buying is a good sign — no other way to look at it. Whether one insider named Biff is buying one share or every insider involved is buying a gazillion shares each, insider buying is a good sign, a great sign, or (at the very least) not bad.

Buying stock is a real commentary with real money that someone — someone in the know — is betting on the company's future. Just keep it in perspective. One or two or three insiders buying stock isn't an alarm telling you that the stock is heading to the moon — at least not if that's all you know. Also, if Person A bought stock in January and the other two purchased in subsequent months, then there's not much to learn from those purchases.

If, however, you see strong buying from many insiders — both from the company's management team and from major outside investors — that's a very positive sign. Also, if all this buying is bunching up in a given month or quarter, then people expect some positive pending action regarding both the company and its stock.

Keep in mind that stock shares — even in the millions — are limited in supply. If insiders are buying a large quantity of stock, that decreases the supply of stock available to others. When word gets out that insiders are buying, that means that the general public and larger entities such as financial institutions and funds (either mutual funds or hedge funds) have a smaller pool of stock to purchase from. Increased buyer interest (demand) that meets with lower available stock (supply) means rising stock prices.

When you look at the meaning of insider buying, the issue isn't the event itself (insiders buying) but the extent of the event (who is buying, how much buying, and what kind of buying). Here are some signs to watch:

- **Who's buying:** If you see that the new CEO is buying 10,000 shares, that's good. If the 10,000 shares are being bought by a current CEO who has been there for years and this purchase represents, say, an increase of 50 percent or 100 percent in his or her holdings, that's an even better sign. The new CEO may be buying as a good-faith sign of fidelity or confidence in the company, whereas the long-time CEO already sees the numbers and probably has a deeper understanding of the company's prospects.
- **How much stock is being purchased:** Buying 100 shares shows you like the company. Buying 10,000 shares means you're committed! The more shares that insiders are buying, the better the overall expectations for the company's foreseeable future.

  The relative increase in holdings is also a consideration. If that insider is a chief financial officer (CFO) buying 10,000 shares, that's great — but the purchase isn't that thrilling if the CFO already had 1 million shares and has held them for years.
- **The timing of the purchase:** If an insider had 200,000 shares and has had that amount for many years, that's good. But what if you just found out that this very same insider is considering buying another 800,000 shares this month? You'd ask yourself, "What does this insider know that I don't?" Suppose others are doing similar moves. What if ten insiders were all buying stock in the month of February, just ahead of earnings season or an announcement of a new product line? Probably a good sign.
- **The breakdown of the purchase:** Say you just noticed that 200,000 shares were purchased in May. What would be more impactful for you — that a single insider bought 200,000 shares, or that ten insiders each bought 20,000 shares? One very large purchase by one insider is indeed positive, but when ten insiders all decide to make a significant purchase, you're really onto something. Take it a notch higher: What if those ten insiders were professionals from various backgrounds such as sales, marketing, finance, accounting, technology, and product development? Lots of purchases by lots of insiders in the same time frame bodes well for the company's (and subsequently the stock's) future.

REMEMBER

Don't base your purchase decision only on insider buying. Let the fundamentals (covered in Chapter 4) come first, then the technicals (see Chapter 21); insider activity should confirm your choice. By and large, heavy insider buying is a big plus, but sometimes it's a false signal where enthusiasm trumps common sense. A good example is Internet stocks during 1999 and 2000, when some stocks had high insider buying but the companies themselves had very bad fundamentals (no income, heavy losses, and so on.)

The lowdown on insider selling

Okay, something's afoot. The management folks aren't acting right. They're talking with guarded jubilation, but they're walking with unguarded abandon (that is, they're selling their holdings). Now what?

Insider selling isn't as clear-cut as insider buying. Some insider selling is really no big deal, but lots of it is clearly not good. What should you be looking for?

When an insider sells his stock, the event can be either neutral or negative. Insiders may have many different motivations and different reasons to sell stock that have nothing to do with the company's future prospects. Just because the president of the company is selling 5,000 shares from his personal portfolio doesn't necessarily mean you should sell, too. Here are some typical reasons that have nothing to do with the company's potential:

- **Legal reasons:** An insider may be going through a divorce or other legal proceeding that may require him or her to divest of company stock. The sale may reflect not the insider's judgment on the company's future but a court magistrate's judgment on the insider's future.
- **Diversification:** Diversifying holdings is common advice from financial advisors. CEOs and others certainly have counsel that tells them the same.
- **Finance personal emergencies:** Insiders, just like anyone else, may need money to cover a shortfall for personal reasons.
- **Major purchase:** Buying a home or paying for a family member's college expenses isn't cheap. Selling some shares could come in handy.

Insider reports may reveal that a stock is being sold, the date, the amount, and so on, but they don't reveal the reason why. When two or more insiders are selling, take note. When many insiders are selling (and no one is buying), consider doing the same! Following are some points to consider.

How much stock is being sold?

If the CEO or CFO or other high-level executive sells 10,000 shares but still has 250,000 shares, it's not likely to raise concerns. However, if the amount in question is all or most of her holdings, that may be a red flag. Check to see whether other members of the management team have made a similar move.

How many insiders are selling?

If only one insider is selling, step away from the ledge. It's probably no big deal. However, if lots of insiders are selling, see what's going on. Keep in mind that "lots of insiders" is a relative amount. Ten insiders selling their stock holdings in a small-cap company is probably called a "serious development," whereas ten insiders selling stock in a Fortune 100 company is probably called "lunch." In other words, many large-cap companies have hundreds of folks who are technically considered insiders, so keep things in perspective.

Are the sales showing unusual timing or activity?

If one or two insiders sold some stock this month, no biggie. If ten or fifteen insiders had multiple sales this month, then there may be some cause for concern. Are there any discernible events or news tied to the company? If you have concern, don't try to guess. Maybe it's time for a defensive move such as putting on a trailing stop (see Chapter 5 for details).

The bottom line is that if you don't know why insiders are selling en masse and you have the sinking feeling that something isn't right about the company, be defensive. Maybe that means selling the stock (heck, you can always buy the stock back later), but more likely you can do something to limit losses depending on your comfort level. If buying puts is a good consideration for you, then read about buying puts in Chapter 13.

Are insider sales coinciding with external events?

Sometimes the issue isn't what's going on within the company; the concern could be outside the company's control. Do insiders see an event or condition coming that will have an impact on the company's prospects? Maybe the rumblings of war are getting louder, say, in the Middle East, and insiders at an oil company sense that supply disruptions will harm the company's net earnings.

If external events or related markets have a strong bearing on the financial health of the company, then consider taking defensive actions. If your company has a strong dependency or correlation to a market or country that may see trouble soon, then it bears repeating: Make defensive moves such as trailing stops.

If external markets correlate to your stock's potential prospects, take a look at Chapter 6 regarding intermarket analysis. Insiders are especially attuned to what related markets are doing and are quick to anticipate downturns.

Researching Political Insider Trading

One of the most outrageous revelations in recent years came out in the investigative book *Throw Them All Out,* by Peter Schweizer (published by Marine Books). In his research, Schweizer found out that what is considered illegal insider trading for private investors and speculators was totally legal for politicians.

Schweizer found that politicians of both major political parties — and their friends and donors — were making a fortune banking on insider trading because they knew which companies would benefit (or be harmed) with pending congressional legislation. Newly elected politicians came into office with relatively modest wealth but then were able to make staggering investment gains, often more profitably than the most prescient speculators. How could that be?

Most folks assume that many politicians profit from secretive deals with cronies and other corrupt transactions, but these deals were nowhere near as lucrative as what the politicians made from insider trading. After all, who would know the good, the bad, and the ugly of pending legislation better than the ones actually crafting the laws? Some members of Congress sold their stock holdings with great timing — immediately before the great stock meltdown of 2008 (hmm). Some well-connected billionaires and hedge fund managers had equally "good timing."

This particular skullduggery became public (finally!) in the mass media during late 2011 and early 2012. The subsequent outrage immediately brought on new legislation: the Stop Trading on Congressional Knowledge (STOCK) Act of 2012. You can find the full text of the act at the United States Office of Government Ethics site, www.oge.gov. Unfortunately, right after the high-profile (and lightning-fast) passage of the legislation, Congress quietly scaled back some of the provisions (hmm again).

If you have the inclination (and stomach) for some political research, you could find a profitable silver lining here. (Research for investment opportunities is an idea I'd always vote for.) Consider finding a potential trade by seeing which laws Congress is or will be passing. For that, take a look at THOMAS (http://thomas.loc.gov/home/thomas.php), the legislative search engine operated by the Library of Congress. The site is for anyone who wants to learn about the legislative process in Congress, find out what legislation is being proposed or passed at the federal level, and get the full details on that legislation (who proposed it, which politicians voted for or against it, and so on). You can read the full text of the legislation as well.

For example, Congress passed the Telecommunications Act of 1996, which deregulated the telecommunications industry. Those savvy investors who tracked the legislation were able to see the potential impact on the industry and make early moves among companies that were market leaders and would stand to benefit.

In the late 1990s and into 2000 through 2005, the telecommunications industry experienced tremendous growth, and this in turn laid the groundwork (literally!) for the Internet boom and the expansion into wireless communications. Profitable telecom companies saw their stocks soar along with this new megatrend.

For resources on political skullduggery, legislative matters, and government spending (which companies benefit?), go to the following sites:

- OpenSecrets (www.opensecrets.org)
- RealClearPolitics (www.realclearpolitics.com)
- FollowTheMoney (www.followthemoney.org)
- U.S. Government Spending (www.usgovernmentspending.com)

Chapter 21

Technical Analysis

In This Chapter

- Understanding the tools and elements of technical analysis
- Telling the difference between technical and fundamental analysis
- Tackling trends and chart patterns
- Using primary technical indicators
- Putting resources to use

Technical analysis is the study of market data such as stock market prices and volume to forecast the near-term direction of a security, asset, or market index. As a technical analyst, you take meaningful market trends and patterns into consideration and try to anticipate when the price will continue in its pattern or reverse.

This form of analysis belongs in everyone's investing and speculating tool chest. Charts help investors and (primarily) traders and short-term speculators identify significant price movements and spot entry and exit points. You can apply technical analysis not only to stocks but also to commodities, bonds, and exchange-traded funds (ETFs). Just about any asset or security that is traded can be analyzed with technical analysis.

In this chapter, I share how I use technical analysis and how truly proficient traders use it to maximize profits or minimize losses.

Keep in mind that when you're trading and doing short-term speculating with technical analysis, some factors diminish your profitability:

- **Time and effort:** Very frequent buying and selling means that you have to devote more time to watching your positions and to researching various indicators.
- **Transaction costs:** Making more short-term moves means more transaction costs, such as commissions.
- **Taxes:** Trading and short-term speculating (specifically a year or less) may mean higher taxes. Short-term gains are taxed as ordinary income, while long-term gains (a year and a day or longer) are usually taxed at more favorable long-term capital gain rates.

  Of course, short-term and long-term losses have tax benefits, which offset some of the pain of losing money. Definitely speak to your tax advisor regarding your personal situation.

Surveying the Elements and Tools of Technical Analysis

So what does a practitioner of technical analysis (usually referred to as a *technician* or *chartist*) actually look at? In the same way that value investors look at financial statements and ratios to perform fundamental analysis (see Chapter 4), the technician has tools and elements that he deals with to perform his craft.

Looking at key elements: Price and volume

The primary assumption in technical analysis is that the price itself is the most telling indicator of expected near-term movement of the stock or asset. Technicians state that "price discounts everything" because watching the price of a security and its movement essentially replaces the need to analyze the fundamentals of the underlying company or asset. All the fundamental factors that may have influence are reflected in the price. Because the cumulative action of buyers and sellers drives the price, it's assumed that this group has already taken into account the information that others (such as people who do fundamental analysis) have come across.

Technicians also pay attention to trading volume. *Volume* is the amount of stock being traded (bought and sold) during a market trading day. This indicates the amount of participation among buyers and sellers for a given security. Technicians watch volume to see whether the broad activity of market participants represents a strong or weak confirmation of a stock price's advance or decline.

If, for example, a stock is up in price but the increase is due to relatively low volume, that isn't a strong indicator for bullishness in that particular stock. A technician prefers to see large activity (many buyers or many sellers in many transactions), which offers a stronger confirmation of that stock's trend.

Using charts: Tools of the trade

Charts are to technical analysis what images are to graphic design. You can't avoid them, because you're not supposed to. That's why you see more charts in this chapter than in all the other chapters combined. But trust me, especially if you're serious about trading stocks (or ETFs, commodities, or whatever): Charts and the related technical data will come in handy.

The following sections cover the three most common types of charts. What should you look for? I discuss specific chart patterns and their significance later in "Checking Out Chart Patterns."

Line charts

A line chart simply shows a series of prices plotted in a graph so you can see how the price moved over a period of time. The period of time could be a day, week, month, year, or longer. The prices that are usually chosen for a line chart are the closing prices for those market days. Figure

21-1 shows an example of a line chart.

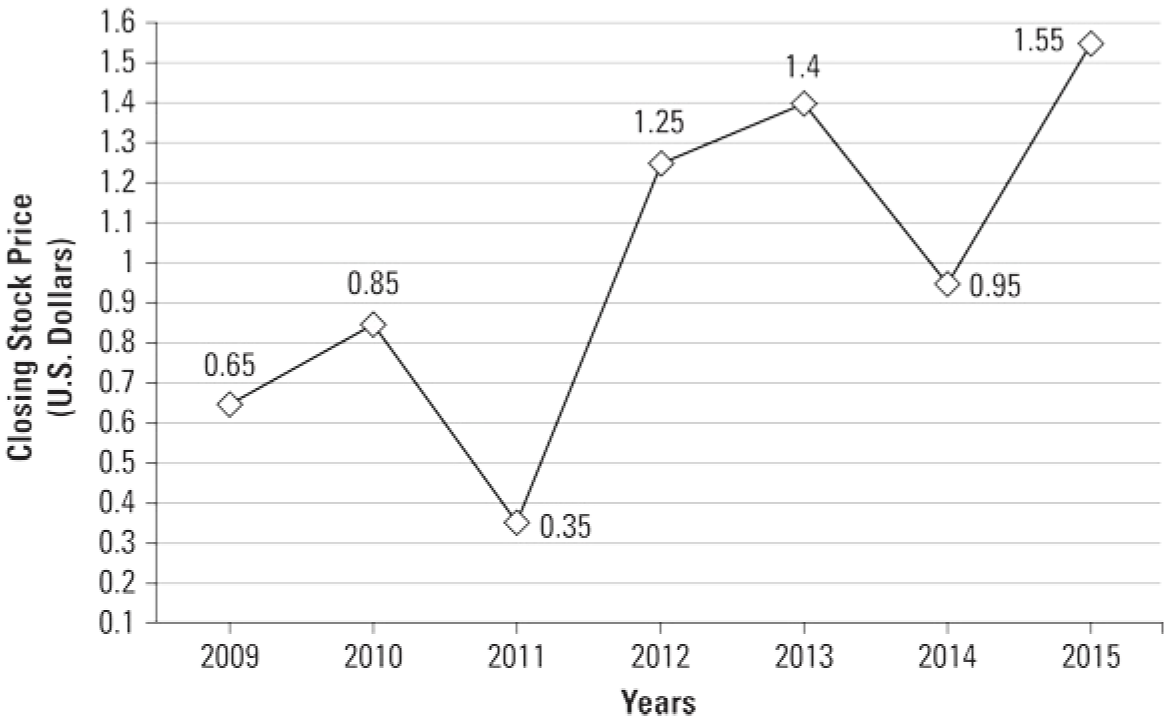


Figure 21-1: A line chart relates time and closing prices.

With a line chart, you can see how the stock has progressed during that period and make some simple observations. When were the peaks? How about the troughs? What were the weakest and/or strongest movements for this stock's price?

Bar charts

The bar chart takes the line chart a step further. Whereas the line chart gives you only the closing prices for each market day, the bar chart gives you the range of trading prices for each day during that chosen time period. Each trading day is a vertical line that represents the price movements, and you see the stock's high, low, and closing prices. Check out Figure 21-2 for an example of a bar chart used in technical analysis.

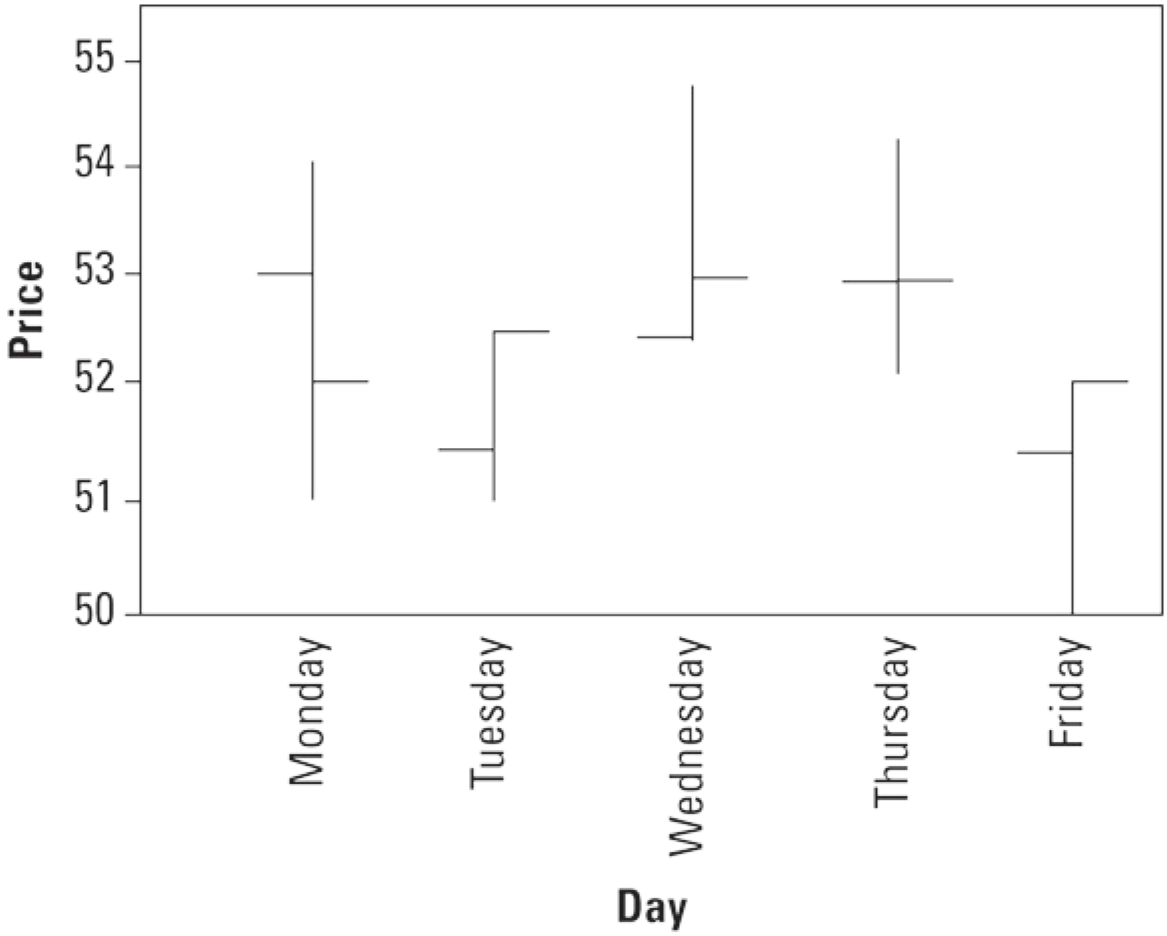


Figure 21-2: A bar chart shows high, low, and closing prices over time.

In a bar chart, the vertical line has two notches. The notch on the left indicates the opening price, and the notch on the right indicates the closing price. If the opening price notch is higher than the closing price notch, the line is in red to indicate that the price of the stock declined. An up day appears in black, with the closing price notch higher than the opening price notch. The top of the vertical line is the day's high price, and the bottom of the vertical line is the day's low price.

Candlestick charts

Candlestick charts (like the one in Figure 21-3) take bar charts to a more detailed level so that traders can gain more information for entry and exit points. The wide part of the candle (the wax) is called the *real body,* and it tells you whether the trading day's closing price was higher or lower than the opening. If the stock closed lower, the wax is black or red; if it closed higher, the wax is white or green. The top and the bottom of the real body indicate the day's opening and closing prices. The thin parts of the candle (the wicks) indicate the highest and the lowest prices for the trading day.

© John Wiley & Sons, Inc.

Figure 21-3: A candlestick chart gives more info on price movements over time.

Candlestick charts have been very popular since the 1990s. They're basically bar charts but with a little more complexity to them. The full name for them is *Japanese candlestick charts* because they originated in 17th-century Japan, when Japan was trading in rice markets.

Candlestick charting adds more details and even colors to identify price movements and gauge investor sentiment. Because candlestick charts provide more visual information than bar charts, candlestick charts can provide more guidance in trading.

Candlestick charting is a popular form of technical analysis and could easily be a book all by itself. By golly, there is a book on it! Take a look at *Candlestick Charting For Dummies,* by Russell Rhoads (Wiley), for more-complete information.

Comparing Technical Analysis and Fundamental Analysis

Traders overwhelmingly use technical analysis, and successful long-term investors overwhelmingly use fundamental analysis. Investors and speculators use some combination of both.

For a neat snapshot comparison of fundamental analysis versus technical analysis, check out Table

21-1.

Table 21-1 Fundamental Analysis versus Technical Analysis

Factor	*Fundamental Analysis*	*Technical Analysis*
Focus	On the company	On the stock (its price)
Time frame	Usually long-term	Usually short-term
The tools	Financial statements, ratios, and industry and economic reports	Stock price and volume data
The core analysis	Looking at the company's intrinsic values	Looking at the stock's price movements
The when	Timing isn't that important in buying stock because the pursuit is long-term	Timing is very important because the pursuit is short-term
The what	Investors are very concerned about what they're buying (earnings, asset values of the company, and so on)	The "what" of the particular company isn't a big consideration
The why	Value investors want to find out why a company's stock is up or down and will research the company	Technicians don't care why the stock is where it is; they just try to see where it's trending
The "good and the bad"	Investment decisions are based on a stock being undervalued and overvalued	Trading decisions are based on optimism and pessimism

Astute investors embrace both schools of analysis. Consider this a commandment: You use fundamental analysis to choose *what* you'll invest in, and you use technical analysis to decide *when* you'll invest. I favor fundamental analysis in my overall approach because I favor long-term investing. However, I do use technical analysis to gauge a good entry or exit point when I'm ready to act.

My favorite technical indicator is the Relative Strength Index (RSI), which seeks to quantify optimism and pessimism for trading decisions. I discuss the RSI later in "Investigating Indicators."

Some of the greatest investors in history don't use technical analysis at all (or they use it rarely) because they prefer a long-term value investing approach. For short-term purposes and for checking indicators to validate your fundamental analysis, technical analysis can be invaluable. The bottom line is that using elements of both in your approach can optimize your investing or speculating success. The following sections provide examples of how to use both techniques in bullish and bearish scenarios.

A bullish scenario

Say you want to invest in a company called Ready to Zoom Corporation (RTZ). As a good investor seeking value, you use fundamental analysis to review the company. You check RTZ's net earnings, debt level, growth rates in recent years, its market, and so on (of course, you've read Chapter 4). In other words, you check the fundamentals of the company.

When you’re ready to buy the stock, you also do some technical analysis. You notice that in recent market action, RTZ’s price was down sharply. According to the Relative Strength Index, the stock is oversold. When a solid company is oversold, that indicates a buying opportunity for investors who are bullish. Technicians see oversold conditions as moments of pessimism, which indicates a good entry point for buyers.

A bearish scenario

Suppose you’re a speculator and you’re also bearish. You find a company you’re considering for a short sale (see Chapter 8 on going short) or possibly for put options (see Chapter 13).

You look at the fundamentals for Ready To Plunge Inc. (RTP), which show that the company has been running losses in recent years with sales that are starting to shrink. The company’s debt is starting to balloon. Then you looked at its technicals, which are raising your eyebrows.

RTP’s stock is at a 52-week high; it’s riding a recent big rally in the stock market. You look at the Relative Strength Index, and it shows the stock is overbought. The fundamentals and the technicals are aligning to give you the green light: time to be bearish on RTP! Technicians see overbought conditions as moments of optimism, indicating a good exit point (a selling opportunity for investors and a shorting opportunity for speculators).

Tracking Trends

Identifying the trend is a crucial part of technical analysis. A *trend* is just the overall direction of that stock or asset. Which way is the price headed? The following sections describe trend directions and lengths, trendlines and channels, and resistance and support.

Trend direction

There are three types of trends for a stock price: uptrends, downtrends, and sideways trends.

REMEMBER Technicians call the stock’s highs *peaks* and the lows *troughs*. If the peaks and troughs keep going up, that’s a bullish sign. If the peaks and troughs keep going down, it’s bearish.

Uptrends

An *uptrend* is a series of higher lows and higher highs for the stock’s price over a given period of time. Connecting these increasing low points with a trendline is a standard technical analysis tool that can help identify whether an uptrend is still intact. You can see an uptrend in Figure 21-4.

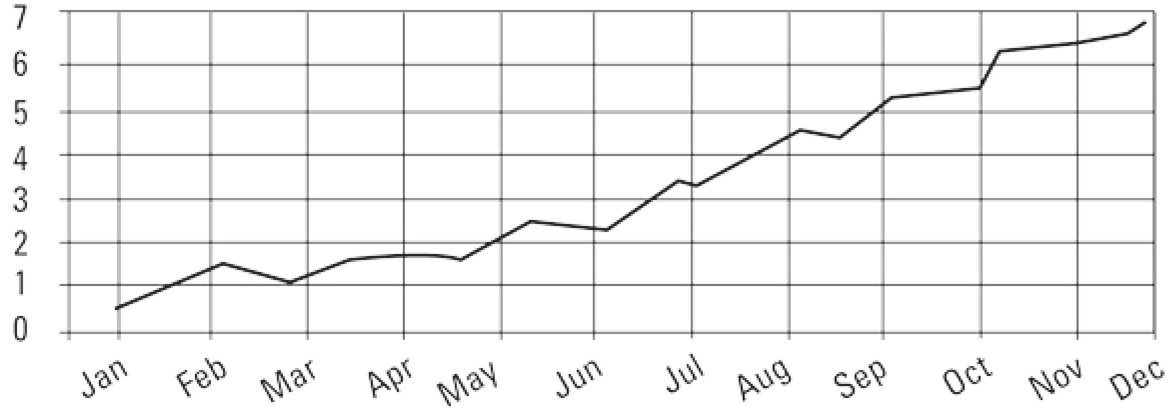


Figure 21-4: An uptrend.

Downtrends

A *downtrend* is a series of lower highs and lower lows for the stock price. Connecting these decreasing high points with a trendline is a standard technical analysis tool that can help to identify whether a downtrend is still intact. Unless you're a skier (or a short seller), Figure 21-5 isn't a pretty picture. The bearish trend is obvious.

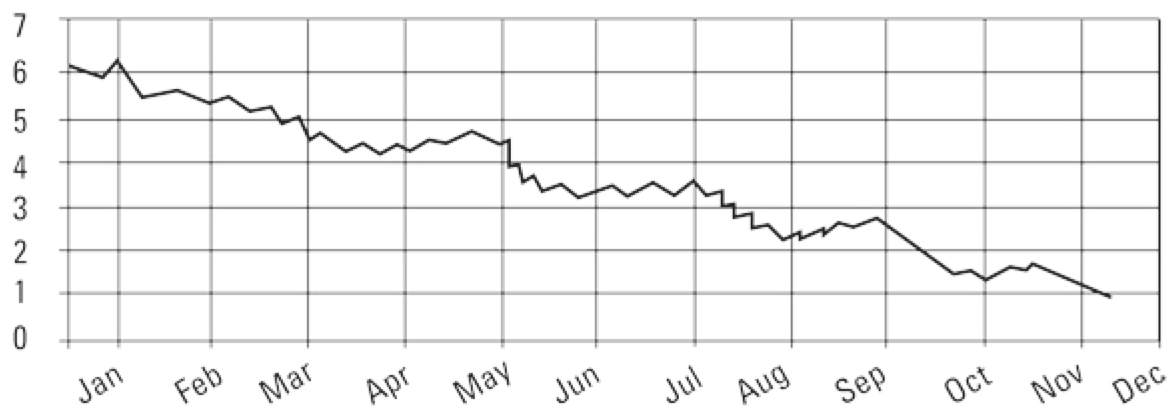


Figure 21-5: A downtrend.

Sideways trends

A *sideways* or *horizontal trend* just shows a consolidation pattern that means that the stock or security will break out into an up or down trend. The technician is watching and waiting for more clues about which way the price will go. A sideways trend (like the one in Figure 21-6) is essentially a flat movement. Yes, the trend may have some highs and lows, but there's no breakout upward or downward.

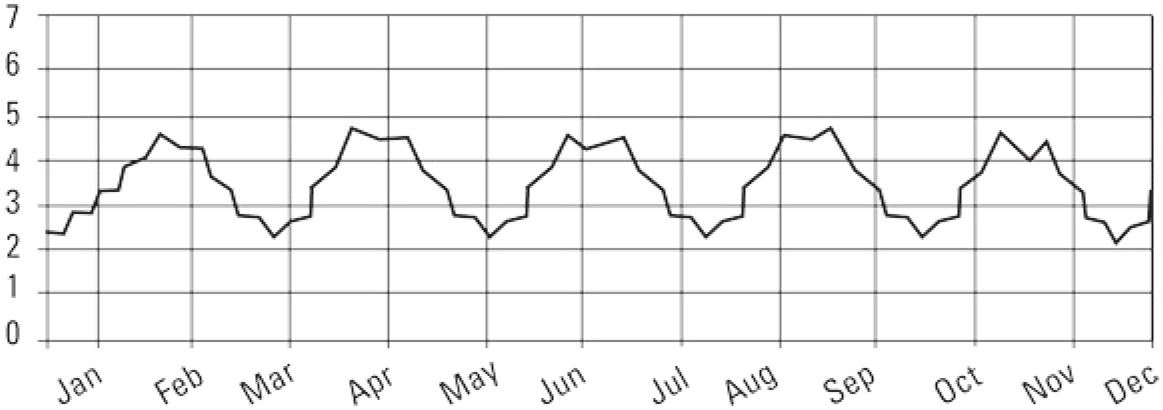


Figure 21-6: A sideways trend.

Regardless of whether a trend is up, down, or sideways, note that it's rarely (closer to *never*) in a straight line.

Trend length

When analyzing trends, you're not just looking at the direction; you're also looking at the trend's duration, the length of time that it's going along. Trend durations can be short-term, intermediate-term, or long-term. Generally, a short-term (or near-term) trend is less than a month, an intermediate-term trend is up to a quarter (three months), and a long-term trend can be up to a year. And to muddy the water a bit, the long-term trend may have several trends inside it.

Trendlines

A trendline is a simple feature added to a chart: a straight line designating a clear path for that particular trend. The trendline simply follows the troughs in the trend to show a distinctive direction. Trendlines can also be used to identify a trend reversal, or change in the opposite direction. You can see a trendline in Figure 21-7.

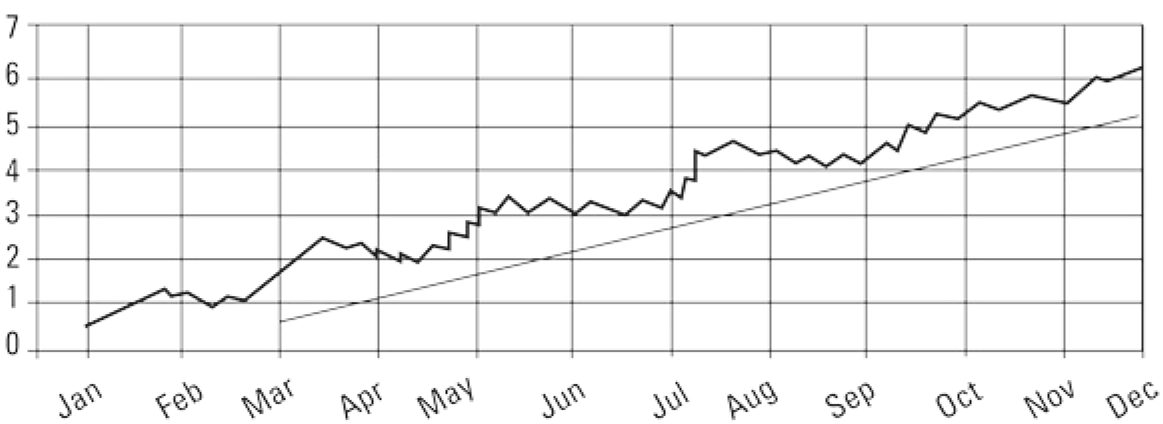


Figure 21-7: A chart with trendlines.

Channels, resistance, and support

Channel lines are dual lines that are added to simultaneously show both the peaks and troughs of the primary trend (see Figure 21-8). The top line indicates resistance of the price movement, and the lower line indicates support. Resistance and support are critical concepts in technical analysis, almost akin to ceilings and floors to a bouncing ball:

- **Resistance:** *Resistance* occurs when the stock price moves up but keeps getting rebuffed at a certain price level, as if that price were a glass ceiling. Typically, when a stock pushes through resistance, that's a bullish sign.
- **Support:** When the stock goes down and bounces up, that lower level is the support. It acts like a floor. If the stock price breaches this level, you're seeing a bearish sign, and investors may have to act to avoid losses.

Figure 21-8: A chart with a channel.

Both resistance and support form the trading range for the stock's price. If the stock stays between resistance and support for an extended period of time, the stock is *consolidating.* In the consolidation phase (or sideways pattern), technicians watch to see a bullish or bearish breakout.

The channel can slope upward or downward or go sideways. Technical traders view the channel with interest because the assumption is that the price will continue in the direction of the channel (between resistance and support) until technical indicators signal a change.

As the stock's price moves upward, you see where the price is on both the top and bottom of the channel. The channel shows you how the price is trading in a range or is *range-bound.* The trend is to help you make more profitable decisions, because you're better off trading with the trend than not.

Checking Out Chart Patterns

After the significance of price, the second major assumption in technical analysis is that price action tends to repeat itself over time because group human psychology tends to be cyclical. The patterns can be bullish, bearish, or sideways (neutral).

Chart patterns are the visual language of technical analysis. The price and its movement are put in a graphic image to be viewed and analyzed. For technicians, the pattern is the early warning system for an expected price move. Although using chart patterns isn't 100 percent accurate (what forecasting system is?), it can be accurate more than 50 percent of the time, which is enough to be profitable in your overall trading. Proficient technicians can usually be more successful than that.

The following sections describe some typical trading patterns that technicians watch for. ***Note:*** I don't include an extensive listing of all chart patterns. Find out about other useful patterns, such as wedges and gaps, with the resources listed at the end of this chapter.

No chart pattern has guaranteed accuracy. Technical analysts don't say for certain what will follow a particular pattern; they say what's probable. Probable outcomes, more times than not, tend to materialize. Increasing the probability of success for more profitable decision-making (entering or exiting a trade) is the bottom-line mission of technical analysis.

Head and shoulders

The *head and shoulders pattern* (see Figure 21-9) is essentially bearish. It's usually a signal that an uptrend has ended and the pattern is set to reverse and head downward. Technical analysts consider the head and shoulders to be one of the most reliable patterns.

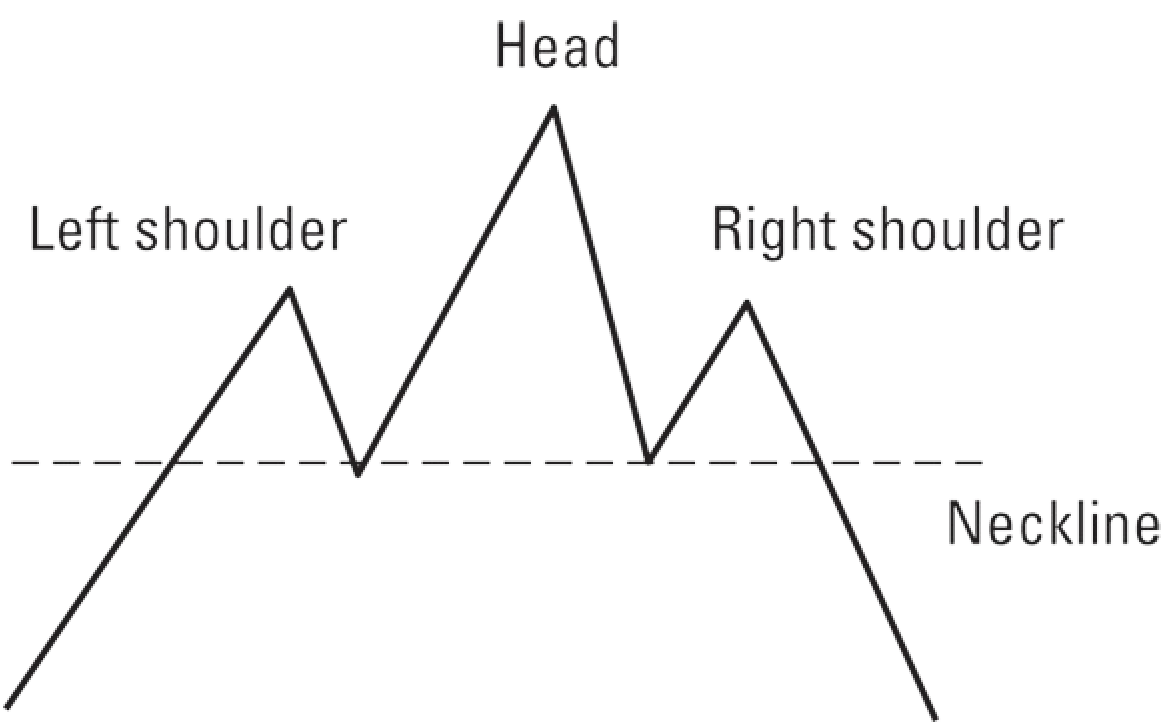


Figure 21-9: The head and shoulders pattern is a bearish sign.

The first component of this pattern is the three peaks that break down into the tall center peak (the head) and the shorter peaks (the shoulders) that are on each side of the center peak. The two troughs form the neckline.

The head and shoulders pattern tells technical analysts that the trend that just preceded this pattern basically ran out of gas. The selling pressures have built up and overpowered the buyers. Hence, the price starts to decline. The shoulder on the right is like a last-ditch effort for the bullish trend to regain its traction but to no avail. Keep in mind that the neckline in this pattern is the support (floor). As support is broken, then the expectation is bearish.

Reverse head and shoulders

The *reverse head and shoulders,* which is opposite the chart pattern in the preceding section, is essentially bullish. This pattern (see Figure 21-10) signals that a downtrend has ended and is set to reverse and head upward. In the reverse head and shoulders, you have three troughs and two peaks. The middle trough is usually the deepest one. The small trough on the right indicates that support and consolidation of the stock's price will be bullish and that the stock's price is ready to rise.

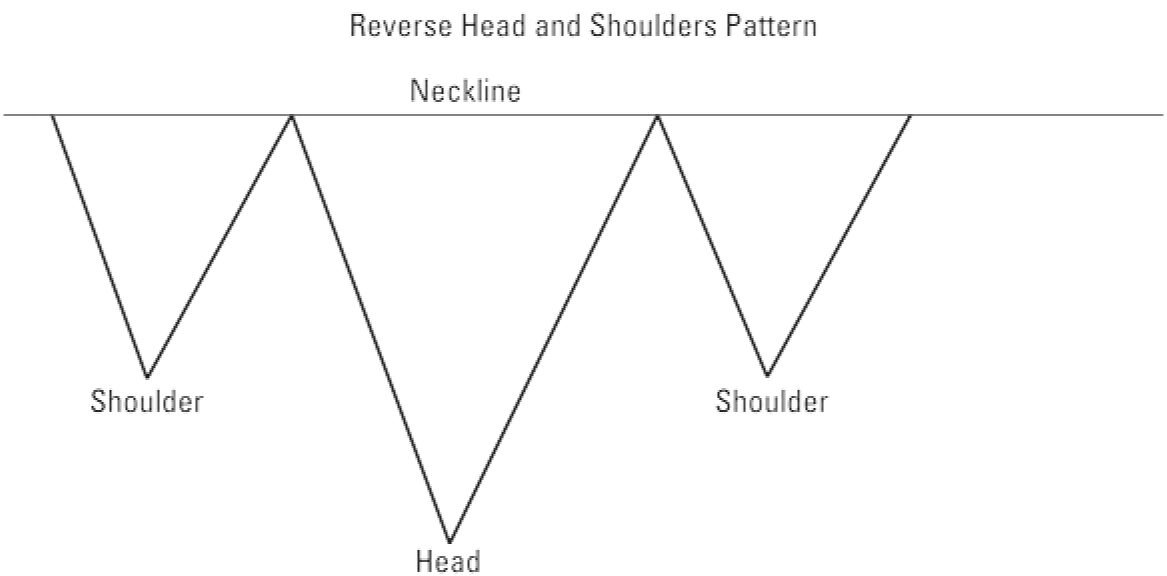


Figure 21-10: The reverse head and shoulders pattern is a bullish sign.

In this pattern, buying pressures build up and form a base for springing upward. Keep in mind that a bullish pattern is a series of higher highs and higher lows. In the reverse head and shoulders pattern, the neckline is the resistance (the ceiling). After resistance is broken, then the expectation is for an upward move.

Cup and handle

The cup and handle (see Figure 21-11) is considered a bullish pattern. The price peaks, then craters into a bowl-shaped trough (the cup), and then peaks at the end with a small downward move (the handle) before it moves up.

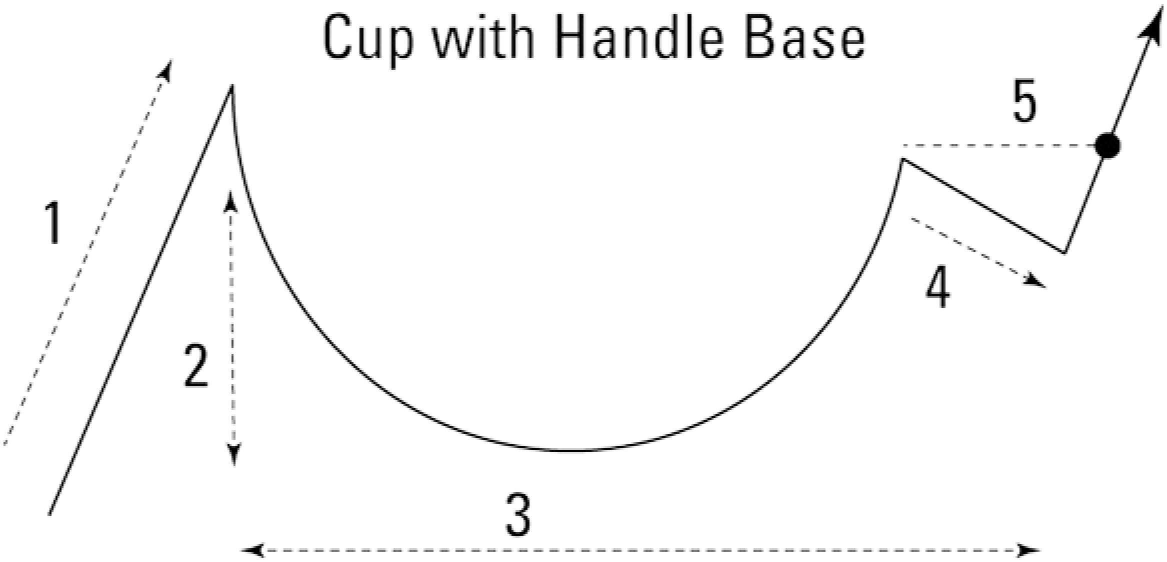


Figure 21-11: The cup and handle pattern is bullish.

The technician sees this pattern as a signal that the stock's price took a breather (or consolidated) to build support before continuing the bullish pattern.

Double tops and double bottoms

Double tops and double bottoms (see Figure 21-12) are patterns that tend to signal trend reversals:

- **Double top:** The double top is essentially a bearish pattern as the price makes two attempts (the double top) to break through resistance but fails to do so. The bottom of the trough between the two peaks indicates support. However, the two failed attempts at the resistance level are more significant than the support at the trough, so this pattern signals a potential downturn for that stock's price.
- **Double bottom:** The double bottom is the opposite reversal pattern. It's a bullish pattern because the support level indicators are stronger than the resistance. This signals a potential upturn in the stock's price.

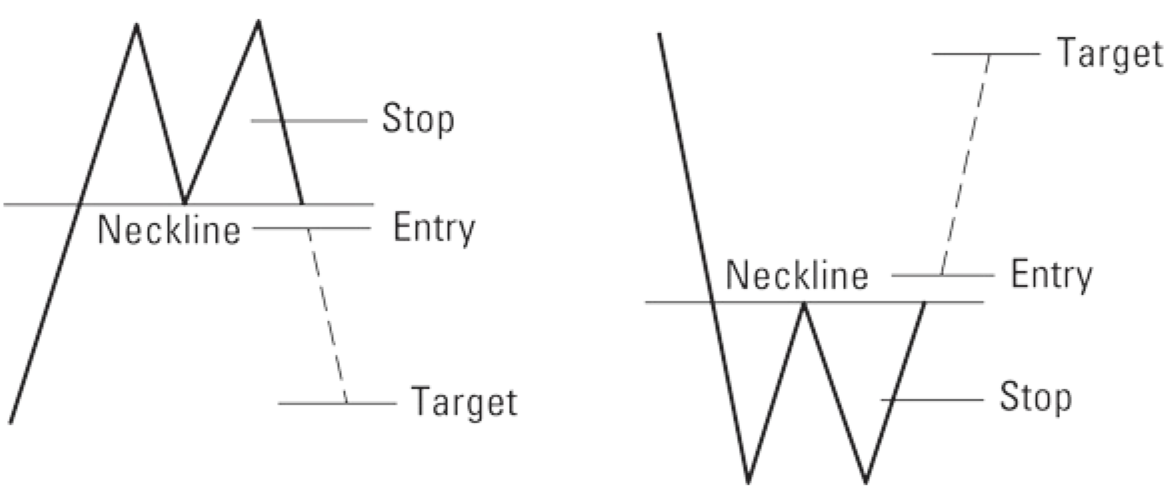


Figure 21-12: Double tops and double bottoms suggest trend reversals.

As a further variation on double tops and bottoms, there are also triple tops and triple bottoms, which are sideways or horizontal patterns that portend a trend reversal. Don't even ask about quadruple tops and bottoms!

Triangles

A *triangle* is formed when the resistance line and the support line converge to form the triangle point, which shows a general direction in the stock's price movement. The three types of triangles are symmetrical, ascending, and descending:

- **Symmetrical:** The symmetrical triangle points sideways, so it's a horizontal pattern (see Figure 21-13). It sets up a move upward or downward after more price movement provides a bullish or bearish indicator.
- **Ascending:** The ascending triangle points upward. It's a bullish pattern.
- **Descending:** The descending triangle points downward. It's bearish.

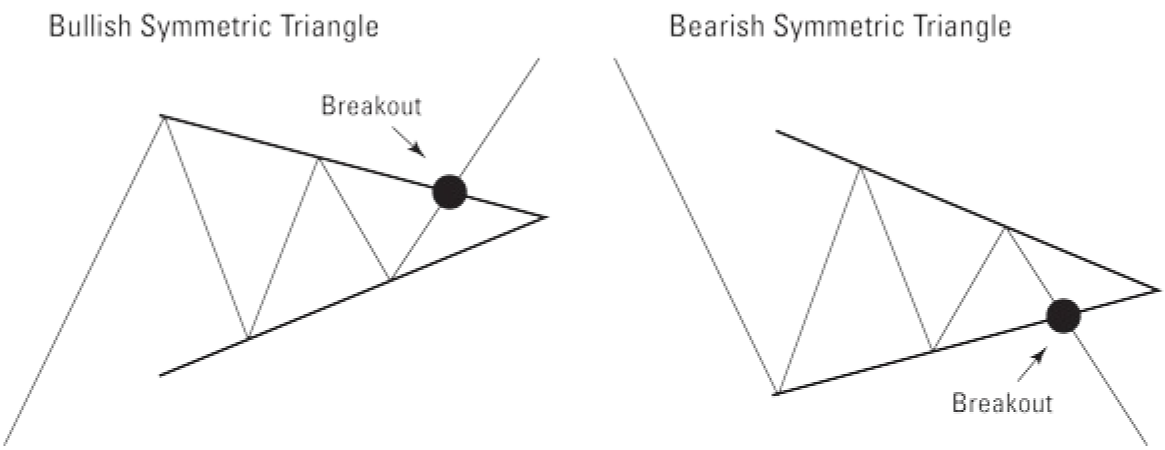


Figure 21-13: Three examples of the triangle pattern.

Flags and pennants

Flags and *pennants* (see Figure 21-14) are familiar chart patterns that are short-term in nature, usually not longer than a few weeks. They're continuation patterns that are formed immediately after a sharp price movement and then are usually followed by a sideways price movement.

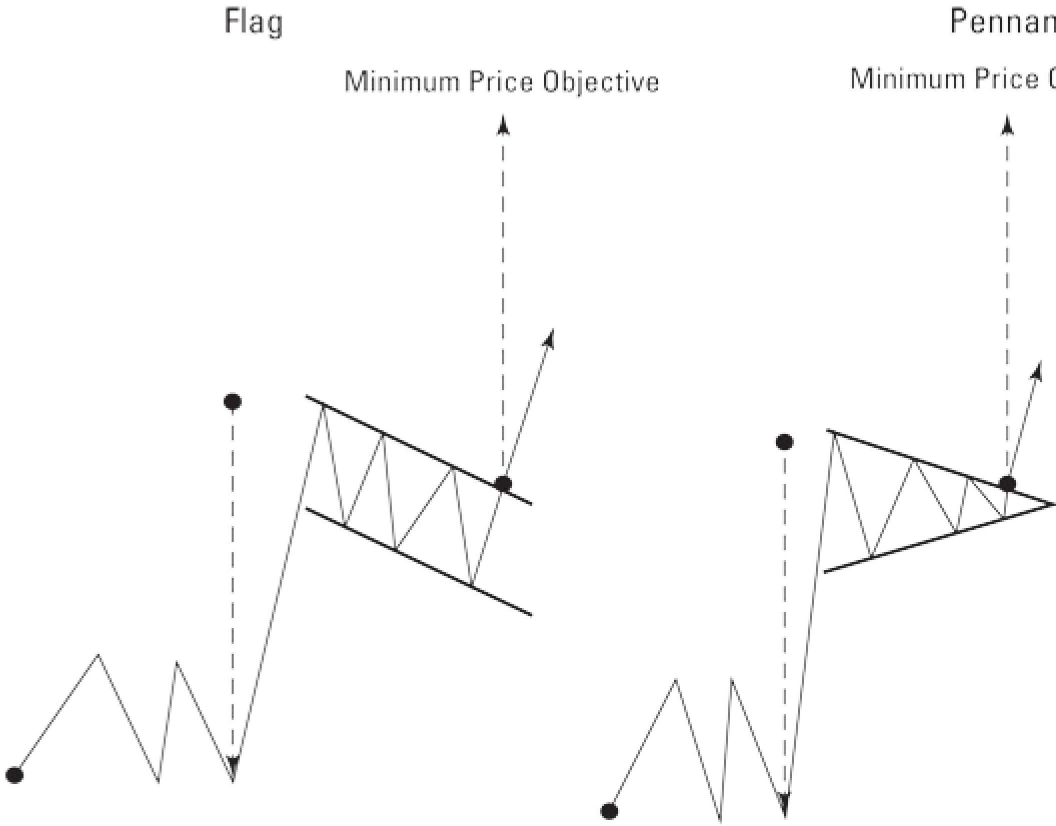


Figure 21-14: Flags and pennants are continuation patterns.

Both the flag and the pennant are similar, except that the pennant is triangular while the flag is in a channel formation. Because these patterns are so short, they’re usually considered continuation patterns.

Investigating Indicators

An *indicator* is a mathematical calculation derived from the stock’s relevant price data that can be used with the stock’s price or/and volume for forecasting purposes.

The two types of indicators are leading and lagging:

- **Leading indicators:** Leading indicators help you profit by attempting to anticipate what prices will do next. Leading indicators provide greater rewards at the expense of increased risk. They perform best in sideways markets, and they can work by measuring how overbought and oversold a stock is.

  Oscillators are leading indicators that you use when analyzing charts that have no discernible price trend. Moving averages and other indicators are certainly important when the trend is clear, but oscillators are more beneficial when the stock either is in a horizontal or sideways trading pattern or hasn’t been able to establish a definite trend because the market is volatile and the price action is very uneven.
- **Lagging indicators:** Lagging (or trend-following) indicators are best suited to price movements that are in relatively long trends. They don’t warn you of any potential changes in

prices. Lagging indicators tell you to buy and sell in a mature trend when there's reduced risk.

In the following sections, I cover one of my favorite oscillators: the Relative Strength Index. It's enormously useful for both technicians and nontechnicians (like me!). I also describe several other indicators.

The Relative Strength Index

The Relative Strength Index (RSI) is a leading indicator that measures or quantifies a stock's overbought or oversold condition over a given time period. (Don't confuse it with the phrase *relative strength,* which compares the performance of a stock with another asset or index.)

The RSI helps the trader or investor see whether the stock is entering a zone of opportunity or danger. If the RSI indicates that the stock has entered the overbought zone, this acts like a warning (much like a temperature gauge) that a reversal of the price trend is near. Table 21-2 provides the key RSI numbers to watch for.

Table 21-2 Key RSI Numbers

RSI Rating	*Condition*	*Consideration For …*
80 or higher	Very overbought	Major selling or shorting opportunity
70 or higher	Overbought	Selling or shorting
Between 30 and 70	Neutral	Neutral
30 or under	Oversold	Buying opportunity
20 or under	Very oversold	Major buying opportunity

WARNING!

Please note that Table 21-2 must be used with other data, such as the fundamentals of the stock, to be truly useful. Don't assume much with the RSI on purely its own merit. A stock that has an RSI lower than 20 may not automatically be a buying opportunity. Companies tend to have a very oversold reading (a very low RSI) just before they go bankrupt, too.

Also, overbought and oversold conditions aren't necessarily like the two-minute warning in football games. An overbought or oversold rating doesn't necessarily signal an imminent or immediate reversal.

For people who are going long on stock, I think that the RSI is particularly useful for timing the purchase or sale of a particular stock:

- **Buying:** When I'm looking at a stock that I like and notice that its RSI is below 30, I check to see whether anything is wrong with the stock. Did the fundamentals change? If nothing is wrong and the change is merely a temporary market pullback, then I consider it a buying opportunity. After all, if I loved a great stock at $40, I still love it now that it's cheaper at $35.
- **Selling:** If I'm not crazy about a stock that's in my portfolio and I see that it's overbought, then I consider either selling it outright or at least putting on a stop-loss order (brokerage orders

are covered in Chapter 5).

To make your bullish or bearish moves, the optimal time to act is when the RSI reading is in extreme territory. At extreme levels, a near-term reversal is highly probable. Check out Table 21-2 for guidance. To find the RSI for a given stock or asset, see the resources at the end of this chapter.

Moving averages

A favorite tool for technicians is the moving average, a lagging indicator that tries to smooth out choppy price data to show a clear path for the stock price. This indicator takes the prices of the stock over a period of time, which could range from five days to six months or longer, and creates an average price. The three types of moving averages are simple, linear, and exponential.

Simple moving averages

The first and most common type of average is the *simple moving average* (SMA). It's calculated by taking the sum of all the past closing prices over the chosen time period and dividing the result by the number of prices used in the calculation. For example, in a ten-day simple moving average, the last ten closing prices are added together and then divided by 10. The next day, you again take the average of the closing prices of the past ten days. After that, you continue taking ten-day averages for as many days as you like.

Say that the prices for the last ten trading days are (in order) $20, $21, $22, $20, $21, $23, $24, $22, $22, and $24. Deriving a trend from that is hard, but a moving average can help. First you add up all the prices; in this case, the total is $219. Then you divide the total of $219 by 10 (the total number of trading days). You get an average price of $21.90. As you do this with more and more price data in ten-day chronological sets, you can see a trend unfolding.

On the next day, you take the price average from days two through eleven. Say that on the eleventh day, the closing price is $26. At this point, the next ten-day trading starts with $21 (this was the closing price from the second day) and ends with a new closing price for the tenth day, $26. Now when you add up this new ten-day range, you get a total of $225. After you divide that number by 10, you get the average of $22.50 ($225 total divided by 10 days). In this brief and simple example, you see that the ten-day moving average tells you the price trend is up, from $21.90 and moving to $22.50.

Of course, you need to see a much longer string of ten-day sets to derive a useful ten-day moving average, but you get the point. These averages can also be plotted on a graph to depict the trend to help render a trading decision. The more time periods that you graph, the easier it is to see how strong (or weak) the trend is. Moving averages are very useful in plotting out the support and resistance levels in the trend. They're also helpful in figuring all the various peaks and troughs necessary for analyzing the trend's direction.

The most frequently used moving average time frames are 10 days, 20 days, and 50 days for short-term trading. For longer-term trends, technical analysts watch the 100-day and 200-day moving averages. There's even an 800-day moving average, but the shorter moving averages are the most common.

The longer-period moving averages help put the short-terms in perspective so that the trader can still view the big picture. You may have a stock correct or pull back and see its price fall significantly, but does it mean that a trend has reversed?

If the stock is in a long-term bull market, it's common for the stock to temporarily violate or go below its short-term averages (such as 10-, 20- or 50-day moving averages). The more serious red flags start to appear when the current price violates the longer-term averages, such as the 200-day moving average.

Other averages

Many proficient technicians look beyond the simple moving averages. They also use moving averages such as linear and exponential moving averages. You can find details about these averages in the resources at the end of this chapter.

Moving average convergence/divergence

The *moving average convergence/divergence* (MACD) is one of the most common and well-known technical (lagging) indicators. The MACD indicates both the trend and the momentum of the stock price (either upward or downward). The indicator is comprised of two exponential moving averages from two different periods. For more on MACD, see the resources at the end of this chapter.

Crossovers and divergence

A *crossover* is the point where the stock's price and an indicator intersect. This point is used as a signal to buy or sell a stock. Say that a stock, for example, falls past $30 per share to $29, and the 20-day moving average is $29.50. That would be a bearish crossover, indicating a good time to sell or risk further downside. Other crossovers indicate a good time to buy.

Divergence occurs when the price of a stock and an indicator (or index or other related security) head in opposite directions. Divergence is considered either positive or negative, both of which are signals of changes in the price trend:

- **Positive divergence:** The price of a security makes a new low while a bullish indicator starts to climb upward.
- **Negative divergence:** The price of the stock makes a new high, but bearish indicators signal the opposite and the price instead closes lower than the previous high.

Both crossovers and divergence are leading indicators.

Bollinger Bands

A Bollinger Band (a leading indicator; see Figure 21-15) is plotted two standard deviations away from a simple moving average. The Bollinger Band works like a channel and moves along with the simple moving average.

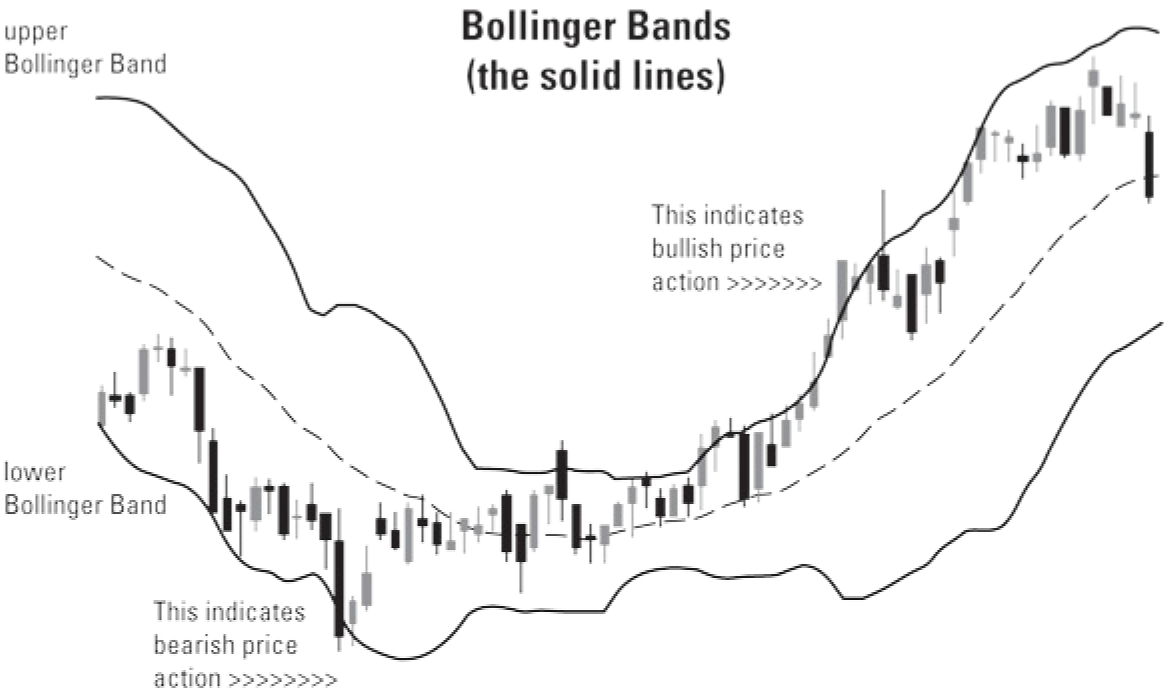


Figure 21-15: A Bollinger band.

Bollinger Bands help the technician watch out for overbought and oversold conditions in a trend pattern. Basically, if the price moves closer to the upper band, the stock is overbought. If the price moves closer to the lower band, the stock is oversold.

Digging into Resources for Technical Analysis

This chapter only scratches the surface of a truly useful body of analysis that can help you navigate the short-term ins and outs of the market. I encourage you to bone up on what it has to offer. And no, you don't have to read statistics and charts until you're ready to pass out. If you become proficient with only a handful of indicators and concepts, you'll raise your investing and trading prowess to a new level.

TIP One of the best books I've ever read on technical analysis is *Deemer on Technical Analysis,* by Walter Deemer and Susan Cragin (McGraw-Hill). In the same way that Warren Buffett learned from Benjamin Graham about value investing (see Chapter 17), Walter Deemer learned from a legend in the world of technical analysis, Bob Farrell. Deemer does a great job of distilling and clarifying 50 years' worth of experience and success with technical analysis.

Sites with technical analysis data and information include the following:

- StockCharts.com (www.stockcharts.com)
- Big Charts from MarketWatch (www.bigcharts.com)
- Incredible Charts (www.incrediblecharts.com)

And here are my recommended resources for information and research on technical analysis:

- *Elliott Wave Theory* newsletter (www.elliottwave.com)
- *Technical Analysis of Stocks and Commodities* magazine (www.traders.com)
- International Federation of Technical Analysts website (www.ifta.org)
- *Technical Analysis For Dummies,* 3rd Edition, by Barbara Rockefeller (Wiley)

Many websites have tutorials and how-to videos on technical analysis. Check out sites such as www.investopedia.com and www.about.com.

Part V

The Part of Tens

Find a free Part of Tens list about my favorite investment authorities at www.dummies.com/extras/highlevelinvesting.

In this part …

- Discover ten ways to minimize potential losses in your stock investing strategies.
- Want to maximize your stock investing gains? I show you ten ways to do it.
- Successful investing isn't just an event; it's a process that accomplished investors cultivate. See the ten traits of successful investors that you can embrace for your own success.

Chapter 22

Ten Ways to Minimize Losses

In This Chapter

- Placing orders that help limit your losses
- Checking out strategies for when your stock has losses
- Using options to limit losses

Investing for growth or speculating for big gains isn't without risks, even after you read such a … ahem … dazzling guide as the one you're holding in your hands. Sure, you want the home runs and you'll settle for some base hits, but strikeouts can happen.

Even the legendary investing and speculating pros have failures and losses. The key is that all these people learned from what they did and modified their approaches going forward. In this chapter, I cover ten aspects of losses, either helping you minimize them or suggesting what to do if you have them.

Use Stop-Loss Orders

"Have your profits run, but limit your losses." This age-old advice may be a cliché, but it's the quintessential grand strategy.

In today's marketplace, limiting your losses is easy to do thanks to technology. Considering how crazy and volatile the world is, the stop-loss order should be a ready weapon in your investing and speculating arsenal. The trick is knowing when to place a stop-loss order, how long it should be in effect, and how far to place the stop loss-order from the stock's (or exchange-traded fund's) market price.

You put a *stop-loss order* on a holding in your portfolio (such as a stock or ETF) to limit the downside risk of the holding without limiting the upside potential. Find out more about this order (and others) in Chapter 5.

If you're really nervous or concerned and your stock has already had a good run, then consider placing a stop-loss order close to the market price (say 5 percent or less), and make it a good 'til canceled (GTC) order.

Employ Trailing Stops

Your stock is down, but you're confident that it will rise again. You double-checked the company's fundamentals, the industry, and so on. However, you don't want to see another correction down the road catch you off-guard again. So you decide to pull out the right tool for this scenario: the trailing stop.

The *trailing stop* is a stop-loss order that essentially trails the stock price like a giant tail as the stock price zigzags upward. If, say, you have a 10 percent trailing stop on a $30 stock, the trailing stop would start out at a stop-loss level of $27 ($30 minus 10 percent, or $3). If the stock goes to $35, the trailing stop would automatically adjust upward and go to $31.50 ($35 less 10 percent, or $3.50). If the price goes to $40, the trailing stop would go to $36, and so forth.

The moment the stock reverses and falls, the trailing stop-loss order stays put at the most recent level it reached. When and if the stock does hit that stop-loss price level, the trailing stop turns into a market order and the stock will be sold. At that point, you've avoided further losses. Find more about trailing stops in Chapter 5.

Go against the Grain

Although in this chapter I like to give you definitive advice like "Use this strategy" and "Make that trade," I understand that there are intangibles that should be heeded. There's definitely something to the idea that being a contrarian will help you avoid losses.

When everybody and their uncle are ebullient about the stock market and the bulls-to-bears ratio is similar to the ratio of Red Sox fans to Yankees fans at Fenway Park, then it's time to be a contrarian — a cautious one.

In other chapters (such as Chapters 17 and 18), I cover being a contrarian in order to maximize profit. Here, I want to suggest that starting to step away from a party that is overdue to end is a good way to avoid losses. Sure, you might miss a little more upside, but no one gets hurt taking a profit by selling or by using other loss-limiting strategies.

Have a Hedging Strategy

You see that disheveled, unshaven guy sitting in the corner stool of the local bar and muttering to himself? The guy with the shattered spirit? That's right — that was the hotshot stock speculator who didn't have a hedging strategy (circa 2008). He made fortunes — before the crash, that is. He kept betting on the next leg up in the stock rally. But reversals can come hard and fast.

Having a hedging strategy after the crash is like closing the barn door after the horses escaped (we've all heard that one). The best time to consider a hedging strategy is before a major market reversal. A hedging strategy is basically knowing (and doing) what is necessary to preserve gains or simply to limit the downside.

As the times are looking rosy for your positions, start to ask yourself, "What should I do before the inevitable correction or bear market?" Corrections are relatively short events (although they may seem to last very long), while bear markets are more brutal and last much longer (years versus only a few weeks or months).

A hedging strategy differs depending on the duration of the expected fall. For corrections, you consider hedging by buying put options, for example (see Chapter 13). For bear markets, you look to sell and be in cash; look at the various ways you can sell your stock by checking out Chapter 5 on stock brokerage orders.

Hold Cash Reserves

Opportunities happen constantly — risks show up to derail or delay the best plans — but the prepared investor always has cash on the sidelines. Some extra cash is like a secret weapon; it's also a saving grace when your positions are down and you need money for some unforeseen expense.

For as long as I've been teaching classes on investing, I've always advocated having some cash in an emergency fund, regardless of the investor's economic situation or portfolio strategy. I often hear that "workers are only one paycheck away from a crisis," so I feel that most investors are a few bucks away from making a bad move with their investments. In good times, you should have a minimum of two months' worth of gross living expenses sitting in a bank savings account or a credit union savings account. When times look uncertain (such as during a recession) and/or your personal situation seems tenuous, have three months' or (preferably) six months' worth of gross living expenses.

What happens when stocks are generally down and you need money or you wish you had the funds to buy that oversold stock that is a true bargain at that lower stock price? Having extra cash in your situation means that you have more flexibility. When you need to take advantage of a buying opportunity, it's good to have cash available to do so.

Sell and Switch

When your stock is down, can you do a fancy two-step that can save you on taxes and set you up for a profitable rebound? Keep track of your unrealized gains and losses and see whether there are opportunities for tax benefits, given what is happening in your portfolio. Maybe you have an opportunity to sell a losing position in your portfolio to book a capital loss. Realized capital losses are generally tax-deductible (check with your tax advisor to be sure).

Say that you're very bullish on the energy sector, but the sector and (more painfully) the energy stock you own are down. You're sitting on a loss and you're worried about losing more, or perhaps you're reading some gloom-and-doom reports about the company, the sector, or both. What should you do?

Ask yourself whether it will pay to sell your stock to realize a loss from a tax point of view and then plow the proceeds into a better security in the same sector. Of course, you'd have to be bullish on the sector and find a suitable alternative.

Say you were very bullish on the energy sector and you chose a growth stock in that sector. It was the type of stock that would lead the pack upward in a rally, but it could get hammered if the sector were down. If your position has an unrealized loss, first survey the landscape and see what's available.

If you could sell that stock and gain a tax benefit and with the proceeds get a more conservative stock that also pays a good dividend, why not? Some folks get a little more aggressive. They take the proceeds and buy long-term call options on the same stock so that if and when the stock rebounds, they can quickly regain some appreciation.

Say, for example, that you favor the agricultural sector, which is down, and you have stock in the company Bunge Ltd. (symbol BG). Why not consider selling BG and buying stock in Archer Daniels Midland Co. (symbol ADM)? The loss on BG would be realized and you would gain a tax benefit; purchasing ADM would give you comparable exposure in that sector.

For speculators who expect a strong rebound, instead of buying a comparable stock (as in the preceding example), why not buy long-term call options on BG (or ADM) for more aggressive upside potential? You can find out more about call options in Chapter 12.

You can play the rebound in a variety of ways, but make sure that the tax loss makes sense in your situation and that you did your due diligence regarding the potential rebound of the stock or the sector it's in. Discuss your personal tax situation with your tax advisor. There is also an entire chapter on tax issues specifically for stock investors in my book *Stock Investing For Dummies,* 4th Edition (Wiley).

Diversify with Alternatives

Keep in mind that as an investor, even if you have limited capital, you live in a time where there are many strategies and investment alternatives. When you have a stock in mind that you'll be investing in, you should list or research the alternatives that could accompany or augment your investment choice and help you limit or even reverse a potential loss.

Using leveraged ETFs is a good example of this approach. A *leveraged ETF* is a speculative vehicle that seeks to emulate double or even triple the move of the underlying asset. Say you have an energy stock that plummeted due to a big pullback in the price of oil. With oil hitting a low and your stock doing likewise, consider those alternatives that could be deployed at the bottom of this particular downward move.

Whether you hold onto your stock or not, you still can deploy alternative investments. If oil does indeed stabilize and you want to do well, but you also want to hold onto the stock because you expect a rebound, then consider getting a leveraged bullish oil-related ETF at that moment.

You'd hold the leveraged ETF during the (hopefully) upward rebound of the price of oil and sell the ETF at a profit later in the rally. The stock is (in this case) a long-term play, while the leveraged ETF gives you short-term profits as both the stock and the leveraged ETF gain during that rally.

Leveraged ETFs are a form of speculating. They may magnify gains when you're right, but they can magnify losses if you're wrong. For more about leveraged ETFs, go to Chapter 9.

Consider the Zero-Cost Collar

You have a stock that has done well, but you're worried. The stock may have some upside, but the downside risk seems to be growing. You don't want to sell the stock because the gain is sizable (and taxable!), but the short term worries you. Can you protect your stock from a potential correction without needing to sell the stock?

Consider doing the *zero-cost collar,* a combination of writing a covered call and buying a put on the same stock (or ETF). I refer to this as a *zero-cost* collar because you could probably do this option combination in such a way that it pays for itself. How?

When you write a covered call, you receive income (from the premium you receive when you "write" or sell it); you can then use this income to buy the put. This combination is called a *collar* because it effectively boxes in, or collars, the stock price. Here's how events may play out:

- **If the stock goes down:** The put that you bought comes into play. The put will increase in value the more the stock falls.
- **If the stock goes up:** You make a small profit on the stock when it's sold at the strike price of the call option you wrote. But that's it, because the covered call limits your upside; you can't realize any gains above the strike price.
- **If the stock moves in a flat or sideways manner:** Both the call you wrote and the put you bought would expire. No worries, though. Your stock is okay, and because both positions were acquired as a zero-cost collar, no harm is done when they expire. The collar didn't cost you, so there's no real loss.

You see the real value of the collar when the stock falls. In that event, both parts (or *legs*) of the collar show a profit. Your covered call will lose value, but because you sold it (wrote it), you make a profit on that. The put you bought is valuable because it goes up when the underlying security goes down, so you'll be able to make a profit when you cash in the put. Although your stock is down, the double profit realized from the collar could easily offset most or possibly all of the downward move of the stock.

For more on puts and calls, check out Part III. Because collars are an option combination that is technically bearish, you find out more about them specifically in Chapter 15.

Try Selling Puts

Say you have a stock with a loss. You review the wreckage and see that the stock price may be down (negative!), but everything else about the underlying stock and its company are positive. You think, "Gee, how do I quickly reverse the situation?"

Suppose you have a stock that went from $50 per share and is wallowing in pain at, say, $25. Do you sell and take the loss, even though the company is really hunky-dory? Measure twice on this — is the stock price down only because investors left the sector entirely due to factors that are temporary and not fundamental to real value in the sector?

Say that the company is fine but you could use the loss for tax purposes (capital losses in your portfolio are generally deductible). So consider selling the stock and then writing a put option on the same stock. Why? When you sell the losing stock, you pick up the loss on your taxes. Also, because the stock is down sharply, the puts on it are probably "fat" (meaning they picked up lots of value due to the stock's price drop). Given that, write a put option on that stock; it will give you good income and you can lock in a good price because the put will require you to buy the stock at the lower price (the strike price in the put option). The bottom line is that you took a bad event (the stock's fall) and turned it into something more positive. For more on writing puts, go to Chapter 13.

Prepare Your Exit Strategy

Stocks are meant to be a means to an end. You get stocks either for income or gains, maybe both. If you have a great stock and you've been getting great (and growing) dividends, year after year, then an exit strategy is either not a consideration or not a major concern. You develop an exit strategy for that type of holding in case you really need the money for a concern outside the realm of investing, such as funding college for your grandchild or buying that retirement home with all cash, no mortgage.

But how about stocks that you've held for appreciation? Sooner or later, the appreciation has an ending point. Again, if the stock is great and you've held it for years, maybe even decades, the parting moment will typically come from outside the realm of investing considerations.

REMEMBER When will you exit your position with stock X? And why? What type of scenarios would make you sell that particular stock? Give exit strategy some thought before the need to sell materializes. Many investors think about an exit strategy even before they make the initial purchase.

So what about the stock that hasn't been working out? Perhaps some bad reports came out after you bought it. You've waited for success, but the stock doesn't seem to be ready to turn around anytime soon. What is your exit strategy for a losing stock?

Say you bought a stock at $50 per share. An exit strategy might consist of the following:

- You'll buy more if the stock falls below $45 but the company is still a long-term value.

- If the company is having difficulty (shrinking sales and profits), you'll immediately place a trailing stop of, say, 8 percent on it and make it a good 'til canceled order so that it's an active order for an extended period of time (see Chapter 5).
- If the stock is rising and pays a good dividend, you'll hold it for long-term considerations (for example, retirement).
- If the company's performance and financial conditions change at any time, you'll place a trailing stop on it so that you can preserve both your original principal and any unrealized gain accrued up to that point.

Chapter 23

Ten Ways to Maximize Gains

In This Chapter

- Checking out strategies to increase your investment gains
- Adding profit potential to your positions

Maximizing gains is every investor's goal. Who doesn't want to get the most from their stock investing pursuits? These ten strategies are meant to maximize stock (unrealized) gains you either currently have or can take advantage of. Some methods lock in profits, and others are aggressive moves that could produce mind-boggling gains — if you're correct.

Do your due diligence and be aware of any risks or potential losses. Keep in mind that I don't spend too much time giving you the downside potential in this chapter. After all, I do plenty of that in other chapters (such as Chapter 2), so don't say I didn't warn you!

Exercise Patience

Considering how twitchy investors have become in recent years, patience is the one way to maximize gain that requires the least amount of activity, but it just may be the most difficult to pull off. This is when I get to blurt out, "Don't just do something — stand there!" and sound wise saying it (sort of).

Purchasing quality stocks for the long haul is like buying a tree. Trees are consistent growers, but you can keep staring and not see the growth. The greatest investors are very patient, and the payoff is huge — not immediately but in due course.

Patience is also important when the market is against you. I have bought stock and have seen it fall 5 or 10 percent or even worse (yes, I have had stocks plummet 50 percent or more). When it happened, I looked at the company and said to myself, "Self, is this a profitable company in a good sector with a reasonably good future?" If "self" (and research) said "yes," then I would stick it out. Besides, if the stock is paying a dividend, my patience will get me paid. It's always good to be paid while you're waiting!

To help you do your research (so you can help your "self"), start with understanding value investing in Chapter 4.

Accumulate More Holdings

Buy more … why not? If you have 100 shares and the company is doing well, then why not get another 100 shares? As the market starts to notice what you have, the stock price will appreciate.

Accumulate your stock holdings while minimizing your costs by taking advantage of what may be available to you. For example, many companies have a dividend reinvestment plan (DRP), which I think is excellent for long-term investors. In many of these plans, you can buy stock with no commissions and send in voluntary amounts — as little as $50 monthly, quarterly, or when you feel like it.

> A DRP is best suited for long-term accumulating of your chosen stock. You can't easily jump in and jump out, and you can't use stop-loss orders. For resources on DRPs, check out Appendix A. I also cover DRPs in depth in my book *Stock Investing For Dummies,* 4th Edition (published by Wiley).

Try Trailing Stops

You bought that stock, and you see it zigzagging up. You're feeling pretty good, and your stock is trending up, but you're worried that it may run out of steam. It could go a little further, but you start to feel some trepidation. What to do?

Say you bought stock in Zig Zag Corporation (ZZ) at $22 some time ago. The stock is hovering around $48. You would be satisfied locking in a profit but still think it has a ways to go — maybe to $50 and beyond. But you don't know how much more oomph is in this rally, and maybe you need the proceeds for another purpose. Sure, the stock price could go to $51 or more, but it could go down as well.

Why not do a trailing stop and make it a GTC (good 'til canceled) order? A *trailing stop* is an order you can put in on a stock or exchange-traded fund (ETF) that acts like a stop-loss order in that it can limit the downside without limiting the upside. An added twist is that while a stop-loss order stays put at a specific level, a trailing stop keeps moving upward with the security but stays put when the security starts to go down. The time frame for the order would actually be 30, 60, 90, or 120 days (depending on the broker), but that way you don't agonize about selling the stock, and you could squeeze more gain from the stock.

The trailing stop would limit ZZ's downside without limiting its upside. If you know nothing about the stock's daily price movements, then consider setting an 8 or 10 percent stop. If the stock is at $48, the stop-loss would start off at $43.20 ($48 minus 10 percent, or $4.80). Should the stock go to, say, $52, the stop-loss would trail the price upward like a tail and would then be at $46.80 ($52 minus 10 percent, or $5.20).

The moment the reversal hits and the stock plummets, the value of the trailing stop becomes apparent. The stop-loss order stays put at the most recent level, and it will stay there until it is either triggered (when the stock hits that level and becomes a sell order) or sit there untriggered while the stock price takes a breather and then continues zigzagging upward.

Maximizing your gain while minimizing your loss — I like that! Now I can relax and catch some Zs. (Find out more about trailing stops in Chapter 5.)

Use Stock Triggers

Imagine you do have stock in Zig Zag Corporation (ZZ) and you see it going higher, but you believe that it could easily plunge given your assessment of the market's volatility. You think to yourself, "Hmm … How could I take advantage of that type of scenario?" Listen up, pilgrim.

Consider doing a trade trigger (or combination trade), which is an order set up so that if the order is triggered, then another brokerage order is enacted automatically. Say that ZZ is at $35 and you expect it to go to $50, but you feel that it would then fall back to the 30s. A trigger order would help you use the automation in your brokerage account to take advantage of that potential scenario.

Either at the broker's website or on the phone with the broker's customer order desk, you can put in an order such as a GTC sell-limit order. Then when the sale order is triggered (when the stock hits the limit price or better), that would automatically sell your stock and then initiate a new order. In this case, you can buy a put option on the same security so that you can make a subsequent profit when the stock does fall according to your expectations. (A *put option* is a bet that the underlying stock will go down; it would help you profit on that type of move.)

In this way, you'd have a gain when the stock went up and then a second gain on the put when the stock went down. Find out more about limit orders in Chapter 5, and get the lowdown on put options in Chapter 13. The basics of options are in Chapter 11.

Make the Most of Margin

Using margin in your account — when done right — can help you make a lot of money. If you chose a stock wisely and also employed margin to leverage your potential gain, you'd do very well. *Margin* (or *stock margin*) is simply the use of debt (borrowing money from your broker in your brokerage account) to buy more stock or other securities in your account. This process is also referred to as "using leverage" because you're using borrowed funds to increase your stock position.

If you're right and the stock goes up, you gain handsomely. However, if the stock goes down, your stock position's value is reduced but you still have the margin debt. In the event that your stock goes down, you may need to pay down the margin debt or find other assets to add to your account to achieve enough coverage for the outstanding margin debt (this is also referred to as *margin maintenance requirements*).

For info on using margin in your bullish stock investing or speculating strategies, see Chapter 5.

Look at Leveraged ETFs

To do some real "go, go!" speculating, leveraged exchange-traded funds (ETFs) are the way to go.

A leveraged ETF has some of the firepower of options but without the ultimate drawback of buying options. Call and put options can expire worthless, as you find out in Chapter 11. However, leveraged ETFs don't have an expiration feature to them.

Where does the leverage come from? This type of ETF has options and other derivatives within its portfolio, which can increase the potential gain if you're correct about the stock or asset's price direction. However, these derivatives increase the potential loss if you're wrong.

The leverage is usually quoted as "double" the move of the underlying stock or group of stocks. If, for example, you think that oil (and related stocks) will go up, say, 10 percent in the near future, an oil-related leveraged ETF would shoot to double that move and potentially move 20 percent. Some leveraged ETFs try to triple the move of the underlying security.

More about leveraged ETFs as a bullish strategy is in Chapter 9 (while you bearish folks can look at Chapter 10).

Survey Optionable Securities

The essence of stock investing is, of course, investing directly in stocks, and this should be the foundation of a growth-oriented financial portfolio. (I make that distinction because many folks build wealth in a nonfinancial portfolio such as real estate or collectibles, for example.) But the stocks and ETFs to consider in that foundation should be optionable.

Optionable simply means that these stocks have options tied to them. Finding out whether a particular stock is optionable is easy. One way is to go the Chicago Board Options Exchange site (`www.cboe.com`) and enter the symbol of your stock or ETF on its detailed quote section. If any options come up, *voilà!* Your stock is optionable.

Also, great financial sites such as Investing.com (`www.investing.com`) provide extensive quotes on stocks, ETFs, and options for them. You can use the site's search engine to find them.

Many stocks have literally hundreds of different options (both calls and puts) attached to them. This means that great flexibility and power come with options. This gives you, the stock investor, more ways to squeeze more potential gains (or more ways to minimize risk) in your stock investing and speculative strategies. Given that, I devote Part III of this book to options.

TIP

Now, I think that I do a pretty good job of covering options, but I'm biased, and I can't write everything I would like to about options in an investing book. Fortunately, you can find a more complete treatment of options trading in *Trading Options For Dummies,* 2nd Edition, by Joe Duarte (published by Wiley).

Buy Call Options

There are few better ways to turbocharge your potential for gains than options. Bullish stock investors seeking to maximize gains while minimizing cash outlay (or risk potential) should consider buying call options.

The call option is a contract that gives the buyer the right (but not the obligation) to buy a specific stock (or other asset) at a specified price during the life of the option contract. Options have a finite life and can expire, so take the time to learn the pros and cons (Chapter 11 is a good start). A call option offers the potential for unlimited gains and (if you're right, of course) triple or even quadruple percentage gains, while the most you can lose is 100 percent of a relatively small sum of money.

In 2015, Apple (AAPL) stock was approximately $125 per share. If you were really excited about its potential, you would buy the stock, but 100 shares would cost a pricey $12,500 — enough to buy an entire car (plus spare fenders) at Biff's Used Car Emporium & Cafe. Fortunately, the stock speculator can turn to options.

As of May 2015, a call option on AAPL with the strike price of $135 and expiring January 2016 would cost approximately $700 (which is much less capital than buying 100 shares of AAPL). If you're right and AAPL rises to $135 and beyond, you could easily make a percentage gain of 50 to 100 percent or more (AAPL stock rising from $125 to $135, for example, is only a gain of 8 percent).

Sure, if you're totally wrong on AAPL, you could lose $700 (this sum could easily get you a '78 Ford Pinto at Biff's), but you know that going in. The flip side is that if AAPL fell $7 per share or more, that would be an equivalent loss (in other words, a $7 fall in the stock price means that you would lose $700, which is equivalent to the cost of the option). On the other hand, if you're correct in your outlook and AAPL goes to, say, $150, then the option could easily be worth at least $1,500 (a cash gain of $800, or $1,500 minus the original cost of $700). In this example, the $800 gain amounts to a percentage gain of about 114% ($800 gain divided by $700 investment). Capisce?

For more on bullish call option strategies, go to Chapter 12.

Sell Put Options

Selling put options is a good way to make some cash on a stock you may want (or are certainly bullish on). I actually like to sell (write) puts when the stocks that I like are down. The reason is that when a stock is down, the puts on it have gained value. What better time to sell a put?

Selling a put option (also called *writing a put option*) is a strategy that gives you the opportunity to generate some income, but in exchange, there is an obligation to buy the underlying stock or asset at a given price at some time during the life of the put option. The act of writing a put option is covered in Chapter 13.

Construct a Synthetic Long

A *synthetic long* is a bullish option combination that I like to employ when I see an undervalued stock or asset whose price is down (temporarily) and I want to speculate on the price rebounding.

The synthetic long is a combination of simultaneously writing a put option and buying a call option on the same stock or asset.

Say you're thinking about getting some stock in the company Crash and Zoom Inc. (CAZ). The stock crashed due to lots of selling in the market. It fell from $50 to $25, and you definitely think that this was just a bout of overreacting by nervous investors.

As far as you're concerned, CAZ is a solid, profitable company whose stock is destined to go much higher, and you see this as a short-lived fire sale. This stock has all the hallmarks of a contrarian's dream play. What is the best way to play if you want to get some staggering profits in the short term?

This is where the synthetic long comes in. A *synthetic long* is a combination of a call option you're buying coupled with a put option you're writing; both are done on the same stock.

For CAZ, you construct the combination of a put you wrote at the strike price of $20 and a call you're buying with a strike price of $30. Because both options are equidistant from the stock price in this example, I'll assume that the premiums for both cost the same. Therefore, you're receiving $100 for the $20 put you wrote, and you're paying $100 for the $30 call you're buying.

If you're correct about the value of the stock, the upside potential is unlimited. If you're wrong, the option combination itself would be no risk except for the possibility that you may have to buy CAZ at the strike price of $20 (due to the obligation you incurred from writing the put).

Think about this for a moment. The trade is effectively free, it has a very limited downside (potentially buying a stock you like at a lower price), and there is unlimited upside potential! Whoa … talk about maximum gain potential! The synthetic long is a natural for bullish folks. Find out more in Chapter 14.

REMEMBER

For the synthetic long, make sure you're okay (both mentally and financially) with buying the stock at the strike price indicated in the put you're writing in case the stock falls. Timing is very important for placing this combination trade to minimize the potential risk. Secondly, make sure you do your homework regarding the stock's future potential. What good is buying a stock at a lower price if the stock itself continues to fall even lower later on?

Chapter 24

Ten Traits of Successful Investors

In This Chapter

- Doing your homework
- Choosing wisely
- Keeping an eye on your holdings

I've been teaching about investing since 1983. After all this time, you get to see so much — what works and what doesn't work, which qualities help you and which ones don't, and more. As I've learned from those whom I consider the best at what they do, you're always a student (even when you're a teacher). Which ten traits keep coming up as I watch great investors do their thing? Keep reading.

Measuring Twice

Successful investors do their homework (another cliché with endless truth to it). They look at the numbers of the company and keep asking, "Is this a good company?" They look at the sales and profits and ask, "Have they shown consistent growth?" They look at the company's balance sheet and ask, "Is the net worth (or net equity) growing?" — not simply growing quarter over quarter but year over year?

REMEMBER When an investor "measures twice," she sees many angles to the company and also sees and hears what others have to say. She weighs the pros and cons and then makes her decision.

Fortunately, you live in a time in which information on a publicly traded company is plentiful and easily accessible. Finding a company that has value and whose stock price can become very valuable isn't that difficult. Chapter 4 goes into detail about finding value.

Getting a Second Opinion

All too often, an investor reads only a particular set of websites and only particular authors and writers. In some way, an investor can become like the boss who walks into a room and gets feedback only from yes-men. Any criticism is avoided or punished. No one wants to get the boss angry with an independent view.

It isn't pleasant to see a skeptic wagging his finger about an investment that you have. It's easier to hear something reassure you about your choice. And after you get all the warnings from those annoying critics, seeing your stock get hammered afterward just isn't soothing.

As a successful investor, you should have no issues reading or hearing from critics and others who question the securities that you're attached to. If you can't confidently state why you're in a particular investment, then a second opinion will help you be a better investor.

Then again, who says that you must sell because of what the financial talking heads and pundits are saying? If their analysis does bug you and you get concerned, then at least take a middle course. Instead of outright selling your stock, consider putting on a stop-loss order or trailing stop (introduced in Chapter 5). If your stock continues to go up, then let them know! But if your stock plunges and you get out with your stop-loss order, no worries! You played it prudently, and your critics never have to know.

The bottom line is that you read the good, the bad, and the ugly so that you can make an informed decision.

Showing Courage

Well, I don't want to sound dramatic — I mean you aren't storming the shores of Normandy or getting ready to wrestle an Andre the Giant look-alike — but "No guts, no glory" does apply here. I do believe that courage is an important trait for today's investor and especially for speculators. Achieving (or hoping to achieve) superior results requires that you do some things a little better than others.

In late 2008, lots of stocks (and I mean lots!) were sharply down. Even good, solid, profitable stocks were down 40 to 50 percent. In March 2009, the Dow was down to the mid-6,500s (when it had typically been above 10,000). Many investors saw the great values to be had, but fear gripped the majority. Lots of experts were spooked, too.

Even though many companies had numbers that looked great and the company's fundamentals were outstanding and the stock was a "screaming buy" in typical markets, few investors took the plunge and bought.

Of course, in hindsight, many now say those were great buying opportunities and are kicking themselves. It does indeed take some fortitude to do the obvious, but it can be worth it. Those plucky few who bought in March 2009 were rewarded with staggering gains.

Avoiding Greed

Avoiding greed is actually the mirror image of the preceding point on courage. This idea refers to when times are good — really, too good. When the market is ready to puncture the sky and seems to be heading for the moon, that's when you truly should be fearful. The market can be like a siren song: Those who can't resist the allure end up crashing on the craggy shores.

If everyone is optimistic, that should give you pause. Are you sitting on some really good gains? Perhaps triple-digit gains? Ignore the impulse that keeps saying, "Keep the dice rolling" or

“Double up and get more.” Cash in some chips, and overcome the emotion.

Always consider taking some gains (in other words, sell some stocks to realize gains). At the very least, put in some stop-loss orders or, even better, a trailing stop. You’ll be glad you did. (Check out Chapter 5 for an introduction to these types of orders.)

Doing the Opposite of What’s Expected

When everyone is buying X, should you do the same? Probably not. When the world is selling, you should consider buying. And of course, if the world is buying, then you should consider selling. This certainly sounds like the oldest advice on the planet, but there is something to it.

Successful investors don’t need a crystal ball showing them what will have a profitable rise. Sometimes all they need to do is see — clearly — what is going on in front of them and discern what is wreckage and what is opportunity.

Here’s an example: During the second half of 2014, oil seemed like it was becoming obsolete, and everyone and his brother were selling it. The price of oil plummeted (and I mean plummeted!) from around $90–$100 a barrel to around $40–$45 a barrel at the beginning of 2015. The chorus of pundits was now predicting that oil would continue its freefall to the $20 range. You would’ve thought oil would be free in due course.

Because energy companies are related to oil, they would see their stock prices go down, too. The next shoe to drop was going to be which oil companies or related energy companies were going to be in dire financial straits. But some investors saw that this was all an overreaction. Oil is a necessary commodity for a modern economy and will continue to be.

When oil stabilized in the $40 price range during early 2015, it was bargain-hunting time. As I write this, oil has rebounded to the $60+ level, and some quality companies saw their shares soar into triple digits very quickly.

Now, whether investors sold or put on stop-loss orders or used any other strategies at that time is beside the point. Whether the goal is short-term profits or long-term appreciation, contrarians (on average) usually beat the crowds.

Specializing in a Sector

Look, you can’t be an expert in every industry or market sector. There are thousands of stocks of all shapes and sizes. You read about the textbook perfect examples of optimal diversification and allocation in Chapter 3. And yes, being diversified is valid and I generally stick to the points made.

However, if you’re a high-octane investor or speculator, consider applying Pareto’s *80/20 rule:* Put 80 percent of your portfolio in that optimal diversification mode, and put 20 percent of your portfolio in stocks that you have a great degree of competence and mastery in.

I know one person who had a huge holding in a single technology stock and watched it like a hawk. He sold a large percentage of the holding to buy a new home — all cash! Yes, the investment was a little risky, but the risk was mitigated through his exceptional knowledge in a given specialty. Specializing in one investment area is akin to a medical professional becoming a radiologist — someone who understands radiology inside and out and builds wealth easily without being a "healthcare generalist."

Since I wrote the book *Precious Metals Investing For Dummies* (Wiley) some years ago, I came to be good friends and associates with some noteworthy investors not only in the precious metals (mining stocks) industry but also in the general natural resources area. Some of these folks were intimately knowledgeable about individual companies and their management teams. These investors understood the economics of the industry, supply and demand factors, and so on.

Of course, a high percentage of these investors' portfolios was in their specialties. As any proponent of diversification will tell you, if these investors were right and those specialty stocks went up, they would make some outstanding profits. But it was also the proverbial double-edged sword; if that batch of stocks got hammered, the overall portfolio would certainly suffer. But the fact is, from a long-term perspective, these investors build fortunes from their specialties.

It's not a bad idea to have an overexposure to a particular specialty in one part of your portfolio, as long you're diligent about the area.

Reading Voraciously

Some of the best of the best (investors, that is) are information junkies. They don't just read press releases and financial reports from individual companies. They read the financial sites and keep abreast of the latest news and reports not only in the financial markets but across the political, economic, and social worlds.

If you're specializing in technology stocks, for example, you should be regularly reading about the latest events, trends, news, and so on affecting the world of technology stocks. Don't just look at how today's world is affecting your current holdings; look at what is going on today that will help you make sound choices about tomorrow's stock holdings.

Being informed means not being surprised — or rather, it means reading more than others so you'll be less surprised than everyone else will be. For starters, consider using some of the resources in Appendix A.

Having Discipline

If you watch ten different investors, you may see ten different opinions, ten different investment choices, and ten different styles or approaches. But watching each one tells you that discipline is part of whatever the investors are doing.

Discipline means that you stick to a plan that guides you in your choices both before and after the investment decision is made (that plan may be detailed, or perhaps it's just a few simple principles you abide by). Discipline means that you won't get distracted by whatever the world tosses your way. Many times, I've seen a stock go sharply up or down on a specific day due to some short-term consideration, such as a highly publicized earnings report (either good or bad). Long-term investors barely bat an eyelash; they see the change as meaningless noise.

When I teach about stocks in my seminar "The $50 Wealth-Builder," I know I'm dealing primarily with beginners. I tell them to have the discipline to stick (initially, anyway) to stocks of companies that

- Are tied to human need
- Have consistent sales and profits
- Are in an industry that will be needed in the economy for the foreseeable future
- Pay a regular dividend

Investors who have the discipline to stay within those basic parameters should do well over the long term.

Regularly Monitoring Your Holdings

Regularly monitoring your investments is obviously a cardinal rule. No, you don't have to obsess, and you probably don't even have to watch the stock on a daily basis. But stock investing is typically not a set-it-and-forget-it pursuit.

Successful investors don't usually get surprised by what is going on with their stock holdings. To monitor your holdings, get on the email list for announcements from the company (or mutual fund itself), and consider getting alerts on company developments from third parties such as your broker or financial news websites.

For more information on brokerage services that can help you monitor your investments, check out Chapter 5. For financial websites (and other information resources), check out Appendix A.

Accepting Mistakes Early

Okay, this is where it gets nasty. No matter what you do, at some point you'll have an investment that just doesn't behave according to your expectations. Or, to put it bluntly, you'll have a real loser on your hands. You thought it was a great investment choice at the time. You even bought more when the stock price went down.

Look, even the best investors make bad choices, outright mistakes, or investments that just don’t perform as they hoped. Investment legends whom I know personally would tell you about their poor choices (well, after enough alcohol anyway). It’s okay; one mistake isn’t the end of the world, and it isn’t the end of your wealth-building pursuits.

REMEMBER A poor investment is yet another lesson learned. Keeping winners and cutting loose the losers is part of every investor’s considerations and always will be. Your long-term success won’t be derailed because you chose a few losers; it will be derailed only if you keep them — or worse, keep accumulating them.

Part VI

Appendixes

Read about simulated stock trading and more on the Cheat Sheet at www.dummies.com/extras/highlevelinvesting.

In this part …

- Find the best resources for successful stock investing. Get my Rolodex of resources that act like an early warning system for the stock market. Use resources that provide top-notch tutorials and education on everything from stocks and exchange-traded funds (ETFs) to options.
- Discover the most used and most important financial ratios that seasoned investors use when they analyze stocks.

Appendix A

Resources for Stock Investors

Getting and staying informed is an ongoing priority for stock investors. The lists in this appendix feature some of my favorite quality resources for stock-investing and financial information, education, and guidance.

The Language of Investing

These sites have great information for beginners. They include financial glossaries and tutorials.

For Dummies Financial Information

www.dummies.com/how-to/personal-finance.html

Browse the articles or do a search for stocks, financial topics, and so on

Investing for Beginners

www.beginnersinvest.about.com

Lots of solid, basic information for investing beginners

Investopedia

www.investopedia.com

A great site that gives you not only definitions but also explanations and even video tutorials

InvestorWords

www.investorwords.com

One of the most comprehensive financial glossaries online

Investing Websites

You want to know about stocks, how the stock market ticks, and which financial issues and related markets will affect your portfolio and investment decisions. In the following sections, I provide you with a myriad of investing sites that have been very valuable to my students, my readers, and me.

Investing news sites

For "to-the-minute" stock quotes, news stories, and market updates, these sites fill the bill. They also have sections that offer stock screening tools, profiles of stocks and exchange-traded funds (ETFs), financial statements of public companies, and so on.

Bloomberg

www.bloomberg.com

CNBC

www.cnbc.com

Investing.com

www.investing.com

Investor's Business Daily

www.investors.com

MarketWatch

www.marketwatch.com

The Wall Street Journal

www.wsj.com

Yahoo! Finance

www.finance.yahoo.com

Financial commentary sites

I love to hear the insights of others because they round out my own research and help challenge or confirm what I think. The following sites feature expert commentary or insights into a major concern or issue.

The Bubble Bubble

www.thebubblebubble.com

DollarCollapse.com

www.dollarcollapse.com

Financial Sense

www.financialsense.com

King World News

www.kingworldnews.com

The Korelin Economics Report

www.kereport.com

Seeking Alpha

www.seekingalpha.com

TraderPlanet

www.traderplanet.com

Zero Hedge

www.zerohedge.com

Investing Magazines, Newspapers, Newsletters, and Books

Stock investing success isn't an event; it's a process. The magazines, newspapers, newsletters, and books listed here (along with their websites) have offered guidance and information for investors for many years, and they're still top-notch.

Magazines and newspapers

For decades investors got their "intel" from classic publications such as *Barron's* and *Forbes*. Investors today can get those publications along with added information via accompanying sites that expand on what their excellent hard-copy issues offer.

***Barron's* Magazine**

www.barrons.com

***Forbes* Magazine**

www.forbes.com

Investor's Business Daily

www.investors.com

***Money* Magazine**

www.time.com/money

The Wall Street Journal

www.wsj.com

Newsletters

The following fee-based financial newsletters provide some solid guidance from pros whom I believe are reliable.

Elliott Wave Theorist

www.elliottwave.com/more_info/Robert-Prechters-Elliott-Wave-Theorist.aspx

The Hulbert Financial Digest

www.marketwatch.com/premium-newsletters/hulbert-financial-digest

Paul Mampilly's *Professional Speculator*

www.stansberryresearch.com/products/professional-speculator

***The Morgan Report* with David Morgan**

www.silver-investor.com

Richard Russell's *Dow Theory Letters*

www.dowtheoryletters.com

***Safe Money* Report**

www.weissresearchissues.com/safe-money-report

The Value Line Investment Survey

www.valueline.com/Account/SubscribeOverview.aspx

Richard C. Young's *Intelligence Report*

www.intelligencereport.investorplace.com

Stock investing books

Here are some noteworthy books that can have a positive impact on building your stock investing knowledge.

Common Stocks and Uncommon Profits and Other Writings

By Philip A. Fisher

This is a great book by a seasoned pro on picking stocks by finding undervalued companies.

Deemer on Technical Analysis

By Walter Deemer and Susan Cragin

Walter Deemer's guidance on technical analysis is superb, and this book is a must for anyone who seriously wants to succeed with technical analysis.

How to Pick Stocks Like Warren Buffett: Profiting from the Bargain Hunting Strategies of the World's Greatest Value Investor

By Timothy Vick

This definitive guide on Warren Buffett's investing approach is coupled with good insights on value investing.

The Intelligent Investor: The Definitive Book on Value Investing

By Benjamin Graham

This book gives you the essentials on a company's fundamentals from one of history's great investing educators.

***Secrets of the Great Investors* Audio Series**

Knowledge Products

800-876-4332

I have this audio series, and it has fascinating and useful insights into the investing strategies and exploits of history's great investors and speculators.

Security Analysis: The Classic 1951 Edition

By Benjamin Graham

This book is a classic, and most investors in this uncertain age should acquaint themselves with the basics.

***Stock Investing For Dummies*, 4th Edition**

By Paul Mladjenovic

Yes, this is a shameless plug, but the book has lots of information I couldn't include here (and I think the author does a sensational job, anyway).

Other investing books

Because the stock market is interconnected with the economy and other financial markets, it's important to bolster your knowledge about what is really "the big picture" and what can affect stocks and your investment decisions.

The Coming Bond Market Collapse: How to Survive the Demise of the U.S. Debt Market

By Michael Pento

I've followed Pento's work, and he's a sharp economist. You can find his blog and services at www.pentoport.com.

The Coming Collapse of the Dollar and How to Profit from It: Make a Fortune by Investing in Gold and Other Hard Assets

By James Turk and John Rubino

One of the great events of current times is the record expansion and bubble of so many currencies. Turk and Rubino provide great insights on how today's currency markets can impact the U.S. dollar and other investments.

Crash Proof: How to Profit from the Coming Economic Collapse

By Peter Schiff

I consider Schiff to be an incisive observer of the economy and financial markets. He was among the first to warn about the 2008 crisis, and his latest concerns are in this book.

Elliott Wave Principle: Key to Market Behavior

By A.J. Frost and Robert Prechter

Prechter is the leading practitioner of the Elliott Wave Principle, which is a successful school of thought on technical analysis and market behavior. Prechter forecasts the long-term bull market for stocks in the early 1980s and the crash of 2008.

Fail-Safe Investing: Lifelong Financial Security in 30 Minutes

By Harry Browne

Browne is a legendary investor, and this particular book is packed with wisdom on portfolio diversification for today's investors.

Forbes Guide to the Markets: Becoming a Savvy Investor

By Marc M. Groz

Forbes magazine has great news and views on the economy and financial markets, and it does a solid job of condensing the information into this book.

The Wall Street Journal Guide to Understanding Money and Investing

By Kenneth M. Morris and Virginia B. Morris

This great overall guide on investing and the financial markets is very appropriate for novice investors.

Financial Organizations and Investor Clubs

A financial advisor (especially one well-versed in investing) can be a valuable part of your wealth-building team. Here are some great places to find one: financial advisor organizations and investor clubs.

Investment/financial advisors

To find a financial planner (preferably one with extensive stock investing experience), check out these organizations and get — and interview — several referrals.

Certified Financial Planner Board of Standards

1425 K St. NW, Suite 800

Washington, DC 20005

Phone 800-487-1497

Website www.cfp.net

Get a free copy of the CFP Board's pamphlet *10 Questions to Ask When Choosing a Financial Planner*. Be sure to ask for a financial planner who specializes in investing.

Financial Planning Association (FPA)

7535 E. Hampden Ave., Suite 600

Denver, CO 80231

Phone 800-322-4237

Website www.fpanet.org

This is the largest organization of financial planners and advisors in the United States, and its site offers consumer guidance on financial planning topics and on how to choose a financial planner.

The National Association of Personal Financial Advisors

8700 W. Bryn Mawr Ave., Suite 700N

Chicago, IL 60631

Phone 847-483-5400

Website www.napfa.org

This is the largest association for fee-based financial advisors who don't charge commissions, which may have an undue influence on the advisor's advice.

Investor clubs

Discovering the ways of the stock market along with other stock investors is a great way for beginning and intermediate investors to share ideas and strategies. The following groups are among the best places to find out about stock investing.

American Association of Individual Investors (AAII)

625 N. Michigan Ave.

Chicago, IL 60611-3110

Phone 800-428-2244 or 312-280-0170

Website www.aaii.com

National Association of Investors Corporation (NAIC)

711 W. 13 Mile Rd., Suite 900

Madison Heights, MI 48071

Phone 877-275-6242, ext. 3047 or 248-583-6242, ext. 3047

Website www.betterinvesting.org

Stockbrokers

The following sections offer both sources to help you evaluate brokers and an extensive list of brokers with comprehensive services so you can do your research.

Brokerage research

Brokerage firms are more than the venues where you place your trades; they are also tools for wealth-building. All of them have varying levels of service, market intelligence and analysis services, and so on. Do your research with the sources listed here so you can optimize your trading approach and choose a broker right for you.

Brokerage Review

www.brokerage-review.com/stock-brokers/list-stock-broker-firms.aspx

J.D. Power

www.jdpower.com

U.S. Bank List

www.usbanklist.com/brokeragefirms/

Brokerage firms

The following brokerage firms are considered among the best, and all of them have a variety of products and services in addition to giving you the ability to trade stocks and ETFs. List your needs and priorities (such as low commissions, market data services, and so on), and review what they offer versus what their competitors offer. And yes — call them and ask all your questions before you make your final choice. I know some investors who use two brokers (one for trading with low commissions and a second for long-term investing coupled with more personalized services).

Charles Schwab & Co.

800-435-4000

www.schwab.com

E*TRADE

800-387-2331

www.etrade.com

Edward D. Jones & Co.

314-515-3265

www.edwardjones.com

Fidelity Brokerage Services

800-343-3548

www.fidelity.com

Merrill Lynch

800-637-7455

www.ml.com

Morgan Stanley

888-454-3965

www.morganstanley.com

Muriel Siebert & Co.

800-872-0444

www.siebertnet.com

OptionsHouse

877-598-3190

www.optionshouse.com

optionsXpress

888-280-8020

www.optionsxpress.com

Scottrade

800-619-7283

www.scottrade.com

TD Ameritrade

800-669-3900

www.tdameritrade.com

TradeKing

877-495-5464

www.tradeking.com

Vanguard

877-662-7447

www.vanguard.com

Wall Street Access

800-709-5929

www.wsaccess.com

Wells Fargo

877-573-7997

www.wellsfargo.com

Government Agencies

Besides enforcing the securities laws, the SEC has tremendous resources for investors.

Securities and Exchange Commission (SEC)

www.sec.gov

In addition to providing information on investing, the website offers EDGAR (Electronic Data Gathering, Analysis, and Retrieval system), which is a comprehensive, searchable database of public documents that are filed by public companies.

You can also go to any of the following sites to find out about new and proposed financial laws. The search engines will help you find laws either by their assigned number or by a keyword search.

Congress

www.congress.gov

Federal Reserve Board

www.federalreserve.gov

Financial Industry Regulatory Authority (FINRA)

1735 K St. NW

Washington, DC 20006

Phone 800-289-9999 or 202-728-8000

www.finra.org

Securities Industry and Financial Markets Association (SIFMA)

1101 New York Ave. NW, 8th Floor

Washington, DC 20005

Phone 202-962-7300

www.sifma.org

Other Investing Resources

In this section I round out what I couldn't neatly include in the prior sections (call it a "potpourri" if you like). The following resources give you more guidance on related vehicles (such as options and ETFs) that will enhance your stock trading and speculating as well as resources to help with the general economy and the big picture.

Stock exchanges

The exchanges that stocks trade on provide extensive (and useful!) data for stock investors to help them make informed decisions about purchases. In addition, the exchanges have educational resources and programs that are perfect for novice investors.

Nasdaq

www.nasdaq.com

New York Stock Exchange

www.nyse.com

OTC Bulletin Board

www.otcbb.com

Stock screening tools

When you're sifting through stock data, a good stock screening tool comes in very handy. Check these out.

Financial Visualizations

www.finviz.com

Google Finance Stock Screener

www.google.com/finance/stockscreener

Yahoo! Finance Stock Screener

https://screener.finance.yahoo.com/stocks.html

Dividend reinvestment plans (DRPs)

DRPs are an excellent way to accumulate wealth through stock investing with small amounts of money. Here are some of the best resources.

Direct Investing with The Moneypaper

www.directinvesting.com.

DRIP Central

www.dripcentral.com

First Share

www.firstshare.com

Exchange-traded fund (ETF) resources

ETFs belong in every investor's arsenal, and these resources will help (see Chapters 9 and 10 for an introduction to ETFs).

ETF Database

www.etfdb.com

ETF Trends

www.etftrends.com

ETFguide

www.etfguide.com

The ETF Book: All You Need to Know About Exchange-Traded Funds

By Richard Ferri

Options resources

Options are powerful and flexible tools that enhance your stock strategies. These reliable options resources have extensive guidance, education, and tools. I cover options in detail in Part III.

Chicago Board Options Exchange (CBOE)

www.cboe.com

CME Group

www.cmegroup.com

The Options Industry Council (OIC)

www.888options.com

Economics, trends, and the big picture

The geopolitical and economic environment will either help or hurt your stock investing, so keep an eye on the big picture (flip to Chapter 19 for details).

American Institute for Economic Research (AIER)

www.aier.org

Foundation for Economic Education

www.fee.org

Richard Maybury's *Early Warning Report*

www.chaostan.com

The Mises Institute

www.mises.org

The Raving Capitalist

www.ravingcapitalist.com

Mike Shedlock's Global Economic Trend Analysis

http://globaleconomicanalysis.blogspot.com

Trends Research Institute (with Gerald Celente)

www.trendsresearch.com

Zero Hedge

www.zerohedge.com

Tracking insiders and the pros

Knowing what insiders such as high-profile investors and organizations are doing with their money and stock choices will help you in your search for great stocks. These sites are a good place to start. (Find out more about insiders in Chapter 20.)

Advisor Perspectives

www.advisorperspectives.com

FreeEDGAR

www.freeedgar.com

GuruFocus

www.gurufocus.com

RothIRA.com

www.rothira.com

StreetInsider

www.streetinsider.com

Technical analysis resources

Technical analysis (covered in Chapter 21) can be a powerful tool for your short-term wealth-building strategies, and you should find out about it from some of the best sources and practitioners I know. Check out these sources.

Big Charts (Provided by MarketWatch)

www.bigcharts.com

Elliott Wave International

www.elliottwave.com

LiveCharts

www.livecharts.com

McHugh's Financial Markets Forecast and Analysis

www.technicalindicatorindex.com

StockCharts.com

www.stockcharts.com

Appendix B

Financial Ratios

Putting your money in the stock of a company means understanding whether that company has what it takes financially to do well in good times and to endure the bad times. This means that you see how profitable the company is and how it manages its assets and debts. Is it a well-run company, or are there problems under the hood? Is the company trending in the right direction (growing net income and assets) or not (growing liabilities)?

Ratios are a great tool to help you evaluate companies. This appendix gives you the key categories of ratios and the main ones to be aware of in each category. It should be a continuing resource for you to go back to each time you're considering a new addition to your stock portfolio. You also should use it to make sure that existing stocks in your portfolio are still earning their ongoing spots.

There's no perfect company that hits a home-run with each ratio. However, a solid company should at least pass the key ratios in regard to profitability and solvency:

- **Profitability:** Is the company making money? Is it making more or less than it did in the prior period? Are sales growing? Are profits growing? You can answer these questions by looking at the following ratios:
  - Return on equity
  - Return on assets
  - Common size ratio (income statement)
- **Solvency:** Is the company keeping debts and other liabilities under control? Are the company's assets growing? Is the company's net equity (or net worth or stockholders' equity) growing? You can answer these questions by looking at the following ratios:
  - Quick ratio
  - Debt-to-asset ratio
  - Debt-to-equity ratio
  - Working capital

While you examine ratios, keep these points in mind:

- Not every company and/or industry is the same. A ratio that seems dubious in one industry may be just fine in another. Investigate and check out the norms in that particular industry.

- A single ratio isn't enough on which to base your investment decision. Look at several ratios in different categories so you cover the major aspects of the company's finances.
- Review at least three years of the company's numbers to judge whether the most recent financial data is better, worse, or unchanged from the previous year's financial data.
- Ratios for solvency and liquidity can give you early warning signs regarding the company's prospects. Typically, having too much in current liabilities and/or long-term debt can be a red flag.

The numbers for most of the ratios in this appendix can be extracted from the company's income statement (*profit and loss statement* or simply *P&L statement*) and the balance sheet. For valuation ratios, you need the stock price too.

Plenty of websites go further in explaining all the ratios in this appendix and giving examples. Find out more about those sites in Appendix A. In addition, the book *Fundamental Analysis For Dummies,* by Matt Krantz (Wiley), goes into greater detail about ratios and does an excellent job of explaining them.

Operating Ratios

Operating ratios essentially measure a company's efficiency. A question commonly answered with operating ratios is "How is the company managing its resources?" If, for example, a company sells products, does it have too much inventory? If it does, that could impair the company's operations. The following sections present common operating ratios.

Return on equity (ROE)

Equity is the amount left from total assets after you account for total liabilities. (Return on equity can also be considered a profitability ratio.) The *net equity* (also known as shareholders' equity, stockholders' equity, or net worth) is the bottom line on the company's balance sheet, both geographically and figuratively. It's calculated as follows:

Return on equity (ROE) = Net income ÷ Net equity

The *net income* (from the company's income statement) is simply the total income less total expenses. Net income that isn't spent or used up increases the company's net equity. Looking at net income is a great way to see whether the company's management is doing a good job of growing the business. You can check out the management by looking at the net equity from both the most recent balance sheet and the one from a year earlier. Ask yourself whether the current net equity is higher or lower. If it's higher, by what percentage is it higher?

For example, if Shemitah Corporation's (SHM) net equity is $40,000 and its net income is $10,000, its ROE is a robust 25 percent (net income of $10,000 divided by net equity of $40,000). The higher the ROE, the better. An ROE that exceeds 10 percent (for simplicity's sake) is good, especially in a slow and struggling economy. Use the ROE in conjunction with the ROA ratio in the next section to get a fuller picture of a company's activity.

Return on assets (ROA)

The *return on assets* (ROA) may seem similar to the return on equity (ROE), but it actually completes the picture when coupled with the ROE. The formula for figuring out ROA is

Return on assets (ROA) = Net income ÷ Total assets

The ROA reflects the relationship between a company's profit and the assets used to generate that profit. If SHM makes a profit of $10,000 and has total assets of $100,000, the ROA is 10 percent. This percentage should be as high as possible, but it will generally be less than the ROE.

Say that a company has an ROE of 25 percent but an ROA of only 5 percent. Is that good? It sounds okay, but a problem exists. An ROA that's much lower than the ROE indicates that the higher ROE may have been generated by something other than total assets: debt! Debt can be a leverage to maximize the ROE, but if the ROA doesn't show a similar percentage of efficiency, then the company may have incurred too much debt. This could cause problems (see the later section "Solvency Ratios" for details).

Sales-to-receivables ratio (SR)

The sales-to-receivables ratio (SR) gives investors an indication of a company's ability to manage what customers owe it. This ratio uses data from both the income statement (sales) and the balance sheet (accounts receivable, or AR). The formula is expressed as follows:

Sales-to-receivables ratio (SR) = Sales ÷ Receivables

Say that you have the following data for SHM:

Sales in 2014 were $75,000. On 12/31/14, receivables stood at $25,000.

Sales in 2015 were $80,000. On 12/31/15, receivables stood at $50,000.

Based on this data, you can figure out that sales went up 6.6 percent, but receivables went up 100 percent! In 2014, the SR was 3 ($75,000 divided by $25,000). However, in 2015, the SR sank to 1.6 ($80,000 divided by $50,000), or was nearly cut in half. Yes, sales did increase, but the company's ability to collect money due from customers fell dramatically. This information is important to notice for one main reason: What good is selling more when you can't get the money? From a cash-flow point of view, the company's financial situation deteriorated.

Common Size Ratios

Are the company's sales or assets higher or lower than they were last year or last quarter? How about net earnings? Are total liabilities shrinking or growing compared to last year or last quarter? Common size ratios offer simple comparisons. You have common size ratios for both the balance sheet (where you compare total assets) and the income statement (where you compare total sales):

- **Balance sheet:** To get a common size ratio from a balance sheet, you set the total assets figure equal to 100 percent. Every other item on the balance sheet is represented as a percentage of total assets. For example, if SHM has total assets of $10,000 and debt of $3,000, then debt equals 30 percent (debt divided by total assets, or $3,000 divided by $10,000, which equals 30 percent).
- **Income statement:** To get a common size ratio from an income statement (or profit and loss statement), you compare total sales. For example, if SHM has $50,000 in total sales and a net profit of $8,000, then you know that the profit equals 16 percent of total sales (just divide $8,000 by $50,000).

Keep in mind the following points with common size ratios:

- **Net profit:** What percentage of sales is the net profit? What was it last year? How about the year before? What percentage increase (or decrease) is the company experiencing?
- **Expenses:** Are total expenses in line with the previous year? Are any expenses getting out of line?
- **Net equity:** Is net equity higher or lower than the year before?
- **Debt:** Is debt higher or lower than the year before?

Common size ratios are used to compare the company's financial data not only with prior balance sheets and income statements but also with other companies in the same industry. You want to make sure that the company is not only doing better historically but also is a better competitor in the industry. Also keep in mind that you should consider a time frame of three years or longer to see whether the trend is unfolding positively or not.

As a subset of common size ratios, the *earnings-to-sales ratio* (ESR) is important. It compares the net earnings to the total sales. Make it a habit to calculate the ESRs of the stocks you're analyzing. As a general rule, an ESR of 20 percent or better is preferred. To calculate the ESR, you get both figures from the income statement.

Say that the company in question has $1 million in sales and $800,000 in total expenses. This means that the company has $200,000 in net earnings, which means an ESR of 20 percent ($200,000 is 20 percent of $1 million in sales). This number is good, and you should check whether the ESR is (hopefully) greater than it was in prior years.

Many famous companies actually have very poor ESRs, which means they aren't as profitable as they should be, lowering the potential for long-term growth. More importantly, the company may be susceptible to a net loss in the event of a downturn in the economy.

Liquidity Ratios

Cash can be the lifeblood of a company, and the company's ability to make cash available for either paying bills or profitable opportunities is a reference to liquidity. The liquidity of a company is an important indicator of its health. It measures the company's ability to convert its assets into cash quickly without any price compromise. If a company needs to pay urgent liabilities or if it needs cash to seize a great investment opportunity, will the company have access to the cash?

Real estate, for example, is certainly an asset, but it's not liquid because converting it to cash could take weeks, months, or years. Assets such as checking accounts, savings accounts, marketable securities, accounts receivable, and inventory are much easier to sell or convert to cash in a relatively short period of time.

Paying bills or immediate debt takes liquidity. Liquidity ratios help you understand a company's ability to pay its current liabilities. The most common liquidity ratios are the current ratio and the quick ratio; the numbers to calculate them are located on the balance sheet.

Current ratio

The current ratio answers the question "How quickly can the company meet some pressing bills it must pay?" The *current ratio* measures a company's ability to meet short-term debt obligations; the higher the ratio, the more liquid the company is. If the current assets of a company are more than twice the current liabilities, then that company is generally considered to have good short-term financial strength. If current liabilities exceed current assets, then the company may have problems meeting its short-term obligations. You calculate the current ratio as follows:

Current ratio = Total current assets ÷ Total current liabilities

If XYZ Corp. has $80,000 in current assets and $20,000 in current liabilities, the current ratio is 4, meaning the company has $4 of current assets for each dollar of current liabilities. As a general rule, a current ratio of 2 or more is desirable.

WARNING!

A current ratio of less than 1 is a red flag that the company may have a cash crunch that could cause financial problems. Although many companies strive to get the current ratio to equal 1, I like to see a higher ratio (in the range of 1 to 3) to keep a cash cushion should the economy slow down.

Quick ratio

The *quick ratio* is a little more stringent than the current ratio in that you calculate it without inventory. Here's the formula:

Quick ratio = (Current assets – Inventory) ÷ Current liabilities

I'll use the current ratio example from the preceding section. What if half of XYZ's current assets are inventory ($40,000 in this case)?

The quick ratio for XYZ is 2 ($40,000 divided by $20,000). In other words, the company has $2 of "quick" liquid assets for each dollar of current liabilities. This amount is okay. *Quick liquid assets* include any money in the bank, marketable securities, and accounts receivable. If quick liquid assets equal or exceed total current liabilities, that amount is considered adequate.

This ratio helps you answer the question "Can the company pay its bills when times are tough?" In other words, if the company can't sell its goods (inventory), can it still meet its short-term liabilities? Of course, you must watch the accounts receivable as well. If the economy is entering rough times, you want to make sure that the company's customers are paying invoices on a timely basis.

Solvency Ratios

At a time when excessive debt is a major issue across the economic landscape, solvency ratios are an important tool for investors. *Solvency* means that a company isn't overwhelmed by its liabilities. Insolvency, on the other hand, means "Oops! Too late." Solvency ratios look at the relationship between what a company owns and what it owes. The following sections cover three of the primary solvency ratios.

Debt-to-asset ratio

As solvency ratios go, the debt-to-asset ratio is "the big one" because assets should always be greater than liabilities. The debt-to-asset ratio is easy to calculate, and value investors embrace this ratio very seriously. The essence of this ratio is that if you have assets that exceed liabilities, you're truly solvent. The formula is

Debt-to-asset ratio = Total liabilities ÷ Total assets

You can't get more basic than this. In this ratio, you divide total liabilities by total assets. If the answer is less than 1, you're good to go.

For example, if the company has $2 million in debt and $4 million in assets, the debt-to-asset ratio is 0.5. This means that for every $0.50 of liabilities, there's $1 of assets. If this ratio exceeds 1, then total liabilities exceed total assets, and that signals danger.

Debt-to-equity ratio

Being dependent on debt can be a serious drawback for a company. The debt-to-equity ratio answers the question "How dependent is the company on debt?" In other words, it tells you how much the company owes and how much it owns. You calculate it as follows:

Debt-to-equity ratio = Total liabilities ÷ Net equity

For example, if SHM has $100,000 in debt and $50,000 in net worth, the debt-to-equity ratio is 2. The company has $2 of debt for every dollar of net worth. In this case, what the company owes is twice what it owns.

WARNING! Whenever a company's debt-to-equity ratio exceeds 1, that isn't good. In fact, the higher the number, the more negative the situation. If the number is too high and the company isn't generating enough income to cover the debt, the business runs the risk of bankruptcy.

Working capital

Having funds on hand (working capital) to cover the company's regular expenses is critical, especially if the company is experiencing a struggling general economic climate or sales are slow due to issues such as seasonality. Technically, working capital isn't a ratio, but it does belong in the list of things that serious investors look at. *Working capital* measures a company's current assets in relation to its current liabilities. It's a simple equation:

Working capital = Total current assets – Total current liabilities

The point is obvious: Does the company have enough to cover the current bills?

Actually, you can formulate a useful ratio of assets to liabilities. If current assets are $25,000 and current liabilities are $25,000, that's a 1-to-1 ratio, which is cutting it close.

REMEMBER Current assets should be at least 50 percent higher than current liabilities (say, $1.50 to $1.00) so that the company has enough of a cushion to pay bills and has some money for other purposes. Preferably, the ratio should be 2-to-1 or higher.

Valuation Ratios

Understanding the value of a stock is very important for stock investors. The quickest and most efficient way to judge the value of a company is to look at valuation ratios.

The type of value that you deal with throughout this book is the *market value* — essentially the price of the company's stock. You hope to buy it at one price and sell it later at a higher price; that's the name of the game. But what's the best way to determine whether what you're paying for now is a bargain or is fair market value? How do you know whether your stock investment is undervalued or overvalued?

The valuation ratios in the following sections can help you answer these questions. In fact, they're the same ratios that value investors have used with great success for decades. Chapter 4 covers the topic of value investing, which goes hand-in-hand with ratios explained in this appendix.

Price-to-earnings ratio (P/E)

The *price-to-earnings ratio* is among the first ratios I immediately look at when I'm considering a company. It can also double as a profitability ratio because it's a common barometer of value that many investors and analysts look at.

The formula is

Price-to-earnings ratio (P/E) = Price per share ÷ Net earnings per share

For example, if SHM's stock price per share is $20 and the earnings per share is $2, then the P/E ratio is 10 (20 divided by 2).

The P/E ratio answers the question "If I buy the stock, am I paying too much for the company's earnings?" Here are some points to keep in mind:

- **Low P/E ratio:** Generally, the lower the P/E ratio, the better (from a financial strength point of view). Frequently, a low P/E ratio indicates that the stock is undervalued, especially if the company's sales are growing and the industry is also growing.

  Sometimes you'll come across a situation where the stock price is falling faster than the company's earnings, which would also generate a low P/E ratio. And if the company has too much debt and the industry is struggling, then a low P/E ratio may indicate that the company is in trouble. Use the P/E ratio as part of your analysis along with other factors (such as debt) to get a more complete picture.

- **High P/E ratio:** A P/E ratio significantly higher than the industry average is a red flag that the company's stock price is too high (or that it's growing faster than its competitors).

  Any stock with a P/E ratio higher than 40 should be considered more of a speculation then an investment. Frequently, a high P/E ratio indicates that the stock is overvalued. If you see a P/E ratio that is in triple digits or higher, then stay away (bad valuation!).

- **No P/E ratio:** Investors should stay away from this stock. Don't invest in a stock without a P/E ratio because that means that the stock has a price but the company has no net earnings (losses!). Some reporting sources show a negative P/E ratio, which also means that the company is running losses.

- **Good P/E ratio for a conservative strategy:** When you buy a company, you're really buying its power to make a profit. In essence, you're buying its net earnings. Paying for a stock that's priced at under 20 times (and preferably under 15 times) earnings is a conservative strategy that has served investors well for nearly a century. If the economy and the stock market are struggling, you can even see good stocks with a single-digit P/E ratio (under 10). Don't forget to use the P/E ratio in conjunction with other measures of value, such as the other ratios in this appendix.

Price-to-book (P/B) ratio

The P/B ratio is a classic valuation ratio that has stood the test of time and served value investors well. The *price-to-book (P/B) ratio* compares a company's market value to its accounting (or book) value:

- **Price:** The company's market value is usually dictated by external factors, such as supply and demand in the stock market.
- **Book:** The *book value* refers to the company's net equity (assets minus liabilities). The book value is indicative of the company's internal operations.

Value investors see the P/B ratio as another way of valuing the company to determine whether they're paying too much for the stock. The formula is

Price-to-book ratio (P/B) = Market value ÷ Book value

An alternative method is to calculate the ratio on a per-share basis, which yields the same ratio. If the company's stock price is $20 and the book value (per share) is $15, then the P/B ratio is 1.33. In other words, the company's market value is 33 percent higher than its book value. Investors who are seeking an undervalued stock like to see the market value as close as possible to (or even better, below) the book value.

REMEMBER Keep in mind that the P/B ratio may vary depending on the industry and other factors. Also, judging a company solely on book value may be misleading because many companies have assets that aren't adequately reflected in the book value. Software companies are a good example. Intellectual property, such as copyrights and trademarks, are very valuable yet aren't fully covered in book value. Just bear in mind that, generally, the lower the market value is in relation to the book value, the better for you (especially if the company has strong earnings and the outlook for the industry is positive).

Price-to-sales (P/S) ratio

The price-to-sales (P/S) ratio looks at the company's total sales and asks whether the company's stock price is too expensive on that basis. The P/S ratio is a useful valuation ratio that I recommend using as a companion tool with the company's P/E ratio (discussed earlier in this appendix). You calculate it as follows:

Price-to-sales ratio (P/S) = Stock price per share ÷ Total sales per share

The numbers you use to calculate this ratio are the stock price and the total sales figure, which you find on the company's income statement. This ratio can be quoted on a per-share basis or on an aggregate basis. For example, if a company's market value (or market capitalization) is $1 billion and annual sales are also $1 billion, the P/S ratio is 1. If the market value is $2 billion, then the P/S ratio is 2. Or if the share price is $76 and the total sales per share are $38, the P/S ratio is 2 — you arrive at the same ratio whether you calculate on a per-share or on an aggregate basis.

For investors trying to make sure that they're not paying too much for the stock, the general rule is that the lower the P/S ratio, the better. Stocks with a PS ratio of 2 or lower are considered undervalued.

Be very hesitant about buying a stock with a P/S ratio greater than 5. If you buy a stock with a P/S ratio of 5, you're paying $5 for each dollar of sales — not exactly a bargain. Of course, if you see a P/S ratio in double digits, then consider looking elsewhere for value.

Dividend Ratios

For income investors, the following dividend ratios are critical. These two ratios will help you determine the income you're receiving from your stock investment and how safe that income is.

Dividend yield

The dividend yield is a widely followed metric because most investors (be they in stocks or not) want to know what their investment is yielding. When you own a stock and it pays a dividend, how do you know how much of a yield you're getting? Suppose that you're getting an annual $2 dividend on your stock. Is that good, bad, or what?

People understand yield when the topic is interest from a bank investment. If you put $1,000 in an account and you're told that you'll get a 2.4 percent yield, then you know that you're getting $24 ($1,000 multiplied by 2.4 percent is $24). This same metric applies to your dividends as well.

Here's the dividend yield calculation:

Dividend yield = Amount of dividend ÷ Stock price

If you bought XYZ stock at $40 per share, for example, and you're getting a $2 annual dividend, your yield is 5 percent.

The dividend yield you get from a stock depends on the share price at the time you bought it, and that is different from the dividend yield you see quoted in the financial newspaper or on websites. Say that you bought XYZ last year at $40 (with the $2 dividend), and now that stock is trading at $50 per share. On the financial website, the dividend yield is quoted as 4 percent because anyone buying the stock currently would pay $50 per share and get a $2 dividend ($2 divided by $50 per share is 4 percent). Of course, your yield is still 5 percent because you bought the stock at $40.

Note that I call the dividend an annual dividend, but most likely it's paid to you quarterly. In this example, you would receive $0.50 per share per quarter.

Dividend payout ratio

For income investors, the dividend payout ratio is a must. When you're seeking dividend income, it's important to know how safe that dividend is, especially if you're financially dependent on it.

The dividend is paid from the company's net earnings. The *dividend payout ratio* is calculated as follows:

Dividend payout ratio = Dividend per share ÷ Net earnings per share

Say XYZ's annual dividend is $2 per share and its net earnings per share (EPS) is $4.50. In that case, the dividend payout ratio would be 44 percent ($2 divided by $4.50). This is a safe dividend. Why?

As a general rule, a safe payout ratio should be 60 percent or less. In XYZ's case, 44 percent is lower (and therefore safer) than 60 percent. Because dividends come from net earnings and net earnings can vary, there must be a sufficient spread or safety margin so that the dividend isn't in danger of being reduced or eliminated. Companies that pay out dividends greater than 60 percent of net earnings are at risk, but keep in mind that the type of company and industry matters. Utilities tend to pay out dividends that are greater than 60 percent, but they have the cash flow to sustain the payout, so they can be as high as 80 percent. Still other types of investments, such as real estate investment trusts (REITs), may have payouts greater than 90 percent, so check out the company's industry to see what is considered a normal dividend payout ratio.

At a bare minimum, the dividend will survive as long as the company's net earnings exceed the amount of the dividend payout. Not only is the dividend payout ratio is important for dividend investors, but it also can have value for other investors. When earnings can't sustain the dividend, the dividend will be cut, and frequently a dividend cut is a red flag for the financial health of the company.

About the Author

Paul Mladjenovic is a certified financial planner (CFP), national seminar leader, author, and consultant. Since 1981, he has specialized in investing, financial planning, and home business issues. During those 30-plus years, he helped thousands of students and readers build wealth through his nationwide seminars, workshops, conferences, and coaching program.

Besides this book, Paul has written *Stock Investing For Dummies* (all four editions), *Zero-Cost Marketing, Precious Metals Investing For Dummies, The Job Hunter's Encyclopedia,* and *Micro-Entrepreneurship For Dummies*. His seminars have included "The $50 Wealth-Builder," "Ultra-Investing with Options," and the "Home Business Goldmine," among others. The full details on his (downloadable) financial and business startup audio seminars are found at www.RavingCapitalist.com. A page at this site (www.RavingCapitalist.com/stocks) is devoted to readers to provide updates on what's happening with the big picture and highlight pitfalls and opportunities for them. This site also gives readers a way to ask questions about this book and the stock market in general.

Paul refers to himself as a "Raving Capitalist" because he was born in a communist country (Yugoslavia) and came to the United States in 1963. This background helps him understand the big picture so he can provide better guidance and forecasts for his clients, students, and readers.

Since 2000, Paul has built a reputation as an accurate economics and market forecaster. His long record includes accurate forecasts of the housing bubble, the energy crisis, the great recession, the rise of precious metals, and much more. He has been interviewed or referenced by numerous media sources, such as Comcast, CNN, MarketWatch, Bloomberg, Fox Business, *Futures* magazine, GoldSeek.com, Minyanville.com, and FinancialSense.com. In addition, many of his online investing and business seminars can be found at educational sites such as Udemy (www.udemy.com) and Coursmos (https://coursmos.com).

You can view Paul's LinkedIn profile at www.linkedin.com/in/paulmladjenovic/ and follow him at www.twitter.com/paulmlad. Readers can email questions or inquiries directly to paul@mladjenovic.com.

Dedication

I thank God for the love and support of my wonderful wife, Fran; my wonderful boys, Adam and Joshua; and too many friends and family members to mention here. Thank you, and God bless you! I also dedicate this book to the many readers and fans I am grateful for. I wish all of you success and prosperity!

Author's Acknowledgments

First and foremost, I offer my appreciation and gratitude to the wonderful folks at Wiley. It has been a pleasure to work with such a top-notch organization that works so hard to create products that offer readers tremendous value and information. I wish all of you continued success! Wiley has some notables whom I want to single out.

The first person is Michelle Hacker, my project manager. She has guided me from day one, and I truly appreciate her professional guidance (and patience!), which helped me get through an arduous yet productive schedule. Thank you for being fantastic!

A very special thanks to Georgette Beatty, my development editor, who is a magnificent professional whom I have had the pleasure and honor of working with on several books. I thank you for being so good to me and with me!

My sincere thanks to Danielle Voirol, my top-notch copy editor. This is my first project with Danielle, and I hope it won't be my last — you are great! Thanks again!

The technical reviewer is someone whose expertise and professionalism I have admired for decades, Murray Sabrin. You are a great professor of finance at Ramapo College, and I envy your students! Thanks for helping me make the content in this book as great as possible.

My deep gratitude again goes out to Stacy Kennedy, my fantastic acquisitions editor. She has been my champion at Wiley and has shepherded yet another *For Dummies* guide for me to author, and I can't express enough appreciation for all that she does. *For Dummies* books are great, and they appear on your bookshelf only through the planning and professional efforts of publishing pros like Stacy. Wiley is fortunate to have her (and the others also mentioned)!

I am grateful to my book agents Sheree Bykofsky and Janet Rosen, two of the best pros on the planet! Their guidance and assistance made this (and many other) books arrive in the Wiley universe, and I appreciate all that they do.

Fran, Lipa Zyenska, thank you with all my heart for your support and being my number-one fan throughout the writing of this book. I am grateful to have you by my side always! I thank God for you, and I love you *con todo mi corazon!*

Lastly, I want to acknowledge you, the reader. Over the years, you've made the *For Dummies* the popular and indispensable books they are today. Thank you, and I wish you continued success!

Publisher’s Acknowledgments

Acquisitions Editor: Stacy Kennedy

Project Manager: Michelle Hacker

Development Editor: Georgette Beatty

Copy Editor: Danielle Voirol

Technical Editor: Murray Sabrin, Ph.D.

Production Editor: Antony Sami

Cover Image: © hin255/Shutterstock

To access the cheat sheet specifically for this book, go to www.dummies.com/cheatsheet/highlevelinvesting.

Find out "HOW" at Dummies.com

WILEY END USER LICENSE AGREEMENT

Making Everything Easier!™

High-Level Investing

FOR DUMMIES®

A Wiley Brand

Learn to:

- Up your game with proven strategies and techniques
- Increase profits and minimize risks
- Avoid the pitfalls of stock speculating
- Time your market entry and exit points
- Uncover opportunities in "hidden" niches

Paul Mladjenovic, CFP

Author of Stock Investing For Dummies